

Pursuant to article 2, paragraph 3 of Italian law No. 130 of 30 April 1999

Adriatica Finance S.r.l.

(incorporated with limited liability under the laws of the Republic of Italy)

€140,950,000 Asset-Backed Floating Rate Notes due 2021

Issue Price: 100 per cent.

This Prospectus contains information relating to the issue by Adriatica Finance S.r.l. (the "**Issuer**") of the €140,950,000 Asset-Backed Floating Rate Notes due 2021 (the "**Notes**").

The Issuer is a limited liability company incorporated under the laws of the Republic of Italy under article 3 of Italian law No. 130 of 30 April 1999 (*disposizioni sulla cartolarizzazione dei crediti*), as amended from time to time (the "**Securitisation Law**") and is registered both with *Ufficio Italiano dei Cambi* and with the Bank of Italy pursuant to, respectively, article 106 and article 107 of Italian legislative decree No. 385 of 1 September 1993 (the "**Banking Act**").

This Prospectus is issued pursuant to article 2, paragraph 3 of the Securitisation Law and constitutes a *prospetto informativo* for the Notes in accordance with the Securitisation Law.

The proceeds of the issue of the Notes will be applied by the Issuer to fund the purchase of a pool of monetary claims and other connected rights (the "**Claims**" or the "**Portfolio**") arising under: (i) delegations of payment (the "**Delegations of Payment**") issued by various *aziende unità sanitarie locali* (collectively, the "**Health Authorities**") to the Region of Abruzzo (the "**Region**") pursuant to article 1268 *et seq.* of the Italian civil code; (ii) settlement agreements (the "**Settlement Agreements**") entered into between the Health Authorities, the Region and certain private suppliers of medical products and healthcare services (the "**Original Suppliers**") or their assignees (the Original Suppliers or their assignees being the "**Original Creditors**"); and (iii) the sale and supply of medical products and healthcare services rendered by the Original Suppliers to the Health Authorities of the Region (the "**Contracts**"). The Issuer purchased the Claims from Deutsche Bank AG, London Branch (the "**Seller**" or "**DB**") pursuant to a transfer agreement dated 21 December 2006 and amended on 28 March 2007 (the "**Transfer Agreement**") and seven notarial transfer deeds dated 21 December 2006 (the "**Transfer Deeds**") between the Issuer and the Seller. The principal source of funds available to the Issuer for the payment of interest and the repayment of principal on the Notes will be collections received in respect of the Claims.

Interest on the Notes is payable by reference to successive interest periods (each, an "**Interest Period**"). Interest on the Notes will accrue on a daily basis and will be payable in arrear in euro on 27 June 2007 and thereafter semi-annually in arrear on 27 December and 27 June in each year (subject to adjustment for non-business days) (each such date, an "**Interest Payment Date**"). The rate of interest applicable to the Notes for each Interest Period shall be the rate offered in the euro zone inter bank market ("**EURIBOR**") for six-month deposits in euro (save that for the first Interest Period the rate will be obtained upon linear interpolation of EURIBOR for two- and three-month deposits in euro) (as determined in accordance with Condition 6 (*Interest*)) plus a margin of 0.355 per cent. per annum.

Application has been made to the *Commission de Surveillance du Secteur Financier*, as competent authority under Directive 2003/71/EC (the "**Prospectus Directive**"), for the Prospectus to be approved.

Application has been made to the Luxembourg Stock Exchange for the Notes to be admitted to the Official List of the Luxembourg Stock Exchange and to be traded on the Regulated Market of the Luxembourg Stock Exchange "*Bourse de Luxembourg*" which is regulated by Directive 2004/39/EC on Markets in Financial Instruments.

Upon issue the Notes will not be assigned a rating.

The Notes will be limited recourse obligations solely of the Issuer. In particular, the Notes will not be obligations or responsibilities of, or guaranteed by, the Representative of the Noteholders, the Paying Agents, the Subordinated Loan Provider, the Financing Party, the Agent Bank, the Servicer, the Transaction Bank, the Corporate Services Provider, the Stichting Corporate Services Provider, the Auditors, the Swap Counterparty, the Computation Agent (each as defined below in "*Transaction Summary Information – The Principal Parties*"), the Lead Manager (as defined below), DB (in any capacity) nor the quotaholder of the Issuer. Furthermore, none of such persons accepts any liability whatsoever in respect of any failure by the Issuer to make payment of any amount due on the Notes.

The Notes will be held in dematerialised form on behalf of the beneficial owners, until redemption and cancellation thereof, by Monte Titoli S.p.A. ("**Monte Titoli**") for the account of the relevant Monte Titoli Account Holders. The expression "**Monte Titoli Account Holders**" means any authorised financial intermediary institution entitled to hold accounts on behalf of its customers with Monte Titoli and includes any depository bank appointed by Clearstream Banking, *société anonyme* ("**Clearstream, Luxembourg**") and Euroclear Bank S.A./N.V. as operator of the Euroclear System ("**Euroclear**"). Monte Titoli will act as depository for Clearstream, Luxembourg and Euroclear. The Notes will be deposited with Monte Titoli on the Issue Date and will at all times be in book entry form and title to the Notes will be evidenced by book entry in accordance with the provisions of article 28 of Italian legislative decree No. 213 of 24 June 1998 and with resolution No. 11768 of 23 December 1998 of the *Commissione Nazionale per le Società e la Borsa* ("**CONSOB**") as subsequently amended. No physical document of title will be issued in respect of the Notes.

The Notes will mature on the Interest Payment Date which falls in December 2021 (the "**Maturity Date**"), subject as provided in Condition 8 (*Payments*). Before the Maturity Date, the Notes will be subject to mandatory and/or optional redemption in whole or in part in certain circumstances (as set out in Condition 7 (*Redemption, purchase and cancellation*)).

If the Notes cannot be redeemed in full on the Maturity Date, as a result of the Issuer having insufficient funds available to it in accordance with the terms and conditions of the Notes (the "**Conditions**" and each, a "**Condition**") for application in or towards such redemption, including the proceeds of any sale of Claims or any enforcement of the Note Security (as defined below), any amount unpaid shall remain outstanding and the Conditions shall continue to apply in full in respect of the Notes until the earlier of (i) the date on which the Notes are redeemed in full and (ii) the last Business Day in December 2026 (the "**Cancellation Date**"), at which date any amounts remaining outstanding in respect of principal or interest on the Notes shall be reduced to zero and deemed to be released by the holder of the relevant Notes and the Notes shall be cancelled.

The Issuer has no assets other than those described in this Prospectus. **For a discussion of certain risks and other factors that should be considered in connection with an investment in the Notes, see the section below entitled "*Risk Factors*" beginning on page 35.**

Sole Arranger and Lead Manager

Deutsche Bank AG, London Branch

The date of this Prospectus is 28 March 2007

None of the Issuer, the Representative of the Noteholders, Deutsche Bank AG, London Branch (the "**Lead Manager**") or any other party to any of the Transaction Documents (as defined below), has undertaken or will undertake any investigation, searches or other actions to verify the details of the Claims transferred by the Seller to the Issuer or any Claim in respect thereof nor have the Issuer, the Representative of the Noteholders (as defined below), the Lead Manager or any other party to any of the Transaction Documents undertaken any investigation, searches or other actions to establish the creditworthiness of any debtor in respect of the Claims.

The Issuer accepts responsibility for the information contained in this Prospectus other than that information for which the Seller accepts responsibility. To the best of the knowledge and belief of the Issuer (having taken all reasonable care to ensure that such is the case), the information contained in this Prospectus (other than that information for which the Seller accepts responsibility) is in accordance with the facts and does not omit anything likely to affect the import of such information. The Issuer, having made all reasonable enquiries, confirms that this Prospectus contains or incorporates all information which is material in the context of the Notes, that the information contained or incorporated in this Prospectus is true and accurate in all material respects and is not misleading, that the opinions and intentions expressed in this Prospectus are honestly held and that there are no other facts the omission of which would make this Prospectus or any of such information or the expression of any such opinions or intentions misleading. The Issuer accepts responsibility accordingly. This Prospectus may only be used for the purposes for which it has been published.

Deutsche Bank AG, London Branch as Seller has provided the information under the sections headed "*The Portfolio*", "*The Seller and Swap Counterparty*" and "*The Expected Maturity and Average Life of the Notes*" below and any other information contained in this document relating to itself, the Claims and the Portfolio (each as defined below) and accepts responsibility for the information contained in those sections and, to the best of the knowledge and belief of Deutsche Bank AG, London Branch as Seller (having taken all reasonable care and made all due enquires to ensure that such is the case), such information is true as of the date of this Prospectus and does not omit anything likely to affect the import of such information. Save as aforesaid, Deutsche Bank AG, London Branch has not, however, been involved in the preparation of, and does not accept responsibility for, this Prospectus or any part hereof.

The sections headed "*The Region of Abruzzo*", "*The Economy of the Region*", "*Financial Information of the Region*" and "*Debt of the Region*" are reported herein in their entirety as they appear in the Base Prospectus for the €1,250,000,000 Euro Medium Term Note Programme of the Region of Abruzzo dated 19 December 2005 and all information provided therein, unless otherwise specifically indicated therein, is as of such date. Such information has not been independently verified by the Issuer, the Lead Manager or any other party to the Transaction Documents and none of the Issuer, the Lead Manager or any other party to the Transaction Documents accepts any responsibility for the accurate reporting thereof or otherwise. The Issuer accepts full responsibility for correctly copying, extracting and reproducing this information.

Deutsche Bank S.p.A. has provided the information under the section headed "*The Transaction Bank*" below and accepts responsibility for the information contained in that section, and to the best of the knowledge and belief of Deutsche Bank S.p.A. (having taken all reasonable care and made all due enquiries to ensure that such is the case), such information is true as of the date of this Prospectus and does not omit anything likely to affect the import of such information. Save as aforesaid, Deutsche Bank S.p.A. has not, however, been involved in the preparation of, and does not accept responsibility for, this Prospectus or any part hereof.

No person has been authorised to give any information or to make any representation other than those contained in this document in connection with the offering of the Notes and, if given or made, such

information or representation must not be relied upon as having been authorised by or on behalf of the Representative of the Noteholders (as defined below), the Computation Agent (as defined below), the Italian Paying Agent (as defined below), the Principal Paying Agent (as defined below), the Listing and Luxembourg Paying Agent, the Financing Party (as defined below), the Transaction Bank (as defined below), the Agent Bank (as defined below), the Issuer, the Corporate Services Provider (as defined below), the Stichting Corporate Services Provider (as defined below), the Auditors (as defined below), the quotaholder(s) of the Issuer, the Lead Manager or DB (in any capacity). Neither the delivery of this document nor any sale or allotment made hereunder shall, under any circumstances, constitute a representation or create any implication that there has been no change in the affairs of the Issuer or the Seller since the date hereof. This document does not constitute an offer, and may not be used for the purpose of an offer to, or a solicitation by, anyone in any jurisdiction or in any circumstances in which such an offer or solicitation is not authorised or is unlawful.

The Lead Manager and the Representative of the Noteholders have not separately verified the information contained herein. Accordingly, no representation, warranty or undertaking, express or implied, is made and no responsibility or liability is accepted by the Lead Manager, the Representative of the Noteholders or any of them as to the accuracy or completeness of the information contained in this Prospectus or any other information provided by the Issuer in connection with the Notes or their distribution.

The Notes constitute direct, limited recourse obligations of the Issuer. Each Note will be secured, in each case, over certain assets of the Issuer pursuant to and as more fully described in the section entitled "*The Other Transaction Documents*", below. Furthermore, by operation of Italian law, the Issuer's right, title and interest in and to the Claims will be segregated from all other assets of the Issuer and amounts deriving therefrom will only be available, both prior to and following a winding-up of the Issuer, to satisfy the obligations of the Issuer to the holders of the Notes, to pay any costs, fees, expenses and other amounts required to be paid to the Corporate Services Provider, the Stichting Corporate Services Provider, the Representative of the Noteholders, the Computation Agent, the Paying Agents, the Agent Bank, the Transaction Bank, the Servicer, the Subordinated Loan Provider, the Financing Party, the Swap Counterparty, DB (in any capacity), the Lead Manager or the quotaholder of the Issuer and to any third-party creditor in respect of any costs, fees, expenses or liabilities incurred by the Issuer to such third-party creditor in relation to the securitisation of the Claims contemplated by this document (the "**Securitisation**"). Furthermore, none of such persons accepts any liability whatsoever in respect of any failure by the Issuer to make payment of any amount due on the Notes. Amounts derived from the Claims will not be available to any other creditors of the Issuer and will be applied by the Issuer in accordance with the applicable order of priority for the application of Issuer Available Funds (as defined below).

The distribution of this Prospectus and the offer, sale and delivery of Notes in certain jurisdictions may be restricted by law. Persons into whose possession this Prospectus comes are required by the Issuer and the Lead Manager to inform himself about, and to observe, any such restrictions. Neither this Prospectus nor any part of it constitutes an offer, and may not be used for the purpose of an offer to sell any of the Notes, or solicitation of an offer to buy any of the Notes, by anyone in any jurisdiction or in any circumstances in which such offer or solicitation is not authorised or is unlawful.

This Prospectus is not intended to provide the basis of any credit or other evaluation and should not be considered as a recommendation by the Issuer, DB (in any capacity) or the Lead Manager that any recipient of this Prospectus should purchase any of the Notes. Each investor contemplating purchasing Notes should make its own independent investigation of the Claims, Portfolio and financial condition and affairs, and its own appraisal of the creditworthiness of the Issuer.

The Notes have not been and will not be registered under the United States Securities Act of 1933, as amended (the "**Securities Act**"), are in bearer form and are subject to U.S. tax law requirements. Subject to certain exceptions, the Notes may not be offered, sold or delivered within the United States or to, or for the account or benefit of, U.S. persons (as defined in Regulation S under the Securities Act ("**Regulation S**")), except pursuant to Regulation S or pursuant to an exemption from, or in a transaction not subject to, the registration requirements of the Securities Act and in such a manner as to avoid the need to register the Issuer under the United States Investment Company Act of 1940, as amended. For a further description of certain restrictions on the offering and sale of the Notes and on distribution of this document, see "*Subscription and Sale*", below.

The Notes may not be offered or sold directly or indirectly, and neither this Prospectus nor any other prospectus, form of application, advertisement, other offering material or other information relating to the Issuer or the Notes may be issued, distributed or published in any country or jurisdiction (including the Republic of Italy, the United Kingdom, The Netherlands and the United States), except under circumstances that will result in compliance with all applicable laws, orders, rules and regulations. No action has or will be taken which could allow an offering (*sollecitazione all'investimento*) of the Notes to the public in the Republic of Italy. For a further description of certain restrictions on offers and sales of the Notes and the distribution of this Prospectus, see "*Subscription and Sale*", below.

Each initial and each subsequent purchaser of a Note will be deemed, by its acceptance of such Note, to have made certain acknowledgements, representations and agreements intended to restrict the resale or other transfer thereof as described in this Prospectus and, in connection therewith, may be required to provide confirmation of its compliance with such resale or other transfer restrictions in certain cases. See "*Subscription and Sale*", below.

In connection with this issue of the Notes, Deutsche Bank AG, London Branch (in this capacity, the "Stabilising Manager") or any person acting for on behalf of the Stabilising Manager may over-allot Notes (provided that, in the case of any Notes to be admitted to the Official List of the Luxembourg Stock Exchange and to be traded on the Regulated Market of the Luxembourg Stock Exchange "*Bourse de Luxembourg*" which is regulated by Directive 2004/39/EC on Markets in Financial Instruments, the aggregate principal amount of Notes allotted does not exceed 105 per cent. of the aggregate principal amount of the Notes) or effect transactions with a view to supporting the market price of the Notes at a level higher than that which might otherwise prevail. However, there is no assurance that the Stabilising Manager or any person acting for or on behalf of the Stabilising Manager will undertake stabilisation action. Any stabilisation action may begin on or after the date on which adequate public disclosure of the terms of the offer of Notes is made and, if begun, may be ended at any time, but it must end no later than the earlier of 30 days after the issue date of the Notes and 60 days after the date of the allotment of the Notes.

All references in this document to "€", "**euro**" and "**cents**" refer to the currency introduced at the start of the third stage of European economic and monetary union pursuant to the Treaty establishing the European Community (signed in Rome on 25 March 1957), as amended.

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TRANSACTION SUMMARY INFORMATION

The following information is a summary of the transactions and assets underlying the Notes and certain other related transactions. It has to be read as an introduction to this Prospectus and is qualified in its entirety by reference to the detailed information presented elsewhere in this Prospectus.

Certain terms used, but not defined, in the summary may be found in other sections of this Prospectus and in the Transaction Documents. An index of defined terms is contained at the end of this Prospectus, commencing on page 218.

1. The Principal Parties

Issuer

Adriatica Finance S.r.l. (the "**Issuer**") is a limited liability company with sole quotaholder (*con socio unico*) incorporated in the Republic of Italy under article 3 of law No. 130 of 30 April 1999 (*disposizioni sulla cartolarizzazione dei crediti*), (the "**Securitisation Law**"). The Issuer is registered with the companies registrar of Rome under No. 08986031006, with the general register (*elenco generale*) held by *Ufficio Italiano dei Cambi* pursuant to article 106 of Italian legislative decree No. 385 of 1 September 1993 (the "**Banking Act**") under No. 38156 and with the special register (*elenco speciale*) held by the Bank of Italy pursuant to article 107 of the Banking Act. The registered office of the Issuer is at Via Eleonora Duse, 53, I-00197 Rome, Italy and its tax identification number (*codice fiscale*) is 08986031006. The equity capital of the Issuer is entirely held by Stichting Bancaburg.

The Issuer has been established as a special purpose vehicle for the purpose of issuing asset-backed securities. The Issuer may carry out other securitisation transactions in addition to the one contemplated in this Prospectus, subject to certain conditions.

Quotaholder

Stichting Bancaburg is a Dutch foundation (*stichting*) established under the laws of The Netherlands, with its statutory seat at Amsteldijk 166, 1079 LH Amsterdam, The Netherlands ("**Stichting Bancaburg**").

Seller

Deutsche Bank AG ("**DB**" or the "**Seller**") is a bank incorporated under the laws of Germany, whose registered office is at Taunusanlage 12, Frankfurt, Germany, acting through its London Branch No. BR000005 with its offices at Winchester House, 1 Great Winchester Street, London EC2N 2DB, United Kingdom. The Seller sold the Claims to the Issuer pursuant to the terms of: (i) a transfer agreement dated 21 December 2006 (the "**Initial**

Execution Date") and amended on 28 March 2007 (the "**Signing Date**") (the "**Transfer Agreement**"); and (ii) seven notarial transfer deeds (the "**Transfer Deeds**") dated the Initial Execution Date.

Representative of the Noteholders

Deutsche Trustee Company Limited, a company incorporated under the laws of England and Wales having its principal office at Winchester House, 1 Great Winchester Street, London EC2N 2DB, United Kingdom, registered with the companies registrar of England and Wales under No. 00338230, is the representative of the holders of the Notes (in such capacity, the "**Representative of the Noteholders**") pursuant to the Intercreditor Agreement dated the Signing Date. For a description of the Intercreditor Agreement, see "*The Other Transaction Documents*" below.

Corporate Services Provider

KPMG Fides Servizi di Amministrazione S.p.A., a joint stock company (*società per azioni*) incorporated and organised under the laws of the Republic of Italy, with registered office at Via Vittor Pisani, 27, I-20124 Milan, Italy, registered with the companies register of Milan under No. 00731410155, VAT No. 00731410155, acting through its Rome office at Via Eleonora Duse, 53, I-00197 Rome, Italy, is the corporate services provider to the Issuer (in such capacity, the "**Corporate Services Provider**"). Pursuant to the terms of a corporate services agreement dated the Signing Date (the "**Corporate Services Agreement**"), the Corporate Services Provider has agreed to provide certain administrative and secretarial services to the Issuer and the Representative of Noteholders.

Stichting Corporate Services Provider

KPMG Fides Servizi di Amministrazione S.p.A. is the corporate services provider to Stichting Bancaburg (in such capacity, the "**Stichting Corporate Services Provider**"). Pursuant to the terms of a stichting corporate services agreement dated the Signing Date (the "**Stichting Corporate Services Agreement**"), the Stichting Corporate Services Provider has agreed to provide certain management, administrative and secretarial services to Stichting Bancaburg.

Servicer

Zenith Service S.p.A., a joint stock company (*società per azioni*) incorporated and organised under the laws of the Republic of Italy, with registered office at Via Romanino, 1, I-25100 Brescia, Italy, registered with the companies register of Brescia under No. 02200990980, enrolled with the general register (*elenco generale*) held by *Ufficio Italiano dei Cambi* pursuant to article 106 of the Banking Act under No. 32819 and with the special register (*elenco speciale*) held by the Bank of Italy pursuant to article 107

of the Banking Act is the servicer of the Portfolio (the "**Servicer**") pursuant to a servicing agreement between Zenith Service S.p.A. as Servicer, the Issuer and the Seller dated the Initial Execution Date and subsequently amended on the Signing Date (the "**Servicing Agreement**"). For a description of the Servicing Agreement, see "*The Servicing Agreement*" below.

Transaction Bank

Deutsche Bank S.p.A., a bank incorporated under the laws of the Republic of Italy, with registered office at Piazza del Calendario, 3, I-20126 Milan, Italy, registered with the companies register of Milan under No. 01340740156 and with the register of banks (*albo delle banche*) held by the Bank of Italy pursuant to article 13 of the Banking Act under No. 3104, or any other person for the time being acting as such, is the transaction bank to the Issuer (in such capacity, the "**Transaction Bank**") pursuant to the terms of an agency and accounts agreement dated the Signing Date between the Issuer, the Transaction Bank, the Agent Bank, the Computation Agent, the Italian Paying Agent, the Principal Paying Agent, the Listing and Luxembourg Paying Agent and the Representative of the Noteholders (the "**Agency and Accounts Agreement**"). The Transaction Bank has opened and will maintain certain bank accounts in the name of the Issuer and will operate such accounts in the name and on behalf of the Issuer. See "*The Issuer's Bank Accounts*". For a description of the Agency and Accounts Agreement, see "*The Agency and Accounts Agreement*".

Computation Agent

Deutsche Bank AG, London Branch, at its office at Winchester House, 1 Great Winchester Street, London EC2N 2DB, United Kingdom, or any other person for the time being acting as such, is the computation agent to the Issuer (in such capacity, the "**Computation Agent**") pursuant to the terms of the Agency and Accounts Agreement. The Computation Agent will provide the Issuer with certain calculation services. For a description of the Agency and Accounts Agreement, see "*The Agency and Accounts Agreement*" below.

Italian Paying Agent

Deutsche Bank S.p.A., at its office at Piazza del Calendario, 3, I-20126 Milan, Italy or any other person for the time being acting as such, is the Italian paying agent (in such capacity, the "**Italian Paying Agent**") pursuant to the terms of the Agency and Accounts Agreement. For a description of the Agency and Accounts Agreement, see "*The Agency and Accounts Agreement*" below.

Principal Paying Agent

Deutsche Bank AG, London Branch, at its office at

Winchester House, 1 Great Winchester Street, London EC2N 2DB, United Kingdom, or any other person for the time being acting as such, is the principal paying agent (in such capacity, the "**Principal Paying Agent**") in respect of the Notes pursuant to the terms of the Agency and Accounts Agreement. The Principal Paying Agent will act as paying agent for the Notes. See "*The Agency and Accounts Agreement*" below.

Listing and Luxembourg Paying Agent

Deutsche Bank Luxembourg S.A., whose registered office is at 2 Boulevard Konrad Adenauer, L-1115 Luxembourg, Luxembourg, or any other person for the time being acting as such, is the listing and Luxembourg paying agent (the "**Listing and Luxembourg Paying Agent**" and together with the Principal Paying Agent and the Italian Paying Agent, the "**Paying Agents**") pursuant to the terms of the Agency and Accounts Agreement. See "*The Agency and Accounts Agreement*" below.

Agent Bank

Deutsche Bank AG, London Branch, at its office at Winchester House, 1 Great Winchester Street, London EC2N 2DB, United Kingdom, or any other person for the time being acting as such, is the agent bank (in such capacity, the "**Agent Bank**") pursuant to the terms of the Agency and Accounts Agreement. See "*The Agency and Accounts Agreement*" below.

Auditors

PKF Italia S.p.A. with offices at Viale Vittorio Veneto, 10, I-20124 Milan, Italy, has been appointed by the Issuer to audit the Issuer's accounts (the "**Auditors**") pursuant to the terms of the auditing agreement dated the Signing Date between the Issuer, the Representative of the Noteholders and the Auditors (the "**Auditing Agreement**"). See "*The Other Transaction Documents - The Auditing Agreement*" below.

Subordinated Loan Provider

Deutsche Bank AG, London Branch, at its office at Winchester House, 1 Great Winchester Street, London EC2N 2DB, United Kingdom, or any other person for the time being acting as such, is the subordinated loan provider (in such capacity, the "**Subordinated Loan Provider**") pursuant to the terms of a subordinated loan agreement dated the Signing Date (the "**Subordinated Loan Agreement**") between the Issuer, the Representative of the Noteholders and the Subordinated Loan Provider whereby the Subordinated Loan Provider has agreed to grant to the Issuer a subordinated loan in an amount equal to €536,658.57 (the "**Subordinated Loan**").

The Subordinated Loan will be repaid by the Issuer in accordance with the applicable Priority of Payments. The

Subordinated Loan will be drawn down by the Issuer on the Issue Date and immediately credited to the Expenses Reserve Account and to the Payments Account. See "*Credit Structure*" below.

Swap Counterparty Deutsche Bank AG, London Branch, at its office at Winchester House, 1 Great Winchester Street, London EC2N 2DB, United Kingdom, or any other person for the time being acting as such, is the swap counterparty (in such capacity, the "**Swap Counterparty**") under the terms of a swap agreement dated the Signing Date (the "**Swap Agreement**").

2. Summary of the Notes

Issue of the Notes On the Issue Date, the Issuer will issue €140,950,000 Asset-Backed Floating Rate Notes due 2021 (the "**Notes**").

The Notes will constitute direct, secured and limited recourse obligations of the Issuer. The Notes will be governed by Italian law. It is not anticipated that the Issuer will make any profits from this transaction.

Form and denomination of the Notes The denomination of the Notes will be €50,000. The Notes will be held in bearer and dematerialised form on behalf of the beneficial owners thereof until redemption or cancellation thereof by Monte Titoli for the account of the relevant Monte Titoli Account Holder. Title to the Notes will be evidenced by book entry in accordance with the provisions of article 28 of Italian legislative decree No. 213 of 24 June 1998 and CONSOB resolution No. 11768 of 23 December 1998, as subsequently amended. No physical document of title will be issued in respect of the Notes.

Ranking The Notes will rank at all times *pari passu* without any preference or priority amongst themselves.

Limited recourse nature of the Issuer's obligations under the Notes The obligations of the Issuer to each of the holders of the Notes will be limited recourse obligations of the Issuer. The Noteholders will have a claim against the Issuer only to the extent of the actual amount received or recovered from time to time by or on behalf of the Issuer or the Representative of the Noteholders in respect of the Claims, the Note Security and the other Transaction Documents (but, for the avoidance of doubt, excluding (A) if a Swap Trigger has not occurred the amount standing to the credit of the Collateral Account (if any) which exceeds the termination amount (if any) that would have otherwise been payable by the Swap Counterparty to the Issuer had the collateral not been provided; and (B) if a Swap Trigger has occurred the amount standing to the credit of the

Collateral Account (if any) which exceeds the greater of (x) the termination amount (if any) that would have otherwise been payable by the Swap Counterparty to the Issuer had the collateral not been provided, and (y) the Swap Outstanding Nominal Amount), in each case subject to and as provided in the Intercreditor Agreement, the terms and conditions of the Notes (the "**Conditions**" and each, a "**Condition**") and the other Transaction Documents.

Costs

The costs of the transaction (with the exception of certain initial costs of setting up the transaction which will be paid by the Seller and by the Issuer through a portion of the funds drawn down under the Subordinated Loan Agreement) including the amounts payable to the agents of the Issuer appointed in connection with the issue of the Notes, will be funded from the Issuer Available Funds (as defined below) and will therefore be included in the Priority of Payments.

Interest on the Notes

The Notes will bear interest on their Principal Amount Outstanding from and including the Issue Date at a rate equal to EURIBOR for six-month deposits in euro (save that for the first Interest Period the rate will be obtained upon linear interpolation of EURIBOR for two- and three-month deposits in euro) (as determined by the Agent Bank in accordance with Condition 6 (*Interest*)) plus a margin of 0.355 per cent. per annum.

Subject to the Priority of Payments, interest on the Notes will be payable in arrear on 27 June 2007 and thereafter semi-annually in arrear on 27 December and 27 June of each year (provided that, if any such date is not a Business Day, then interest on the Notes will be payable on the next succeeding Business Day) (each such date, an "**Interest Payment Date**").

"**Business Day**" means a day on which banks are open for business in Milan, Luxembourg and London and which is a TARGET Settlement Day.

Maturity Date

Save as described below and unless previously redeemed in full, the Issuer will redeem the Notes on the Interest Payment Date falling in December 2021 (the "**Maturity Date**") at their respective Principal Amount Outstanding. See "*Transaction Summary Information – Redemption of the Notes*" below.

If the Notes cannot be redeemed in full on the Maturity Date as a result of the Issuer having insufficient funds available to it in accordance with the Conditions for application in or towards such redemption, including the

proceeds of any sale of Claims or any enforcement of the Note Security (as defined below), any amount unpaid shall remain outstanding and the Conditions shall continue to apply in full in respect of the Notes until the earlier of (i) the date on which the Notes are redeemed in full and (ii) the last Business Day in December 2026 (the "**Cancellation Date**"), at which date any amounts remaining outstanding in respect of principal or interest on the Notes shall be reduced to zero and deemed to be released by the holder of the relevant Notes and the Notes shall be cancelled. The Issuer has no assets other than those described in this Prospectus.

Withholding tax on the Notes

A Noteholder who is resident for tax purposes in a country which does not allow for a satisfactory exchange of information will receive amounts of interest payable on the Notes net of Italian withholding tax applied through a substitute tax (any such withholding or deduction for or on account of Italian tax under Decree No. 239 (as defined below), a "**Decree 239 Withholding**").

Upon the occurrence of any withholding for or on account of tax, whether or not through a substitute tax, from any payments of amounts due under the Notes, neither the Issuer, the Representative of the Noteholders, the Paying Agents, nor any other person shall have any obligation to pay any additional amount to any Noteholders. See "*Taxation*" below.

Security for the Notes

By operation of Italian law, the Issuer's rights, title and interest in and to the Claims will be segregated from all other assets of the Issuer and amounts deriving therefrom will only be available, both prior to and following a winding-up of the Issuer, to satisfy the obligations of the Issuer to the holders of the Notes (the "**Noteholders**"), each of the Other Issuer Creditors and any third-party creditor to whom the Issuer has incurred taxes, costs, fees, expenses or liabilities in relation to the Securitisation (together, the "**Issuer Creditors**").

On or about the Issue Date, the Issuer will execute:

- (a) an Italian law deed of pledge (the "**Italian Deed of Pledge**") pursuant to which the Issuer will create in favour of the Representative of the Noteholders, the Paying Agents, the Agent Bank, the Computation Agent, the Transaction Bank, the Servicer, the Corporate Services Provider, the Stichting Corporate Services Provider, the Auditors, the Swap Counterparty, the Swap Assignee (if any), the Subordinated Loan Provider,

the Noteholders, the Lead Manager and DB (in respect of any monetary obligation due to it from the Issuer under the Letter of Undertaking, the Transfer Agreement, the Transfer Deeds, the Servicing Agreement, the Subscription Agreement and the Warranty and Indemnity Agreement) (the "**Issuer Secured Creditors**") concurrently with the issue of the Notes, a first ranking pledge over all monetary claims and rights and all the amounts (including payment for claims, indemnities, damages, penalties, credits and guarantees) to which the Issuer is entitled from time to time pursuant to the Transfer Agreement, the Transfer Deeds, the Warranty and Indemnity Agreement, the Agency and Accounts Agreement, the Servicing Agreement, the Intercreditor Agreement, the Corporate Services Agreement, the Auditing Agreement, the Subordinated Loan Agreement, the Letter of Undertaking, the Subscription Agreement and the Shareholders' Agreement; and

- (b) an English law deed of charge and assignment (the "**English Deed of Charge and Assignment**" and the security created thereunder, together with the security created under the Italian Deed of Pledge, the "**Note Security**") pursuant to which the Issuer will grant in favour of the Representative of the Noteholders for itself and as trustee for the benefit of the Noteholders and the other Issuer Secured Creditors, *inter alia*: (i) an English law assignment by way of first fixed security of all of the Issuer's rights under the Swap Agreement, the Stichting Corporate Services Agreement and all other contracts, agreements, deeds and documents, present and future, governed by English law to which the Issuer may become a party in relation to the Notes, the Claims and the Portfolio; (ii) an English law charge by way of a first fixed charge over any amounts standing to the credit of each bank or other account located in England in which the Issuer may at any time acquire any right, title, interest or benefit under the Transaction Documents or acquires in relation to the Claims, the Notes and the Portfolio; and (iii) a floating charge over all of the Issuer's assets which are subject to the assignments or charges described under (i) and (ii) above, to the extent such assignments or charges do not effectively create a fixed charge.

The Intercreditor Agreement	On the Signing Date, the Issuer, the Representative of the Noteholders (on its own behalf and on behalf of the Noteholders), the Italian Paying Agent, the Principal Paying Agent, the Agent Bank, the Computation Agent, the Seller, the Financing Party, the Subordinated Loan Provider, the Corporate Services Provider, the Stichting Corporate Services Provider, the Auditors, the Listing and Luxembourg Paying Agent, the Transaction Bank, the Swap Counterparty, the Swap Assignee (if any), the Lead Manager and the Servicer (with the exception of the Issuer and the Noteholders, the " Other Issuer Creditors ") have entered into an intercreditor agreement (the " Intercreditor Agreement ") pursuant to which the Other Issuer Creditors have agreed to the limited recourse nature of the obligations of the Issuer and to the Priority of Payments described below. The Intercreditor Agreement is governed by Italian law.				
The Mandate Agreement	Pursuant to the terms of a mandate agreement dated the Signing Date between the Issuer and the Representative of the Noteholders (the " Mandate Agreement "), the Representative of the Noteholders is empowered to take such action in the name of the Issuer, <i>inter alia</i> , following the delivery of an Issuer Acceleration Notice, as the Representative of the Noteholders may deem necessary to protect the interests of the Noteholders and the Other Issuer Creditors. The Mandate Agreement is governed by Italian law.				
Purchase of the Notes	The Issuer may not purchase any Notes at any time.				
Listing and admission to trading	Application has been made to the Luxembourg Stock Exchange for the Notes to be admitted to the Official List of the Luxemburg Stock Exchange and to be traded on the Regulated Market of the Luxembourg Stock Exchange " <i>Bourse de Luxembourg</i> " which is regulated by Directive 2004/39/EC on Markets in Financial Instruments.				
ISIN/Common Code	The International Securities Identification Number (ISIN) and Common Code allocated to the Notes are as follows: <table> <tr> <td>ISIN</td><td>Common Code</td></tr> <tr> <td>IT0004179906</td><td>028598033</td></tr> </table>	ISIN	Common Code	IT0004179906	028598033
ISIN	Common Code				
IT0004179906	028598033				
Credit Rating	Upon issue the Notes will not be assigned a rating.				
Selling restrictions	There are restrictions on the sale of the Notes and on the distribution of information in respect thereof. See " <i>Subscription and Sale</i> " below.				

3. The Portfolio, administration of the Portfolio and calculations in respect thereof

Portfolio

The portfolio is comprised of monetary claims (the "**Claims**" or the "**Portfolio**") arising from: (i) delegations of payment (the "**Delegations of Payment**") issued by various *aziende unità sanitarie locali* (collectively, the "**Health Authorities**") to the Region of Abruzzo (the "**Region**") pursuant to article 1268 *et seq.* of the Italian civil code; (ii) settlement agreements (the "**Settlement Agreements**") entered into between the Health Authorities, the Region and certain private suppliers of medical products and healthcare services (the "**Original Suppliers**") or their assignees (the Original Suppliers or their assignees being the "**Original Creditors**"); and (iii) the sale and supply of medical products and healthcare services by the Original Suppliers to the Health Authorities of the Region (the "**Contracts**").

Resolution 786

On 14 July 2006, pursuant to Regional Board Resolution (*Delibera della Giunta Regionale*) No. 786 ("**Resolution 786**"), the Regional Board (*Giunta Regionale*) of the Region approved a plan for the restructuring of the healthcare deficit and, in particular and amongst others, the indebtedness of the Health Authorities towards the Original Creditors and their assignees for the period between 1 January 2005 and 31 December 2005.

In particular, pursuant to Resolution 786, the Health Authorities and the Region were authorised to enter into framework agreements (*accordi quadro*) (the "**Framework Agreements**") with the Original Creditors and certain financial institutions designated by the Original Creditors as assignee of the Claims (each such financial institution, an "**Assignee**"), setting out the procedural steps for: (i) the execution of the Settlement Agreements among the Original Creditors or the Assignees, the Health Authorities and the Region; and (ii) the repayment by the Region of the debt of the Health Authorities due pursuant to the Settlement Agreements.

The Framework Agreement

Pursuant to Resolution 786 the Region, the Health Authorities, the Original Creditors and each Assignee entered into the Framework Agreements. Under the Framework Agreements, the Region, the Health Authorities, the Original Creditors and each Assignee agreed, *inter alia*: (a) on the certification process to be carried out by the Health Authorities or the Region, as appropriate, of the amounts due by the Health Authorities to the Original Creditors for the sale and supply of medical

products and healthcare services (the "**Certification Process**"); (b) on the procedure to be followed for the entering into the Settlement Agreements between the Region, the Health Authorities and the Original Creditors after completion of the Certification Process; and (c) on the financial terms of the Settlement Agreements.

The Settlement Agreements

Pursuant to Resolution 786 and the Framework Agreements, in August, September, October and November 2006 the Original Creditors, the Health Authorities and the Region entered into the Settlement Agreements under which:

- (a) it is confirmed that the Health Authorities completed, before the execution of the Settlement Agreements, the Certification Process in respect of the claims relating to the sale and supply of medical products and healthcare services;
- (b) the parties agreed to settle pending litigation in respect of the claims under (a) above;
- (c) each of the Health Authorities agreed to pay: (i) the face amount for the claims which have been certified by them in accordance with the Certification Process; (ii) an additional interest amount (the "**Deferral Interest**") from the date of execution of the relevant Settlement Agreement to the date of issuance of the Delegations of Payment, such interest rate increasing in the case of late execution of the Delegations of Payment; and (iii) an additional amount (*importo forfeitario*) to be calculated with reference to the aggregate of the certified face amount of the claims and the relative Deferral Interest at the yield on the BTP 1 August 2014, plus a margin. The sum of the amounts under (i), (ii) and (iii) above shall be paid by the Health Authorities in 30 semi-annual instalments (the "**Repayment Instalments**") on each 4 December and 4 June of each year as follows:

Healthcare authority	Delegation of Payment total amount	Repayment Instalment
<i>ASL di L'Aquila</i>	€14,719,351.19	€490,645.04
<i>ASL di Chieti</i>	€60,322,516.10	€2,010,750.54

<i>ASL di Pescara</i>	€39,045,571.30	€1,301,519.04
<i>ASL di Teramo</i>	€38,618,948.84	€1,287,298.29
<i>ASL di Avezzano- Sulmona</i>	€43,140,947.71	€1,438,031.59
<i>ASL di Lanciano-Vasto</i>	€31,260,811.96	€1,042,027.07
Total	€227,108,147.11	€7,570,271.57

- (d) each of the Health Authorities agreed to issue Delegations of Payment against the Region and the Region undertook with the Health Authorities and the Original Creditors to accept them and to pay the Repayment Instalments.

The Delegations of Payment

On 4 December 2006, each of the Health Authorities issued irrevocable and unconditional delegations of payment (*delegazioni di debito*) pursuant to article 1268 *et seq.* of the Italian civil code accepted by the Region, whereby the latter has irrevocably and unconditionally undertaken to pay, in 30 equal semi-annual instalments, the sums due by each of the Health Authorities to the Original Creditors or any assignee of such claims pursuant to the Settlement Agreements.

"Region Payment Date" means 4 June and 4 December of each year, the first Region Payment Date being 4 June 2007 and the last Region Payment Date being 4 December 2021, provided that if this date would otherwise fall on a day on which banks are not open for business in Pescara (the **"Pescara Business Day"**), that date will be the first following day that is a Pescara Business Day.

Under each Delegation of Payment, the Region has waived the right to raise any objections towards the Original Creditors and any other assignee of the claims arising from such Delegations of Payment, including, without limitation, any objections relating to any legal relationship between the Region and the relevant Health Authority, the legal relationship between the Original Creditors and the relevant Health Authority and the legal relationship between the Region and the Original Creditors.

Transfer of the Claims

Pursuant to the Transfer Agreement and the Transfer Deeds the Issuer purchased the Portfolio without recourse (*pro*

solutio) from the Seller.

See "*The Portfolio*", "*The Transfer Agreement and the Transfer Deeds*" and "*The Servicing Agreement*" below.

Warranties in relation to the Portfolio

On the Initial Execution Date, the Issuer and DB entered into a warranty and indemnity agreement, as subsequently amended on the Signing Date (the "**Warranty and Indemnity Agreement**"), pursuant to which DB has given certain representations and warranties in favour of the Issuer in relation to, *inter alia*, the Portfolio and the Claims.

See "*The Warranty and Indemnity Agreement*" below.

Servicing and collection procedures

Pursuant to a servicing agreement dated the Initial Execution Date and subsequently amended on the Signing Date (the "**Servicing Agreement**") between the Issuer, the Seller and Zenith Service S.p.A. (the "**Servicer**"), the Servicer is responsible for the management of the Portfolio, the Claims and the collection of any sums under the Delegations of Payment, the Settlement Agreements and the Contracts.

Any monies paid by the Region under the Delegations of Payment will be credited directly into the Collection Account. Pursuant to the Servicing Agreement, the Servicer will ensure that the amounts due by the Region under the Delegations of Payment are timely credited on the Collection Account.

The monies collectively received under or in respect of the Portfolio and the Claims (the "**Collections**") will be calculated by reference to successive Collection Periods.

"**Collection Period**" means each period commencing on (but excluding) a Collection Date and ending on (and including) the next succeeding Collection Date, and in the case of the first Collection Period commencing on the Issue Date and ending on 19 June 2007.

"**Collection Date**" means the sixth Business Day preceding each Interest Payment Date.

On the second Business Day following the end of each Collection Period (the "**Reporting Date**"), the Servicer will prepare and deliver to the Computation Agent, the Representative of the Noteholders, the Arranger, the Swap Counterparty in its capacity as calculation agent under the Swap Agreement, the Rating Agencies and the Issuer a report, *inter alia*, (a) detailing the activity performed by the Servicer during the immediately preceding Collection

Period and (b) detailing payments made by the Region and/or the Health Authorities under the Delegations of Payment and/or under the Settlement Agreements and/or under the Contracts during the immediately preceding Collection Period (the "**Servicer's Report**"). The first Reporting Date will fall in June 2007.

"**Moody's**" means Moody's Investors Service, Inc.

"**S&P**", means Standard & Poor's Ratings Services, a division of The McGraw-Hill Companies, Inc. and, together with Moody's, the "**Rating Agencies**".

Servicing Fee

In return for the services provided by the Servicer in relation to the ongoing management of the Claims, the Servicer will be paid:

- (a) an acceptance fee of €4,000 payable on the Issue Date;
- (b) an annual fee of €15,000 for the collection of the Claims, payable semi-annually in arrears on each Interest Payment Date and in accordance with the applicable Priority of Payments and the provisions of the Intercreditor Agreement; and
- (c) an annual fee of €1,000 for the recovery of the Claims, payable semi-annually in arrears on each Interest Payment Date and in accordance with the applicable Priority of Payments and the provisions of the Intercreditor Agreement,

plus VAT where applicable (the "**Servicing Fee**").

See "*The Servicing Agreement*" below.

Calculations and reports

Pursuant to the Agency and Accounts Agreement, the Computation Agent has agreed to provide the Issuer and other parties with certain calculation, notification and reporting services in relation to the Portfolio and the Notes. By no later than the second Business Day preceding each Interest Payment Date (each such date, a "**Calculation Date**"), the Computation Agent will calculate, *inter alia*, the Issuer Available Funds and the payments to be made under the Priority of Payments set out below and will prepare a report (the "**Payments Report**") setting forth, *inter alia*, each of the above amounts. On each Calculation Date, the Computation Agent will deliver the Payments Report to, *inter alia*, the Italian Paying Agent, the Principal Paying Agent, the Servicer, the Rating Agencies, the

Transaction Bank and the Swap Counterparty in its capacity as calculation agent under the Swap Agreement.

In addition, the Computation Agent will agree to prepare and deliver (by no later than five calendar days following each Interest Payment Date or, if such day is not a Business Day, on the immediately preceding Business Day) to the Issuer, the Representative of the Noteholders, the Swap Counterparty in its capacity as calculation agent under the Swap Agreement, the Rating Agencies, the Servicer and the Lead Manager a report substantially in the form set out in the Agency and Accounts Agreement (the "**Investor Report**") containing details of, *inter alia*, the Portfolio, amounts received by the Issuer from any source during the preceding Collection Period, any payments received by the Issuer from the Swap Counterparty under the Swap Agreement in the period comprised between the immediately preceding Calculation Date (excluded) and the relevant Calculation Date (included), amounts paid by the Issuer during such Collection Period and amounts paid by the Issuer on the immediately preceding Interest Payment Date. The Investor Report will be available free of charge at the Specified Office of the Listing and Luxembourg Paying Agent. The first Investor Report will be available by no later than 2 July 2007.

In carrying out such duties, the Computation Agent will be entitled to rely on certain information provided to it by the Servicer, the Transaction Bank, the Agent Bank, the Swap Counterparty and the Issuer.

Payments under the Notes

Based on the Payments Report, the Principal Paying Agent shall make the payments under the Notes set forth in the relevant Priority of Payments described below.

4. The Accounts

The Transaction Accounts

Pursuant to the terms of the Agency and Accounts Agreement, the Issuer has opened with the Transaction Bank the following bank accounts:

- (a) a euro-denominated bank account into which all amounts paid by the Region and/or the Health Authorities under the Delegations of Payment and/or under the Settlement Agreements and/or under the Contracts will be credited (the "**Collection Account**"). On the second Business Day following each Region Payment Date the Transaction Bank will be required to transfer on behalf of the Issuer from the Collection Account to

the Swap Counterparty an amount as indicated in the Swap Agreement;

- (b) a euro-denominated bank account into which €400,000 will be paid on the Issue Date (the "**Expenses Reserve Account**") out of the funds advanced by the Subordinated Loan Provider under the Subordinated Loan Agreement. Amounts standing to the credit of the Expenses Reserve Account will be used by the Issuer to pay: (i) unforeseen, contingent or extraordinary costs and expenses incurred by the Issuer during the relevant Collection Period; and (ii) legal costs incurred by the Issuer for the recovery of any amounts due but not paid by the Region and/or the Health Authorities under the Delegations of Payment and/or under the Settlement Agreements and/or under the Contracts, and such amounts will be transferred to the Payments Account on the second Business Day prior to the relevant Interest Payment Date and any other day as the Computation Agent may direct;
- (c) a euro-denominated bank account into which, *inter alia*, will be credited, without duplication: (i) payments made by the Swap Counterparty under the Swap Agreement; (ii) all payments paid or advanced to the Issuer under any of the Transaction Documents, including any indemnity payments received by the Issuer under the Transfer Agreement, the Transfer Deeds, the Warranty and Indemnity Agreement, the Servicing Agreement and the Letter of Undertaking during the immediately preceding Collection Period; (iii) the interest accrued on the Payments Account; (iv) the interest accrued on the Collection Account and Expenses Reserve Account during the preceding Collection Period; and (v) on the Issue Date €136,658.57 out of funds drawn down by the Issuer under the Subordinated Loan Agreement to pay the Representative of the Noteholders, the Italian Paying Agent, the Principal Paying Agent, the Agent Bank, the Listing and Luxembourg Paying Agent, the Transaction Bank, the Computation Agent, the Corporate Services Provider, the Stichting Corporate Services Provider, S&P and the Auditors certain costs and expenses incurred by each of them as of the Issue Date and due by the Issuer together with up-front fees (the "**Payments Account**"); and

- (d) a euro-denominated deposit account into which the Issuer's equity capital of €10,000 shall remain deposited for as long as, *inter alia*, any Notes are outstanding (the "**Equity Capital Account**" and, together with the Collection Account, the Expenses Reserve Account and the Payments Account, the "**Transaction Accounts**").

Provisions relating to the Transaction Accounts

Pursuant to the Agency and Accounts Agreement, the Transaction Bank has agreed to provide the Issuer with certain services in connection with account handling and reporting requirements in relation to the monies from time to time standing to the credit of the Transaction Accounts, including the preparation of statements of account (the "**Statement of the Transaction Accounts**").

If the Transaction Bank (or any successor Transaction Bank) ceases to be an Eligible Institution, the Issuer will, by no later than 30 (thirty) calendar days from the date when the Transaction Bank (or any successor Transaction Bank) ceases to be an Eligible Institution: (i) terminate the appointment of such Transaction Bank (or successor Transaction Bank); (ii) close the Transaction Accounts opened with the Transaction Bank; and, simultaneously (iii) open replacement accounts with a substitute transaction bank which is an Eligible Institution, and the Issuer will notify the Representative of the Noteholders and the Rating Agencies thereof. Under the Agency and Accounts Agreement, Deutsche Bank S.p.A. has undertaken to the Issuer and the Representative of the Noteholders to promptly notify in writing the Issuer and the Representative of the Noteholders if, at any time, Deutsche Bank S.p.A. ceases to be an Eligible Institution.

Provisions relating to the Italian Paying Agent

If the Italian Paying Agent (or any successor Italian Paying Agent) ceases to be an Eligible Institution, the Issuer will, by no later than 30 (thirty) calendar days from the date when the Italian Paying Agent (or any successor Italian Paying Agent) ceases to be an Eligible Institution: (i) terminate the appointment of such Italian Paying Agent (or successor Italian Paying Agent); and, simultaneously (ii) appoint a substitute Italian paying agent which is an Eligible Institution, and the Issuer will notify the Representative of the Noteholders and the Rating Agencies thereof.

"Eligible Institution" means:

- (i) for so long as, and to the extent that, the aggregate

balance of all bank accounts opened by the Issuer under the Agency and Accounts Agreement is less than €15,140,543: (a) any depository institution organised under the laws of any state which is a member of the European Union or of the United States of America, the short-term unsecured and unsubordinated debt obligations of which are rated at least "P-1" by Moody's and "A-1" by S&P; and (b) Deutsche Bank S.p.A. for so long as: (A) its controlling parent company's short-term, unsecured and unsubordinated debt obligations are rated at least "P-1" by Moody's and "A-1+" by S&P; (B) the words "Deutsche Bank" are contained in its legal name; and (C) there are no material changes in the ownership structure of Deutsche Bank S.p.A. or its controlling parent company; and

- (ii) for so long as, and to the extent that, the aggregate balance of all bank accounts opened by the Issuer under the Agency and Accounts Agreement is equal to or higher than €15,140,543, any depository institution organised under the laws of any state which is a member of the European Union or of the United States of America, the short-term unsecured and unsubordinated debt obligations of which are rated at least "P-1" by Moody's and "A-1+" by S&P and the long-term unsecured and unsubordinated debt obligations of which are rated at least "Aa3" by Moody's and "AA-" by S&P.

Withholding tax

The interest accrued on the Transaction Accounts, as long as they are opened with the Transaction Bank or with any other bank resident in Italy for tax purposes, will be subject to withholding tax on account of Italian corporate income tax which, as at the date of this Prospectus, is levied at the rate of 27 per cent.

5. Priority of Payments

Issuer Available Funds

On each Calculation Date, the Computation Agent will calculate the Issuer Available Funds to be used on the immediately following Interest Payment Date to make payments under the Priority of Payments.

"Issuer Available Funds" means, on each Calculation Date and in respect of the immediately following Interest Payment Date, an amount equal to the aggregate of:

- (a) the amount standing to the credit of the Payments

Account on such Calculation Date, consisting of, *inter alia*:

- (i) amounts transferred from the Collection Account consisting of:
 - (A) sums collected or recovered by, or on behalf of, the Issuer in respect of the Claims during the preceding Collection Period, but excluding, in case of prepayment by the Region (in full or in part) under the Delegations of Payment:
 - (I.) if and to the extent that the amounts due and payable to the Issuer by the Swap Counterparty under the Swap Agreement prior to the relevant Interest Payment Date have been paid in full, all sums relating to any prepayment (if any) made by the Region (in part or in full) under the Delegations of Payment;
 - (II.) if and to the extent that the amounts due and payable to the Issuer by the Swap Counterparty under the Swap Agreement prior to the relevant Interest Payment Date have not been paid in full, all sums relating to any prepayment (if any) made by the Region (in part or in full) under the Delegations of Payment exceeding the amount resulting from the difference between: (i) the sums due and payable to the Issuer by the Swap Counterparty under the Swap Agreement prior to the relevant Interest Payment Date; and (ii) the sums actually paid to the Issuer by the Swap Counterparty under the Swap Agreement prior to such relevant Interest Payment Date; and
 - (III.) if and to the extent that the amounts due and payable to the Issuer by the Swap Counterparty under the Swap Agreement have not been paid or an Early Termination Date has been

designated under the Swap Agreement, all sums relating to any prepayment (if any) made by the Region (in part or in full) under the Delegations of Payment exceeding the amount that would have been due and payable by the Swap Counterparty to the Issuer under the Swap Agreement immediately prior to the relevant Interest Payment Date had the Swap Transaction not been terminated; and

- (B) all amounts of interest accrued on the Collection Account and paid during the preceding Collection Period;
 - (ii) any amount received by the Issuer under any of the Transaction Documents;
 - (iii) all amounts of interest accrued on the Expenses Reserve Account and paid during the preceding Collection Period;
 - (iv) up to the Calculation Date preceding (but excluding) the Interest Payment Date on which the Notes will be redeemed in full, a portion of the amount standing to the credit of the Expenses Reserve Account as may be directed by the Computation Agent; and
 - (v) any amount paid to the Issuer by the Swap Counterparty under the Swap Agreement in the period comprised between the immediately preceding Calculation Date (excluded) and the relevant Calculation Date (included); and
- (b) on the Calculation Date immediately preceding the date on which the Notes will be redeemed in full, the amount standing to the credit of the Expenses Reserve Account at such date,

but excluding (i) if and to the extent that the Notes are not redeemed in full on the immediately following Interest Payment Date, any amount paid by the Swap Counterparty upon termination of the Swap Transaction in respect of any termination payment and, until a replacement swap counterparty has been found, exceeding the net amounts which would have been due and payable by the Swap Counterparty with respect to the next Interest Payment

Date should the Swap Agreement not have been terminated; (ii) prior to the occurrence of an Early Termination Date (as defined in the Swap Agreement) for the Swap Transaction, the amount (if any) standing to the credit of the account into which the collateral posted pursuant to the Swap Agreement is paid (the "**Collateral Account**"); and (iii) following the date on which the Swap Transaction is terminated (A) if a Swap Trigger has not occurred the amount standing to the credit of the Collateral Account (if any) which exceeds the termination amount (if any) that would have otherwise been payable by the Swap Counterparty to the Issuer had the collateral not been provided; and (B) if a Swap Trigger has occurred the amount standing to the credit of the Collateral Account (if any) which exceeds the greater of (x) the termination amount (if any) that would have otherwise been payable by the Swap Counterparty to the Issuer had the collateral not been provided, and (y) the Swap Outstanding Nominal Amount.

**Pre-Enforcement
Priority of Payments**

Prior to the service of an Issuer Acceleration Notice, the Issuer Available Funds as calculated on each Calculation Date will be applied by the Issuer on the Interest Payment Date immediately following such Calculation Date in making payments or provisions in the following order of priority (the "**Pre-Enforcement Priority of Payments**") but, in each case, only if and to the extent that payments or provisions of a higher priority have been made in full:

- (i) *first*, in or towards satisfaction, *pro rata* and *pari passu*, of any and all outstanding fees, costs and expenses of and all other amounts due and payable to the Representative of the Noteholders or any appointee thereof;
- (ii) *second*, in or towards satisfaction, *pro rata* and *pari passu*, of any and all outstanding taxes due and payable by the Issuer (to the extent not paid by the Financing Party under the Letter of Undertaking);
- (iii) *third*, in or towards satisfaction, *pro rata* and *pari passu*, according to the respective amounts thereof, of:
 - (A) any and all outstanding fees, costs, liabilities and any other expenses to be paid in order to preserve the corporate existence of the Issuer, to maintain it in good standing, to comply with applicable legislation and to fulfill obligations to third parties (not being Other Issuer

Creditors) incurred in the course of the Issuer's business (to the extent not paid by the Financing Party under the Letter of Undertaking); and

- (B) any and all outstanding fees, costs, expenses and taxes required to be paid in connection with the listing, deposit or credit ratings of the Notes, or any notice to be given to the Noteholders or the other parties to the Transaction Documents;
- (iv) *fourth*, in or towards satisfaction, *pro rata* and *pari passu*, according to the respective amounts thereof, of any and all outstanding fees, costs and expenses of and all other amounts due and payable to the Paying Agents, the Agent Bank, the Computation Agent, the Corporate Services Provider, the Stichting Corporate Services Provider, the Auditors, the Transaction Bank and the Servicer, each under the Transaction Documents to which it is a party;
- (v) *fifth*, provided that a Swap Trigger has not occurred, in or towards satisfaction, *pro rata* and *pari passu*, of any and all Swap Unpaid Assigned Amounts (if any) payable to the Swap Assignee under the terms of the Swap Agreement following the early termination of the Swap Transaction;
- (vi) *sixth*, in or towards satisfaction, *pro rata* and *pari passu*, of any and all amounts due and payable by the Issuer to the Swap Counterparty under the Swap Agreement, including any termination payment due and payable by the Issuer under the Swap Agreement other than any termination payment due and payable by the Issuer to the Swap Counterparty upon the occurrence of a Swap Trigger;
- (vii) *seventh*, in or towards payment, *pro rata* and *pari passu*, of all amounts of interest due and payable on the Notes;
- (viii) *eighth*, on the Decree 239 Interest Payment Date and on each Interest Payment Date thereafter, in or towards repayment, *pro rata* and *pari passu*, of principal on the Notes in an amount equal to the applicable Scheduled Repayment Amount and the Scheduled Repayment Amount Arrears (if any);
- (ix) *ninth*, in or towards satisfaction of any and all Swap Unpaid Assigned Amounts (if any) payable to the Swap Assignee under the terms of the Swap

Agreement, following the occurrence of a Swap Trigger;

- (x) *tenth*, in or towards satisfaction of any termination payment due and payable to the Swap Counterparty under the terms of the Swap Agreement following the occurrence of a Swap Trigger (and, for the avoidance of doubt, not already paid to the Swap Counterparty pursuant to item (v) above or to the Swap Assignee pursuant to item (ix) above);
- (xi) *eleventh*, if and to the extent that the Notes have been repaid in full, in or towards satisfaction of all amounts of interest due and payable to the Subordinated Loan Provider under the Subordinated Loan Agreement;
- (xii) *twelfth*, if and to the extent that the Notes have been repaid in full, in or towards satisfaction of all amounts of principal due and payable to the Subordinated Loan Provider under the Subordinated Loan Agreement;
- (xiii) *thirteenth*, if and to the extent that the Notes have been repaid in full, in or towards satisfaction of all amounts due and payable to DB under the terms of the Subscription Agreement;
- (xiv) *fourteenth*, if and to the extent that the Notes have been repaid in full, in or towards satisfaction, *pro rata* and *pari passu*, of all amounts due and payable to the Seller, in respect of the Seller's Claims (if any) under the terms of the Transfer Agreement and the Transfer Deeds;
- (xv) *fifteenth*, if and to the extent that the Notes have been repaid in full, in or towards satisfaction, *pro rata* and *pari passu*, according to the respective amounts thereof, of all amounts due and payable to the Seller:
 - (a) in connection with a limited recourse loan under the Letter of Undertaking;
 - (b) under the terms of the Warranty and Indemnity Agreement; and
- (xvi) *sixteenth*, to credit the remainder (if any) to the Collection Account.

Post-Enforcement Priority of Payments

At any time following delivery of an Issuer Acceleration Notice, or, in the event that the Issuer opts for the early redemption of the Notes under Condition 7(c) (*Optional redemption in whole for taxation, legal or regulatory*

reasons), all amounts received or recovered by or on behalf of the Issuer or the Representative of the Noteholders in respect of the Claims, the Note Security and/or any of the other Transaction Documents (but, for the avoidance of doubt, excluding (A) if a Swap Trigger has not occurred the amount standing to the credit of the Collateral Account (if any) which exceeds the termination amount (if any) that would have otherwise been payable by the Swap Counterparty to the Issuer had the collateral not been provided; and (B) if a Swap Trigger has occurred the amount standing to the credit of the Collateral Account (if any) which exceeds the greater of (x) the termination amount (if any) that would have otherwise been payable by the Swap Counterparty to the Issuer had the collateral not been provided, and (y) the Swap Outstanding Nominal Amount) will be applied by or on behalf of the Representative of the Noteholders in the following order (the "**Post-Enforcement Priority of Payments**") but, in each case, only if and to the extent that payments of a higher priority have been made in full:

- (i) *first*, in or towards satisfaction, *pro rata* and *pari passu*, of any and all outstanding fees, costs and expenses of and all other amounts due and payable to the Representative of the Noteholders or any appointee thereof;
- (ii) *second*, in or towards satisfaction, *pro rata* and *pari passu*, of any and all outstanding taxes due and payable by the Issuer (to the extent not paid by the Financing Party under the Letter of Undertaking);
- (iii) *third*, in or towards satisfaction, *pro rata* and *pari passu*, according to the respective amounts thereof, of:
 - (A) any and all outstanding fees, costs, liabilities and any other expenses to be paid in order to preserve the corporate existence of the Issuer, to maintain it in good standing, to comply with applicable legislation and to fulfill obligations to third parties (not being Other Issuer Creditors) incurred in the course of the Issuer's business (to the extent not paid by the Financing Party under the Letter of Undertaking); and

- (B) any and all outstanding fees, costs, expenses and taxes required to be paid in connection with the listing, deposit or credit ratings of the Notes, or any notice to be given to the Noteholders or the other parties to the Transaction Documents;
- (iv) *fourth*, in or towards satisfaction, *pro rata* and *pari passu*, according to the respective amounts thereof, of any and all outstanding fees, costs and expenses of and all other amounts due and payable to the Paying Agents, the Agent Bank, the Computation Agent, the Corporate Services Provider, the Stichting Corporate Services Provider, the Auditors, the Transaction Bank and the Servicer, each under the Transaction Documents to which it is a party;
- (v) *fifth*, provided that a Swap Trigger has not occurred, in or towards satisfaction, *pro rata* and *pari passu*, of any and all Swap Unpaid Assigned Amounts (if any) payable to the Swap Assignee under the terms of the Swap Agreement following the early termination of the Swap Transaction;
- (vi) *sixth*, in or towards satisfaction, *pro rata* and *pari passu*, of any and all amounts due and payable by the Issuer to the Swap Counterparty under the Swap Agreement, including any termination payment due and payable by the Issuer under the Swap Agreement other than any termination payment due and payable by the Issuer to the Swap Counterparty upon the occurrence of a Swap Trigger;
- (vii) *seventh*, in or towards payment, *pro rata* and *pari passu*, of all amounts due and payable in respect of interest (including any interest accrued but unpaid) on the Notes;
- (viii) *eighth*, in or towards repayment, *pro rata* and *pari passu*, of the Principal Amount Outstanding of the Notes, until repayment in full of the Notes;
- (ix) *ninth*, in or towards satisfaction of any and all Swap Unpaid Assigned Amounts (if any) payable to the Swap Assignee under the terms of the Swap Agreement, following the occurrence of a Swap Trigger;

- (x) *tenth*, in or towards satisfaction of any termination payment due and payable to the Swap Counterparty under the terms of the Swap Agreement following the occurrence of a Swap Trigger (and, for the avoidance of doubt, not already paid to the Swap Counterparty pursuant to item (v) above or to the Swap Assignee pursuant to item (ix) above);
- (xi) *eleventh*, in or towards satisfaction, *pro rata* and *pari passu*, of all amounts of interest due and payable to the Subordinated Loan Provider under the Subordinated Loan Agreement;
- (xii) *twelfth*, in or towards satisfaction, *pro rata* and *pari passu*, of all amounts of principal due and payable to the Subordinated Loan Provider under the Subordinated Loan Agreement;
- (xiii) *thirteenth*, in or towards satisfaction of all amounts due and payable to DB under the terms of the Subscription Agreement; and
- (xiv) *fourteenth*, in or towards satisfaction, *pro rata* and *pari passu*, according to the respective amounts thereof, of all amounts due and payable to DB:
 - (a) in connection with a limited recourse loan under the Letter of Undertaking;
 - (b) under the terms of the Warranty and Indemnity Agreement; and
 - (c) in or towards satisfaction, *pro rata* and *pari passu*, of all amounts due and payable to DB, in respect of the Seller's Claims (if any) under the terms of the Transfer Agreement and the Transfer Deeds,

provided however that if the amount of the monies at any time available to the Issuer or the Representative of the Noteholders for the payments above shall be less than 10 per cent. of the Principal Amount Outstanding of all the Notes, the Representative of the Noteholders may at its discretion invest such monies in some or one of the investments authorised pursuant to the Intercreditor Agreement. The Representative of the Noteholders at its discretion may vary such investments and may accumulate such investments and the resulting income until the earlier of: (i) the day on which the accumulations, together with

any other funds for the time being under the control of the Representative of the Noteholders and available for such purpose, amount to at least 10 per cent. of the Principal Amount Outstanding of all the Notes and (ii) the Business Day immediately following the service of an Issuer Acceleration Notice that would have been an Interest Payment Date. Such accumulations and funds shall then be applied to make the payments above.

The Issuer is entitled, pursuant to the Intercreditor Agreement and subject to the Representative of the Noteholders' written consent, to dispose of the Claims in order to finance the redemption of the Notes following the delivery of an Issuer Acceleration Notice.

In the event that the Issuer redeems any Notes in whole or in part prior to the date which is 18 months after the Issue Date, the Issuer will be required to pay a tax in Italy equal to 20 per cent. of all interest accrued on such principal amount repaid early up to the relevant repayment date. This requirement will apply whether or not the redemption takes place following an Event of Default under the Notes or pursuant to any requirement of the Issuer to redeem Notes following the service of an Issuer Acceleration Notice in connection with any such Event of Default. Consequently, following an Event of Default, the Issuer may, with the consent of the Representative of the Noteholders, and shall, if so instructed by the Representative of the Noteholders, delay the redemption of the Notes until the end of such 18-month period. See "*Taxation*".

"Scheduled Repayment Amount" means, with respect to each Interest Payment Date (starting from the Decree 239 Interest Payment Date), the amount indicated under the heading "Scheduled Repayment Amount" in the table below against the corresponding Interest Payment Date:

Interest Payment Date falling in: (subject to adjustment according to the Business Day convention set out in Condition 6)	Scheduled Repayment Amount:
June 2007	€ 0
December 2007	€ 0
June 2008	€ 0
December 2008	€11,677,379

June 2009	€3,171,822
December 2009	€3,279,742
June 2010	€3,391,333
December 2010	€3,506,722
June 2011	€3,626,037
December 2011	€3,749,412
June 2012	€3,876,984
December 2012	€4,008,897
June 2013	€4,145,298
December 2013	€4,286,340
June 2014	€4,432,181
December 2014	€4,582,984
June 2015	€4,738,918
December 2015	€4,900,158
June 2016	€5,066,884
December 2016	€5,239,283
June 2017	€5,417,547
December 2017	€5,601,877
June 2018	€5,792,479
December 2018	€5,989,566
June 2019	€6,193,358
December 2019	€6,404,085
June 2020	€6,621,982
December 2020	€6,847,292
June 2021	€7,080,268
December 2021	€7,321,172
Total	€140,950,000

6. Redemption of the Notes

Mandatory redemption of the Notes

Prior to the service of an Issuer Acceleration Notice:

- (a) on the Decree 239 Interest Payment Date and on each Interest Payment Date thereafter, the Issuer shall redeem the Notes in an amount equal to the applicable Scheduled Repayment Amount; or

- (b) upon prepayment in full by the Region of all amounts due under the Delegations of Payment, the Issuer shall redeem the Notes (in whole but not in part) at their Principal Amount Outstanding on the later of the immediately following Interest Payment Date and the Decree 239 Interest Payment Date. The mandatory redemption under Condition 7(d)(i)(b) is conditional upon the Issuer having sufficient funds to redeem all the Notes and to make all payments ranking in priority thereto. For the purposes of the mandatory redemption under Condition 7(d)(i)(b), on the relevant Interest Payment Date the Issuer will make payments in accordance with the Pre-Enforcement Priority of Payments except that payments to be made under item (viii) will be in an amount equal to the Principal Amount Outstanding and will not be capped at the Scheduled Repayment Amount.

Optional redemption in whole for taxation, legal or regulatory reasons

Prior to the service of an Issuer Acceleration Notice, the Issuer may at its option redeem all the Notes (in whole but not in part) at their Principal Amount Outstanding (plus any accrued but unpaid interest) in accordance with the payment order set out in the Post-Enforcement Priority of Payments and subject to the Issuer having sufficient funds to redeem all the Notes and to make all payments ranking in priority thereto, on any Interest Payment Date if:

- (a) by reason of a change in law or the interpretation or administration thereof since the Issue Date, the assets of the Issuer in respect of this Securitisation (including the Claims and the other Issuer's Rights) become subject to taxes, duties, assessments or governmental charges of whatever nature imposed, levied, collected, withheld or assessed by the Republic of Italy or by any political sub-division thereof or by any authority thereof or therein or by any applicable taxing authority having jurisdiction; or
- (b) either the Issuer or any paying agent appointed in respect of the Notes or any custodian of the Notes is required (by reason of a change in law or in the interpretation or administration thereof since the Issue Date) to deduct or withhold any amount (other than in respect of a Decree 239 Withholding) in respect of the Notes from any payment of principal or interest on such Interest Payment Date

for or on account of any present or future taxes, duties, assessments or governmental charges of whatever nature imposed, levied, collected, withheld or assessed by the Republic of Italy or any political sub-division thereof or any authority thereof or therein or any other applicable taxing authority having jurisdiction and provided that such deduction or withholding may not be avoided by appointing a replacement paying agent or custodian in respect of the Notes before the Interest Payment Date following the change in law or the interpretation or administration thereof; or

- (c) it is or will become unlawful for the Issuer (by reason of a change in law or in the interpretation or administration thereof since the Issue Date) to perform or comply with any of its obligations under or in respect of the Notes or any of the Transaction Documents to which it is a party,

subject to the Issuer:

- (i) giving not more than 60 nor less than 30 (thirty) days' written notice (which notice shall be irrevocable) to the Representative of the Noteholders and the Noteholders, pursuant to Condition 17 (*Notices*), of its intention to redeem all (but not some only) of the Notes on the next Interest Payment Date at their Principal Amount Outstanding, together with interest accrued to but excluding the date of redemption; and
- (ii) having provided to the Representative of the Noteholders:
 - (A) a legal opinion (in form and substance satisfactory to the Representative of the Noteholders) from a firm of lawyers of international reputation (approved in writing by the Representative of the Noteholders) opining on the relevant change in law or on the interpretation or administration thereof;
 - (B) a certificate from the chairman of the board of directors or the sole director of the Issuer (as applicable) and a legal opinion from a firm of tax advisers (approved in writing by the Representative of the Noteholders) to

the effect that the obligation to make such deduction or withholding, or the suffering by the Issuer of such deduction or withholding, cannot be avoided or, as the case may be, the events under item (c) above will apply on the next Interest Payment Date and cannot be avoided by the Issuer using reasonable endeavours; and

- (C) a certificate from the chairman of the board of directors or the sole director of the Issuer (as applicable) to the effect that it will have the funds on such Interest Payment Date to discharge its obligations under: (I.) the Notes and any obligations ranking in priority thereto; and (II.) any additional taxes payable by the Issuer by reason of such early redemption of the Notes.

The Issuer is entitled, pursuant to the Intercreditor Agreement and subject to the Representative of the Noteholders' written consent, to dispose of the Claims in order to finance the redemption of the Notes in the circumstances described above.

7. Credit Structure

Swap Agreement

The Issuer has entered into the Swap Agreement with the Swap Counterparty in order to hedge against the potential interest rate exposure of the Issuer in relation to its floating rate of interest obligations under the Notes as versus the fix rate of interest received on the Delegations of Payment. See "*Credit Structure – The Swap Agreement*" below.

"Swap Trigger" means the early termination of the Swap Transaction due to either:

- (a) (i) the downgrade, below one or more of the Minimum Swap Counterparty Ratings, of the unsecured and unsubordinated debt obligations of the Swap Counterparty, and (ii) the failure by the Swap Counterparty to take such actions as are required from time to time in the Swap Agreement to remedy such downgrade; or
- (b) the occurrence of an Event of Default (as defined in the Swap Agreement (which, for the avoidance of doubt, is not the same as an Event of Default under the Notes) and designated as such by the Issuer) in respect of which the Swap Counterparty

is the defaulting party; or

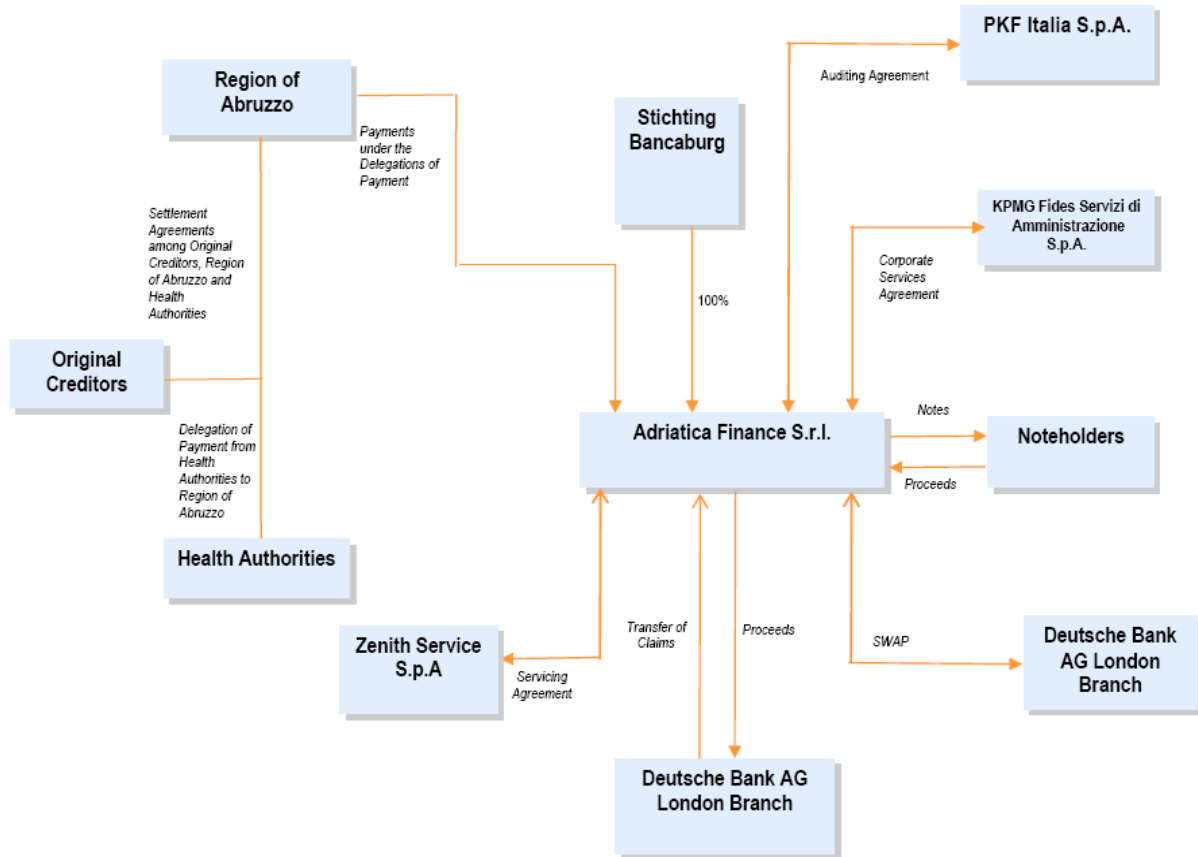
- (c) the occurrence of a Tax Event or an Illegality (both as defined in the Swap Agreement) with Party A designating an early termination date for the Swap Transaction.

Letter of Undertaking

Pursuant to a letter of undertaking dated the Signing Date between the Issuer, DB in its capacity as financing party (in such capacity, the "**Financing Party**") and the Representative of the Noteholders (the "**Letter of Undertaking**"), the Financing Party has undertaken to provide the Issuer with all necessary monies (in any form of financing agreed between the Issuer and DB, for example by way of a limited recourse loan, the repayment of which is effected in compliance with item (xvi) (a) of the Pre-Enforcement Priority of Payments or, as the case may be, item (xiv) (a) of the Post-Enforcement Priority of Payments) in order for the Issuer to pay any losses, costs, expenses or liabilities in respect of certain exceptional liabilities described under "*The Other Transaction Documents – The Letter of Undertaking*" below.

The attention of Prospective Noteholders is drawn to the fact that the Letter of Undertaking does not and will not constitute a guarantee by the Seller of any obligation of the Region, the Health Authorities or the Issuer. The Letter of Undertaking is governed by Italian law.

STRUCTURE DIAGRAM



RISK FACTORS

The following is a summary of certain aspects of the issue of the Notes of which prospective Noteholders should be aware. This summary is not intended to be exhaustive and prospective Noteholders should also read the detailed information set out elsewhere in this Prospectus and the Transaction Documents and reach their own views prior to making any investment decision.

1. Risks associated with the Issuer

No independent investigation in relation to the Portfolio

None of the Issuer, the Lead Manager or any other party to the Transaction Documents has undertaken or will undertake any review, investigation, searches or other actions to verify the details of the Certification Process, the Claims and the Portfolio, nor has any of such persons undertaken, nor will any of them undertake, any investigations, searches or other actions to establish the creditworthiness of the Region, the Health Authorities or any other debtor under the Claims.

The Issuer will rely instead on the representations and warranties given by the Seller in the Warranty and Indemnity Agreement and in the Transfer Agreement. The only remedies of the Issuer in respect of the occurrence of a breach of a representation and warranty which materially and adversely affects the value of a Claim will be the requirement that the Seller indemnifies the Issuer for the damage deriving therefrom or repurchases the relevant Claim. See "*The Warranty and Indemnity Agreement*", below. There can be no assurance that the Seller will have the financial resources to honour such obligations.

The parties to the Warranty and Indemnity Agreement have expressly agreed, pursuant to clause 8 thereof, that claims for a breach of representation or warranty given by the Seller may be pursued against the Seller until one year and one day after the earlier of (A) the day on which the Notes have been paid in full and (B) the Cancellation Date.

However, there is a possibility that legal actions initiated for breach of some representations or warranties will nonetheless be subject to a one-year statute of limitation period if article 1495 of the Italian civil code (which regulates ordinary sales contracts (*contratti di compravendita*)) is held to apply to the Warranty and Indemnity Agreement.

Liquidity and credit risk

The Issuer is subject to the risk of delay arising between the receipt of payments due from the Region and/or the Health Authorities under the Delegations of Payment and the Settlement Agreements and the scheduled Interest Payment Dates in respect of the Notes. The Issuer is also subject to the risk of default in payment by the Region and/or the Health Authorities and the failure by the Servicer to recover sufficient funds in respect of the Claims in order to enable the Issuer to discharge all amounts payable under the Notes.

Limited enforcement rights

The protection and exercise of the Noteholders' rights against the Issuer under the Notes and the enforcement of the Note Security is one of the duties of the Representative of the Noteholders. The Conditions limit the ability of individual Noteholders to commence proceedings (including proceedings for a declaration of insolvency) against the Issuer by conferring on the Meeting of the Noteholders the power to determine in accordance with the Rules of the Organisation of Noteholders

on the ability of any Noteholder to start any such individual actions. Accordingly, individual Noteholders may not, without breaching the Conditions, be able to commence proceedings or take other individual remedies against the Issuer unless the Meeting of the Noteholders has approved such action in accordance with the provisions of the Rules of the Organisation of Noteholders.

Remedies available for the purpose of recovering amounts owed in respect of the Notes shall be limited to actions in respect of the Claims, and the proceeds deriving therefrom, and the Note Security (but, for the avoidance of doubt, excluding (A) if a Swap Trigger has not occurred the amount standing to the credit of the Collateral Account (if any) which exceeds the termination amount (if any) that would have otherwise been payable by the Swap Counterparty to the Issuer had the collateral not been provided; and (B) if a Swap Trigger has occurred the amount standing to the credit of the Collateral Account (if any) which exceeds the greater of (x) the termination amount (if any) that would have otherwise been payable by the Swap Counterparty to the Issuer had the collateral not been provided, and (y) the Swap Outstanding Nominal Amount). In the event that the amounts recovered pursuant to such actions are insufficient, after payment of all other claims ranking in priority to or *pari passu* with amounts due under the Notes, to pay in full all principal and interest and other amounts whatsoever due in respect of the Notes, the Noteholders will have no further actions in respect of any such unpaid amounts.

Claims of unsecured creditors of the Issuer

Without prejudice to the right of the Representative of the Noteholders to enforce the Note Security, the Conditions contain provisions stating, and each of the Other Issuer Creditors has undertaken pursuant to the Intercreditor Agreement, that no Noteholder or Other Issuer Creditor will petition or begin proceedings for a declaration of insolvency against the Issuer until one year and one day after the earlier of (A) the Cancellation Date and (B) the day on which the Notes have been paid in full. There can be no assurance that each and every Noteholder and Other Issuer Creditor will honour its contractual obligation not to petition or begin proceedings for a declaration of insolvency against the Issuer also before one year and one day has elapsed after the earlier of (A) the Cancellation Date and (B) the day on which the Notes have been paid in full. In addition, under Italian law, any other creditor of the Issuer who is not a party to the Intercreditor Agreement, an Italian public prosecutor (*pubblico ministero*), a director of the Issuer (who could not validly undertake not to do so) would be able to begin insolvency or winding-up proceedings against the Issuer in respect of any unpaid debt. Such creditors could arise, for example, by virtue of unexpected expenses owed to third parties including those additional creditors that the Issuer will have as a result of any Further Securitisation (as defined below). In order to address this risk, the Priority of Payments contain provision for the payment of amounts to third parties. Similarly, monies to the credit of the Expenses Reserve Account may be used for the purpose of paying the ongoing fees, costs, expenses, liabilities and taxes of the Issuer to third parties not being Other Issuer Creditors.

The Issuer is unlikely to have a large number of creditors unrelated to this Securitisation or any other securitisation transaction because the corporate object of the Issuer as contained in its *statuto* is limited and the Issuer has provided certain covenants in the Intercreditor Agreement which contain restrictions on the activities which the Issuer may carry out, with the result that the Issuer may only carry out limited transactions.

No creditors other than the Representative of the Noteholders on behalf of the Noteholders, the Other Issuer Creditors and any third-party creditors having the right to claim for amounts due in connection with this Securitisation would have the right to claim in respect of the Claims, even on the bankruptcy of the Issuer.

Notwithstanding the above, there can be no assurance that, if any bankruptcy proceedings were to be commenced against the Issuer, the Issuer would be able to meet all of its obligations under the Notes.

Further Securitisations

The Issuer may, by way of a separate transaction, purchase and securitise further portfolios of monetary claims in addition to the Claims (each, a "**Further Securitisation**"). Before entering into any Further Securitisation, the Issuer is required, *inter alia*, to obtain the written consent of the Representative of the Noteholders and to obtain confirmation from the Rating Agencies that the then current credit rating of the Notes will not be adversely affected by such Further Securitisation. In addition, the Representative of the Noteholders shall not consent to such Further Securitisation if so directed in writing by the majority of the Noteholders.

Under the terms of article 3 of the Securitisation Law, the assets relating to each securitisation transaction carried out by a company are stated to be segregated from all other assets of the company and from those related to each other securitisation transaction, and, therefore, on a winding-up of such a company, such assets will only be available to holders of the notes issued to finance the acquisition of the relevant receivables and to certain creditors claiming payment of debts incurred by the company in connection with the securitisation. Accordingly, the right, title and interest of the Issuer in and to the Claims should be segregated from all other assets of the Issuer (including, for the avoidance of doubt, any other portfolio purchased by the Issuer pursuant to any Further Securitisation) and amounts deriving therefrom should be available on a winding-up of the Issuer only to satisfy the obligations of the Issuer to the Noteholders and the payment of any amounts due and payable to the other Issuer Creditors.

Servicing of the Portfolio

The Portfolio and the Claims thereunder will be serviced by Zenith Service S.p.A. as Servicer pursuant to the Servicing Agreement. Consequently, cash flows from the Portfolio and the Claims thereunder may be affected by decisions made, actions taken and collection procedures adopted by the Servicer pursuant to the provisions of the Servicing Agreement.

Zenith Service S.p.A. has been appointed by the Issuer to be responsible for the collection of the Claims transferred by the Seller to the Issuer and for cash and payment services (*soggetto incaricato della riscossione dei crediti ceduti e dei servizi di cassa e pagamento*). In accordance with the Securitisation Law, Zenith Service S.p.A. is therefore responsible for ensuring that the collection of the Claims serviced by it, and the relative cash and payment services, comply with Italian law and with this Prospectus.

Administration and reliance on third parties

The ability of the Issuer to make payments in respect of the Notes will depend, *inter alia*, upon the due performance by the parties to the Transaction Documents of their respective obligations under the Transaction Documents to which they are each a party. In particular, without limitation to the foregoing, the timely payment of amounts due on the Notes will depend on: (a) the ability of the Servicer to service the Portfolio; (b) the Swap Counterparty complying with its obligations under the Swap Agreement; and (c) the continued availability of hedging under the Swap Transaction. Prospective Noteholders should note that the Swap Transaction may be terminated in certain circumstances described in the Swap Agreement. In each case the performance by the Issuer of its obligations under the Transaction Documents is also dependent on the solvency of, *inter alia*, the Servicer.

In the event of the termination of the appointment of the Servicer under the Servicing Agreement, it would be necessary for the Issuer to appoint a substitute servicer (acceptable to the Representative of the Noteholders). Such substitute servicer would be required to assume responsibility for the provisions of the services required to be performed under the Servicing Agreement. The ability of a substitute servicer to perform fully the required services would depend, *inter alia*, on the information, software and records available at the time of the relevant appointment. There can be no assurance that a substitute servicer will be found nor that any substitute servicer will be willing to accept such appointment nor that a substitute servicer will be able to assume and/or perform the duties of the Servicer pursuant to the Servicing Agreement. In such circumstances, the Issuer could attempt to sell all, or part of, the Claims, but there is no assurance that the amount received on such a sale would be sufficient to repay in full all amounts due to the Noteholders. The Representative of the Noteholders has no obligation to assume the role or responsibilities of the Servicer or to appoint a substitute servicer.

Tax treatment of the Issuer

Taxable income of the Issuer is determined, without any special rights, in accordance with Italian presidential decree No. 917 of 22 December 1986 (*I.R.E.S.*). Pursuant to the regulations issued by the Bank of Italy on 22 March 2000 (*schemi di bilancio delle società per la cartolarizzazione dei crediti*), the assets, liabilities, costs and revenues of the Issuer in relation to the Securitisation will be treated as off-balance sheet assets, liabilities, costs and revenues. Based on the general rules applicable to the calculation of the net taxable income of a company, pursuant to which such taxable income should be calculated on the basis of accounting earnings (i.e. on-balance sheet earnings), subject to such adjustments as are specifically provided for by applicable income tax rules and regulations and according to the guidelines of the Italian Tax Authorities (Circular No. 8/E of 6 February 2003 of the Italian Revenue Agency "*Agenzia delle Entrate*"), no taxable income should accrue to the Issuer until the satisfaction of the obligations of the Issuer to the holders of the Notes, the Other Issuer Creditors and any third-party creditor to whom the Issuer has incurred costs, liabilities, fees and expenses in relation to the Securitisation of the Claims. However, according to Resolution No. 222/E of 2 December 2003 issued by the Italian Revenue Agency "*Agenzia delle Entrate*", in the absence of any specific beneficial tax regime applying to the Issuer, any proceeds attributable and pertaining to the Issuer shall be included in its taxable income for Italian corporate income tax purposes. Future rulings, guidelines, regulations or letters relating to the Securitisation Law issued by the Italian Ministry of Economy and Finance or other competent authorities might alter or affect the tax position of the Issuer as described above.

The interest accrued on any account opened by the Issuer in the Republic of Italy with any bank resident in Italy for tax purposes will be subject to withholding tax on account of Italian corporate income tax which, as at the date of this Prospectus, is levied at the rate of 27 per cent. However, pursuant to resolution No. 222 of 5 December 2003 issued by the Ministry of Economy and Finance, the Issuer may not be able to effectively utilise this withholding tax against its Italian corporate income tax liability until the obligations of the Issuer to the holders of the Notes, to the Other Issuer Creditors and to any third party to whom the Issuer has incurred costs, liabilities, fees and expenses in relation to the Transaction are satisfied and the conditions described above are met.

Pursuant to the Bank of Italy regulations, the accounting information relating to the Securitisation of the Claims will be contained in the Issuer's *Nota Integrativa* which, together with the balance sheet and the profit and loss statements, form part of the financial statements of Italian limited liability companies (*società a responsabilità limitata*).

2. Risks associated with the Notes

Source of payments to Noteholders

The Notes will be limited recourse obligations solely of the Issuer. In particular, the Notes will not be obligations or responsibilities of, or be guaranteed by, the Representative of the Noteholders, the Agent Bank, the Transaction Bank, the Servicer, the Paying Agents, the Corporate Services Provider, the Stichting Corporate Services Provider, the Auditors, the Computation Agent, DB (in any capacity), the Lead Manager, the quotaholder of the Issuer or any other person. None of such persons accepts any liability whatsoever in respect of any failure by the Issuer to make any payment of any amount due on the Notes.

The Issuer's principal assets are the Claims. The Issuer will not, as at the Issue Date, have any significant assets for the purpose of meeting its obligations under the Securitisation other than the Claims, any amounts standing to the credit of the Transaction Accounts and its rights under the Transaction Documents to which it is a party.

The ability of the Issuer to meet its obligations in respect of the Notes will be dependent on, *inter alia*, the timely payment of amounts due under the Delegations of Payment and/or the Settlement Agreements by the Region and/or the Health Authorities, the receipt by the Issuer of collections and recoveries from the Portfolio and any other amounts payable to the Issuer pursuant to the terms of the Transaction Documents to which it is a party, as well as on the receipt of any payments required to be made by the Swap Counterparty under the Swap Agreement and any other amounts required to be paid to the Issuer by the various agents and counterparts of the Issuer pursuant to the terms of the relevant Transaction Documents. The performance by such parties of their respective obligations under the relevant Transaction Documents is dependent on the solvency of each relevant party. See "*Risk Factors – Risks associated with the Issuer - Administration and reliance on third parties*" below.

Consequently, there is no assurance that, over the life of the Notes or at the redemption date of any Notes (whether on maturity or upon redemption by acceleration of maturity upon the occurrence of an Event of Default or otherwise), there will be sufficient funds to enable the Issuer to pay interest when due on the Notes and/or to repay the outstanding principal on the Notes in full.

Upon enforcement of the Note Security, the Representative of the Noteholders will have recourse only to the Claims and to the Note Security. Other than as provided in the Warranty and Indemnity Agreement, the Transfer Agreement, the Servicing Agreement and the Letter of Undertaking, the Issuer and the Representative of the Noteholders will have no recourse to the Seller or to any other entity including, but not limited to, in circumstances where the proceeds received by the Issuer from the enforcement of any particular Claim are insufficient to repay in full the Claim in respect of such Claim.

If, upon default by the Region, the Health Authorities or any other debtor under the Claims and after the exercise by the Servicer of all the remedies in respect of such Claims set out in the Servicing Agreement, the Issuer does not receive the full amount due from the Region or the Health Authorities or any other debtor under the Claims, then Noteholders may receive by way of principal repayment an amount less than the face value of their Notes and the Issuer may be unable to pay in full interest due on the Notes.

Claims of the Issuer against the Region under the Delegations of Payment

The monetary claims of the Issuer against the Region under the Delegations of Payment rank *pari passu* with all other senior unsecured financial obligations of the Region. However, pursuant to article

11 of Law Decree No. 8 of 18 January 1993 as converted into law No. 68 of 19 March 1993, the funds segregated by the Regional Treasurer Bank for payments of (i) wages and related social security charges due in the following quarter, (ii) instalments of loans maturing in the current semester and (iii) indispensable local services expressly identified by decree of the Ministry of the Interior in agreement with the Ministry of the Economy and Finance (the "**Protected Obligations**", which do not include the Region's obligations towards the Issuer under the Delegations of Payment) cannot be attached or seized by third-party creditors of the Region provided that (i) for each quarterly period the Region determines in advance the amounts due and payable in relation to the Protected Obligations, and (ii) as from the date of such determination the Region does not issue to the Regional Treasurer Bank any Payment Mandate otherwise than in compliance with the chronological order of the relevant invoices. If the Region fails to pay amounts due and payable under the Delegations of Payment, the Issuer will have the right to demand that a judicial injunction ordering such payment be issued by an Italian court against the Region and to enforce such injunction against the Region. In accordance with article 14 of Law Decree No. 669 of 31 December 1996, converted into law No. 30 of 28 February 1997, as amended and supplemented (the "**Decree No. 669**"), enforcement procedures (*esecuzione forzata*) against the Region can only be commenced after a period of 120 days has elapsed from the date on which the enforceable instrument (*titolo esecutivo*) and a payment request in respect thereof (*atto di precetto*) have been notified to the Region.

No acceleration of the Region's payment obligations

If the Notes become repayable earlier than the Maturity Date following the service of an Issuer Acceleration Notice, the payment obligations of the Region under the Delegations of Payment will not be accelerated and the Noteholders may have to wait until the respective payment dates of the Delegations of Payment in order to receive payment of interest and principal under the Notes. If the Region defaults on the payments due under the Delegations of Payment, the remaining portion of payments outstanding under the Delegations of Payment will not be subject to acceleration but will remain payable in accordance with the original payment schedule. In such circumstances, the Issuer will have a claim against the Region for unpaid amounts which are due and payable under the Delegations of Payment but will not be able to take action in respect of the Region's obligations under the Delegations of Payment which have not yet matured. Due to the characteristics of the Claims and the legal regime applicable to them (e.g. Decree No. 240), the Issuer (or any person acting on its behalf) may not succeed in selling all or part of the Claims.

Claw-back of the transfer of the Claims

Pursuant to Article 4(4) of the Securitisation Law, the transfer of the Claims under the Transfer Agreement and the Transfer Deeds is subject to claw-back upon bankruptcy of the Seller under article 67 of royal decree No. 267 of 16 March 1942, as subsequently amended and integrated, but only in the event that the transaction is closed within three months of the adjudication of bankruptcy of the Seller or, in cases where paragraph 1 of article 67 applies, within six months of the adjudication of bankruptcy.

Reallocation of resources and obligations as between the Italian State and the Regions

The ability of the Region to make payments under the Delegations of Payment may be affected by certain changes to the criteria for the allocation of public sector expenses between the Italian State and the regions. In particular, as a result of Legislative Decree No. 56 of 18 February 2000, starting in 2001 each region is responsible for covering its healthcare deficit and the State will no longer transfer funds to the regions to cover such deficits. Moreover, pursuant to constitutional law No. 3 of 18 October 2001 (the "**Federalism Law**"), the regions may not incur new indebtedness in order to, *inter alia*, cover the healthcare deficit or to refinance existing debt. In particular, article 119 of the Italian

Constitution (the "**Constitution**"), as amended by the Federalism Law, provides that the regions may not incur new borrowing for any purpose other than financing expenses qualifying as investments (see section entitled "*The Portfolio – Introduction - The Healthcare System of the Region of Abruzzo*"). Consequently, all payments under the Delegations of Payment will have to be funded by the Region rather than by incurring new borrowing. In the event that the Region were to experience a shortfall in funds or otherwise be unable to finance its payment obligations under the Delegations of Payment, under current law there would be no possibility of funding such obligations by incurring new borrowing.

Disclosure on the Region of Abruzzo

The sections headed "*The Region of Abruzzo*", "*The Economy of the Region*", "*Financial Information of the Region*" and "*Debt of the Region*" are reported herein in their entirety as they appear in the Base Prospectus for the €1,250,000,000 Euro Medium Term Note Programme of the Region of Abruzzo dated 19 December 2005 (the "**MTN Prospectus**") and all information provided therein, unless otherwise specifically indicated therein, is as of such date.

Such information has not been independently verified by the Issuer, the Lead Manager, the Arranger or any other party to the Transaction Documents and none of the Issuer, the Lead Manager and the other party to the Transaction Documents accepts any responsibility for the accurate reproduction thereof or otherwise. The Issuer accepts only responsibility for correctly copying, extracting and reproducing this information.

Accordingly there can be no assurance that such information may be materially incorrect or omit to state a material fact that may affect its import. In addition, such information will not reflect any significant new factor in relation to the Region and which has arisen since the date of its publication.

Effect of macro-economic conditions on the Region, its budget estimates and healthcare spending

The Region is subject to macro-economic events, including changes in national, regional or local economic and employment conditions and demographic trends which could adversely affect the Region's level of tax receipts and other revenues as well as its expenditures. A decrease in economic activity in the Region and/or the Republic of Italy could have a material adverse impact on the Region's financial condition and its ability to make payment under the Delegations of Payment. The Region's budget is based on a series of projections and estimates regarding the general economic activity in the Region and the Region's revenues. Reliance on such projections or estimates involves certain risks and uncertainties, for example with regard to growth in the Region's economy, the level of tax collection and other revenue generation and the ability of the Region to control expenditure in line with the budget. There can be no assurances that the Region's actual revenues will not be less than budgeted revenues or that the Region's actual expenditure will not be greater than budgeted expenditure. Healthcare expenditure constitutes one of the most significant categories of expenditure of the Region. Such expenditure is linked to demographic and macro-economic factors that are not within the control of the Region and that may vary significantly from year to year. Therefore, there can be no assurance that the Region's actual healthcare expenditure will not be greater than budgeted healthcare expenditure, which could give rise to potential cash shortages for the Region that may affect its ability to fulfill its obligations under the Delegations of Payment.

The Delegations of Payment

Pursuant to article 1268 *et seq.* of the Italian civil code, a debtor (*delegante*) (the "**Delegor**") may delegate payment of its debt obligation to a third party (*delegato*) (the "**Delegee**") who may undertake the debt obligation directly to the creditor (*delegatario*) (the "**Creditor**") on behalf of the Delegor and in full discharge of its debt obligation to the Creditor. Pursuant to article 1270 of the Italian civil code, the Delegor may revoke the payment delegation at any time prior to the Delegee undertaking the obligation towards the Creditor or on having made a payment to the Creditor. Pursuant to article 1271 of the Italian civil code, the Delegee is entitled to raise against the Creditor any objections relating to their legal relationship. Unless otherwise provided for in the delegation, the Delegee is not entitled to raise against the Creditor any of the objections that it would have been entitled to raise against the Delegor, even if the Creditor is aware of such objections or the arrangements between those parties, unless the relationship between the Delegor and the Creditor is null. Likewise, the Delegee cannot raise objections relating to the relationship between the Delegor and the Creditor, unless the delegation makes express reference to the same. The Delegations of Payment entered into between the Region, the Health Authorities and DB are delegations of payment (*delegazioni di debito*) constituting direct and autonomous monetary obligations of the Region towards DB and any third-party assignee of the claims arising from the Delegations of Payment. Pursuant to the Delegations of Payment, each of the Health Authorities has irrevocably and unconditionally delegated to the Region, and the Region has irrevocably and unconditionally undertaken towards each of the Health Authorities, to pay to DB, or to any assignee of the claims arising therefrom, the amounts indicated therein on the due dates thereof, and the Region has waived its right to raise any objections relating to (i) any relationship between itself and the Health Authorities (*rapporto di provvista*), (ii) any relationship between the Health Authorities and DB or any assignee of the claims (*rapporto di valuta*) and (iii) any relationship between itself and DB or any assignee of the claims. In consideration of the contents of the Delegations of Payment, the Region would not be entitled to raise any objections in relation to the *rapporto di provvista* or the *rapporto di valuta*, unless both the *rapporto di valuta* and the *rapporto di provvista* are void, invalid or ineffective (so-called *nullità della doppia causa*), as stated in the report of the Minister of Justice (*Relazione del Ministro Guardasigilli*) on article 1271 of the Italian civil code and as affirmed by certain court precedents. In this respect it is worth noting that: (i) with regard to the *rapporto di valuta*, the Health Authorities have carried out and completed the certification procedure in the form of a *ricognizione di debito* on the claims owned by the Original Creditors towards the Health Authorities pursuant to, among others, Italian Presidential Decree No. 371 of 8 July 1998 providing for general conditions applicable to relationships with public and private pharmacies; and (ii) with regard to the *rapporto di provvista*, the obligation of the Region to fund the Health Authorities for the provision of healthcare services arises from mandatory provisions of law, including, in particular, legislative decree No. 502 of 30 December 1992.

As a consequence, the Region may not raise objections in connection with (a) its arrangements with the Health Authorities (*rapporto di provvista*); (b) the arrangements between the Health Authorities and DB or between the Health Authorities and the Issuer (*rapporto di valuta*) and (c) the arrangements between the Health Authorities and the Original Creditors; against its obligations to pay the Issuer. Furthermore, for the purposes of article 1271 of the Italian civil code, the Region has duly waived under the Delegations of Payments its rights of set-off and/or counterclaim against DB or its assignees.

Article 119 of the Constitution

Article 119(6) of the Italian Constitution, as modified by constitutional law No. 3/2001, provides that "municipalities, provinces, metropolitan cities and regions can borrow money only to finance investment expenditure". Article 30(15) of law No. 289/2002 (the Italian State budget law for the year

2003) has further established that any deed and contract made by such entities in contravention of article 119(6) is null and void. Article 3(17) of law No. 350/2003 (the Italian State budget law for the year 2004) contains a list of the transactions which constitute indebtedness for the purposes of article 119(6) of the Constitution. It cannot be ruled out the possibility that in the future further kinds of transactions are considered as indebtedness for the purposes of article 119(6) of the Constitution. As indicated by *Corte Costituzionale* (judgment No. 245/2004), the concept of indebtedness envisaged in article 119(6) of the Constitution gives the Italian parliament the ongoing power, subject to certain limits set out at European level, to identify which kinds of transactions fall within the concept of indebtedness for the purposes of article 119(6) of the Constitution. Article 1(739) of law No. 296/2006 (the Italian State budget law for year 2007) has established that, as of 1 January 2007, the transactions for the sale of claims owed to suppliers of goods and services in respect of which a Region directly or indirectly undertakes new obligations, even through postponement of payment terms, constitute indebtedness for the purposes of article 119(6) of the Constitution. Transactions enacted pursuant to a resolution of the board of an Italian Region adopted before 4 September 2006 are excluded from the scope of this provision provided that the relevant transaction is completed by 31 March 2007. As confirmed in the explanatory note (*circolare*) issued on 31 January 2007 by the general manager of the public indebtedness department of the Ministry of Economics and Finance in respect of, amongst others, article 1, paragraph 739 of the law No. 296/2006, the reference date of 4 September 2006 contained under article 1(739) corresponds to the date of a non-binding letter issued by EUROSTAT whereby a transaction in which an Italian Region has undertaken long-term financial obligations by way of acceptance of a delegation of payment in respect of healthcare receivables has been qualified as a "loan"; as a consequence, according to EUROSTAT, the Italian Government should also take into account the amounts due under the relevant delegations of payment when calculating the public debt (as defined by Council Regulation (EC) No. 3605/93 of 22 November 1993) for the purposes of compliance with the parameters established by the EU Treaties with respect to the permitted threshold for the aggregate amount of the outstanding public debts. The explanatory note specifies that, for the purpose of article 1(739), the "completion" of the relevant transaction occurs when all the contracts related to such transaction - including, but not limited to, the agreement aimed at restructuring the sinking plan and the possible assignment of receivables connected to credits that, at the date of the assignment, existed and were certified, and of which the relevant entity had received notification - have been executed.

In the context of the Securitisation, the Region, with respect to the Delegations of Payment, substitutes its original creditor (the Health Authorities, to which the Region is required to distribute the necessary funds to finance the provision of healthcare services, on the basis of the rules relating to the national and regional healthcare system) with a new creditor (DB and, under the Transfer Agreement and the Transfer Deeds, the Issuer in its capacity as assignee of the Claims). The acceptance of the Delegations of Payment by the Region does not create any new indebtedness of the Region since it falls outside the scope of article 1(739) of law No. 296/2006. In this regard, it must be noted that Delibera 786 of the Region (as defined below) specified that the payments of the Region (i.e. those under the Delegations of Payment) will be made out of current resources allocated for the financing of the regional healthcare system (*quota del fondo sanitario regionale di parte corrente*); furthermore the Region has expressly represented and warranted in the Delegations of Payment that its obligations under the Delegations of Payment do not contravene article 119 of the Constitution.

Interest rate risk

The Issuer expects to meet its obligations under the Notes primarily from the amounts due by the Region under the Delegations of Payment. Such payments have no correlation to EURIBOR. The Issuer has a liability to pay interest under the Notes at a rate equal to six-month EURIBOR plus a

spread on each Note. To protect the Issuer from an increase of the EURIBOR, the Issuer has executed an interest rate swap transaction with the Swap Counterparty pursuant to the Swap Agreement.

Pursuant to the Swap Agreement (i) the Issuer will transfer to the Swap Counterparty an amount as indicated in the Swap Agreement; and (ii) on the sixth Business Day preceding each Interest Payment Date, the Swap Counterparty will transfer to the Issuer: (A) the amounts to be paid by the latter as principal and interest on the Notes; and (B) a fixed amount calculated with reference to all commissions and expenses payable to the Representative of the Noteholders, the Paying Agents, the Agent Bank, the Computation Agent, the Corporate Services Provider, the Stichting Corporate Services Provider, the Auditors, the Transaction Bank and the Servicer on the immediately following Interest Payment Date.

Should the Swap Counterparty fail to provide the Issuer with all amounts owing to the Issuer (if any) on any payment date under the Swap Agreement, or should the Swap Transaction be otherwise terminated, then the Issuer may have insufficient funds to make payments of principal and interest on the Notes. See "*Credit Structure – The Swap Agreement*" below.

However, prospective investors' attention is drawn to the fact that, in such circumstances, if the Issuer is not able to make payments due on the Notes, such non-payment could constitute an Event of Default and cause the Representative of the Noteholders to serve to the Issuer an Issuer Acceleration Notice in respect of the Notes.

Potential Conflicts of Interest

Deutsche Bank AG, London Branch is the Arranger and Lead Manager in respect of the Securitisation and also act as Agent Bank, Computation Agent, Subordinated Loan Provider, Swap Counterparty and Principal Paying Agent. Deutsche Trustee Company Limited is acting as Representative of the Noteholders. Deutsche Bank AG, London Branch is also the Seller of the Claims. Deutsche Bank S.p.A. is acting as Italian Paying Agent and Transaction Bank. Deutsche Bank Luxembourg S.A. is acting as Listing and Luxembourg Paying Agent. Conflicts of interest may potentially exist or may arise as a consequence of the various group companies having direct roles in this Securitisation.

Noteholders' directions and resolutions in respect of early redemption of the Notes

In a number of circumstances, the Notes may become subject to early redemption. Early redemption of the Notes as a result of some circumstances may be dependent upon receipt by the Representative of the Noteholders of a direction from, or a resolution passed by, a certain majority of Noteholders. If the economic interest of a Noteholder represents a relatively small proportion of the majority and its individual vote is contrary to the majority vote, its direction or vote may be disenfranchised and, if a determination is made by certain of the Noteholders to redeem the Notes, such minority Noteholders may face early redemption of the Notes held by them.

Suitability

Structured securities, such as the Notes, are sophisticated instruments which can involve a significant degree of risk. Prospective investors in the Notes should ensure that they understand the nature of the Notes and the extent of their exposure to the relevant risk. Such prospective investors should also ensure that they have sufficient knowledge, experience and access to professional advice to make their own legal, tax, accounting and financial evaluation of the merits and risks of investment in the Notes and that they consider the suitability of the Notes as an investment in light of their own circumstances and financial condition.

Liability under the Notes

The Notes will be limited recourse obligations solely of the Issuer and will not be the responsibility of, or be guaranteed by, any other entity. In particular, the Notes will not be obligations or responsibilities of, or be guaranteed by, the Corporate Services Provider, the Stichting Corporate Services Provider, the Representative of the Noteholders, the Computation Agent, the Paying Agents, the Transaction Bank, the Agent Bank, the Auditors, the Servicer, the Swap Counterparty, DB (in any capacity), the Lead Manager or the quotaholder(s) of the Issuer or any other person. None of such persons accepts any liability whatsoever in respect of any failure by the Issuer to make any payment of any amount due on the Notes.

Relationship between Noteholders and the Other Issuer Creditors

Under Condition 10 (*Events of Default*), the Representative of the Noteholders is not obliged to serve on the Issuer an Issuer Acceleration Notice declaring the Notes to be due and payable, unless it is directed to do so either:

- (a) in writing by the holders of at least 51 per cent. of the Principal Amount Outstanding of the Notes; or
- (b) by an Extraordinary Resolution of the holders of the Notes,

and in addition, in each case, provided that it is indemnified and/or secured to its satisfaction against all liabilities and all costs and expenses (provided that supporting documents are delivered) which it may incur in so doing. In addition, following an Event of Default pursuant to Condition 10(a)(ii) (*Breach of other obligations*) and 10(a)(iii) (*Failure to take action*), the Representative of the Noteholders must certify to the Issuer that the occurrence of such event is in its opinion materially prejudicial to the interests of the Noteholders.

The Intercreditor Agreement contains provisions requiring the Representative of the Noteholders to have regard to the interests of the Other Issuer Creditors as regards all powers, trusts, authorities, duties and discretions of the Representative of the Noteholders (except where expressly provided otherwise), but requiring the Representative of the Noteholders, in the event of a conflict between the interests of the holders of outstanding Notes and any Other Issuer Creditor, to have regard only (except where specifically provided otherwise) to the interests of the holders of outstanding Notes, except to ensure the application of the Issuer's funds in accordance with the applicable Priority of Payments.

Limited liquidity

There is currently no market for the Notes. While the Lead Manager may make a market in the Notes, it is under no obligation to do so. The Notes have not been registered under the Securities Act and will be subject to significant restrictions on resale in the United States. There can be no assurance that a secondary market for any of the Notes will develop, or, if a secondary market does develop, that it will provide the holders of the Notes with liquidity of investments or that it will continue for the life of such Notes. Consequently, any purchaser of Notes must be prepared to hold such Notes until the final redemption or cancellation.

Credit Rating of the Notes

Through the Delegations of Payment, the credit ratings of the Notes are linked to, *inter alia*, the credit ratings of the debt obligations of the Region, which may change from time to time. As a result, the credit ratings of the Notes may change from time to time in accordance with any such changes in the

credit ratings of the debt obligations of the Region. As at the date of this Prospectus, the long-term unsecured and unsubordinated debt obligations of the Region are rated "A2" by Moody's.

Withholding tax under the Notes

Any non-resident beneficial owner of an interest payment relating to the Notes (a) who is resident, for tax purposes, in a country which does not allow for a satisfactory exchange of information or (b) who has failed to comply with the requirements and procedures set forth in Italian legislative decree No. 239 of 1 April 1996, as subsequently amended ("**Decree No. 239**"), in order to benefit from an exemption, will receive amounts of interest payable on the Notes net of Italian withholding tax, applied through a substitute tax (*imposta sostitutiva*). At the date of this Prospectus, such withholding tax is levied at the rate of 12.5 per cent. or such lower rate as may be applicable under the relevant double taxation treaty.

In the event that withholding taxes are imposed in respect of payments to Noteholders of amounts due pursuant to the Notes, whether or not through a substitute tax, the Issuer will not be obliged to gross up any such payments or otherwise compensate Noteholders for the lesser amounts the Noteholders will receive as a result of the imposition of withholding taxes.

In the event that any Notes are redeemed in whole or in part (including following the service of an Issuer Acceleration Notice) prior to the date which is 18 months after the Issue Date, the Issuer will be obliged to pay an additional tax in Italy at a rate of 20 per cent. on interest accrued on such principal amount repaid early up to the relevant repayment date. See "*Taxation*" below.

Change of law

The structure of the transaction and, *inter alia*, the issue of the Notes are based on Italian law, tax and administrative practice in effect at the date hereof, and having due regard to the expected tax treatment of all relevant entities under such law and practice. No assurance can be given as to any possible change to Italian law, tax or administrative practice after the Issue Date.

3. General

Implementation of Basel II risk-weighted asset framework may result in changes to the risk-weighting of the Notes

Following the issue of proposals from the Basel Committee on Banking Supervision for reform of the 1988 Capital Accord, a framework has been developed which places enhanced emphasis on market discipline and sensitivity to risk. An updated version of the text of the proposed framework was published in November 2005 under the title "*Basel II: International Convergence of Capital Management and Capital Standards: a Revised Framework*" (the "**Framework**"). The Framework is being implemented in stages (partly from year-end 2006 and the most advanced from year-end 2007). However, the Framework is not self-implementing and, accordingly, implementation dates in participating countries are dependant on the relevant national implementation process in those countries. As and when implemented, the Framework could affect risk-weighting of the Notes for investors who are subject to capital adequacy requirements that follow the Framework. Consequently, investors should consult their own advisers as to the consequences to and effect on them of the application of the Framework and any relevant implementing measures. Proposals and guidelines for implementing the Framework in certain participating jurisdictions are still in development and no predictions can be made as to the precise effects of potential changes on any investor or otherwise.

Securitisation Law

As at the date of this Prospectus, no interpretation of the application of the Securitisation Law has been issued by any Italian governmental or regulatory authority, except for (i) regulations issued by the Bank of Italy concerning, *inter alia*, the accounting treatment of securitisation transactions for special purpose companies incorporated under the Securitisation Law, such as the Issuer, and the duties of the companies which carry out collection and recovery activities in the context of a securitisation transaction, (ii) the decree of the Italian Ministry of Treasury dated 4 April 2001 and (iii) the Bank of Italy's regulation dated 16 December 2002 on the terms for the registration of the financial intermediaries in the register held by the Bank of Italy pursuant to article 107 of the Banking Act. Consequently, it is possible that such authorities may issue further regulations relating to the Securitisation Law or the interpretation thereof, the impact of which cannot be predicted by the Issuer as at the date of this Prospectus.

Projections, forecasts and estimates

Forward-looking statements, including estimates, any other projections, forecasts and estimates in this Prospectus, are necessarily speculative and subjective in nature and some or all of the assumptions underlying the projections may not materialise or may vary significantly from actual results.

Such statements are subject to risks and uncertainties that could cause the actual results to differ materially from those expressed or implied by such forward-looking statements. Prospective investors are cautioned not to place undue reliance on these forward-looking statements, which speak only as of the date of this Prospectus and are based on assumptions that may prove to be inaccurate. No-one undertakes any obligation to update or revise any forward-looking statements contained herein to reflect events or circumstances occurring after the date of this Prospectus.

EU Savings Directive

Under EC Council Directive 2003/48/EC on the taxation of savings income ("**EU Savings Directive**"), Member States are required, from 1 July 2005, to provide to the tax authorities of another Member State details of payments of interest (or similar income) paid by a person within its jurisdiction to an individual resident in that other Member State. However, for a transitional period, Belgium, Luxembourg and Austria are instead required (unless during that period they elect otherwise) to operate a withholding system in relation to such payments (the ending of such transitional period being dependent upon the conclusion of certain other agreements relating to information exchange with certain other countries). A number of non-EU countries and territories, including Switzerland, have agreed to adopt similar measures (a withholding system in the case of Switzerland) with effect from the same date.

Implementation in Italy of the EU Savings Directive

Italy has implemented the EU Savings Directive through Legislative Decree No. 84 of 18 April 2005 ("**Decree No. 84**"). Under Decree No. 84, subject to a number of important conditions being met, in the case of interest paid starting from 1 July 2005 to individuals who qualify as beneficial owners of the interest payment and are resident for tax purposes in another Member State, Italian qualified paying agents shall not apply the withholding tax and shall report to the Italian Tax Authorities details of the relevant payments and personal information on the individual beneficial owner. Such information is transmitted by the Italian Tax Authorities to the competent foreign tax authorities of the State of residence of the beneficial owner.

The Issuer believes that the risks described above are the principal risks inherent in the transaction for holders of the Notes but the inability of the Issuer to pay interest or repay principal on any such Notes may occur for other reasons and the Issuer does not represent that the above statements of the risks of holding the Notes are exhaustive. While the various structural elements described in this Prospectus are intended to lessen some of these risks for holders of the Notes, there can be no assurance that these measures will be sufficient or effective to ensure payment to the holders of the Notes of interest or principal on such Notes on a timely basis or at all.

Fixed and floating security

Security given under the English-law governed transaction documents, howsoever expressed, may take effect as a floating charge and thus on enforcement certain preferential creditors may rank ahead of the Issuer Secured Creditors.

The Issuer believes that the risks described above are the principal risks inherent in the transaction for holders of the Notes but the inability of the Issuer to pay interest or repay principal on the Notes may occur for other reasons and the Issuer does not represent that the above statements of the risks of holding the Notes are exhaustive. While the various structural elements described in this Prospectus are intended to lessen some of these risks for holders of the Notes, there can be no assurance that these measures will be sufficient or effective to ensure payment to the holders of the Notes of interest or principal on a timely basis or at all.

CREDIT STRUCTURE

Credit Rating of the Notes

Upon issue the Notes will not be assigned a rating.

Cash flow through the Transaction Accounts

Collections in respect of the Delegations of Payment and/or the Settlement Agreements and/or the Contracts will be paid by the Region and/or the Health Authorities, as the case may be, to the Issuer directly into the Collection Account.

Pursuant to the terms of the Agency and Accounts Agreement, on the second Business Day following each Region Payment Date the Transaction Bank will be required to transfer on behalf of the Issuer from the Collection Account to the Swap Counterparty an amount as indicated in the Swap Agreement.

Pursuant to the Agency and Accounts Agreement, the Issuer has instructed the Transaction Bank to arrange on the Issue Date, or immediately thereafter, for the payment out of the Payments Account of an aggregate amount equal to €136,658.57 due as up-front fees, costs and expenses to the Agents, the Corporate Services Provider, the Stichting Corporate Services Provider, the Servicer, the Representative of the Noteholders, S&P and the Auditors, in accordance with the payment instructions to be given by the Issuer to the Transaction Bank on or about the Issue Date.

Further, on each Interest Payment Date in accordance with the provisions of the Agency and Accounts Agreement and the Intercreditor Agreement, the Issuer will pay to the Agents certain amounts as fees in exchange of the ongoing services rendered by each of them under the Agency and Accounts Agreement and any other Transaction Documents. In this respect, each of the Agents has formally acknowledged and agreed that such fees shall be comprehensive of any costs and expenses which might be incurred by each of them in connection with the performance of their services to the Issuer.

In addition, under the Swap Agreement on the fifth Business Day preceding each Interest Payment Date, the Swap Counterparty will transfer to the Issuer:

- (a) an amount equal to the Interest Amount payable on the Notes on the immediately following Interest Payment Date;
- (b) an additional amount calculated with reference to all commissions and expenses due and payable to the Representative of the Noteholders, the Paying Agents, the Agent Bank, the Computation Agent, the Corporate Services Provider, the Stichting Corporate Services Provider, the Auditors, the Transaction Bank and the Servicer on the immediately following Interest Payment Date; and
- (c) starting from the Swap Counterparty Payment Date immediately preceding the Decree 239 Interest Payment Date and on each Swap Counterparty Payment Date thereafter, a nominal amount equivalent to the relevant Scheduled Repayment Amount due under the Notes on the immediately following Interest Payment Date.

Pursuant to the Servicing Agreement, on the second Business Day following the end of each Collection Period (the "**Reporting Date**"), the Servicer will prepare and deliver to the Computation Agent, the Representative of the Noteholders, the Arranger, the Swap Counterparty in its capacity as calculation agent under the Swap Agreement, the Rating Agencies and the Issuer a report, *inter alia*, (a) detailing the activity performed by the Servicer during the immediately preceding Collection Period and (b) detailing payments made by the Region and/or the Health Authorities under the Delegations of Payment and/or under the Settlement Agreements and/or under the Contracts during the immediately preceding Collection Period (the "**Servicer's Report**"). The first Reporting Date will fall in June 2007.

The Transaction Bank has agreed to pay interest on funds on deposit from time to time in the Transaction Accounts (with the exception of the Equity Capital Account) at a rate agreed between the Issuer and the Transaction Bank. The interest accrued on any account opened by the Issuer in the Republic of Italy with the Transaction Bank or with a bank resident in Italy for tax purposes will be subject to withholding tax on account of Italian corporate income tax which, as at the date of this Prospectus, is currently levied at the rate of 27 per cent.

Provisions relating to the Transaction Accounts

If the Transaction Bank (or any successor Transaction Bank) ceases to be an Eligible Institution, the Issuer will, by no later than 30 (thirty) calendar days from the date when the Transaction Bank (or any successor Transaction Bank) ceases to be an Eligible Institution: (i) terminate the appointment of such Transaction Bank (or successor Transaction Bank); (ii) close the Transaction Accounts opened with the Transaction Bank; and, simultaneously (iii) open replacement accounts with a substitute transaction bank which is an Eligible Institution, and the Issuer will notify the Representative of the Noteholders and the Rating Agencies thereof. Pursuant to the Agency and Accounts Agreement, Deutsche Bank S.p.A. has undertaken to the Issuer and the Representative of the Noteholders to promptly notify in writing the Issuer and the Representative of the Noteholders if, at any time, Deutsche Bank S.p.A. ceases to be an Eligible Institution

Provisions relating to the Italian Paying Agent

If the Italian Paying Agent (or any successor Italian Paying Agent) ceases to be an Eligible Institution, the Issuer will, by no later than 30 (thirty) calendar days from the date when the Italian Paying Agent (or any successor Italian Paying Agent) ceases to be an Eligible Institution: (i) terminate the appointment of such Italian Paying Agent (or successor Italian Paying Agent); and, simultaneously (ii) appoint a substitute Italian paying agent which is an Eligible Institution, and the Issuer will notify the Representative of the Noteholders and the Rating Agencies thereof.

"Eligible Institution" means:

- (i) for so long as, and to the extent that, the aggregate balance of all bank accounts opened by the Issuer under the Agency and Accounts Agreement is less than €15,140,543: (a) any depository institution organised under the laws of any state which is a member of the European Union or of the United States of America, the short-term unsecured and unsubordinated debt obligations of which are rated at least "P-1" by Moody's and "A-1" by S&P; and (b) Deutsche Bank S.p.A. for so long as: (A) its controlling parent company's short-term, unsecured and unsubordinated debt obligations are rated at least "P-1" by Moody's and "A-1+" by S&P; (B) the words "Deutsche Bank" are contained in its legal name; and (C)

there are no material changes in the ownership structure of Deutsche Bank S.p.A. or its controlling parent company; and

- (ii) for so long as, and to the extent that, the aggregate balance of all bank accounts opened by the Issuer under the Agency and Accounts Agreement is equal to or higher than €15,140,543, any depository institution organised under the laws of any state which is a member of the European Union or of the United States of America, the short-term unsecured and unsubordinated debt obligations of which are rated at least "P-1" by Moody's and "A-1+" by S&P and the long-term unsecured and unsubordinated debt obligations of which are rated at least "Aa3" by Moody's and "AA-" by S&P.

See "*Transaction Summary Information – Priority of Payments*", "*Transaction Summary Information – Redemption of the Notes - Optional redemption in whole for taxation, legal or regulatory reasons*" and "*Terms and Conditions of the Notes*".

Note Security

The Notes will be secured by the Note Security. See "*Transaction Summary Information – Summary of the Notes - Security for the Notes*".

The Swap Agreement

On or about the Signing Date, in order to hedge its potential interest rate exposure in relation to its floating interest rate obligations under the Notes and in order to ensure the repayment of principal under the Notes, the Issuer entered into an interest rate swap transaction with the Swap Counterparty (the "**Swap Transaction**"). The Swap Transaction is documented under the 1992 ISDA Master Agreement (Multicurrency-Cross Border) and the Schedule thereto, as published by the International Swap and Derivatives Association, Inc. ("**ISDA**"), as supplemented by a 1995 Credit Support Annex (English Law) (the "**Credit Support Annex**") published by ISDA and a confirmation, all governed by English law (the "**Swap Agreement**"). The Swap Agreement is entered into between the Issuer, the Swap Counterparty and the Representative of the Noteholders.

Under the terms of the Swap Transaction:

- (i) the Issuer will pay to the Swap Counterparty, on the dates specified in the Swap Agreement (each such date being the second Business Day after each Region Payment Date) an amount connected to the amounts to be paid under the Notes as principal, the nominal amounts, plus an additional forfeit amount, being an amount as indicated in the Swap Agreement; and
- (ii) the Swap Counterparty will pay to the Issuer, on the dates specified in the Swap Agreement (each such date being the sixth Business Day prior to each Interest Payment Date (the "**Swap Counterparty Payment Date**")):
 - (a) an amount equal to the Interest Amount payable on the Notes on the immediately following Interest Payment Date;
 - (b) an additional amount calculated with reference to all commissions and expenses due and payable to the Representative of the Noteholders, the Paying Agents, the Agent Bank, the Computation Agent, the Corporate Services Provider, the Stichting

Corporate Services Provider, the Auditors, the Transaction Bank and the Servicer on the immediately following Interest Payment Date; and

- (c) starting from the Swap Counterparty Payment Date immediately preceding the Decree 239 Interest Payment Date and on each Swap Counterparty Payment Date thereafter, a nominal amount equivalent to the relevant Scheduled Repayment Amount due under the Notes on the immediately following Interest Payment Date.

In the event of a withholding tax being imposed on payments required to be made under the Swap Agreement, which are: (a) due to be made by the Issuer to the Swap Counterparty, the Issuer will not be obliged to gross up such payments; or (b) due to be made by the Swap Counterparty to the Issuer, the Swap Counterparty will be obliged to gross up such payments. The Swap Counterparty will be entitled, under certain circumstances, to terminate the Swap Transaction if: (i) it is obliged to gross up payments following any withholding or deduction for or on account of any taxes or (ii) it receives a payment in respect of which an amount is required to be deducted or withheld for or on account of any taxes.

The Swap Agreement will contain certain limited termination events and events of default which will entitle either party to terminate the Swap Transaction.

In particular, in the event that the unsecured, unsubordinated obligations of the Swap Counterparty cease to be rated at least as high as "P-1" by Moody's and "A-1" by S&P in respect of the short-term debt and "Aa3" by Moody's and "AA-" by S&P in respect of the long-term debt (the "**Minimum Swap Counterparty Rating**"), then the Swap Counterparty will be required, within the time period specified in the Swap Agreement, either to:

- (i) transfer all of its rights and obligations under the Swap Agreement to an entity with the Minimum Swap Counterparty Rating and domiciled in any of the jurisdiction of the European Union or to an entity whose obligation are guaranteed by an entity entity with the Minimum Swap Counterparty Rating and domiciled in any of the jurisdiction of the European Union; or
- (ii) arrange for an entity with the Minimum Swap Counterparty Rating and domiciled in any of the jurisdiction of the European Union to become co-obligor or guarantor in respect of its obligations under the Swap Agreement; or
- (iii) post collateral in accordance with the provisions of the Credit Support Annex.

If at any time the unsecured, unsubordinated obligations of the Swap Counterparty cease to be rated at least as high as "P-2" by Moody's and "A-2" by S&P in respect of the short-term debt, or "A3" by Moody's and "A-" by S&P in respect of the long-term debt, the Swap Counterparty will have to comply with the measures in (i) or (ii) with respect to Moody's and with the measure under (i) above with respect to S&P and in the interim the measure specified under (iii) above will continue to apply.

If the Swap Counterparty fails to take any of the measures described under (i), (ii) and (iii) above, as applicable, within the time period specified in the Swap Agreement, then the Swap Transaction may be terminated.

If the Swap Transaction is terminated for any reason, the Swap Counterparty or the Issuer may be required to pay an amount to the other party as a result of the termination. Following such a

termination any payments by the Issuer to the Swap Counterparty will be made in accordance with the applicable Priority of Payments.

Accordingly:

- (i) any termination payment (if any) payable by the Issuer to the Swap Counterparty – other than any termination payments due to the Swap Counterparty following the occurrence of a Swap Trigger – will be made in accordance with item (vi) of the Pre-Enforcement Priority of Payments, or, as applicable, item (vi) of the Post-Enforcement Priority of Payments; and
- (ii) any termination payment (if any) payable by the Issuer to the Swap Counterparty following the occurrence of a Swap Trigger, will be made in accordance with item (x) of the Pre-Enforcement Priority of Payments, or, as applicable, item (x) of the Post-Enforcement Priority of Payments.

Under the above, a "**Swap Trigger**" means the early termination of the Swap Transaction due to either:

- (i) (a) the downgrade, below one or more of the Minimum Swap Counterparty Ratings, of the unsecured and unsubordinated debt obligations of the Swap Counterparty, and (b) the failure by the Swap Counterparty to take such action as are required from time to time in the Swap Agreement to remedy such downgrade; or
- (ii) the occurrence of an Event of Default (as defined in the Swap Agreement (which, for the avoidance of doubt, is not the same as an Event of Default under the Notes) and designated as such by the Issuer) in respect of which the Swap Counterparty is the defaulting party; or
- (iii) the occurrence of a Tax Event or an Illegality (both as defined in the Swap Agreement) with Party A designating an early termination date for the Swap Transaction.

Upon the occurrence of a Swap Trigger, without prejudice to the termination payment (if any) which may be due and payable by the Swap Counterparty or the Issuer pursuant to the Swap Agreement, the Swap Counterparty will be required to make an additional payment for an amount equal to Swap Outstanding Nominal Amount less any amount of collateral posted to the Issuer (provided that if the resulting amount is a negative number such amount will be deemed equal to zero). The amount paid by the Swap Counterparty as additional payment will be accounted as an amount to be paid back by the Issuer for the purpose of establishing the termination payment which may be due and payable by the Swap Counterparty or the Issuer, as applicable, (provided that such termination payment if payable by the Issuer will be paid in accordance with item (x) of the Pre-Enforcement Priority of Payments, or, as applicable, item (x) of the Post-Enforcement Priority of Payments).

Under the above, "**Swap Outstanding Nominal Amount**" means the Swap Issuer Nominal Amounts less the Swap Counterparty Nominal Amounts (provided that if the resulting amount is a negative number such amount will be deemed equal to zero); where: (a) "**Swap Issuer Nominal Amounts**" means the nominal amounts effectively received under the Swap Transaction by the Swap Counterparty from the Issuer (identified in the Swap Transaction as "Party B Nominal Amounts") prior to an early termination of the Swap Transaction; and (b) "**Swap Counterparty Nominal Amounts**" means the nominal amounts paid under the Swap Transaction by the Swap Counterparty to

the Issuer (identified in the Swap Transaction as "Party A Nominal Amounts") prior to an early termination of the Swap Transaction.

Following the Signing Date, the Swap Counterparty may, but is not obliged to, enter into a guarantee agreement with a third party guarantor of the Issuer's obligations under the Swap Agreement. Under the terms of the Swap Agreement, the Swap Counterparty may assign all, or any part, of its interest in any amount payable by the Issuer under the Swap Transaction to such third party guarantor (the "**Swap Assignee**"). If any amount has been assigned to the Swap Assignee and the Swap Transaction is terminated for any reason, the Issuer may be required to pay to the Swap Assignee an amount equal to the amounts assigned by the Swap Counterparty to the Swap Assignee under the Swap Agreement and not paid by the Issuer on or prior to the Early Termination Date (as defined in the Swap Agreement) of the Swap Transaction (the "**Swap Unpaid Assigned Amount**"). Following such a termination, any payments of the Swap Unpaid Assigned Amounts by the Issuer to the Swap Assignee will be made in accordance with the applicable Priority of Payments.

Accordingly:

- (i) if a Swap Trigger has not occurred, any payment of Unpaid Assigned Amounts (if any) payable by the Issuer to the Swap Assignee will be made in accordance with item (v) of the Pre-Enforcement Priority of Payments, or, as applicable, item (v) of the Post-Enforcement Priority of Payments; and
- (ii) if a Swap Trigger has occurred, any payment of Unpaid Assigned Amounts (if any) payable by the Issuer to the Swap Assignee will be made in accordance with item (ix) of the Pre-Enforcement Priority of Payments, or, as applicable, item (ix) of the Post-Enforcement Priority of Payments.

See "*The Seller and Swap Counterparty*" below.

THE PORTFOLIO

Claims comprising the Portfolio have been selected on the basis of certain criteria, which are summarised under "*The Transfer Agreement and the Transfer Deeds*" below and which were published on 9 January 2007 in No. 3 *Parte II* of the Official Gazette of the Republic of Italy (*Gazzetta Ufficiale della Repubblica Italiana*) and registered with the competent companies' register as required by the Securitisation Law.

Introduction

The Healthcare System of the Region of Abruzzo

The Health Authorities (*Aziende Unità Sanitarie Locali*) were established pursuant to legislative decree No. 502 of 30 December 1992, as subsequently amended ("**Decree 502**"). The Health Authorities result from the transformation into *aziende* with a public legal personality and commercial autonomy of the *unità sanitarie locali* (entities which previously provided healthcare services, established by Regional Law No. 10 of 15 February 1980). The Health Authorities do not have corporate capital but have an endowment fund (*fondo di dotazione*) established by the relevant region. The activities and functions performed by the Health Authorities must be carried out in an efficient and cost-saving way, in compliance with the applicable budgetary constraints and with the provisions of national and regional legislation as well as according to the *atto aziendale* (i.e. special resolution containing general rules governing the activity of the relevant Health Authority) adopted by the general manager (*direttore generale*) of each Health Authority.

The Health Authorities are obliged, *inter alia*, to prepare an annual and multi-annual financial budget as well as an annual financial statement, to maintain accounting records to enable a comparative analysis of their expenses, income and results of operations, to allocate their own resources and to determine means of covering their deficit. Each of the Health Authorities approves its financial statements within four months following the end of each financial year. The annual and multi-annual financial budget together with the annual financial statement of the Health Authorities are subject to control by the relevant region. Pursuant to regional law No. 146 of 24 December 1996, as subsequently amended ("**Regional Law No. 146**"), the Region has implemented the re-organisation of its healthcare service, including the establishment of the Health Authorities, in compliance with the provisions of Decree 502. Regional Law No. 146, implementing Decree 502, established, within the Region's territory, the following Health Authorities: *Azienda Unità Sanitaria Locale di Avezzano Sulmona*; *Azienda Unità Sanitaria Locale di L'Aquila*; *Azienda Unità Sanitaria Locale di Pescara*; *Azienda Unità Sanitaria Locale di Lanciano Vasto*; *Azienda Unità Sanitaria Locale di Teramo*; and *Azienda Unità Sanitaria Locale di Chieti*.

Pursuant to Decree 502 and Regional Law No. 146, the corporate structure of the Health Authorities includes a general manager (*direttore generale*) and a board of auditors (*collegio dei revisori*). The general manager (*direttore generale*) is responsible for adopting the resolutions and for the management of the Health Authorities. In the performance of his duties the general manager (*direttore generale*) is assisted by an administrative director (*direttore amministrativo*) and a healthcare director (*direttore sanitario*), both appointed by him, who are directly responsible for the functions they have been delegated and have decision-making responsibilities together with the general manager (*direttore generale*). The general manager (*direttore generale*) is also in charge of decisions relating to the entering into loans and borrowings within the limits set forth in the applicable regional and State legislation.

Regional Law No. 146 provides that the board of auditors (*collegio dei revisori*) of each Health Authority is composed of three members; one appointed by the Regional Board (*Giunta Regionale*), one by the Ministry of the Economy and Finance and the third by the Major or by the conference of Majors. The board of auditors (*collegio dei revisori*) supervises the conformity of the Health Authorities accounts with applicable standards and it is entitled to make comments on the resolutions of the general manager (*direttore generale*) as well as to conduct on-site examinations of any Health Authority's corporate documents. Pursuant to article 45 of Regional Law No. 146, any movable and immovable assets formerly belonging to municipalities and directed to the *unità sanitarie locali* prior to their transformation into Health Authorities, were transferred to the Health Authorities.

Resolution 786

On 14 July 2006, pursuant to Regional Board Resolution (*Delibera della Giunta Regionale*) No. 786 ("**Resolution 786**"), the Regional Board (*Giunta Regionale*) of the Region approved a plan for the restructuring of the healthcare deficit and, in particular and among others, the indebtedness of the Health Authorities towards the Original Creditors and their assignees for the period between 1 January 2005 (included) and 31 December 2005 (included). In particular, pursuant to Resolution 786, the Health Authorities and the Region were authorised to enter into framework agreements (*accordi quadro*) (the "**Framework Agreements**") with the Original Creditors and/or associations representing the Original Creditors (*associazioni di categoria*) and certain financial institutions designated by the Original Creditors as assignees of their Claims (each such financial institution, an "**Assignee**"). See the subparagraph headed "*The Framework Agreements*" in this Section.

The Framework Agreements

Pursuant to Resolution 786, the Region, the Health Authorities, the Original Creditors and/or associations representing the Original Creditors (*associazioni di categoria*) and the Assignees entered into several Framework Agreements. Under the Framework Agreements, the Region, the Health Authorities, the Original Creditors and/or associations representing the Original Creditors and the Assignees agreed, *inter alia*: (a) on the certification process to be carried out by the Health Authorities, the Region or F.I.R.A. S.p.A., as appropriate, of the amounts due by the Health Authorities to the Original Creditors for the sale and supply of medical products and healthcare services (the "**Certification Process**"); (b) on the procedure to be followed for the entering into the Settlement Agreements between the Region, the Health Authorities and the Original Creditors after completion of the Certification Process; and (c) on the financial terms of the Settlement Agreements.

The Settlement Agreements

Pursuant to Resolution 786 and the Framework Agreements, the Original Creditors, the Health Authorities and the Region entered into the Settlement Agreements under which:

- (a) it is confirmed that the Health Authorities completed, before the execution of the Settlement Agreements, the Certification Process in respect of the claims relating to the sale and supply of medical products and healthcare services;
- (b) the parties agreed to settle pending litigation in respect of the claims under (a) above;
- (c) each of the Health Authorities agreed to pay: (i) the face amount for the claims which have been certified by them in accordance with the Certification Process; (ii) an additional

interest amount (the "**Deferral Interest**") from the date of execution of the relevant Settlement Agreement to the date of issuance of the Delegations of Payment, such interest rate increasing in the case of late execution of the Delegation of Payments; and (iii) an additional amount (*importo forfetario*) to be calculated with reference to the aggregate of the certified face amount of the claims and the relative Deferral Interest at the yield on the BTP 1 August 2014, plus a margin. The sum of the amounts under (i), (ii) and (iii) above shall be paid by the Health Authorities in 30 semi-annual instalments (the "**Repayment Instalments**") on each 4 December and 4 June of each year as follows:

Healthcare authority	Delegation of Payment total amount	Repayment instalment
<i>ASL di L'Aquila</i>	€14,719,351.19	€490,645.04
<i>ASL di Chieti</i>	€60,322,516.10	€2,010,750.54
<i>ASL di Pescara</i>	€39,045,571.30	€1,301,519.04
<i>ASL di Teramo</i>	€38,618,948.84	€1,287,298.29
<i>ASL di Avezzano-Sulmona</i>	€43,140,947.71	€1,438,031.59
<i>ASL di Lanciano-Vasto</i>	€31,260,811.96	€1,042,027.07
Total	€227,108,147.11	€7,570,271.57

- (d) each of the Health Authorities agreed to issue Delegations of Payment against the Region and the Region agreed to accept them and to pay the Repayment Instalments; and
- (e) each of the Health Authorities and the Region accepted in advance any future transfers of claims arising out of the Settlement Agreements from the Original Creditors to an Assignee, for the purposes of articles 69 and 70 of the Royal Decree No. 2440 of 18 November 1923 (*adesione preventiva*).

The Delegations of Payment

On 4 December 2006, each of the Health Authorities (*delegante*) issued autonomous, abstract, irrevocable and unconditional delegations of payment (*delegazioni di debito*) in favour of the relevant Assignee (*delegatario*) pursuant to article 1268 *et seq.* of the Italian civil code accepted by the Region (*delegato*), whereby the latter has irrevocably and unconditionally undertaken to pay, in 30 (thirty) equal semi-annual instalments, the sums due by each of the Health Authorities to the Original Creditors or any Assignee of such claims pursuant to the terms of the Settlement Agreements.

Under each Delegation of Payment, the Region has (i) accepted in advance any future transfers of claims arising out of such Delegation of Payment from the relevant Assignee to further assignee of such claims, for the purposes of articles 69 and 70 of the Royal Decree No. 2440 of 18 November 1923 (*adesione preventiva*); and (ii) waived the right to raise any objections towards the Original Creditors and any other assignee of the claims arising from such Delegations of Payment, including, without limitation, any objections relating to any legal relationship between the Region and the relevant Health Authority, the legal relationship between the Original Creditors and the relevant Health Authority and the legal relationship between the Region and the Original Creditors.

The Region, by way of general decree of the *Direttore Regionale della Sanità* and registration of expense commitment (*impegno di spesa*), ensured proper accounting evidence to its payment obligations arisen under the Delegations of Payment.

The Health Authorities

The Health Authorities which entered into the Settlement Agreements with the Original Creditors are:

1. *Azienda Unità Sanitaria Locale Avezzano Sulmona;*
2. *Azienda Unità Sanitaria Locale L'Aquila;*
3. *Azienda Unità Sanitaria Locale Pescara;*
4. *Azienda Unità Sanitaria Locale Lanciano Vasto;*
5. *Azienda Unità Sanitaria Locale Teramo;* and
6. *Azienda Unità Sanitaria Locale Chieti.*

THE REGION OF ABRUZZO

This section is reported herein in its entirety as it appears in the Base Prospectus for the €1,250,000,000 Euro Medium Term Note Programme of the Region dated 19 December 2005 and all information provided therein, unless otherwise specifically indicated therein, is as of such date. Such information has not been independently verified by the Lead Manager, the Issuer, the Seller or any other party to any of the Transaction Documents (as defined below) and none of the Issuer, the Lead Manager, the Seller or any other party to any of the Transaction Documents (as defined below) has any responsibility for the truth, faithfulness, accuracy, completeness and updating thereof or otherwise. None of the Issuer, the Lead Manager, the Seller or any other party to any of the Transaction Documents (as defined below) has performed or will perform any due diligence exercise in connection with the Region.

General

The Region of Abruzzo (the "**Region**" or "**Abruzzo**") is located in the central part of the Republic of Italy on the Adriatic coast. The Region occupies an area of approximately 10,947 square kilometres and is divided into 4 provinces: L'Aquila, Pescara, Chieti and Teramo. With a population of approximately 1.3 million as of 31 December 2003, representing less than 3 per cent. of the total population of Italy, Abruzzo is one of the smallest regions in the country.

L'Aquila is the main administrative centre of the Region, with a population of approximately 70,000 at 31 December 2004.

The principal office of the Region is located at Via Leonardo da Vinci 1, 67100 L'Aquila (Italy).

Governmental Organisation

Introduction

Italy has been a democratic republic since 2 June 1946. Its government is organised territorially and administratively on national, regional and local levels. Legislative, executive and judicial powers are exercised at the national level by Italy's Parliament, central government and judicial authorities, respectively (together the "**Central Government**") in certain matters, legislative and executive powers are exercised at local level by Italy's regions (*regioni*, of which there are 20), provinces (*province*, of which there are 103) and municipalities (*comuni*, of which there are 8,103).

In addition, the establishment of fourteen metropolitan cities (*città metropolitane*) has been authorised which, once functional, will exercise certain administrative and executive powers.

Of Italy's 20 regions, 15 operate under an ordinary degree of regional autonomy and are referred to as ordinary regions, while five regions (Friuli Venezia Giulia, Sicily, Sardinia, Trentino Alto Adige and Valle d'Aosta) are regulated by special statutes which provide these regions with greater autonomy and wider legislative powers, classifying them as special regions. Abruzzo is an ordinary region and was established in 1970.

Relationship Between the Central Government and the Regions

The Italian Constitution was originally approved in 1947 and entered into effect in 1948. It sets forth the basic principles under which Italy is governed. The Italian Constitution, as amended in 2001 by Constitutional Law No. 3 of 18 October 2001 (the "**Constitutional Law**"), reserves to the Central Government exclusive powers to act in certain areas, including foreign policy and international relations, immigration, defence, armed forces, security and economic and monetary policy. In addition, the Italian Constitution grants ordinary regions and the Central Government concurrent legislative powers with respect to certain matters, including international relations of regions (which encompass relations with the European Union), foreign trade of the regions and certain aspects of education. The Italian Constitution also now grants the regions exclusive legislative powers on all those matters which are not expressly and specifically reserved, either exclusively or concurrently, to the Central Government.

The Central Government may decide upon the request of a region and after having consulted with provincial, metropolitan and municipal bodies, to grant to such region further autonomy in matters where both the regions and the Central Government have concurrent powers and in matters where the Central Government currently has exclusive powers.

The Constitutional Law also provides the regions with a role in international affairs. The laws allow regions to participate in the decision-making process of the European Union, for matters within the powers of the regions and to implement international agreements within the framework established by the Central Government. In addition, it provides for greater participation by the regions in Central Government processes. The new law envisages the enactment of regulations which will allow regions, provinces, metropolitan cities and municipalities to participate in parliamentary commissions in relation to matters within their competence.

Regions must exercise their powers in accordance with the basic principles established by the Central Government, the European Union and the international obligations of the Central Government.

In 1997, the Italian Parliament enacted a law, known as the Bassanini Law, which empowers the Central Government to implement a series of legislative decrees aimed at devolving to the regions many of the administrative powers historically exercised by the Central Government. A number of these legislative decrees have already been enacted and administrative powers relating to certain areas have been transferred to the regions. These areas include agriculture, labour, transportation, trade and industry. The Region has subsequently delegated some of these new responsibilities to its provinces and municipalities.

The Central Government is in the process of providing for the transfer of funds and personnel to the regions in order to support the new responsibilities. The regions received most of the funding in relation to their new responsibilities and are under no obligation to perform these functions until the funds, personnel and materials have been received. In relation to funding, the Central Government has also introduced a number of legislative measures delegating to the regions certain tax-raising authority to assist the regions in financing the new functions. See "Financial Information of the Region - Financial Federalism" for a more detailed discussion of the extent of the Region's fiscal autonomy.

Regional Administration

Local Government

General

The Region, like all ordinary Italian regions, is managed by a Regional Council (*Consiglio Regionale*) and a Regional Board (*Giunta Regionale*), chaired by a Regional President (*Presidente della Giunta Regionale*).

The Region's by-laws, approved in 1971, provide, among other things, for the internal organisation of the Region, its legislative and regulatory functions as well as the relationship between the Region and local entities (such as provinces and municipalities). Under the Italian Constitution, the regions have the power to adopt by-laws to be approved by a regional law and no longer by a Central Government law.

The Regional Council

Regional Councils, which are modelled on the Italian Parliament but which have only one chamber, have legislative and regulatory functions and are composed of up to 80 Regional Councillors (*Consiglieri Regionali*), depending on the population of the region that they represent. Regulatory functions which were exercised by the Regional Councils are now in the process of being transferred to the Regional Board. The Regional Council of Abruzzo is composed of 40 Regional Councillors each of whom are elected by popular vote. The electoral system requires that 80 per cent. of the Regional Councillors must be elected from provincial lists in exact proportion to the votes received by the political parties to which the candidates belong. The remaining 20 per cent. of the Regional Councillors are elected by constituents on a majority basis. Elections are held every five years.

The Regional Council has responsibility for the Region's policy (together with the Regional President) and regulation. In particular, the Regional Council is responsible for approving regional by-laws and regional laws (to the extent permitted by its powers), the Region's accounts and budgets and the Region's investment programmes. It is also responsible for determining the level of certain local taxes (within a range provided by the Central Government) as well as the maximum amount of debt financing, subject to limits imposed by the Central Government and regional laws.

The following table shows the political party affiliations of the Regional Councillors elected in the year 2005. A centre-left coalition led by Mr. Ottaviano Del Turco has obtained the majority of votes.

Majority

Political Party	Seats
Democratici di Sinistra	8
Margherita	7
SDI	3
Rifondazione Comunista	2
UDEUR	2
Italia dei Valori	2
Comunisti Italiani	1
Verdi	1

Unione	1
Total Majority	27

Opposition

Political Party	Seats
Forza Italia	5
Alleanza Nazionale	4
Unione Democratica di Centro	3
DC	1
Total Opposition	13

Source: Region of Abruzzo

The Regional President

The Central Government introduced a constitutional reform in 1999 which provided for the election of the Regional President directly by popular vote. Prior to 1999, the Regional President was elected by the Regional Council. The first election of the Regional President by popular vote was held in Abruzzo in the year 2000, together with the election of Regional Councillors. The Regional Elections held in April 2005 gave a majority of votes to Mr. Ottaviano Del Turco, who is supported by a centre - left coalition. The Regional President is responsible for, among other things, representing and acting on behalf of the Region, issuing regional laws and rules, overseeing administrative functions delegated from the Central Government, calling and chairing meetings of the Regional Board and supervising regional services administered by the Regional Board, appointing the members of the Regional Board, assigning duties to Regional Board members and calling regional referenda.

The Regional Board

The Regional Board is the managerial body of the regional government and is responsible for drawing up budgets and financial reports, as well as for determining the pluri-annual budget. The Regional Board of Abruzzo currently consists of 11 members (the Regional President and 10 other ministers (assessori)). Members of the Regional Board are appointed by the Regional Council. They serve terms of five years and can be replaced by the Regional President. The Regional Board is also responsible for the Region's administration within the limits set forth in the Italian Constitution, the Region's by-laws and the Region's regional laws. In particular, the Regional Board is responsible for preparing the Region's accounts and budgets, enacting relevant resolutions of the Regional Council, preparing the Region's plans and programmes, approving its contracts and managing its assets. See "Financial Information of the Region" for a more detailed discussion on the Region's budgets.

Employees of the Region

The Region had a staff of 1,788 as at 31 December 2003. The following table shows the actual number of employees of the Region and the associated cost for the period indicated:

Year ended 31 December,				
1999	2000	2001	2002	2003

	<i>(euro millions)⁽¹⁾</i>				
Staff (number)	1,869	1,824	1,863	1,725	1,788
Cost (euro millions) ⁽¹⁾	71.8	70.2	73.0	74.7	81,0

(1) Solely for the convenience of the reader, euro amounts prior to 1 January 1999 have been translated from Italian Lira into euro assuming the conversion rate of €1 = Lit. 1,936.27.

Source: Region of Abruzzo

Relationship between the Region and the European Union

General

Italy is a founding member of the European Economic Community, which now forms part of the European Union. The European Union member states have agreed to delegate sovereignty for certain matters to independent institutions that represent the interests of the European Union as a whole, its member states and their citizens.

European Union Funding for the Region

As a region of a member state of the European Union, the Region is entitled to apply for support from the European Union. Financial support from the European Union is given on the basis that such funds are matched by funding from the relevant central government. The Region currently receives funds from the European Union under seven European Union support programmes. These programmes provide for regional support primarily in the two following areas:

- development assistance in specific industrial and service sector areas, which the European Union determines to be in decline based on certain eligibility criteria; and
- professional development and training programmes in the Region in order to promote employment.

The programmes also provide support in five other areas.

For the period 2000 to 2006, the Region is expected to receive total funding from the European Union and the Central Government of €1,145 million (excluding monies received under the European Union's common agricultural policy). As at 31 December 2002, the Region had actually received €109 million. Funds in relation to the period 2000 to 2006 do not include funds in relation to agriculture which are now covered under the European Union's common agricultural policy, described below.

For the period 1994-1999, the Region was allocated, under these programmes, total funds from the European Union and the Central Government of approximately €490 million, primarily to support agriculture, commerce, industry, transport and culture. As at 31 December 2001 all of these funds had already been received and applied principally to projects relating to employment, education and training and rural infrastructure.

Funds committed by the European Union must be utilised, in each year, in connection with specific programmes. Where funds are not applied in accordance with European Union specifications within the two years following the relevant year, the unpaid allocations will be forfeited and any prepaid funds must be returned to the European Union.

In addition to the European Union funding described above, the Region benefits from the European Union's common agricultural policy, or CAP, which co-ordinates policy within the European Union in respect of agricultural production and provides aid to encourage the development of specific agricultural industries. Funds transferred to the Region under the CAP to businesses in the agricultural sector amount to approximately €45 million per year.

The Region is represented by the Central Government in its relations with the European Union.

Relationship Between the Region and Other Regions

The co-operation and development office of the Region co-ordinates various activities, including the economic and commercial activities of the Region, with the other regions or with foreign countries. The regions co-operate mostly with respect to transportation, protection of the environment, agricultural activities, cultural promotion and tourism.

Major Activities

Regions are empowered to address general economic and social issues within their respective territories and are responsible for co-ordinating local administration through the provinces and municipalities and providing resources to finance provincial and municipal investment programmes. Each region's primary role is to allocate regional funds and funds transferred from the Central Government to specific sectors and among the provinces and municipalities (see "Financial Information of the Region").

Healthcare

One of the principal sectors in which the Region is involved is the provision and funding of healthcare. The Region, through co-ordination with the local healthcare units (*aziende unità sanitarie locali* or ASLs), oversees the administration of the Region's public and private hospitals and health service providers. The Region is responsible for setting guidelines for health services and planning and implementing healthcare related programmes and initiatives, such as emergency transport services, within the framework of national standards set forth by the Central Government. Historically, regional healthcare was funded by direct transfers by the Central Government to the Region from the National Healthcare Fund. The Central Government required that funds transferred to the Region be utilised in three general healthcare levels (prevention, hospitals and territorial assistance). In order to address the significant deficits in healthcare funding which have accrued in regional budgets, the Central Government is in the process of devolving increased powers in respect of healthcare policy to the regions and significant steps have already been taken. In 2001, the National Healthcare Fund was abolished and replaced by a system which grants to the regions increased tax-raising powers (see "Financial Information of the Region - Healthcare Deficits").

The following table sets forth data relating to the amounts provided by the Region to private hospitals for health and diagnosis services:

Year ended 31 December,

	1998	1999	2000	2001	2002	2003
	<i>(euro millions)⁽¹⁾</i>					
Financings	116	114	123	128	113	113

(1) Solely for the convenience of the reader, euro amounts prior to 1 January 1999 have been translated from Italian Lira into euro assuming the conversion rate of €1 = Lit. 1,936.27.

Source: Region of Abruzzo

Transport

The Region allocates funds received from the Central Government to the provinces and municipalities for general transport needs within their respective territories, such as traffic control and road maintenance, and for specific capital programmes established by the Central Government which must be implemented by the respective municipalities. Transfers from Central Government to the regions for transportation are based on the territory of the region and the number of its inhabitants. The Region's role in transportation has been greatly expanded recently as powers in this area have been transferred from the Central Government to the Region.

Local companies

The Region presently is the sole shareholder of ARPA S.p.A., the regional transport company, and also holds minority interests in other small local companies.

Significant Assets

As of 31 December 2003 the total assets of the Region were valued at €4,443 million.

In particular, real estate was equal to €97 million, of which €79 million corresponded to non-disposable assets and €18 million corresponded to disposable assets. Shareholdings of controlled or associated companies were equal to €17 million, movables to €35 million, liquid assets to €162 million and accrued income and other receivables, representing approximately 90.8 per cent. of the total assets of the Region, were equal to €4,035 million.

THE ECONOMY OF THE REGION

This section is reported herein in its entirety as it appears in the Base Prospectus for the €1,250,000,000 Euro Medium Term Note Programme of the Region dated 19 December 2005 and all information provided therein, unless otherwise specifically indicated therein, is as of such date. Such information has not been independently verified by the Lead Manager, the Issuer, the Seller or any other party to any of the Transaction Documents (as defined below) and none of the Issuer, the Lead Manager, the Seller or any other party to any of the Transaction Documents (as defined below) has any responsibility for the truth, faithfulness, accuracy, completeness and updating thereof or otherwise. None of the Issuer, the Lead Manager, the Seller or any other party to any of the Transaction Documents (as defined below) has performed or will perform any due diligence exercise in connection with the Region.

The following discussion of the economy of the Region is based on data provided by ISTAT (*Istituto Nazionale di Statistica*) and SVIMEZ (*Associazione per lo Sviluppo dell'Industria nel Mezzogiorno*), except as otherwise indicated.

The Region maintains its statistical economic indicators based upon Gross Domestic Product, or GDP, and Gross Added Value, or GAV. GDP is the measure used for Italy as a whole. GAV is equivalent to GDP excluding value added tax, or VAT, and net import tax.

The Region's GDP growth rate has been slightly below the northern and central regions and better than national average over the last ten years.

For the year ended 31 December 2003, activity within the Region generated €24,470 million, or approximately 1.8 per cent. of Italy's total GDP in current prices. The annual average growth rate in GDP in the Region since 1995 has been 1.2 per cent. in real terms compared to 1.87 per cent. for Italy as a whole. The Region's GDP per capita in 2003 was approximately €15,267 in current prices which compares to approximately €22,365 for Italy as a whole during the same year (*sources: Region of Abruzzo and Istituto Tagliacarne, respectively*).

The Region ranks 13th according to the 2003 GDP per capita ratio, which is slightly below the national average but much better than the Southern Italy ratio.

The following table shows GDP per capita in current prices in the Region and in Italy as a whole from 2001-2003.

GDP Per Capita

	Year ended 31 December,		
	2001	2002	2003
Abruzzo	15,483	15,315	15,267
Italy	21,053	21,688	22,365

- (1) Solely for the convenience of the reader, euro amounts prior to 1 January 1999 have been translated from Italian Lira into euro assuming the conversion rate of €1 = Lit. 1,936.27.

Source: ISTAT and Svimez

The following table provides a breakdown of the Region's nominal GDP at current prices for the periods indicated.

GDP of Abruzzo

	Year ended 31 December,			
	2000	2001	2002	2003
	<i>(euro millions except percentages)</i>			
GDP	21,935	22,863	23,753	24,47
Net Imports of Goods and Services	1,385	1,205	1,280	1,398
Total Available Resources	23,321	24,067	25,033	25,874
Consumer Expenditure	13,731	14,243	14,602	15,087
Public Expenditure	4,640	5,143	5,387	5,614
Total Internal Consumption	18,371	19,386	20,091	20,808
Gross Fixed Investment	4,625	4,695	4,882	4,977
Inventory Adjustments	325	(13)	60	87
Total	23,321	24,067	25,033	25,874
Nominal GDP Growth	5.4%	5.6%	3.7%	0.3%
Real GDP Growth	3.7%	3.1%	0.1%	-0.1%

Source: ISTAT

The following table sets out average annual real GDP growth rates for the periods indicated.

	Real Growth Rates	
	Region	Italy
1991-1995	1.1%	1.1%
1995-2000	1.6%	1.9%
1996-2001	2.2%	2.2%
1999-2003	1.4%	1.1%

Source: ISTAT

Principal Sectors of the Region's Economy

The following table shows the historical trend and the contribution of each sector to value added at factor cost ("GAV") measured in current prices for the Region for the periods indicated.

	Year ended 31 December,		
	2001	2002	2003
	<i>(euro millions)⁽¹⁾</i>		
Agriculture	827.9	862.7	849.1
Industry	6,210.5	6,245.3	6,369.3
Services	14,126.2	14,887.2	15,539.8
Total GAV including imputed banking services	21,164.7	21,995.2	21,889.0
Imputed Banking Services	755.5	771.2	869.1
Total GAV excluding imputed banking services	20,409.2	21,224.0	22,758.1

Net indirect taxes	2,453.5	2,529.0	2,586.0
GDP at current market prices	22,862.7	23,753.0	24,475.0

- (1) Solely for the convenience of the reader, euro amounts prior to 1 January 1999 have been translated from Italian Lira into euro assuming the conversion rate of €1 = Lit. 1,936.27.

Source: ISTAT

In 2003, the service, industry and agriculture sectors contributed 68.5 per cent., 27.8 per cent. and 3.8 per cent., respectively, to the total GAV of the Region for that period.

Industrial Sector

The industrial sector of the Region consists primarily of domestic and foreign companies, mainly operating in the electronic, textile, metal-mechanic, construction and pharmaceutical sectors. Over the most recent years the Region has become a very important contributor in the above-mentioned industry sectors.

Manufacturing

Manufacturing is the key industrial sector, increasing its share of the industrial GAV up to approximately 73.5 per cent. in 2003.

The following table provides the percentage contribution of the main manufacturing categories to the manufacturing GAV of the Region for the periods indicated, based on the latest statistics available.

	Year ended 31 December,				% of 2003 Industrial GAV
	2000	2001	2002	2003	
	<i>(euro millions)⁽¹⁾</i>				
Manufacturing	4,527.2	4,646.1	4,644.90	4,682.6	73.5%
Non-Metal Mineral and Products	547.6	552.3	592.80	520.7	8.2%
Chemical/Pharmaceutical Goods	386.4	379.5	371.70	596.8	9.4%
Metal and Machines	470.1	477.8	490.30	1,681.5	26.4%
Means of Transport	1,235.1	1,271.4	1,273.40	1,256.1	19.7%
Food, Drinks and Tobacco	486.7	503.2	580.60	605.2	9.5%
Textile, Clothing, Shoes and Leather	594.1	641.7	592.20	495.6	7.8%
Paper, Press and Publishing	269.5	288.4	306.10	326.9	5.1%
Wood/Rubber/Others	444.5	434.2	437.20	425.4	6.7%
Construction	1,001.3	1,031.6	1,083.40	1,121.2	17.6%
Mining/mineral extraction	101.8	76.4	66.10	69.7	1.1%
Energy	434.2	456.4	451.00	495.7	7.8%
Total	6,064.5	6,210.5	6,245.30	6,369.3	100.0%

- (1) Solely for the convenience of the reader, euro amounts prior to 1 January 1999 have been translated from Italian Lira into euro assuming the conversion rate of €1 = Lit. 1,936.27.

Source: ISTAT

Service Sector

Over the last five years the historical trend highlights the increasing importance for the Region of the service sector, maintaining a level of approximately 66 per cent. of total GAV for each year during the period.

Tourism

Within the Region's service sector, tourism is one of the most important businesses, due to the number of natural parks of the Region and the winter resorts which provide extensive ski facilities.

As at 31 December 2004, the Region had 808 hotels with 49,140 beds.

The Region annually accounts for over 1.4 million arrivals and over 6.9 million presences. The following table shows tourist movement for the years from 2001 to 2004.

Tourist movement in Abruzzo: 2001-2004						
Years	Italians		Foreigners		Total	
	Arrivals	Presences	Arrivals	Presences	Arrivals	Presences
Hotels						
2001	1,005,000	4,074,789	134,641	621,749	1,139,641	4,696,538
2002	1,017,964	4,156,774	142,423	644,689	1,160,387	4,801,463
2003	1,102,146	4,485,233	131,359	606,951	1,233,505	5,092,184
2004	1,096,737	4,305,666	138,993	613,175	1,235,730	4,918,841
Non-hotels						
2001	134,792	1,573,619	43,608	399,138	178,400	1,972,757
2002	136,832	1,633,760	46,831	420,792	183,663	2,054,552
2003	149,067	1,699,665	37,130	333,376	186,197	2,033,041
2004	153,553	1,695,320	36,049	319,055	189,602	2,014,375
Total						
2001	1,139,792	5,648,408	178,249	1,020,887	1,318,041	6,669,295
2002	1,154,796	5,790,534	189,254	1,065,481	1,344,050	6,856,015
2003	1,251,213	6,184,898	168,489	940,327	1,419,702	7,125,225
2004	1,250,290	6,000,986	175,042	932,230	1,425,332	6,933,216
Percentage variations 2001-2004						
Hotels	9.1	10.9	3.2	-0.1	8.4	4.7
Non-hotel	1.4	10.2	-17.3	-20.0	6.2	2.1
Total	9.6	6.2	-1.8	-8.6	8.1	3.9

Source: Region of Abruzzo

Funds available in the budget for the year 2003 for current and capital expenditures for tourism amount to approximately €16 million. EU contributions to improve the sector of tourism amount to approximately 20 per cent., on average, of such capital cashflow.

Currently there are 401 public purification plants. The Regional Plan for water depuration is expected shortly to achieve the target of 491 purification plants in the entire territory of the Region. The Region has launched a plan during the first half of 2003 for the purpose of accelerating the achievement of such target.

Transportation

Despite its small size, the Region has a good endowment of railways and roads. As at 31 December 2002, the road network in the Region was equal in aggregate to 22,042 kilometres of roads.

The railroad network is equal to 689 kilometres corresponding to 3.53 per cent. of the aggregate national network.

In 2000, 1 million tons of merchandise was shipped through the Region's harbour of Ortona, 300,000 tons through the harbour of Pescara and 300,000 tons through the harbour of Vasto.

In 2002, about 300,000 passengers moved from and to the regional airport, located near Pescara.

Agricultural, Cattle-Breeding and Fishing Sectors

The Region occupies an area of approximately 1,276,040 hectares or 3.5 per cent. of Italy. According to the 2001 census, land used for agriculture was equal to 428,802 hectares. Land used for cattle-breeding was equal to 186,340 hectares.

During 2003, the agricultural sector GAV totalled €851,1 million at current prices, equal to 3.76 per cent. of total GAV. Wheat growing accounts for over 10 per cent. of land used for agriculture, vegetables growing for 3 per cent. and olives growing for 9 per cent. Wines account for approximately 7.5 per cent. of the land used for agriculture.

During 2003, there were over 4,795 bovine farms, 9,029 swine farms, 6,554 ovine and caprine farms and 3,593 poultry farms operating in the Region.

Inflation

The table below shows average annual percentage increases in the consumer price index ("CPI") in L'Aquila and Italy for each of the years indicated.

	Years ended 31 December,				
	1999	2000	2001	2002	2003
L'Aquila	1.2%	2.0%	2.8%	2.5%	2.4%
Italy	1.6%	2.6%	2.7%	2.8%	2.5%

Source: ISTAT

Employment

As at the end of 2004, approximately 484 thousand people in the Region were employed. In 2003, the Region's unemployment rate (5.3 per cent.) was below the national average (8.7 per cent.). Such a result was also confirmed by the latest labour force survey (June 2005), pursuant to which Abruzzo's unemployment rate results are equal to 6.8 per cent., compared to a national average of 8 per cent.

The following table provides average number information as to employment in the Region in each year from 1999-2004. All figures represent an average of the results from quarterly labour force surveys performed by ISTAT on a sample of households.

	(thousands)					
	1999	2000	2001	2002	2003	2004
Total Population	1,279	1,281.3	1,232.5	1,275.3	1,287	1,290
Labour Force	485	485	498	503	505	529
Number Employed	436	448	469	472	478	484
Number Unemployed	49	38	29	31	27	45
Unemployment Rate (%)	10.1	7.8	5.7	6.2	5.3	8.5

Source: ISTAT and SVIMEZ

Education and Research

In the Region there are three State universities, in L'Aquila, Teramo and Chieti (this last having a secondary seat).

Imports and Exports

In 2004, the Region imported goods valued at €3,687 million and exported goods valued at €6,060 million. In 2003, the Region imported goods valued at €3,674 million and exported goods valued at €5,344 million.

The following table shows for the period indicated the exports and imports of the Region both in their value in millions of euro and as a percentage of GDP.

	Year ended 31 December,									
	2000		2001		2002		2003		2004	
	%		%		%		%		%	
	(euro millions) ⁽¹⁾	GDP	(euro millions) ⁽¹⁾	GDP	(euro millions) ⁽¹⁾	GDP	(euro millions) ⁽¹⁾	GDP	(euro millions) ⁽¹⁾	GDP
Imported goods	3,967	18.3	3,887	16.8	3,926	16.5	3,674	15.0	3,687	n.a.
Exported goods	5,117	24.0	5,424	23.7	5,501	23.1	5,344	21.8	6,060	n.a.

(1) Solely for the convenience of the reader, euro amounts prior to 1 January 1999 have been translated from Italian Lira into euro assuming the conversion rate of €1 = Lit. 1,936.27.

Source: ISTAT and SVIMEZ

FINANCIAL INFORMATION OF THE REGION

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Summary

The general administration of the Region's finances is the responsibility of the Regional Board and the Regional Council. A number of regions of Italy, including Abruzzo, have passed a regional budget law setting out the process by which the region draws up and approves its budget for each financial year. As a governmental entity, the Region does not prepare its financial reports in accordance with generally accepted accounting principles but in accordance with accounting standards established by Legislative Decree No. 76 of 28 March 2000 ("**Legislative Decree No. 76**"), repealing Law No. 335 of 19 May 1976 ("**Law No. 335**"), and Regional Law No. 3 of 25 March 2002 (the "**Regional Budget Law**") nor does it prepare interim financial reports. The Regional Budget Law has been enacted in compliance with Legislative Decree No. 76. Legislative Decree No. 76 has also enabled regions to adopt a financial law (*legge finanziaria regionale*) similar to that prepared by the Central Government.

The Region's accounts are maintained on an accrual basis and according to the calendar year. Legislative Decree No. 76 and the Regional Budget Law require the Region to produce four kinds of financial reports, each due at different times. These reports are the provisional budget (*bilancio di previsione*), the pluri-annual budget (*bilancio pluriennale*), the pre-closing budget (*bilancio di assestamento*) and the actual financial report (*bilancio consuntivo or rendiconto generale*). The following is a summary of the process as set out in the Regional Statute and in the Regional Budget Law.

The Provisional Budget

The provisional budget is the Region's estimate of revenues and expenditures for the upcoming year. Regions are required to submit their provisional budgets to the Central Government prior to the beginning of the year to which such budget relates. However, in the event that prior to such date the provisional budget has not been approved yet by the Regional Council, many regions, including Abruzzo, may postpone completing their provisional budget by passing a temporary budget law (*gestione provvisorio*) based on a projected budget approved by the Regional Board, allowing them a maximum of a further four months to submit the provisional budget to the Central Government. The Region's provisional budget is initially drafted by the regional financial services department and is then sent to the Regional Board which submits it to the Regional Council for approval prior to 30 September of the year preceding the relevant year. The Region's provisional budget must then be approved within 15 December of the same year by the Regional Council with regional law which is then submitted to the Central Government Commissioner for review and must be approved or rejected within 30 days. Once approved by the Central Government, the provisional budget is published in the Regional Law Bulletin and enacted into law.

The provisional budget for the year 2005 was approved by the Regional Council on 8 February 2005 by Regional Law No. 7.

The Pluri-annual Budget

The pluri-annual budget is the Region's forecast of revenues and expenditures for the next three years and is approved together with the provisional budget.

Unlike the provisional budget, the pluri-annual budget is not considered operative and expenditures set forth therein are not deemed authorised.

The Pre-Closing Budget

The pre-closing budget represents an adjustment of the provisional budget. This adjustment results from the recording of actual revenues and expenditures during the year plus a final accounting adjustment as to amounts committed but not actually expended during the previous fiscal year (*residui*). The pre-closing budget should be submitted to the Regional Council by the Regional Board before 30 May of each year and should be approved by the Regional Council before 30 June of the same year.

The Financial Report

The financial report contains substantially the same financial information as the pre-closing budget, but also contains detailed notes and statistics not provided in the pre-closing budget. The financial report of the Region for any given fiscal year is submitted to the Regional Board and Regional Council for approval. The financial report for the year 2003 was approved by the Regional Council on 8 February 2005 by Regional Law No. 5. The financial report for the year 2004 is in the process of being approved.

The Financial Law

The financial law (*legge finanziaria*), as well as the law approving the provisional budget, establishes financial legislation and policy for the upcoming year and ensures consistency between the Region's programmes and objectives and the amount of revenues available to the Region in respect of the relevant financial period under current legislation. Specifically, the law prescribes:

- the maximum amount of indebtedness (which may be used solely for capital investment and to refinance existing debt incurred after 31 December, 1996) that the Region can incur during each year;
- any variations in the rates of existing taxes and duties from which the Region derives revenues;
- any refinancing of expenditures approved by previous regional legislation;
- any reduction in expenditures approved by previous regional legislation; and
- the amounts of expenditures required to be made pursuant to other regions legislation during each year covered by the pluri-annual budget.

The financial law does not create new taxes or duties but may authorise new or increased expenditures (but only to the extent that such expenditures are covered by new or increased revenues or offset by

reductions in existing authorised expenditures). The financial law is presented by the Regional Board to the Regional Council together with the draft pluri-annual budget and the provisional budget. Once approved by the Regional Council, the financial law is published in the Regional Law Bulletin and enacted into law.

Regional Treasurer (*Tesoriere Regionale*)

Regions in Italy are required to make all payments and collect all revenues through one or more agent banks acting as their treasurer (each a "**Treasury Bank**"). The Treasury Banks for the Region of Abruzzo are:

- Cassa di Risparmio della Provincia di L'Aquila (agent bank)
- Cassa di Risparmio della Provincia di Teramo
- Cassa di Risparmio della Provincia di Pescara
- Cassa di Risparmio della Provincia di Chieti

The Region holds an interest-bearing account at the Treasury Bank through which the Treasury Bank manages all outflows linked to the activity of the Region as well as most of the inflows, except for Central Government transfers which are credited directly into a deposit account at the Bank of Italy. Revenues exceeding 3 per cent. of the total regional revenue must be deposited by the Treasury Banks into the Bank of Italy's state treasury non-interest bearing account.

Revenues of the Region

The mix of the Region's current revenues has changed significantly in recent years. Until 1998, the Region's current revenues consisted primarily of transfers from the Central Government. As of 1998, however, Central Government transfers decreased significantly pursuant to the Bassanini Law and subsequent Italian laws which provide for increased control in the collection and spending of certain taxes at a regional level.

The enactment of these Italian laws has resulted in the transfer to regions and other local government entities of broad powers to assess and collect taxes within their boundaries and to share in certain Central Government tax revenues. The Central Government is currently considering proposals to transfer additional tax assessment and collection responsibilities to the regions. Currently, the Central Government collects two major taxes on behalf of the Region, a regional tax on production (*imposta regionale sulle attività produttive* or IRAP) and an income tax on individuals in addition to the one imposed by the Central Government (*imposta sul reddito delle persone fisiche* or IRPEF surtax). Since 2001, the regions have been entitled to set their own rates of IRAP and IRPEF surtax, within certain limitations prescribed by the Central Government. The Region's current rates of IRAP and IRPEF surtax are 4.25 per cent. and 0.9 per cent., respectively. Other taxes, such as a petrol tax (a tax levied on each litre of petrol sold in each region's territory), a waste disposal tax, a tax on mineral oils, a tax on natural gas consumption, a tax on university students in each region and a car registration tax are collected directly by the individual regions. See "*Financial Federalism*" below for a more detailed discussion of the extent of the Region's fiscal autonomy.

Central Government Transfers

Central Government transfers consist of restricted government amounts and available current revenues. Restricted government amounts consist of funds available only for designated purposes

while available current revenues consist of unrestricted funds that the Region can use at its discretion, including for the payment of principal and interest on outstanding debt. Central Government transfers to cover current expenditures represented approximately €657 million or 33 per cent., €665 million or 31 per cent. and €665 million or 31 per cent. and €757 million or 33 per cent. of the Region's current revenues in 2002, 2003 and 2004, respectively. Central Government transfers to cover capital expenditures represented approximately €516 million or 100 per cent., €451 million or 100 per cent. and €365 million or 92 per cent. of the Region's capital revenues in 2002, 2003 and 2004, respectively.

There can be no assurance that transfers from the Central Government will continue in the manner of, or in the amounts allocated in, the past. The Italian Parliament is continuing to examine proposals on political and financial federalism.

Taxes

Since 1998, certain Central Government transfers began to be replaced by proceeds of certain taxes collected at a regional level. These revenues consist largely of IRAP, IRPEF surtax and a portion of value added tax (VAT).

In 2001, the amount of current revenues derived from regional taxes increased, as compared to 2000, and Central Government transfers decreased, as compared to 2000, in relative terms. This trend has continued and, as a result, in 2002, transfers from the Central Government represented only approximately 31 per cent. of current revenues compared to 78 per cent. in 1997. A portion of the Region's direct tax revenues remains subject to Central Government restrictions for specified expenditures. However, since 2001, restrictions on revenues from the IRAP and IRPEF surtax (which are regional taxes) have been abolished. In the past, the Region was required to utilise 90 per cent. of IRAP and 100 per cent. of IRPEF surtax revenues towards healthcare, in order to compensate for the reduction in healthcare transfers from the Central Government.

In 2001, the regions became entitled to a portion of VAT equal to 25.7 per cent. of the overall revenues deriving from VAT. For 2001, the regions were entitled to a portion of VAT equal to 38.55 per cent. of overall VAT revenues. For 2002, the rate was at 37.39 per cent. while it was 38.69 per cent. for 2003 and 2004. For 2005 the rate still needs to be defined.

Healthcare Deficits

Healthcare has been the Region's largest single expenditure item, representing around 57 per cent. of total annual operating revenues over the last five years and 55 per cent. of the Region's total capital expenditures. Abruzzo, like other regions in Italy, until recently met healthcare expenditures through restricted government amounts. Each year, the Central Government transferred funds to the Region from the National Healthcare Fund. The National Healthcare Fund was abolished in 2001, leading to the creation of an annual national compensation fund into which all regions contribute a percentage of VAT revenues and then withdraw amounts based on regional characteristics (population, mortality rate, age etc.). Since 2001, the healthcare system has been funded through a combination of IRAP and IRPEF surtax revenues, VAT, the national compensation fund and other transfers from the Central Government. For the year 2003, for example, the Region is entitled to €1,673 million from the Central Government. The percentage of VAT allocated to the Region will vary in the future, subject to a mechanism designed to equalise revenues among the regions.

Historically, healthcare costs have been greater than healthcare revenues resulting in deficits at the regional level. Recently, the regions and the Central Government came to an agreement regarding additional funds to be transferred from the Central Government to the regions in order to assist the regions in covering past healthcare deficits. The Region estimates that it will receive approximately €1,723 million from the Central Government for 2004 towards healthcare expenditure and a similar amount in 2004.

	Healthcare Deficits					
	1998-1999	2000	2001	2002	2003	2004
	<i>(euro millions)⁽¹⁾</i>					
Region's healthcare deficit*	207	185	193	167	250	156
Already covered by the Region	105	150	107**	167**	61**	0
To be covered by the Region	-	-	-	-	189	139
Already covered by the State	103	35	-	-	-	17
To be covered by the State	-	-	86***	-	-	-

* *Net of NHF adjustments*

** *Effects of the securitisation*

*** *2001 NHF adjustment*

(1) Solely for the convenience of the reader, euro amounts prior to 1 January 1999 have been translated from Italian lira into euro assuming the conversion rate of €1 = Lit. 1,936.27.

Source: Region of Abruzzo

Financial Federalism

Prior to 1998, transfers of funds by the Central Government historically represented an average of between 80 per cent. and 90 per cent. of the revenues of the regions and the regions played a minor role in the collection of taxes. For example, in 1997, transfers from the Central Government represented approximately 78 per cent. of the Region's current revenues.

However, in recent years, the Central Government has transferred greater financial autonomy to the regions and other local authorities. Article 119 of the Italian Constitution, as recently amended by the Constitutional Law, provides, among other things, that:

- the regions have financial autonomy in connection with the expenditure of their resources and the determination of their revenues;
- the regions are entitled to establish and collect their own taxes and other revenues in conjunction with the general criteria of the Italian Constitution and in compliance with the principles of co-ordination of the public debt and the domestic tax systems; and
- the regions may incur or issue new debt only to finance capital investments. Such indebtedness cannot be guaranteed by the Central Government.

Following the enactment of a law and a legislative decree in 1999 and 2000, respectively, general criteria have been introduced aimed at changing the current system and providing, among other things, for:

- the cancellation of Central Government transfers except for certain specific instances;
- the authorisation to regions to receive, subject to the enactment of relevant provisions of law, a percentage of duties collected at state level (such as a percentage on VAT) on an increase of the existing tax transfers (such as the percentage of IRPEF surtax and the percentage of petrol tax currently received by the regions); and
- the establishment of a national compensation fund to be financed through the regional participations in VAT, with wealthier regions contributing a proportionally higher amount than less wealthy regions.

Revenues of the Region are now, in large part, derived from direct regional taxes and certain other revenues. These direct taxes include a petrol tax (a tax levied on each litre of petrol sold in each region's territory), a waste disposal tax, a tax on mineral oils, a tax on natural gas consumption, a tax on university students in each region and a car registration tax, as well as the tax on production activities (IRAP) and the marginal portion of income tax (IRPEF surtax). As a result of these changes, in 2004, transfers of funds by the Central Government (other than local taxes collected by the Central Government on behalf of the Region) represented only approximately 33 per cent. of the Region's current revenues.

Both the IRAP and IRPEF taxes are collected by the Central Government on behalf of the Region. The Central Government has established a guarantee fund from which it transfers an amount to Italian regions equal to the shortfall between the expected amount of IRAP and the marginal increase of IRPEF collections, on the one hand, and the amounts actually collected, on the other hand.

Revenues and Expenditures

The following table sets forth the current revenues and expenditures and the capital revenues and expenditures for the periods indicated.

	2000	2001	2002	2003	2004 [pre-closing]
	<i>(euro millions)</i>				
Current Revenues	1,686	2,167	2,144	2,187	2,283
Current Expenditures	1,743	2,075	1,812	2,133	2,200
Current Balance	(57)	93	332	54	82
Capital Revenues	187	428	516	451	397
Capital Expenditures	514	569	678	738	695
Capital Balance	(327)	(141)	(162)	(286)	(298)
Balance Before Financing	(384)	(49)	170	233	(216)
Net Borrowing	123	214	69	248	111
Budget Balance	(262)	166	238	16	(104)

Source: Region of Abruzzo

Current Revenues

The Region's current revenues consist of taxes, transfers from the Central Government and other current revenues. Historically, current transfers from the Central Government (including from the European Union) have represented the majority of regional current revenues as discussed above. As of 1998, however, Central Government transfers decreased significantly. In 2002 and 2003, the Region's revenues from Central Government transfers constituted approximately 31 per cent. and 30 per cent., respectively, of current revenues and total taxes represented approximately 68 per cent. in 2002 and 2003, of current revenues. Central Government taxes transferred from the Central Government constituted approximately 34 per cent. and 33 per cent., respectively, of the Region's current revenues in 2002 and 2003. In addition to tax revenues and current transfers, the Region also receives revenues from non-tax income such as rental income, and investments in commercial enterprises. See "*Financial Federalism*" for a more detailed discussion on the Region's fiscal autonomy.

The following table sets out a breakdown of current revenues for the periods indicated.

	Current Revenues				2004 [pre-closing]
	2000	2001	2002	2003	
	<i>(euro millions)⁽¹⁾</i>				
<i>Local Taxes</i>	621	719	743	785	803
Of which					
IRAP	453	507	529	551	559
IRPEF Surtax	45	83	89	103	106
Automobile Tax	92	100	98	100	108
Others	32	30	27	31	30
<i>Taxes from the State</i>	59	692	721	711	694
Of which:					
Petrol Tax	59	61	62	58	55
VAT Participation ⁽²⁾	-	631	659	653	639
<i>Transfers from the Central Government, the EU and others</i>	980	706	657	665	757
<i>Other Revenues</i>	25	50	23	26	28
Total Current Revenues	1,686	2,167	2,144	2,187	2,282

Source: Region of Abruzzo

(1) Since 2001, regions have been entitled, pursuant to law, to receive a percentage of VAT.

Taxes

The Region is entitled to receive taxes levied on petrol sold in its territory, car registrations, waste disposal, mineral oils, natural gas consumption, university students in each region and regional concessions. Since 1998, regions have been entitled to levy the new tax, IRAP, on business activity, replacing other taxes (ILOR, ICIAP, VAT registration, tax on companies' equity) as well as the additional personal income tax, IRPEF surtax. IRAP is currently collected by the Central Government and transfers are made to the regions based on previous years' transfers, with surpluses retained and deficits covered by the Central Government. Until 2001, regions were required to spend all IRAP revenues and almost all IRPEF surtax revenues on healthcare costs. Since 2001, the regions have had full autonomy on how to apply revenues from IRAP and IRPEF surtax. In 2003, approximately 34.6

per cent. of the Region's current revenues were represented by local taxes. The overall result is a greater fiscal autonomy for the Region and a correspondent decline in transfers from the Central Government (see "Financial Federalism").

Transfers from the Central Government

Central Government transfers in the past have been largely used to finance healthcare expenses in from the Region. Central Government transfers declined significantly in recent years, reflecting the introduction of IRAP and the general delegation of new responsibilities to the regions (see "*Financial Federalism*").

Other Current Revenues

Other current revenues include contributions, reimbursements and other minor items. Contributions and reimbursements refer mainly to transport and regional water property.

Current Expenditures

Current expenditures include personnel, goods and services, current transfers, interest expenses, corrections and adjustments and unallocated expenditures.

The following table sets out the current expenditures of the Region attributable to its major activities for the periods indicated.

	Current Expenditures by Major Activity				
	2000	2001	2002	2003	2004 [pre-closing]
	<i>(euro millions)</i>				
Personnel	73	85	82	85	86
Regional Bodies	11	12	23	26	26
Goods & Services	39	45	40	40	37
Current Transfers	1,568	1,911	1,641	1,948	2,001
Interest Expenses	11	10	23	32	45
Other Expenses	41	11	3	2	4
Total Current Expenditures	1,743	2,075	1,812	2,133	2,200

Source: Region of Abruzzo

Capital Revenues

Capital Revenues include contributions from the Central Government, the European Union and other public entities.

The following table sets out the capital revenues of the Region for the periods indicated.

	Capital Revenues				
	2000	2001	2002	2003	2004 [pre-closing]
	<i>(euro millions)</i>				
Transfers from the State and sales of assets	169	401	516	451	265

State borrowing	18	27	-	-	32
Total Capital Revenues	187	428	516	451	397

Source: Region of Abruzzo

Capital Expenditures

The following table sets out the capital expenditures of the Region attributable to its major activities for the periods indicated.

	Capital Expenditures by Major Activity				
	2000	2001	2002	2003	2004 [pre-closing]
	(euro millions)				
Real estate	24	28	28	41	36
Capital Transfers	481	540	559	631	602
Other expenses	9	1	91	67	57
Total Capital Spending	514	569	678	738	695

Source: Region of Abruzzo

Accruals and Financial Results

	Financial Results				
	2000	2001	2002	2003	2004
	<i>(euro millions)⁽¹⁾</i>				
Cash at year end	9	170	385	163	634
Accruals to be received	1,647	2,073	3,287	4,035	3,961
Accruals due (-)	1,034	1,390	2,331	2,651	2,962
Financial Result	622	853	1,342	1,547	1,633 ⁽¹⁾

(1) Estimates

Source: Region of Abruzzo

The Region reported a substantial level of financial results ("*avanzo di amministrazione*") in recent years. The financial result is a key ratio in the Italian state accounting, and is strictly monitored by the *Corte dei Conti*, the authority in charge of monitoring the accounting, legal and fiscal aspects of the regions.

Accruals ("*residui*") result from the differences between balances due and actual amounts received or paid out in the current year. They comprise accrued income and other receivables ("*residui attivi*") and unpaid expenses and other payables ("*residui passivi*"). Pursuant to national Legislative Decree No. 76 of 28 March 2000, accruals are brought forward for a maximum period of two years for current expenditures or seven years for capital expenditures. After this they are cancelled (become "*perenti*") which means that they are no longer accounted for in the regional budget, although creditors can still make a claim against them if they can demonstrate their right. The Region carefully

monitors the *residui perenti*. Each year in the accounts of the Region an allocation is made in a specific fund which in 2004 covered 100 per cent. in the regional financial forecast.

Since the elections in 2000, the Region has initiated several control measures monitoring receivables, improving credit collection rates, reducing accounts payable and reducing payment time frames. The Region has started a rigorous assessment of its receivables and set up internal procedures to improve credit collection. Accounting of payables has been improved and payment delays reduced. In 2002, 2003 and 2004, "*residui attivi*" increased for the constraints imposed by the Ministry of the Treasury (now Ministry for the Economy and Finance) that did not actually pay part of the state transfers due to the Region because of the large cash held at the Central Treasury account held by the Region at the Ministry of the Treasury, as a consequence of the State Law No. 669/96 aimed at reducing the national debt in order to match the Maastricht criteria set up for the European Monetary Union. As a consequence, the regional accruals to be received increased significantly in 2002, 2003 and 2004 due to larger state accruals. Even *residui passivi* increased over the same period as State laws constrained the payment of current expenditures, which could not exceed the actual payments of the previous year increased by the planned inflation rate ("*inflazione programmata*") set up by the Central Government.

The table below shows the Region's outstanding debt for each of the years indicated:

	Region's outstanding debt				
	2000	2001	2002	2003	2004
	<i>(euro millions)⁽¹⁾</i>				
Original Outstanding Debt (begin of the year)	96	219	442	515	769
New Borrowing	139	326	320	280	250
Principal Repayment	16	103	247	26	139
Outstanding Debt (at end of year)	219	442	515	769	881

(1) Solely for the convenience of the reader, euro amounts prior to 1 January 1999 have been translated from Italian lira into euro assuming the conversion rate of €1 = Lit. 1,936.27.

Source: Region of Abruzzo

Most of the cash held at the Central Treasury is designated for specific purposes, such as healthcare:

	Cash at Central Treasury				
	2000	2001	2002	2003	2004
	<i>(euro millions)⁽¹⁾</i>				
Ordinary account (Central Treasury)	56	170	384	162	660
Healthcare account (Central Treasury)	14	66	66	0	0
Healthcare deficits (Central Treasury)	-	-	-	0	0
EU funds (Central Treasury)	5	63	86	180	131
Total	75	299	536	342	790

(1) Solely for the convenience of the reader, euro amounts prior to 1 January 1999 have been translated from Italian lira into euro assuming the conversion rate of €1 = Lit. 1,936.27.

Source: Region of Abruzzo

DEBT OF THE REGION

This section is reported herein in its entirety as it appears in the Base Prospectus for the €1,250,000,000 Euro Medium Term Note Programme of the Region dated 19 December 2005 and all information provided therein, unless otherwise specifically indicated therein, is as of such date. Such information has not been independently verified by the Lead Manager, the Issuer, the Seller or any other party to any of the Transaction Documents (as defined below) and none of the Issuer, the Lead Manager, the Seller or any other party to any of the Transaction Documents (as defined below) has any responsibility for the truth, faithfulness, accuracy, completeness and updating thereof or otherwise. None of the Issuer, the Lead Manager, the Seller or any other party to any of the Transaction Documents (as defined below) has performed or will perform any due diligence exercise in connection with the Region.

The debt of the Region is not guaranteed by the Republic of Italy.

The debt of the Region consists entirely of bond issues, denominated in euro.

Floating rate debt represents approximately 40 per cent. of all existing debt. In the years 2002 the Region refinanced its existing debt by repaying certain onerous loans using the proceeds of one bond issue of €320 million.

This has been decided in order to guarantee efficiency to the system and greater transparency to regional financial reports. Pursuant to Law No. 281 of 16 May 1970 as amended, the Region is prohibited from issuing debt if the ratio of the aggregate annual payment of principal and interest on outstanding debt, excluding debt relating to healthcare services, to the annual regional tax revenues (the "*Debt Service Ratio*") would exceed 25 per cent. (the "*Permitted Debt Service Ratio*"). The Debt Service Ratio of the Region is well below the Permitted Debt Service Ratio. Indeed, as of 31 December 2004, the Region's Debt Service Ratio, excluding debt service related to healthcare, was 7.0 per cent. of total tax revenues registered under Title I net of IRAP and of additional IRPEF, while the entire stock of debt outstanding at the end of December 2004 will amount to €881 million, representing less than 58.9 per cent. of yearly tax revenues.

The Region can incur or issue new loans or bonds when the following criteria have been met: (i) the proceeds received are used to finance specific investments or in certain other circumstances provided for under applicable legislation; (ii) the Regional Council has approved the financial report with respect to the fiscal year ended two years prior to the issue date; (iii) the borrowing is provided for in the provisional budget; (iv) the borrowing is approved by the Regional Council and, for the issue of bonds, the appropriate authorisation from Interministerial Committee for Credit and Savings (*Comitato interministeriale per il credito ed il risparmio*) is obtained; and (v) the future debt service will not cause the Region to exceed its Permitted Debt Service Ratio.

The Treasury Banks may be given a mandate to make payments on behalf of the Region (*mandato di pagamento*). This mandate may be irrevocable (*mandato irrevocabile*). Regional bond obligations may benefit from such irrevocable mandates delivered by the issuing region to its Treasury Banks. By such mandate, a Treasury Bank is required to segregate from time to time moneys in an amount sufficient to meet the region's obligations to pay interest and principal when due. Pursuant to Article 11 of Decree Law No. 8 of 18 January 1993, as converted into Law No. 68 of 19 March 1993, the moneys segregated by the Treasury Bank for payments of amounts under financings due within six months may not be attached or seized by third party creditors of the Region provided that each quarterly period the Regional Board determines the amounts due and payable and does not issue any other payment orders unless following the chronological order of payments.

To date, under all existing loan agreements, the Region has generally included pursuant to article 56 of the Regional Budget Law an irrevocable mandate to its Treasury Banks to pay all debt service when due, with recourse to tax revenues. In connection with the issuance of Notes, the Region will, pursuant to the Regional Budget Law, (i) make the appropriate entries under the expenditure items of its financial reports to allocate certain income of the Region necessary to meet its payment obligations under the Notes and (ii) grant to the Paying Agent, for the benefit of the Noteholders, as a contractual obligation an irrevocable mandate to its Treasury Bank to pay all debt service when due, with recourse to tax revenues under Title 1 of the Region's provisional budget.

Pursuant to the Regional Budget Law and as a contractual obligation all existing loan agreements are secured by an irrevocable mandate to the Treasury Bank to pay the debt service, at the scheduled time, with recourse to tax revenues as shown under Title 1 of the Region's provisional budget.

In connection with the issuance of Notes the Region will make the appropriate entries under the expenditure items of its financial reports to allocate certain income from Title 1 of the Issuer's provisional budget of the Issuer necessary to meet its payment obligations under the Notes and creating in respect of such sums an irrevocable obligation to make payments therefrom to the Paying Agents. In the event the income allocated under the financial reports proves not to be adequate to make the payments due under the Notes, an allocation of all income of the Region will be made through one of the Treasury Bank of the Issuer to make the payments due under the Notes.

The following table sets forth the maturity and debt service schedules of the regional debt outstanding on 31 December 2004.

Maturity Schedule of Region of Abruzzo Debt				
Date	Outstanding Debt (at year end)	Principal	Interest	Debt Service
<i>(euro millions)</i>				
2002	515	15	10	25
2003	769	25	23	48
2004	881	35	33	68
2005	835	46	35	81
2006	789	46	36	82
2007	743	46	34	80
2008	697	46	33	79
2009	651	46	31	77
2010	605	46	29	75
2011	559	46	27	73
2012	513	46	25	71
2013	467	46	23	69
2014	421	46	21	67
2015	380	42	19	61
2016	343	37	17	54
2017	311	31	16	47
2018	280	31	15	46
2019	253	28	13	41

2020	229	24	13	37
2021	205	24	12	36
2022	181	24	11	35
2023	157	24	10	34
2024	133	24	9	33
2025	116	17	6	23
2026	100	17	6	23
2027	83	17	5	22
2028	66	17	4	21
2029	50	17	3	20
2030	33	17	2	19
2031	17	17	1	18
2032	0	17	1	17

(1) Solely for the convenience of the reader, euro amounts prior to 1 January 1999 have been translated from Italian lira into euro assuming the conversion rate of €1 = Lit. 1,936.27.

Source: Region of Abruzzo

The following table sets forth a breakdown of the Region's outstanding debt in the Region's estimate as at 31 December 2004.

Date issued or commencement of amortisation	Debt characteristics			
	Amount originally borrowed	Amount outstanding	Maturity Date	Interest Rate
19 October, 2000	€129,114,224	€98,989,761	19 April, 2015	Floating
5 July, 2001	€93,300,000	€80,860,000	5 July, 2016	Floating
19 December, 2002	€320,000,000	€309,333,333	20 December, 2032	Floating
19 June, 2003	€173,000,000	€173,000,000	20 December, 2032	Floating
26 November, 2004	€250,000,000	€250,000,000	25 November, 2024	Floating

Source: Region of Abruzzo

Debt Record

The Region has never failed in the past 34 years (i.e. since 1971, the date of the formal approval of its Statute) to pay when due the full amount of principal of, and interest and premium on, and amortisation or sinking fund requirements with respect to, its outstanding public debt.

THE SERVICER

ZENITH SERVICE S.p.A.

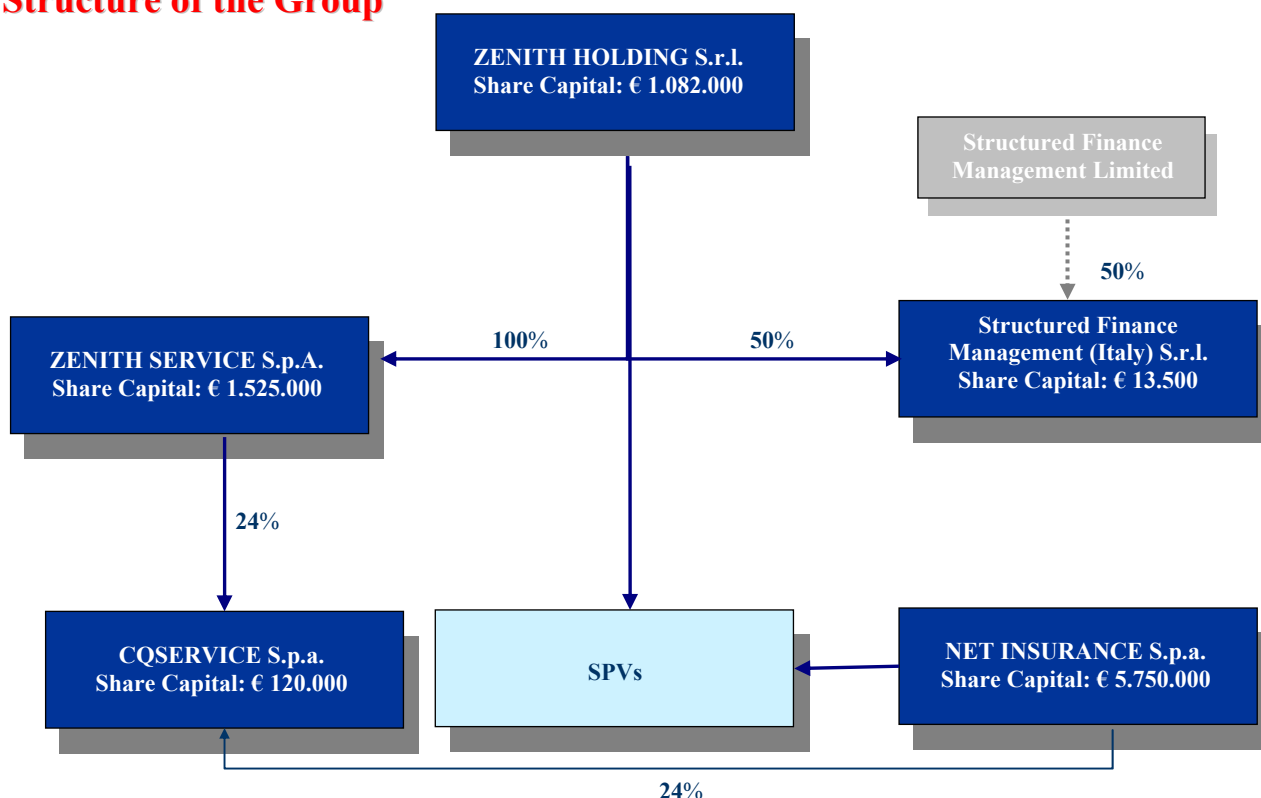
Zenith Service S.p.A. ("**Zenith**") is a joint stock company incorporated and organised under the laws of the Republic of Italy. Its share capital is equal to Euro 1,525,000, fiscal code and registration with the Companies Register of Brescia No. 02200990980.

Zenith's registered office is at Via Romanino 1, Brescia, Italy. Zenith's secondary branch is located in Milan, Corso Monforte.

Zenith is registered under number 32819 in the general list of financial intermediaries held by *Ufficio Italiano dei Cambi* pursuant to Article 106 of the Banking Act and in the special register held by the Bank of Italy pursuant to Article 107 of the Banking Act.

The current corporate structure of the Group, in which Zenith takes part, is organized as follows:

Structure of the Group



The principal activities of Zenith as Servicer, in accordance with the Securitisation Law (L. 130/99), are:

- the management, administration and maintenance of the Claims, with particular regard to the collection of all amounts to be paid by the debtor, any additional debtor and any other debtor in relation to the Claims;
- maintaining and printing the general ledger of transferred assets in addition to maintaining documentation (both in hard and soft form) of all the accounting and administrative data relative to the transferred assets;
- maintaining the relationship with legal advisers and/or loan collectors;
- the evaluation, together with the cash manager, of claims, if any, made by the debtor, any additional debtor or any other party, for payments made but undue under the Transaction Documents;
- pursuant to Article 2, paragraph 6, of the Securitisation Law, verify the compliance of the Securitisation with the Prospectus and the Securitisation Law and relevant implementing regulations.

Zenith's staff is composed of fourteen professionals, of whom eight lawyers, three fiscal advisers and three professional accountants with expertise in recovery procedures and a dedicated staff of twelve additional professionals has been created to cover accounting, reporting, EDP and legal tasks associated with the Securitisation.

The Board of Directors is composed by:

- Mr Giuseppe Romano Amato as Chairman;
- Mr Luigi Passeri as Managing Director;
- Mr Massimo Bosisio as Managing Director;
- Mrs Francesca Romana Amato as Director;
- Mr Salvatore Pennisi as Director;
- Mr Matteo Passeri as Director.

The Board of Auditor is composed by the following three standing auditors:

- Mr Francesco Rocchi;
- Mr Mario Agostinelli;
- Mr Francesco Perrotta.

Company organization:

Zenith is fully owned by Zenith Holding S.r.l.

Zenith will act, in accordance with the Securitisation Law, as Servicer of the Portfolio pursuant to the terms of the Servicing Agreement executed between the Servicer, the Seller and the Issuer.

THE ISSUER'S BANK ACCOUNTS

Pursuant to the terms of the Agency and Accounts Agreement, the Issuer has opened with the Transaction Bank the following bank accounts:

- (a) a euro-denominated bank account into which all amounts paid by the Region and/or the Health Authorities under the Delegations of Payment and/or under the Settlement Agreements and/or under the Contracts will be credited (the "**Collection Account**"). On the second Business Day following each Region Payment Date the Transaction Bank will be required to transfer on behalf of the Issuer from the Collection Account to the Swap Counterparty an amount as indicated in the Swap Agreement;
- (b) a euro-denominated bank account into which €400,000 will be paid on the Issue Date (the "**Expenses Reserve Account**") out of funds advanced by the Subordinated Loan Provider under the Subordinated Loan Agreement. Amounts standing to the credit of the Expenses Reserve Account will be used by the Issuer to pay (i) unforeseen, contingent or extraordinary costs and expenses incurred by the Issuer during the relevant Collection Period; and (ii) legal costs incurred by the Issuer for the recovery of any amounts due but not paid by the Region and/or the Health Authorities under the Delegations of Payment and/or under the Settlement Agreements and/or under the Contracts, and such amounts will be transferred to the Payments Account on the second Business Day prior to the relevant Interest Payment Date and any other day as the Computation Agent may direct;
- (c) a euro-denominated bank account into which, *inter alia*, will be credited, without duplication: (i) payments made by the Swap Counterparty under the Swap Agreement; (ii) all payments paid or advanced to the Issuer under any of the Transaction Documents, including any indemnity payments received by the Issuer under the Transfer Agreement, the Transfer Deeds, the Warranty and Indemnity Agreement, the Servicing Agreement and the Letter of Undertaking during the immediately preceding Collection Period; (iii) the interest accrued on the Payments Account; (iv) the interest accrued on the Collection Account and Expenses Reserve Account during the preceding Collection Period; and (v) on the Issue Date €136,658.57 out of funds drawn down by the Issuer under the Subordinated Loan Agreement to pay the Representative of the Noteholders, the Italian Paying Agent, the Principal Paying Agent, the Agent Bank, the Listing and Luxembourg Paying Agent, the Transaction Bank, the Computation Agent, the Corporate Services Provider, the Stichting Corporate Services Provider, S&P and the Auditors all costs and expenses incurred by each of them as of the Issue Date together with up-front fees (the "**Payments Account**"); and
- (d) a euro-denominated deposit account into which the Issuer's equity capital of €10,000 shall remain deposited for as long as, *inter alia*, any Notes are outstanding (the "**Equity Capital Account**" and, together with the Collection Account, the Expenses Reserve Account and the Payments Account, the "**Transaction Accounts**").

The interest accrued on the Transaction Accounts, as long as they are opened with the Transaction Bank or with any other bank resident in Italy for tax purposes, will be subject to withholding tax on account of Italian corporate income tax which, as at the date of this Prospectus, is levied at the rate of 27 per cent.

If the Transaction Bank (or any successor Transaction Bank) ceases to be an Eligible Institution, the Issuer will, by no later than 30 (thirty) calendar days from the date when the Transaction Bank (or any successor Transaction Bank) ceases to be an Eligible Institution: (i) terminate the appointment of such Transaction Bank (or successor Transaction Bank); (ii) close the Transaction Accounts opened with the Transaction Bank; and, simultaneously (iii) open replacement accounts with a substitute transaction bank which is an Eligible Institution, and the Issuer will notify the Representative of the Noteholders and the Rating Agencies thereof. Pursuant to the Agency and Accounts Agreement, Deutsche Bank S.p.A. has undertaken to the Issuer and the Representative of the Noteholders to promptly notify in writing the Issuer and the Representative of the Noteholders if, at any time, Deutsche Bank S.p.A. ceases to be an Eligible Institution.

Pursuant to the Agency and Accounts Agreement, the Transaction Bank has agreed to provide the Issuer with certain services in connection with account handling and reporting requirements in relation to the monies from time to time standing to the credit of the Transaction Accounts, including the preparation of statements of account (the "**Statement of the Transaction Accounts**").

"Eligible Institution" means:

- (i) for so long as, and to the extent that, the aggregate balance of all bank accounts opened by the Issuer under the Agency and Accounts Agreement is less than €15,140,543: (a) any depository institution organised under the laws of any state which is a member of the European Union or of the United States of America, the short-term unsecured and unsubordinated debt obligations of which are rated at least "P-1" by Moody's and "A-1" by S&P; and (b) Deutsche Bank S.p.A. for so long as: (A) its controlling parent company's short-term, unsecured and unsubordinated debt obligations are rated at least "P-1" by Moody's and "A-1+" by S&P; (B) the words "Deutsche Bank" are contained in its legal name; and (C) there are no material changes in the ownership structure of Deutsche Bank S.p.A. or its controlling parent company; and
- (ii) for so long as, and to the extent that, the aggregate balance of all bank accounts opened by the Issuer under the Agency and Accounts Agreement is equal to or higher than €15,140,543, any depository institution organised under the laws of any state which is a member of the European Union or of the United States of America, the short-term unsecured and unsubordinated debt obligations of which are rated at least "P-1" by Moody's and "A-1+" by S&P and the long-term unsecured and unsubordinated debt obligations of which are rated at least "Aa3" by Moody's and "AA-" by S&P.

TERMS AND CONDITIONS OF THE NOTES

The following is the text of the terms and conditions of the Notes (the "**Conditions**").

The €140,950,000 Asset-Backed Floating Rate Notes due 2021 (the "**Notes**") will be issued by Adriatica Finance S.r.l. (the "**Issuer**") on 29 March 2007 (the "**Issue Date**") in order to finance the purchase of a portfolio of monetary claims and other connected rights (the "**Claims**" or the "**Portfolio**") arising under: (i) delegations of payment (the "**Delegations of Payment**") issued by various *aziende unità sanitarie locali* (collectively, the "**Health Authorities**") to the Region of Abruzzo (the "**Region**") pursuant to article 1268 *et seq.* of the Italian civil code; (ii) settlement agreements (the "**Settlement Agreements**") entered into between the Health Authorities, the Region and certain private suppliers of medical products and healthcare services (the "**Original Suppliers**") or their assignees (the Original Suppliers or their assignees being the "**Original Creditors**"); and (iii) the sale and supply of medical products and healthcare services rendered by the Original Suppliers to the Health Authorities of the Region (the "**Contracts**"). The purchase of the Claims was perfected in accordance with the Securitisation Law and articles 69 and 70 of Italian royal decree No. 2440 of 18 November 1923 ("**Decree No. 2440**").

The Notes are subject to and have the benefit of an agency and accounts agreement (the "**Agency and Accounts Agreement**") dated 28 March 2007 (the "**Signing Date**") between the Issuer, Deutsche Bank AG, London Branch as principal paying agent, agent bank and computation agent (in such capacities, respectively, the "**Principal Paying Agent**", the "**Agent Bank**" and the "**Computation Agent**", which expressions include any successor principal paying agent, agent bank and computation agent appointed from time to time in respect of the Notes), Deutsche Bank S.p.A. as Italian paying agent and transaction bank (in such capacities, the "**Italian Paying Agent**" and the "**Transaction Bank**", which expressions include any successor Italian paying agent and transaction bank appointed from time to time in respect of the Notes), Deutsche Bank Luxembourg S.A. as listing and Luxembourg paying agent (the "**Listing and Luxembourg Paying Agent**" which expression includes any successor listing and Luxembourg paying agent appointed from time to time in respect of the Notes and, together with the Italian Paying Agent and the Principal Paying Agent, the "**Paying Agents**") and Deutsche Trustee Company Limited as the representative of the holders of the Notes (the "**Representative of the Noteholders**", which expression includes any successor representative of the Noteholders appointed from time to time in respect of the Notes).

The Noteholders are deemed to have notice of and are bound by and shall have the benefit of, *inter alia*, the terms of the rules of the organisation of the Noteholders (the "**Rules of the Organisation of Noteholders**", which constitute an integral and essential part of these Conditions). The Rules of the Organisation of Noteholders are attached hereto as a schedule. The rights and powers of the Representative of the Noteholders and the Noteholders may be exercised only in accordance with the Rules of the Organisation of Noteholders.

Certain of the statements in these Conditions include summaries of, and are subject to, the detailed provisions of the Agency and Accounts Agreement, the Intercreditor Agreement (as defined below) and the other Transaction Documents (as defined below). Any reference in these Conditions to a particular Transaction Document is a reference to such Transaction Document as from time to time created and/or modified and/or supplemented in accordance with the provisions therein contained and any deed or other document expressed to be supplemental thereto, as from time to time so amended and/or modified and/or supplemented.

The holders of the Notes (the "**Noteholders**" and each, a "**Noteholder**") are entitled to the benefit of, are bound by and are deemed to have notice of, all the provisions of the Agency and Accounts Agreement, the Rules of the Organisation of Noteholders, the Intercreditor Agreement and the other Transaction Documents applicable to them. Copies of the Agency and Accounts Agreement, the Rules of the Organisation of Noteholders, the Intercreditor Agreement and the other Transaction Documents are available, on reasonable notice, for inspection during normal business hours by the Noteholders at the Specified Office (as defined below) for the time being of the Representative of the Noteholders and at the Specified Offices of each of the Paying Agents.

The Issuer has published to prospective Noteholders the *prospetto informativo* required by article 2 of law No. 130 of 30 April 1999 (*disposizioni sulla cartolarizzazione dei crediti*), as amended from time to time (the "**Securitisation Law**"). Copies of the *prospetto informativo* will be available, upon request, to the holder of any Note during normal business hours at the Specified Offices of the Representative of the Noteholders and at the Specified Offices of the Paying Agents.

References to "**Noteholders**" or to the "**holders**" of the Notes are to the beneficial owners of the Notes.

The principal source of funds available to the Issuer for the payment of amounts due on the Notes will be collections and recoveries made in respect of the Claims. The Claims will be segregated from all other assets of the Issuer by operation of the Securitisation Law and, pursuant to the Intercreditor Agreement, amounts deriving therefrom will be available, both before and after a winding-up of the Issuer, to satisfy the obligations of the Issuer to the Noteholders, to pay costs, fees and expenses due to the Other Issuer Creditors (as defined below) under the Transaction Documents and to pay any other creditor of the Issuer in respect of costs, liabilities, fees or expenses payable to any such other creditor in relation to the securitisation of the Claims by the Issuer through the issuance of the Notes (the "**Securitisation**").

The Servicer shall ensure the proper segregation of the Issuer's accounting and property from its own activities and the Servicer, as "*soggetto incaricato della riscossione dei crediti e dei servizi di cassa e pagamento*" pursuant to article 2(6) of the Securitisation Law, shall be responsible for verifying that the transactions to be carried out in connection with the Securitisation comply with applicable laws and are consistent with the contents of the Prospectus.

Under the terms of the Mandate Agreement and the Intercreditor Agreement, the Issuer has, *inter alia*, granted a mandate to the Representative of the Noteholders, pursuant to which, *inter alia*, following service of an Issuer Acceleration Notice, the Representative of the Noteholders shall be authorised under article 1723, second paragraph, of the Italian civil code, to exercise, in the name of the Issuer but in the interest and for the benefit of the Noteholders and the Other Issuer Creditors, all the Issuer's contractual rights arising out of the Transaction Documents to which the Issuer is a party and in respect of the Claims, including the right to sell them in whole or in part, in the interest of the Noteholders and the Other Issuer Creditors.

Each Noteholder, by reason of holding one or more Notes, (a) recognises the Representative of the Noteholders as its representative, acting in its name and on its behalf, and agrees to be bound by the terms of the Transaction Documents to which the Representative of the Noteholders is a party as if such Noteholder was itself a signatory thereto, and (b) acknowledges and accepts that the Lead Manager shall not be liable in respect of any loss, liability, claim, expense or damage suffered or incurred by any of the Noteholders as a result of the performance by Deutsche Trustee Company

Limited (or any permitted assignee or successor) of its duties as Representative of the Noteholders provided in the Transaction Documents and these Conditions.

1. Definitions

In these Conditions:

"Agency and Accounts Agreement" means an agency and accounts agreement dated the Signing Date between the Issuer, the Agent Bank, the Computation Agent, the Italian Paying Agent, the Principal Paying Agent, the Listing and Luxembourg Paying Agent, the Transaction Bank, the Swap Counterparty and the Representative of the Noteholders;

"Auditing Agreement" means the auditing agreement dated the Signing Date between the Issuer, the Representative of the Noteholders and the Auditors;

"Auditors" means PKF Italia S.p.A. with offices at Viale Vittorio Veneto, 10, I-20124, Milan, Italy, and includes any successor firm of auditors appointed from time to time by the Issuer;

"Banking Act" means the Italian legislative decree No. 385 of 1 September 1993;

"Business Day" means a day on which banks are open for business in Milan, Luxembourg and London and which is a TARGET Settlement Day;

"Calculation Date" means the second Business Day preceding each Interest Payment Date, the first Calculation Date being on 25 June 2007;

"Cancellation Date" means the earlier of (i) the date on which the Notes are redeemed in full and (ii) the last Business Day in December 2026;

"Certification Process" means the process of certification under which the Health Authorities validated the Claims, to be covered by the Settlement Agreements and the Delegations of Payment;

"Clearstream, Luxembourg" means Clearstream Banking, *société anonyme*;

"Collateral Account Bank" means any depository institution located in England and organised under the laws of any state which is a member of the European Union or of the United States of America where the Collateral Account (if any) will be opened in accordance with the Swap Agreement, the short-term unsecured and unsubordinated debt obligations of which are rated at least "P-1" by Moody's and "A-1+" by S&P and the long-term unsecured and unsubordinated debt obligations of which are rated at least "Aa3" by Moody's and "AA-" by S&P.

"Collection Account" means a euro-denominated bank account into which all amounts paid by the Region and/or the Health Authorities under the Delegations of Payment and/or under the Settlement Agreements and/or under the Contracts will be credited;

"Collection Date" means the sixth Business Day preceding each Interest Payment Date;

"Collection Period" means each period commencing on (but excluding) a Collection Date and ending on (and including) the next succeeding Collection Date, and in the case of the first Collection Period commencing on the Issue Date and ending on 19 June 2007;

"Collections" means the monies collectively received under or in respect of the Portfolio and the Claims;

"CONSOB" means the *Commissione Nazionale per le Società e la Borsa*;

"Corporate Services Agreement" means a corporate services agreement dated the Signing Date between the Corporate Services Provider, the Representative of the Noteholders and the Issuer;

"Corporate Services Provider" means KPMG Fides Servizi di Amministrazione S.p.A. and includes any successor corporate services provider appointed from time to time under the Corporate Services Agreement;

"DB" means Deutsche Bank AG acting through its London Branch;

"Decree 239 Interest Payment Date" means the Interest Payment Date falling in December 2008;

"Decree 239 Withholding" means any withholding or deduction for or on account of *"imposta sostitutiva"* under Decree No. 239;

"Decree No. 239" means Italian legislative decree No. 239 of 1 April 1996, as subsequently amended;

"Decree No. 2440" means Italian royal decree No. 2440 of 18 November 1923;

"Eligible Institution" means:

- (i) for so long as, and to the extent that, the aggregate balance of all bank accounts opened by the Issuer under the Agency and Accounts Agreement is less than €15,140,543: (a) any depository institution organised under the laws of any state which is a member of the European Union or of the United States of America, the short-term unsecured and unsubordinated debt obligations of which are rated at least "P-1" by Moody's and "A-1" by S&P; and (b) Deutsche Bank S.p.A. for so long as: (A) its controlling parent company's short-term, unsecured and unsubordinated debt obligations are rated at least "P-1" by Moody's and "A-1+" by S&P; (B) the words "Deutsche Bank" are contained in its legal name; and (C) there are no material changes in the ownership structure of Deutsche Bank S.p.A. or its controlling parent company; and
- (ii) for so long as, and to the extent that, the aggregate balance of all bank accounts opened by the Issuer under the Agency and Accounts Agreement is equal to or higher than €15,140,543, any depository institution organised under the laws of any state which is a member of the European Union or of the United States of America, the short-term unsecured and unsubordinated debt obligations of which are rated at least "P-1" by Moody's and "A-1+" by S&P and the long-term unsecured and

unsubordinated debt obligations of which are rated at least "Aa3" by Moody's and "AA-" by S&P.

"English Deed of Charge and Assignment" means the deed of charge and assignment to be dated the Issue Date between the Issuer and the Representative of the Noteholders and governed by English law;

"English Law Transaction Documents" means the English Deed of Charge and Assignment, the Swap Agreement and the Stichting Corporate Services Agreement;

"EONIA" means the Euro Overnight Index Average rate as calculated daily by the European Central Bank;

"Equity Capital Account" means the euro-denominated deposit account opened by the Issuer with the Transaction Bank in which the Issuer's equity capital of €10,000 shall remain deposited for as long as any Notes are outstanding;

"EURIBOR" has the meaning attributed to it in Condition 6(c) (*Rate of interest on the Notes*);

"Euro" or **"euro"** or **"€"** means the currency introduced at the start of the third stage of European economic and monetary union pursuant to the Treaty establishing the European Community (signed in Rome on 25 March 1957), as amended;

"Euroclear" means Euroclear Bank S.A./N.V., as operator of the Euroclear System;

"euro-zone" means the region comprising those member states of the European Union that adopted the single currency in accordance with the Treaty establishing the European Community (signed in Rome on 25 March 1957) as amended by the Treaty on European Union (signed in Maastricht on 7 February 1992) and the Treaty of Amsterdam (signed on 2 October 1997);

"Event of Default" has the meaning ascribed to it in Condition 10 (*Events of Default*);

"Expenses Reserve Account" means a euro-denominated bank account opened by the Issuer with the Transaction Bank, as better identified in the Agency and Accounts Agreement, into which the Issuer will deposit €400,000 on or immediately before the Issue Date;

"Extraordinary Resolution" has the meaning given to it in the Rules of the Organisation of Noteholders;

"Financing Party" means Deutsche Bank AG, London Branch in its capacity as financing party under the Letter of Undertaking;

"Initial Execution Date" means 21 December 2006;

"Insolvency Event" will have occurred in respect of the Issuer if:

- (a) the Issuer becomes subject to any applicable bankruptcy, liquidation, administration, insolvency, composition or reorganisation (including, without limitation, *fallimento*,

liquidazione coatta amministrativa, concordato preventivo, amministrazione straordinaria, each such expression bearing the meaning ascribed to it by the laws of the Republic of Italy, and including also any equivalent or analogous proceedings under the law of the jurisdiction in which the Issuer is deemed to carry on business, including the seeking of liquidation, winding-up, reorganisation, dissolution, administration, arrangement, adjustment, protection or relief of debtors) or similar proceedings or the whole or any substantial part of the undertaking or assets of the Issuer are subject to a *pignoramento* or similar procedure having a similar effect (other than any portfolio of assets purchased by the Issuer for the purposes of further securitisation transactions) unless, in the opinion of the Representative of the Noteholders (who may in this respect rely on the advice of a lawyer selected by it), such proceedings are being disputed in good faith with a reasonable prospect of success;

- (b) an application for the commencement of any of the proceedings under (a) above is made in respect of or by the Issuer, or the same proceedings are otherwise initiated against the Issuer and, in the opinion of the Representative of the Noteholders (who may in this respect rely on the advice of a lawyer selected by it), the proceedings are not being disputed in good faith with a reasonable prospect of success;
- (c) the Issuer takes any action for a re-adjustment or deferment of any of its obligations, or makes a general assignment or an arrangement or composition with or for the benefit of its creditors (other than the Issuer Secured Creditors), or is granted by a competent court a moratorium in respect of any of its indebtedness or any guarantee of any indebtedness given by it, or applies for suspension of payments; or
- (d) an order is made or an effective resolution is passed for the winding-up, liquidation or dissolution in any form of the Issuer (except a winding-up for the purposes of or pursuant to a solvent amalgamation or reconstruction, the terms of which have been previously approved in writing by the Representative of the Noteholders), or any of the events under article 2484 of the Italian civil code occurs with respect to the Issuer;

"Insolvent" means, in respect of the Issuer, that:

- (a) the Issuer ceases or threatens to cease to carry on its business or a substantial part of its business;
- (b) the Issuer is deemed unable to pay its debts pursuant to or for the purposes of any applicable law; or
- (c) the Issuer becomes unable to pay its debts as they fall due;

"Intercreditor Agreement" means an intercreditor agreement dated the Signing Date between the Issuer, the Noteholders (represented by the Representative of the Noteholders) and the Other Issuer Creditors;

"Interest Amount" has the meaning given to it in Condition 6(d) (*Calculation of Interest Amounts*);

"Interest Amount Arrears" means the portion of the relevant Interest Amount for the Notes, calculated pursuant to Condition 6(d) (*Calculation of Interest Amounts*), which remains unpaid on the relevant Interest Payment Date;

"Interest Determination Date" has the meaning attributed to it in Condition 6(c) (*Rate of Interest on the Notes*);

"Interest Payment Date" has the meaning attributed to it in Condition 6(a) (*Interest Payment Dates and Interest Periods*);

"Interest Period" has the meaning attributed to it in Condition 6(a) (*Interest Payment Dates and Interest Periods*);

"Issuer" means Adriatica Finance S.r.l.;

"Issuer Acceleration Notice" has the meaning ascribed to it in Condition 10(b) (*Delivery of an Issuer Acceleration Notice*);

"Issuer Available Funds" means, on each Calculation Date and in respect of the immediately following Interest Payment Date, an amount equal to the aggregate of:

- (a) the amount standing to the credit of the Payments Account on such Calculation Date consisting of, *inter alia*:
 - (i) amounts transferred from the Collection Account consisting of:
 - (A) sums collected or recovered by, or on behalf of, the Issuer in respect of the Claims during the preceding Collection Period, but excluding, in case of prepayment by the Region ((in part or in full) under the Delegations of Payment:
 - (I.) if and to the extent that the amounts due and payable to the Issuer by the Swap Counterparty under the Swap Agreement prior to the relevant Interest Payment Date have been paid in full, all sums relating to any prepayment (if any) made by the Region (in part or in full) under the Delegations of Payment;
 - (II.) if and to the extent that the amounts due and payable to the Issuer by the Swap Counterparty under the Swap Agreement prior to the relevant Interest Payment Date have not been paid in full, all sums relating to any prepayment (if any) made by the Region (in part or in full) under the Delegations of Payment exceeding the amount resulting from the difference between: (i) the sums due and payable to the Issuer by the Swap Counterparty under the Swap Agreement prior to the relevant Interest Payment Date; and (ii) the sums actually paid to the Issuer by the Swap Counterparty under the Swap Agreement prior to such relevant Interest Payment Date; and

- (III.) if and to the extent that the amounts due and payable to the Issuer by the Swap Counterparty under the Swap Agreement have not been paid or an Early Termination Date has been designated under the Swap Agreement, all sums relating to any prepayment (if any) made by the Region (in part or in full) under the Delegations of Payment exceeding the amount that would have been due and payable by the Swap Counterparty to the Issuer under the Swap Agreement immediately prior to the relevant Interest Payment Date had the Swap Transaction not been terminated; and
 - (B) all amounts of interest accrued on the Collection Account and paid during the preceding Collection Period;
 - (ii) any amount received by the Issuer under any of the Transaction Documents;
 - (iii) all amounts of interest accrued on the Expenses Reserve Account and paid during the preceding Collection Period;
 - (iv) up to the Calculation Date preceding (but excluding) the Interest Payment Date on which the Notes will be redeemed in full, a portion of the amount standing to the credit of the Expenses Reserve Account as may be directed by the Computation Agent; and
 - (v) any amount paid to the Issuer by the Swap Counterparty under the Swap Agreement in the period comprised between the immediately preceding Calculation Date (excluded) and the relevant Calculation Date (included); and
- (b) on the Calculation Date immediately preceding the date on which the Notes will be redeemed in full, the amount standing to the credit of the Expenses Reserve Account at such date,

but excluding (i) if and to the extent that the Notes are not redeemed in full on the immediately following Interest Payment Date, any amount paid by the Swap Counterparty upon termination of the Swap Transaction in respect of any termination payment and, until a replacement swap counterparty has been found, exceeding the net amounts which would have been due and payable by the Swap Counterparty with respect to the next Interest Payment Date, should the Swap Agreement not have been terminated; (ii) prior to the occurrence of an Early Termination Date (as defined in the Swap Agreement) for the Swap Transaction, the amount (if any) standing to the credit of the account into which the collateral posted pursuant to the Swap Agreement is paid (the "**Collateral Account**"); and (iii) following the date on which the Swap Transaction is terminated (A) if a Swap Trigger has not occurred the amount standing to the credit of the Collateral Account (if any) which exceeds the termination amount (if any) that would have otherwise been payable by the Swap Counterparty to the Issuer had the collateral not been provided; and (B) if a Swap Trigger has occurred the amount standing to the credit of the Collateral Account (if any) which exceeds the greater of (x) the termination amount (if any) that would have otherwise been payable by the Swap Counterparty to the Issuer had the collateral not been provided, and (y) the Swap Outstanding Nominal Amount;

"Issuer Creditors" means (i) the Noteholders (represented, as the case may be, by the Representative of the Noteholders); (ii) the Other Issuer Creditors; and (iii) any other third-party creditors in respect of any taxes, costs, fees, liabilities or expenses incurred by the Issuer in relation to the Securitisation;

"Issuer Secured Creditors" means the Noteholders, the Representative of the Noteholders, the Computation Agent, the Servicer, the Paying Agents, the Agent Bank, the Transaction Bank, the Financing Party, the Subordinated Loan Provider, the Seller, the Corporate Services Provider, the Stichting Corporate Services Provider, the Swap Counterparty, the Swap Assignee (if any), the Lead Manager and the Auditors;

"Issuer's Rights" means the Issuer's right, title and interest in and to the Claims, any rights that the Issuer has acquired under the Transaction Documents and any other rights that the Issuer has acquired against the Seller, any Other Issuer Creditors (including any applicable guarantors or successors) or third parties for the benefit of the Noteholders in connection with the securitisation of the Portfolio;

"Italian Deed of Pledge" means a deed of pledge under Italian law to be executed on or around the Issue Date between the Issuer and the Representative of the Noteholders, acting on its own behalf and on behalf of the other Issuer Secured Creditors, and governed by Italian law;

"Italian Law Transaction Documents" means the Transfer Agreement, the Transfer Deeds, the Servicing Agreement, the Warranty and Indemnity Agreement, the Mandate Agreement, the Monte Titoli Mandate Agreement, the Subordinated Loan Agreement, the Shareholders' Agreement, the Subscription Agreement, the Corporate Services Agreement, the Auditing Agreement, the Agency and Accounts Agreement, the Intercreditor Agreement, the Italian Deed of Pledge and the Letter of Undertaking;

"Lead Manager" means Deutsche Bank AG, London Branch;

"Letter of Undertaking" means a letter of undertaking dated the Signing Date between the Issuer, the Representative of the Noteholders and the Financing Party;

"Local Business Day" has the meaning attributed to it in Condition 8(c) (*Payments on Business Days*);

"Mandate Agreement" means a mandate agreement dated the Signing Date between the Issuer and the Representative of the Noteholders;

"Maturity Date" has the meaning given to it in Condition 7(a) (*Final redemption*);

"Meeting" has the meaning given to it in the Rules of the Organisation of Noteholders;

"Minimum Swap Counterparty Ratings" means "P-1" by Moody's and "A-1" by S&P (in respect of the short term unsecured, unsubordinated debt obligations) and "Aa3" by Moody's and "AA-" by S&P (in respect of the long term unsecured, unsubordinated debt obligations) and **"Minimum Swap Counterparty Rating"** means any one of the rating levels indicated above;

"Monte Titoli" means Monte Titoli S.p.A.;

"Monte Titoli Account Holder" means any authorised financial intermediary institution entitled to hold accounts on behalf of its customers with Monte Titoli and includes any depository bank appointed by Clearstream, Luxembourg and Euroclear;

"Monte Titoli Mandate Agreement" means a Monte Titoli mandate agreement dated on or before the Signing Date between Monte Titoli and the Issuer;

"Moody's" means Moody's Investors Service Inc.;

"Organisation of Noteholders" means the organisation of the Noteholders created by the issue and subscription of the Notes and regulated by the Rules of the Organisation of Noteholders attached hereto as the exhibit;

"Other Issuer Creditors" means, collectively, the Representative of the Noteholders, the Seller, the Servicer, the Financing Party, the Corporate Services Provider, the Stichting Corporate Services Provider, the Swap Counterparty, the Auditors, the Subordinated Loan Provider, the Transaction Bank, the Computation Agent, the Principal Paying Agent, the Italian Paying Agent, the Listing and Luxembourg Paying Agent, the Lead Manager, the Swap Assignee (if any) and the Agent Bank;

"Payments Account" means a euro-denominated bank account opened by the Issuer with the Transaction Bank, as better identified in the Agency and Accounts Agreement, that will be used, *inter alia*, on each Interest Payment Date to make payments to the Other Issuer Creditors in accordance with the applicable Priority of Payments;

"Post-Enforcement Priority of Payments" means the provisions relating to the order of priority of payments as set out in Condition 3(e) (*Post-Enforcement Priority of Payments*);

"Pre-Enforcement Priority of Payments" means the provisions relating to the order of priority of payments as set out in Condition 3(d) (*Pre-Enforcement Priority of Payments*);

"Principal Amount Outstanding" means, at any time in relation to a Note, the principal amount of that Note upon issue less the aggregate amount of all Principal Payments in respect of that Note which have become due and payable (and which have been actually paid) on or prior to that date;

"Principal Payments" has the meaning given in Condition 7(d) (*Mandatory redemption of the Notes*);

"Priority of Payments" means, as the case may be, the Pre-Enforcement Priority of Payments or the Post-Enforcement Priority of Payments;

"Purchase Price of the Claims" has the meaning given to it in the Transfer Agreement, which term identifies the purchase price of the Claims;

"Rate of Interest" has the meaning given in Condition 6(c) (*Rate of interest on the Notes*);

"Rating Agencies" means, collectively, Moody's and S&P;

"Reference Banks" means, initially, Barclays Bank plc, Lloyds TSB Bank plc, HSBC Bank plc and The Royal Bank of Scotland plc, each acting through its principal London office and, if the principal London office of any such bank is unable or unwilling to continue to act as a Reference Bank, the principal London office of such other bank as the Issuer shall appoint and as may be approved in writing by the Representative of the Noteholders to act in its place;

"Region Payment Date" means 4 June and 4 December of each year, the first Region Payment Date being 4 June 2007 and the last Region Payment Date being 4 December 2021, provided that if this date would otherwise fall on a day on which banks are not open for business in Pescara (the **"Pescara Business Day"**), that date will be the first following day that is a Pescara Business Day.

"Relevant Date" means, in respect of any payment in relation to the Notes, whichever is the later of:

- (a) the date on which the payment in question first becomes due; and
- (b) if the full amount payable has not been received by the Italian Paying Agent or the Representative of the Noteholders on or prior to such date, the date on which, the full amount having been so received, notice to that effect has been given to the Noteholders in accordance with Condition 17 (*Notices*);

"Reporting Date" means the second Business Day following the end of each Collection Period with the first Reporting Date falling in July 2007;

"Resolution 786" means resolution No. 786 passed by the Regional Council (*Giunta Regionale*) of the Region on 14 July 2006;

"S&P", means Standard & Poor's Ratings Services, a division of The McGraw-Hill Companies, Inc.;

"Scheduled Repayment Amount" means, with respect to each Interest Payment Date (starting from the Decree 239 Interest Payment Date), the amount indicated under the heading "Scheduled Repayment Amount" in the table below against the corresponding Interest Payment Date:

Interest Payment Date falling in:	Scheduled Repayment Amount:
(subject to adjustment according to the Business Day convention set out in Condition 6 below)	
June 2007	€ 0
December 2007	€ 0
June 2008	€ 0
December 2008	€11,677,379
June 2009	€3,171,822
December 2009	€3,279,742
June 2010	€3,391,333
December 2010	€3,506,722

June 2011	€3,626,037
December 2011	€3,749,412
June 2012	€3,876,984
December 2012	€4,008,897
June 2013	€4,145,298
December 2013	€4,286,340
June 2014	€4,432,181
December 2014	€4,582,984
June 2015	€4,738,918
December 2015	€4,900,158
June 2016	€5,066,884
December 2016	€5,239,283
June 2017	€5,417,547
December 2017	€5,601,877
June 2018	€5,792,479
December 2018	€5,989,566
June 2019	€6,193,358
December 2019	€6,404,085
June 2020	€6,621,982
December 2020	€6,847,292
June 2021	€7,080,268
December 2021	€7,321,172
Total	€140,950,000

"Scheduled Repayment Amount Arrears" means the portion of the relevant Scheduled Repayment Amount which remains unpaid on the relevant Interest Payment Date (starting from the Decree 239 Interest Payment Date);

"Screen Rate" has the meaning attributed to it in Condition 6(c) (*Rate of interest on the Notes*);

"Secured Amounts" means all the amounts due, owing or payable by the Issuer, whether present or future, actual or contingent, to the Noteholders under the Notes and the other Issuer Secured Creditors pursuant to the relevant Transaction Documents;

"Security Interest" means any mortgage, charge, pledge, lien, right of set-off, special privilege (*privilegio speciale*), assignment by way of security, retention of title or any other security interest whatsoever or any other agreement or arrangement having the effect of conferring security;

"Seller" means Deutsche Bank AG acting through its London branch in its capacity as seller of the Claims;

"Seller's Claims" has the same meaning attributed to it in clause 8.1 of the Transfer Agreement (which term identifies all the claims of the Seller against the Issuer under the Transfer Agreement other than in respect of the Purchase Price of the Claims);

"Servicer" means Zenith Service S.p.A.;

"Servicer's Report" means the report prepared and submitted by the Servicer to the Computation Agent, the Swap Counterparty, the Rating Agencies, the Representative of the Noteholders and the Issuer in the form set out in the Servicing Agreement and containing information as to the Portfolio and any Collections in respect of the preceding Collection Period with the first Servicer's Report falling in June 2007;

"Servicing Agreement" means the servicing agreement dated the Initial Execution Date between the Issuer, the Seller and the Servicer and amended on the Signing Date;

"Shareholders' Agreement" means a quotaholders' agreement in relation to the Issuer dated the Signing Date between the Issuer, the Representative of the Noteholders and Stichting Bancaburg;

"Specified Offices" has the meaning given in Condition 17(d) (*Initial Specified Offices*);

"Stichting Bancaburg" means Stichting Bancaburg, a Dutch foundation (*stichting*) established under the laws of The Netherlands, with statutory seat at Amsteldijk 166, 1079 LH Amsterdam, The Netherlands;

"Stichting Corporate Services Agreement" means the agreement entered into on the Signing Date between, *inter alios*, Stichting Bancaburg, the Issuer, the Representative of the Noteholders and the Stichting Corporate Services Provider;

"Stichting Corporate Services Provider" means KPMG Fides Servizi di Amministrazione S.p.A.;

"Subordinated Loan Agreement" means the subordinated loan agreement dated the Signing Date between the Issuer, the Representative of the Noteholders and the Subordinated Loan Provider;

"Subordinated Loan Provider" means Deutsche Bank AG, London Branch as subordinated loan provider under the Subordinated Loan Agreement;

"Subscription Agreement" means the subscription agreement in respect of the Notes dated the Signing Date among the Lead Manager, the Seller, the Issuer and the Representative of the Noteholders;

"Swap Agreement" means the 1992 Master Agreement (Multicurrency-Cross Border) published by the International Swaps and Derivatives Association, Inc. ("**ISDA**") and the Schedule thereto entered into on the Signing Date between the Issuer, the Swap Counterparty and the Representative of the Noteholders, as supplemented by the confirmation documenting the Swap Transaction executed thereunder and the 1995 Credit Support Annex published by ISDA;

"Swap Assignee" means any third party to which, following the Signing Date and pursuant to the Swap Agreement, the Swap Counterparty may assign all or part of its interest in any amount payable by the Issuer to the Swap Counterparty;

"Swap Counterparty" means Deutsche Bank AG, London Branch and includes any successor swap counterparty appointed from time to time under the Swap Agreement;

"Swap Counterparty Nominal Amounts" means the nominal amounts paid under the Swap Transaction by the Swap Counterparty to the Issuer (identified in the Swap Transaction as "Party A Nominal Amounts") prior to an early termination of the Swap Transaction;

"Swap Issuer Nominal Amounts" means the nominal amounts effectively received under the Swap Transaction by the Swap Counterparty (identified in the Swap Transaction as "Party B Nominal Amounts") prior to an early termination of the Swap Transaction;

"Swap Outstanding Nominal Amount" means the Swap Issuer Nominal Amounts less the Swap Counterparty Nominal Amounts, provided that if the resulting amount is a negative number such amount will be deemed equal to zero;

"Swap Transaction" means the interest rate swap transaction entered into between the Issuer and the Swap Counterparty on the Signing Date documented under the Swap Agreement;

"Swap Trigger" means the early termination of the Swap Transaction due to either:

- (a) (i) the downgrade, below one or more of the Minimum Swap Counterparty Ratings, of the unsecured and unsubordinated debt obligations of the Swap Counterparty, and (ii) the failure by the Swap Counterparty to take such action as is required in the Swap Agreement to remedy such downgrade; or
- (b) the occurrence of an Event of Default (as defined in the Swap Agreement (which, for the avoidance of doubt, is not the same as an Event of Default under the Notes) and designated as such by the Issuer) in respect of which the Swap Counterparty is the defaulting party; or
- (c) the occurrence of a Tax Event or an Illegality (both as defined in the Swap Agreement) with Party A designating an Early Termination Date for the Swap Transaction.

"Swap Unpaid Assigned Amount" means any amount payable by the Issuer under the Swap Agreement assigned by the Swap Counterparty to the Swap Assignee pursuant to the Swap Agreement and not paid by the Issuer prior or on the Early Termination Date (as defined in the Swap Agreement) of the Swap Transaction;

"TARGET" means the Trans-European Automated Real-Time Gross Transfer System (or any successor thereto);

"TARGET Settlement Day" means any day on which TARGET is open;

"Transaction Accounts" means the Collection Account, the Expenses Reserve Account, the Equity Capital Account and the Payments Account and **"Transaction Account"** means any one of them;

"Transaction Bank" means Deutsche Bank S.p.A. in its capacity as transaction bank, under the Agency and Accounts Agreement, and includes any successor transaction bank appointed from time to time;

"Transaction Documents" means the English Law Transaction Documents together with the Italian Law Transaction Documents and each a **"Transaction Document"**;

"Transfer Agreement" means a transfer agreement dated the Initial Execution Date and amended on the Signing Date between the Issuer and the Seller;

"Transfer Deeds" means seven notarial transfer deeds dated the Initial Execution Date between the Issuer and the Seller under which the Issuer has acquired the ownership of the Claims pursuant to the Securitisation Law and Decree No. 2440 and **"Transfer Deed"** means any one of them;

"Warranty and Indemnity Agreement" means a warranty and indemnity agreement dated the Initial Execution Date and amended on the Signing Date between the Issuer and the Seller; and

"Written Resolution" means a resolution in writing signed by or on behalf of all holders of Notes who for the time being are entitled to receive notice of a Meeting of such holders of Notes in accordance with the Rules of the Organisation of Noteholders, whether contained in one document, or several documents in the same form, each signed by or on behalf of one or more such holders of Notes.

2. Form, denomination and title

(a) Form

The Notes are in bearer and dematerialised form and will be wholly and exclusively deposited with Monte Titoli in accordance with article 28 of Italian legislative decree No. 213 of 24 June 1998, through the authorised institutions listed in article 30 of such legislative decree.

(b) Denomination

The Notes are issued in the denomination of €50,000.

(c) Title

The Notes will be held by Monte Titoli on behalf of the Noteholders until redemption and cancellation for the account of each relevant Monte Titoli Account Holder. The Notes will at all times be in book entry form and title to the Notes will be evidenced by book entries in accordance with the provisions of: (i) article 28 of Italian legislative decree No. 213 of 24 June 1998; and (ii) resolution No. 11768 of 23 December 1998 of the CONSOB as subsequently amended. No physical document of title will be issued in respect of the Notes.

(d) Holder Absolute Owner

The Issuer, the Representative of the Noteholders and any Paying Agent may (to the fullest extent permitted by applicable laws) deem and treat the Monte Titoli Account Holder as the absolute owner for all purposes (whether or not the Note shall be overdue and notwithstanding any notice of ownership or writing on the Note or any notice of previous loss or theft of the Note).

3. Status, ranking and priority

(a) Status

The Notes are limited-recourse obligations of the Issuer and, accordingly, the extent of the obligation of the Issuer to make payments under the Notes is limited to the share of the amounts received or recovered by or on behalf of the Issuer or the Representative of the Noteholders in respect of the Claims and under the Transaction Documents. The Notes are secured over certain assets of the Issuer pursuant to the Italian Deed of Pledge and the English Deed of Charge and Assignment. The Noteholders acknowledge that the limited-recourse nature of the Notes produces the effects of a *contratto aleatorio* under Italian law and they accept the consequences thereof, including but not limited to the provisions of article 1469 of the Italian civil code. The rights arising from the Italian Deed of Pledge and the English Deed of Charge and Assignment are included in each Note.

(b) Ranking

In respect of the obligations of the Issuer to pay interest and repay principal on the Notes, the Notes rank at all times *pari passu* without any preference or priority among themselves.

(c) Sole obligations

The Notes are obligations solely of the Issuer and are not obligations of, or guaranteed by, any other parties to the Transaction Documents.

(d) Pre-Enforcement Priority of Payments

Prior to the service of an Issuer Acceleration Notice, the Issuer Available Funds as calculated on each Calculation Date will be applied by the Issuer on the Interest Payment Date immediately following such Calculation Date in making payments or provisions in the following order of priority (the "**Pre-Enforcement Priority of Payments**") but, in each case, only if and to the extent that payments or provisions of a higher priority have been made in full:

- (i) *first*, in or towards satisfaction, *pro rata* and *pari passu*, of any and all outstanding fees, costs and expenses of and all other amounts due and payable to the Representative of the Noteholders or any appointee thereof;
- (ii) *second*, in or towards satisfaction, *pro rata* and *pari passu*, of any and all outstanding taxes due and payable by the Issuer (to the extent not paid by the Financing Party under the Letter of Undertaking);
- (iii) *third*, in or towards satisfaction, *pro rata* and *pari passu*, according to the respective amounts thereof, of:
 - (A) any and all outstanding fees, costs, liabilities and any other expenses to be paid in order to preserve the corporate existence of the Issuer, to maintain it in good standing, to comply with applicable legislation and to fulfill

- obligations to third parties (not being Other Issuer Creditors) incurred in the course of the Issuer's business (to the extent not paid by the Financing Party under the Letter of Undertaking); and
- (B) any and all outstanding fees, costs, expenses and taxes required to be paid in connection with the listing, deposit or credit ratings of the Notes, or any notice to be given to the Noteholders or the other parties to the Transaction Documents;
- (iv) *fourth*, in or towards satisfaction, *pro rata* and *pari passu*, according to the respective amounts thereof, of any and all outstanding fees, costs and expenses of and all other amounts due and payable to the Paying Agents, the Agent Bank, the Computation Agent, the Corporate Services Provider, the Stichting Corporate Services Provider, the Auditors, the Transaction Bank and the Servicer, each under the Transaction Documents to which it is a party;
 - (v) *fifth*, provided that a Swap Trigger has not occurred, in or towards satisfaction, *pro rata* and *pari passu*, of any and all Swap Unpaid Assigned Amounts (if any) payable to the Swap Assignee under the terms of the Swap Agreement following the early termination of the Swap Transaction;
 - (vi) *sixth*, in or towards satisfaction, *pro rata* and *pari passu*, of any and all amounts due and payable by the Issuer to the Swap Counterparty under the Swap Agreement, including any termination payment due and payable by the Issuer under the Swap Agreement other than any termination payment due and payable by the Issuer to the Swap Counterparty upon the occurrence of a Swap Trigger;
 - (vii) *seventh*, in or towards payment, *pro rata* and *pari passu*, of all amounts of interest due and payable on the Notes;
 - (viii) *eighth*, on the Decree 239 Interest Payment Date and on each Interest Payment Date thereafter, in or towards repayment, *pro rata* and *pari passu*, of principal on the Notes in an amount equal to the applicable Scheduled Repayment Amount and the Scheduled Repayment Amount Arrears (if any);
 - (ix) *ninth*, in or towards satisfaction of any and all Swap Unpaid Assigned Amounts (if any) payable to the Swap Assignee under the terms of the Swap Agreement, following the occurrence of a Swap Trigger;
 - (x) *tenth*, in or towards satisfaction of any termination payment due and payable to the Swap Counterparty under the terms of the Swap Agreement following the occurrence of a Swap Trigger (and, for the avoidance of doubt, not already paid to the Swap Counterparty pursuant to item (v) above or to the Swap Assignee pursuant to item (ix) above);
 - (xi) *eleventh*, if and to the extent that the Notes have been repaid in full, in or towards satisfaction of all amounts of interest due and payable to the Subordinated Loan Provider under the Subordinated Loan Agreement;
 - (xii) *twelfth*, if and to the extent that the Notes have been repaid in full, in or towards satisfaction of all amounts of principal due and payable to the Subordinated Loan Provider under the Subordinated Loan Agreement;
 - (xiii) *thirteenth*, if and to the extent that the Notes have been repaid in full, in or towards satisfaction of all amounts due and payable to DB under the terms of the Subscription Agreement;

- (xiv) *fourteenth*, if and to the extent that the Notes have been repaid in full, in or towards satisfaction, *pro rata* and *pari passu*, of all amounts due and payable to the Seller, in respect of the Seller's Claims (if any) under the terms of the Transfer Agreement and the Transfer Deeds;
- (xv) *fifteenth*, if and to the extent that the Notes have been repaid in full, in or towards satisfaction, *pro rata* and *pari passu*, according to the respective amounts thereof, of all amounts due and payable to the Seller:
 - (a) in connection with a limited recourse loan under the Letter of Undertaking;
 - (b) under the terms of the Warranty and Indemnity Agreement; and
- (xvi) *sixteenth*, to credit the remainder (if any) to the Collection Account.

(e) *Post-Enforcement Priority of Payments*

At any time following delivery of an Issuer Acceleration Notice, or, in the event that the Issuer opts for the early redemption of the Notes under Condition 7(c) (*Optional redemption in whole for taxation, legal or regulatory reasons*), all amounts received or recovered by or on behalf of the Issuer or the Representative of the Noteholders in respect of the Claims, the Note Security and/or any of the other Transaction Documents (but, for the avoidance of doubt, excluding (A) if a Swap Trigger has not occurred the amount standing to the credit of the Collateral Account (if any) which exceeds the termination amount (if any) that would have otherwise been payable by the Swap Counterparty to the Issuer had the collateral not been provided; and (B) if a Swap Trigger has occurred the amount standing to the credit of the Collateral Account (if any) which exceeds the greater of (x) the termination amount (if any) that would have otherwise been payable by the Swap Counterparty to the Issuer had the collateral not been provided, and (y) the Swap Outstanding Nominal Amount) will be applied by or on behalf of the Representative of the Noteholders in the following order (the "**Post-Enforcement Priority of Payments**") but, in each case, only if and to the extent that payments of a higher priority have been made in full:

- (i) *first*, in or towards satisfaction, *pro rata* and *pari passu*, of any and all outstanding fees, costs and expenses of and all other amounts due and payable to the Representative of the Noteholders or any appointee thereof;
- (ii) *second*, in or towards satisfaction, *pro rata* and *pari passu*, of any and all outstanding taxes due and payable by the Issuer (to the extent not paid by the Financing Party under the Letter of Undertaking);
- (iii) *third*, in or towards satisfaction, *pro rata* and *pari passu*, according to the respective amounts thereof, of:
 - (A) any and all outstanding fees, costs, liabilities and any other expenses to be paid in order to preserve the corporate existence of the Issuer, to maintain it in good standing, to comply with applicable legislation and to fulfill obligations to third parties (not being Other Issuer Creditors) incurred in the course of the Issuer's business (to the extent not paid by the Financing Party under the Letter of Undertaking); and
 - (B) any and all outstanding fees, costs, expenses and taxes required to be paid in connection with the listing, deposit or credit ratings of the Notes, or any notice to be given to the Noteholders or the other parties to the Transaction Documents;

- (iv) *fourth*, in or towards satisfaction, *pro rata* and *pari passu*, according to the respective amounts thereof, of any and all outstanding fees, costs and expenses of and all other amounts due and payable to the Paying Agents, the Agent Bank, the Computation Agent, the Corporate Services Provider, the Stichting Corporate Services Provider, the Auditors, the Transaction Bank and the Servicer, each under the Transaction Documents to which it is a party;
- (v) *fifth*, provided that a Swap Trigger has not occurred, in or towards satisfaction, *pro rata* and *pari passu*, of any and all Swap Unpaid Assigned Amounts (if any) payable to the Swap Assignee under the terms of the Swap Agreement following the early termination of the Swap Transaction;
- (vi) *sixth*, in or towards satisfaction, *pro rata* and *pari passu*, of any and all amounts due and payable by the Issuer to the Swap Counterparty under the Swap Agreement, including any termination payment due and payable by the Issuer under the Swap Agreement other than any termination payment due and payable by the Issuer to the Swap Counterparty upon the occurrence of a Swap Trigger;
- (vii) *seventh*, in or towards payment, *pro rata* and *pari passu*, of all amounts due and payable in respect of interest (including any interest accrued but unpaid) on the Notes;
- (viii) *eighth*, in or towards repayment, *pro rata* and *pari passu*, of the Principal Amount Outstanding of the Notes, until repayment in full of the Notes;
- (ix) *ninth*, in or towards satisfaction of any and all Swap Unpaid Assigned Amounts (if any) payable to the Swap Assignee under the terms of the Swap Agreement, following the occurrence of a Swap Trigger;
- (x) *tenth*, in or towards satisfaction of any termination payment due and payable to the Swap Counterparty under the terms of the Swap Agreement following the occurrence of a Swap Trigger (and, for the avoidance of doubt, not already paid to the Swap Counterparty pursuant to item (v) above or to the Swap Assignee pursuant to item (ix) above);
- (xi) *eleventh*, in or towards satisfaction, *pro rata* and *pari passu*, of all amounts of interest due and payable to the Subordinated Loan Provider under the Subordinated Loan Agreement;
- (xii) *twelfth*, in or towards satisfaction, *pro rata* and *pari passu*, of all amounts of principal due and payable to the Subordinated Loan Provider under the Subordinated Loan Agreement;
- (xiii) *thirteenth*, in or towards satisfaction of all amounts due and payable to DB under the terms of the Subscription Agreement; and
- (xiv) *fourteenth*, in or towards satisfaction, *pro rata* and *pari passu*, according to the respective amounts thereof, of all amounts due and payable to DB:
 - (a) in connection with a limited recourse loan under the Letter of Undertaking;
 - (b) under the terms of the Warranty and Indemnity Agreement; and
 - (c) in or towards satisfaction, *pro rata* and *pari passu*, of all amounts due and payable to DB, in respect of the Seller's Claims (if any) under the terms of the Transfer Agreement and the Transfer Deeds,

provided however that if the amount of the monies at any time available to the Issuer or the Representative of the Noteholders for the payments above shall be less than 10 per cent. of the Principal Amount Outstanding of all the Notes, the Representative of the Noteholders may at its discretion invest such monies in some or one of the investments authorised pursuant to the Intercreditor Agreement. The Representative of the Noteholders at its discretion may vary such investments and may accumulate such investments and the resulting income until the earlier of: (i) the day on which the accumulations, together with any other funds for the time being under the control of the Representative of the Noteholders and available for such purpose, amount to at least 10 per cent. of the Principal Amount Outstanding of all the Notes and (ii) the Business Day immediately following the service of an Issuer Acceleration Notice that would have been an Interest Payment Date. Such accumulations and funds shall then be applied to make the payments above.

The Issuer is entitled, pursuant to the Intercreditor Agreement and subject to the Representative of the Noteholders' written consent, to dispose of the Claims in order to finance the redemption of the Notes following the delivery of an Issuer Acceleration Notice.

In the event that the Issuer redeems any Notes in whole or in part prior to the date which is 18 months after the Issue Date, the Issuer will be required to pay a tax in Italy equal to 20 per cent. of all interest accrued on such principal amount repaid early up to the relevant repayment date. This requirement will apply whether or not the redemption takes place following an Event of Default under the Notes or pursuant to any requirement of the Issuer to redeem Notes following the service of an Issuer Acceleration Notice in connection with any such Event of Default. Consequently, following an Event of Default, the Issuer may, with the consent of the Representative of the Noteholders, and shall, if so instructed by the Representative of the Noteholders, delay the redemption of the Notes until the end of such 18-month period.

(f) Expenses

Pursuant to the Agency and Accounts Agreement, the Issuer has instructed the Transaction Bank, and the Transaction Bank has agreed, to arrange on the Issue Date, or immediately thereafter, for the payment out of the Payments Account on behalf of the Issuer of an aggregate amount equal to €136,658.57 due as up-front fees, costs and expenses to the Agents, the Corporate Services Provider, the Stichting Corporate Services Provider, the Servicer, the Representative of the Noteholders, S&P and the Auditors, in accordance with the payment instructions to be given by the Issuer to the Transaction Bank on or about the Issue Date.

From time to time, during an Interest Period, the Issuer shall, in accordance with the Agency and Accounts Agreement, be entitled to apply amounts standing to the credit of the Expenses Reserve Account in respect of certain monies which properly belong to third parties and in payment of sums due to third parties under obligations incurred in the course of the Issuer's business or as otherwise referred to in items (i) and (ii) of Condition 3(d) (*Pre-Enforcement Priority of Payments*) and items (i) and (ii) of Condition 3(e) (*Post-Enforcement Priority of Payments*).

4. Security

As security for the discharge of the Secured Amounts, the Issuer will create, pursuant to the Italian Deed of Pledge and the English Deed of Charge and Assignment, the following security (together, the "**Note Security**"):

- (i) concurrently with the issue of the Notes, in favour of the Representative of the Noteholders for itself and on behalf of the Noteholders and the other Issuer Secured Creditors a first ranking pledge over all monetary claims and rights and all the amounts (including payment for claims, indemnities, damages, penalties, credits and guarantees) to which the Issuer is entitled from time to time pursuant to the Transfer Agreement, the Transfer Deeds, the Warranty and Indemnity Agreement, the Agency and Accounts Agreement, the Servicing Agreement, the Intercreditor Agreement, the Corporate Services Agreement, the Subordinated Loan Agreement, the Letter of Undertaking, the Auditing Agreement, the Subscription Agreement and the Shareholders' Agreement; and
- (ii) concurrently with the issue of the Notes, in favour of the Representative of the Noteholders for itself and as trustee for the Noteholders and the other Issuer Secured Creditors, *inter alia*: (i) an English law assignment by way of first fixed security of all of the Issuer's rights under the Swap Agreement, the Stichting Corporate Services Agreement and all other contracts, agreements, deeds and documents, present and future, governed by English law to which the Issuer may become a party in relation to the Notes, the Claims and the Portfolio; (ii) an English law charge by way of a first fixed charge over any amounts standing to the credit of each bank or other account located in England in which the Issuer may at any time acquire any right, title, interest or benefit under the Transaction Documents or acquires in relation to the Claims, the Notes and the Portfolio; and (iii) a floating charge over all of the Issuer's assets which are subject to the assignments or charges described under (i) and (ii) above to the extent such assignments or charges do not effectively create a fixed charge.

In addition, by operation of Italian law, the Issuer's right, title and interest in and to the Claims thereunder is segregated from all other assets of the Issuer and amounts deriving therefrom will be available both prior to and following a winding-up of the Issuer only to satisfy the obligations of the Issuer to the Noteholders and the other Issuer Creditors in accordance with the applicable Priority of Payments.

5. Covenants

(a) *Covenants by the Issuer*

For so long as any Note remains outstanding, the Issuer shall not, save with the prior written consent of the Representative of the Noteholders (having regard to the interests of the Noteholders) or as provided in or envisaged by any of the Transaction Documents:

(i) *Negative pledge*

create or permit to subsist any Security Interest whatsoever upon, or with respect to the Claims, or any part thereof or any of its present or future business, undertaking, assets or revenues relating to this Securitisation or undertakings (other than under the Note Security) or sell, lend, part with or otherwise dispose of all or any part of the Claims, or any part thereof or any of its present or future business, undertaking, assets or revenues relating to this Securitisation whether in one transaction or in a series of transactions;

(ii) *Restrictions on activities*

- (A) without prejudice to Condition 5(b) (*Further securitisations*) below, engage in any activity whatsoever which is not incidental to or necessary in connection with any of the activities in which the Transaction Documents provide or envisage that the Issuer will engage;
- (B) have any subsidiary (*società controllata*) or affiliate company (*società collegata*) (as defined in article 2359 of the Italian civil code) or any employees or premises;
- (C) at any time approve or agree or consent to any act or thing whatsoever which is materially prejudicial to the interests of the Noteholders under the Transaction Documents or do, or permit to be done, any act or thing in relation thereto which is materially prejudicial to the interests of the Noteholders under the Transaction Documents; or
- (D) become the owner of any real estate asset;

(iii) *Dividends or distributions*

pay any dividend or make any other distribution or return or repay any equity capital to its quotaholders, other than in accordance with the provisions of the Shareholders' Agreement, or increase its equity capital;

(iv) *Borrowings*

without prejudice to Condition 5(b) (*Further securitisations*) below, incur any indebtedness in respect of borrowed money whatsoever or give any guarantee in respect of any indebtedness or of any obligation of any person, without the Rating Agencies prior confirmation that any such indebtedness or guarantee will not adversely affect the credit rating of the Notes;

(v) *Merger*

consolidate or merge with any other person or convey or transfer any of its properties or assets substantially as an entirety to any other person;

(vi) *No variation or waiver*

permit any of the Transaction Documents (i) to be amended, terminated or discharged, if such amendment, termination or discharge may negatively affect the interests of the holders of the Notes or (ii) to become invalid or ineffective or the priority of the Security Interests created thereby to be reduced or consent to any variation thereof or exercise any powers of consent, direction or waiver pursuant to the terms of any of the Transaction Documents or permit any party to the Transaction Documents or any other person whose obligations form part of the Note Security to be released from its respective obligations in a way which may negatively affect the interests of the holders of the Notes;

(vii) *Settlement Agreements and Delegations of Payment*

consent to any waiver of any right under any of the Settlement Agreements and/or the Delegations of Payment;

(viii) *Bank accounts*

without prejudice to Condition 5(b) (*Further securitisations*) below, have an interest in any bank account other than the Transaction Accounts and the Collateral Account (if any);

(ix) *Statutory documents*

amend, supplement or otherwise modify its by-laws (*statuto*) or deed of incorporation (*atto costitutivo*), except where such amendment, supplement or modification is required by any compulsory provision of Italian law or by the competent regulatory authorities;

(x) *Corporate records, financial statements and books of account*

permit or consent to any of the following occurring:

- (i) its books and records being maintained with or co-mingled with those of any other person or entity;
- (ii) its bank accounts and the debts represented thereby being co-mingled with those of any other person or entity; or
- (iii) its assets or revenues being co-mingled with those of any other person or entity;

and, in addition and without limitation to the above, the Issuer shall or shall procure that, with respect to itself:

- (A) separate financial statements in relation to its financial affairs are observed;
- (B) all corporate formalities with respect to its affairs are observed;
- (C) separate stationery, invoices and cheques are used;
- (D) it always holds itself out as a separate entity; and
- (E) any known misunderstandings regarding its separate identity are corrected as soon as possible;

(xi) *Compliance with corporate formalities*

cease to comply with all necessary corporate formalities; or

(xii) *Residency and Centre of Main Interest*

become resident, including (without limitation) for tax purposes, in any country outside of the Republic of Italy or cease to be managed and administered in Italy or cease to have its centre of main interest in Italy.

(b) *Further securitisations*

None of the covenants in Condition 5(a) (*Covenants by the Issuer*) above shall prohibit the Issuer from:

- (i) acquiring, by way of separate transactions unrelated to this Securitisation, further portfolios of monetary claims in addition to the Claims either from the Seller or, with the latter's consent in writing, from any other entity (the "**Further Portfolios**");
- (ii) securitising such Further Portfolios (each, a "**Further Securitisation**") through the issue of further debt securities additional to the Notes (the "**Further Notes**");
- (iii) entering into agreements and transactions, with the Seller or any other entity, that are incidental to or necessary in connection with such Further Securitisation including, *inter alia*, the ring-fencing or the granting of security over such Further Portfolios and any right, benefit, agreement, instrument, document or other asset of the Issuer relating thereto to secure such Further Notes (the "**Further Security**"), provided that:
 - (A) the Issuer confirms in writing to the Representative of the Noteholders that such Further Security does not comprise or extend totally or partially over any of the Claims or any of the other Issuer's Rights;
 - (B) the Issuer confirms in writing to the Representative of the Noteholders that the terms and conditions of the Further Notes contain provisions to the effect that the obligations of the Issuer whether in respect of interest, principal, premium or other amounts in respect of such Further Notes, are limited recourse obligations of the Issuer, limited to some or all of the assets comprised in such Further Security;
 - (C) the Issuer confirms in writing to the Representative of the Noteholders that each person party to such Further Securitisation agrees and acknowledges that the obligations of the Issuer to such person in connection with such Further Securitisation are limited recourse obligations of the Issuer, limited to some or all of the assets comprised in such Further Security and that each creditor in respect of such Further Securitisation or the representative of the holders of such Further Notes has agreed to limitations on its ability to take action against the Issuer, including in respect of insolvency proceedings relating to the Issuer, on terms in all significant respects equivalent to those contained in the Intercreditor Agreement;
 - (D) the Rating Agencies give written confirmation to the Representative of the Noteholders that the issue of such Further Notes would not adversely affect the current credit rating of the Notes;
 - (E) the Issuer confirms in writing to the Representative of the Noteholders that the terms and conditions of such Further Notes will include:

1. covenants by the Issuer in all significant respects equivalent to those covenants provided in paragraphs (A) to (C) above; and
 2. provisions which are the same as or, in the sole discretion of the Representative of the Noteholders, equivalent to this proviso;
- (F) the Representative of the Noteholders, following consultation with the Noteholders, is not directed in writing from the majority of the Noteholders as to withhold its consent in respect of such Further Securitisation; and
- (G) the Representative of the Noteholders is satisfied that conditions (A) to (F) of this proviso have been satisfied.

In giving any written consent to the foregoing, the Representative of the Noteholders may require the Issuer to make such modifications or additions to the provisions of any of the Transaction Documents (as may itself consent thereto on behalf of the Noteholders) or may impose such other conditions or requirements as the Representative of the Noteholders may deem expedient (in its absolute discretion) in the interests of the Noteholders and may rely on any written confirmation from the Issuer as to the matters contained therein.

The Claims and the Collections will be ring-fenced pursuant to the Securitisation Law against the claims and collections of any Further Securitisation and under no circumstances, the security interest created in the context of the issue of any Further Securitisation can extend its effects to the Claims and the Collections.

6. Interest

(a) *Interest Payment Dates and Interest Periods*

Each Note bears interest on its Principal Amount Outstanding from (and including) the Issue Date in an amount determined in accordance with this Condition 6, payable in euro in arrear on 27 June 2007, and thereafter semi-annually in arrear on 27 December and 27 June in each year or, if any such date is not a Business Day, on the immediately succeeding Business Day (each such date, an "**Interest Payment Date**"), in any case subject as provided in Condition 8 (*Payments*). Each period beginning on (and including) an Interest Payment Date (or, in the case of the first Interest Period, the Issue Date) and ending on (but excluding) the next (or, in the case of the first Interest Period, the first) Interest Payment Date is herein called an "**Interest Period**".

(b) *Termination of interest amounts on the Notes*

Each Note shall cease to bear interest from and including its due date for final redemption, unless payment of principal due is improperly withheld or refused or default is otherwise made in respect of payment thereof, in which case it will continue to bear interest in accordance with this Condition 6 (both before and after judgment) until whichever is the earlier of:

- (i) the date on which all amounts due in respect of such Note up to that date are received by or on behalf of the relevant Noteholder; and
- (ii) the Cancellation Date.

(c) *Rate of interest on the Notes*

The rate of interest payable from time to time in respect of the Notes (the "**Rate of Interest**") for each Interest Period will be determined by the Agent Bank on the basis of the following provisions:

- (i) the Agent Bank will determine the rate offered in the euro zone inter bank market for six-month deposits in euro ("**EURIBOR**") (save that for the first Interest Period the rate will be obtained upon linear interpolation of EURIBOR for two- and three-month deposits in euro) which appears on Bloomberg page "EBF" (the "**Screen Rate**") or (A) such other page as may replace Bloomberg page "EBF" on that service for the purpose of displaying such information or (B) if that service ceases to display such information, such page as displays such information on such equivalent service (or, if more than one, that one which is approved by the Representative of the Noteholders) as may replace the Bloomberg page "EBF" at or about 11.00 a.m. (Brussels time) on the day that is two TARGET Settlement Days preceding each Interest Period (the "**Interest Determination Date**"); or
- (ii) if the Screen Rate is unavailable at such time for six-month deposits in euro, then the rate for any relevant period shall be the arithmetic mean (rounded to four decimal places with the mid-point rounded upwards) of the rates notified to the Agent Bank at its request by each of the Reference Banks as the rate at which six-month deposits in euro in a representative amount are offered by that Reference Bank to leading banks in the euro zone inter bank market at or about 11.00 a.m. (Brussels time) on the relevant Interest Determination Date; or
- (iii) if at that time the Screen Rate is unavailable and only two or three of the Reference Banks provide such offered quotations to the Agent Bank, the relevant rate shall be determined, as aforesaid, on the basis of the offered quotations of those Reference Banks providing such quotations; or
- (iv) if at that time the Screen Rate is unavailable and only one or none of the Reference Banks provides the Agent Bank with such an offered quotation, the relevant rate shall be the rate in effect for the immediately preceding period to which one of subparagraphs (i) or (ii) above shall have applied; and
- (v) the Rate of Interest for such Interest Period shall be the sum of:
 - (A) 0.355 per cent. per annum; and
 - (B) EURIBOR or (as the case may be) the arithmetic mean as determined above.

(d) *Calculation of Interest Amounts*

The Agent Bank will, as soon as practicable after 11.00 a.m. (Brussels time) on each Interest Determination Date in relation to each Interest Period, determine the amount of interest payable in respect of the Notes for the relevant Interest Period (each such amount, the "**Interest Amount**"). The Interest Amount shall be determined by applying the Rate of Interest for such Interest Period to the Principal Amount Outstanding of the Notes during such Interest Period, multiplying the product of such calculation by the actual number of days in the Interest Period concerned divided by 360, and rounding the resultant figure to the nearest cent (half a cent being rounded upwards).

(e) *Publication of Rate of Interest and Interest Amount*

The Agent Bank will cause each Rate of Interest and each Interest Amount for each Interest Period and the relative Interest Payment Date, to be notified to the Issuer, the Paying Agents, the Computation Agent, the Servicer, the Swap Counterparty, the Representative of the Noteholders, Monte Titoli and any stock exchange or other relevant authority on which the Notes are at the relevant time listed and (if so required by the rules of the relevant stock exchange) to be published in accordance with Condition 17 (*Notices*) as soon as practicable after their determination, but in any event not later than the second Business Day thereafter.

The Agent Bank will be entitled to recalculate any Rate of Interest or Interest Amount (on the basis of the foregoing provisions) without notice in the event of an extension or shortening of the relevant Interest Period.

(f) *Determination or calculation by the Representative of the Noteholders*

If the Agent Bank does not at any time for any reason determine the Rate of Interest or the Interest Amount for any Notes in accordance with this Condition 6, the Representative of the Noteholders shall (but without incurring any liability to any person as a result):

- (i) determine the Rate of Interest for the Notes at such rate as, in its absolute discretion (having such regard as it shall think fit to the procedures described in this Condition 6), it shall deem fair and reasonable in all the circumstances; and/or (as the case may be);
- (ii) calculate the relevant Interest Amount in the manner specified in this Condition 6, and any determination and/or calculation shall be deemed to have been made by the Agent Bank.

(g) *Scheduled Repayment Amount Arrears*

Without prejudice to the right of the Representative of the Noteholders to serve the Issuer with an Issuer Acceleration Notice pursuant to Condition 10(a)(i) (*Non-payment*), prior to the service of an Issuer Acceleration Notice, in the event that on any Interest Payment Date there are any Scheduled Repayment Amount Arrears, such Scheduled Repayment Amount Arrears shall be deferred to the following Interest Payment Date or the day an Issuer Acceleration Notice is served to the Issuer, whichever comes first. A *pro rata* share of such Scheduled Repayment Amount Arrears shall be aggregated with the amount of, and treated for the purpose of this Condition as if it were, principal due, subject to this Condition 6(g), on each Note on the next succeeding Interest Payment Date or, as the case may be, such day.

(h) *Notification of Scheduled Repayment Amount Arrears*

If, on any Calculation Date, the Computation Agent determines that any Scheduled Repayment Amount Arrears in respect of the Notes will arise on the immediately succeeding Interest Payment Date, notice to this effect shall be given or procured to be given by the Issuer to the Representative of the Noteholders, the Italian Paying Agent, Monte Titoli, each stock exchange on which the Notes are then listed, for so long as such Notes are listed on the relevant stock exchange, and (if so required by the rules of the relevant stock exchange) to the Noteholders in accordance with Condition 17 (*Notices*), specifying the amount of Scheduled

Repayment Amount Arrears to be deferred on such following Interest Payment Date in respect of the Notes.

(i) *Interest Amount Arrears*

Without prejudice to the right of the Representative of the Noteholders to serve the Issuer with an Issuer Acceleration Notice pursuant to Condition 10(a)(i) (*Non-payment*), prior to the service of an Issuer Acceleration Notice, in the event that on any Interest Payment Date there are any Interest Amount Arrears, such Interest Amount Arrears shall be deferred to the following Interest Payment Date or the day an Issuer Acceleration Notice is served to the Issuer, whichever comes first. Any such Interest Amount Arrears shall not accrue additional interest. A *pro rata* share of such Interest Amount Arrears shall be aggregated with the amount of, and treated for the purpose of this Condition as if it were, interest due, subject to this Condition 6(i), on each Note on the next succeeding Interest Payment Date or, as the case may be, such day.

(l) *Notification of Interest Amount Arrears*

If, on any Calculation Date, the Computation Agent determines that any Interest Amount Arrears in respect of the Notes will arise on the immediately succeeding Interest Payment Date, notice to this effect shall be given or procured to be given by the Issuer to the Representative of the Noteholders, the Italian Paying Agent, Monte Titoli, each stock exchange on which the Notes are then listed, for so long as such Notes are listed on the relevant stock exchange, and (if so required by the rules of the relevant stock exchange) to the Noteholders in accordance with Condition 17 (*Notices*), specifying the amount of the Interest Amount Arrears to be deferred on such following Interest Payment Date in respect of the Notes.

7. Redemption, purchase and cancellation

(a) *Final redemption*

Unless previously redeemed in full and cancelled as provided in this Condition 7, the Issuer shall redeem the Notes in full at their Principal Amount Outstanding, plus any accrued but unpaid interest, on the Interest Payment Date falling in December 2021 (the "**Maturity Date**"), subject as provided in Condition 8 (*Payments*).

(b) *Cancellation Date*

If the Notes cannot be redeemed in full on the Maturity Date, as a result of the Issuer having insufficient funds for application in or towards such redemption, any amount unpaid shall remain outstanding and these Conditions shall continue to apply in full in respect of the Notes until the Cancellation Date, at which date, in the absence of gross negligence (*colpa grave*) or wilful misconduct (*dolo*) on the part of the Issuer, any amount outstanding, whether in respect of interest, principal or other amounts in respect of the Notes, shall be finally and definitively cancelled.

(c) *Optional redemption in whole for taxation, legal or regulatory reasons*

Prior to the service of an Issuer Acceleration Notice, the Issuer may at its option redeem all the Notes (in whole but not in part) at their Principal Amount Outstanding (plus any accrued but

unpaid interest) in accordance with the payment order set out in the Post-Enforcement Priority of Payments and subject to the Issuer having sufficient funds to redeem all the Notes and to make all payments ranking in priority thereto, on any Interest Payment Date if:

- (i) by reason of a change in law or the interpretation or administration thereof since the Issue Date, the assets of the Issuer in respect of this Securitisation (including the Claims and the other Issuer's Rights) become subject to taxes, duties, assessments or governmental charges of whatever nature imposed, levied, collected, withheld or assessed by the Republic of Italy or by any political sub-division thereof or by any authority thereof or therein or by any applicable taxing authority having jurisdiction; or
- (ii) either the Issuer or any paying agent appointed in respect of the Notes or any custodian of the Notes is required (by reason of a change in law or the interpretation or administration thereof since the Issue Date) to deduct or withhold any amount (other than in respect of a Decree 239 Withholding) in respect of the Notes, from any payment of principal or interest on such Interest Payment Date for or on account of any present or future taxes, duties, assessments or governmental charges of whatever nature imposed, levied, collected, withheld or assessed by the Republic of Italy or any political sub-division thereof or any authority thereof or therein or any other applicable taxing authority having jurisdiction and provided that such deduction or withholding may not be avoided by appointing a replacement paying agent or custodian in respect of the Notes before the Interest Payment Date following the change in law or the interpretation or administration thereof; or
- (iii) it is or will become unlawful for the Issuer (by reason of a change in law or the interpretation or administration thereof since the Issue Date) to perform or comply with any of its obligations under or in respect of the Notes or any of the Transaction Documents to which it is a party,

subject to the Issuer:

- (i) giving not more than 60 nor less than 30 (thirty) days' written notice (which notice shall be irrevocable) to the Representative of the Noteholders and the Noteholders, pursuant to Condition 17 (*Notices*), of its intention to redeem all (but not some only) of the Notes on the next Interest Payment Date at their Principal Amount Outstanding together with interest accrued to but excluding the date of redemption; and
- (ii) having provided to the Representative of the Noteholders:
 - (A) a legal opinion (in form and substance satisfactory to the Representative of the Noteholders) from a firm of lawyers of international reputation (approved in writing by the Representative of the Noteholders) opining on the relevant change in law or the interpretation or administration thereof;
 - (B) a certificate from the chairman of the board of directors or the sole director of the Issuer (as applicable) and a legal opinion from a firm of tax advisers (approved in writing by the Representative of the Noteholders) to the effect that the obligation to make such deduction or withholding or the suffering by the Issuer of such deduction or withholding cannot be avoided or, as the case may be, the events under item (iii) above will apply on the next Interest

Payment Date and cannot be avoided by the Issuer using reasonable endeavours; and

- (C) a certificate from the chairman of the board of directors or the sole director of the Issuer (as applicable) to the effect that it will have the funds on such Interest Payment Date to discharge its obligations under: (I) the Notes and any obligations ranking in priority thereto; and (II) any additional taxes payable by the Issuer by reason of such early redemption of the Notes.

The Issuer is entitled, pursuant to the Intercreditor Agreement and subject to the Representative of the Noteholders' written consent, to dispose of the Claims in order to finance the redemption of the Notes in the circumstances described above.

(d) *Mandatory redemption of the Notes*

- (i) Prior to the service of an Issuer Acceleration Notice:
 - (a) on the Decree 239 Interest Payment Date and on each Interest Payment Date thereafter, the Issuer shall redeem the Notes in an amount equal to the applicable Scheduled Repayment Amount; or
 - (b) upon prepayment in full by the Region of all amounts due under the Delegations of Payment, the Issuer shall redeem the Notes (in whole but not in part) at their Principal Amount Outstanding on the later of the immediately following Interest Payment Date and the Decree 239 Interest Payment Date. The mandatory redemption under this Condition 7(d)(i)(b) is conditional upon the Issuer having sufficient funds to redeem all the Notes and to make all payments ranking in priority thereto. For the purposes of the mandatory redemption under this Condition 7(d)(i)(b), on the relevant Interest Payment Date the Issuer will make payments in accordance with the Post-Enforcement Priority of Payments.
- (ii) The principal amount redeemable in respect of each Note on any Interest Payment Date (each, a "**Principal Payment**") shall be a *pro rata* share of the Issuer Available Funds determined in accordance with the provisions of this Condition 7 and the Pre-Enforcement Priority of Payments to be available to redeem Notes on such date, calculated by reference to the ratio borne by the then Principal Amount Outstanding of such Note to the then Principal Amount Outstanding of the Notes (rounded down to the nearest cent), provided always that no such Principal Payment may exceed the Principal Amount Outstanding of the relevant Note.

(e) *Calculation of Issuer Available Funds, Principal Payments, interest payments and Principal Amount Outstanding*

On each Calculation Date, the Issuer will procure that the Computation Agent determines, in accordance (where applicable) with Condition 3 (*Status and priority*):

- (i) the Issuer Available Funds;
- (ii) (starting from the Collection Date preceding the Decree 239 Interest Payment Date) the applicable Scheduled Repayment Amount and the Principal Payments (if any) due on the Notes on the next following Interest Payment Date;

- (iii) (starting from the Collection Date preceding the Decree 239 Interest Payment Date) the Principal Amount Outstanding of the Notes on the immediately following Interest Payment Date;
- (iv) the interest payable (if any) in respect of the Notes on the next following Interest Payment Date;
- (v) the Interest Amount Arrears, if any, that will arise in respect of the Notes on the immediately following Interest Payment Date;
- (vi) the Scheduled Repayment Amount Arrears, if any, that will arise in respect of the Notes on the immediately following Interest Payment Date;
- (vii) the amount to be debited to the Expenses Reserve Account (if any); and
- (viii) the payments (if any) to be made to each of the parties to the Intercreditor Agreement under the relevant Transaction Document,

and will determine how the Issuer's funds available for distribution pursuant to these Conditions shall be applied, on the immediately following Interest Payment Date, pursuant to the Pre-Enforcement Priority of Payments and will deliver to the Representative of the Noteholders, the Paying Agents and the Transaction Bank a report setting forth such determinations and amounts.

(f) Calculations final and binding

Each determination by or on behalf of the Issuer under Condition 7(e) (*Calculation of Issuer Available Funds, Principal Payments and Principal Amount Outstanding*) will in each case (in the absence of wilful misconduct, bad faith or manifest error) be final and binding on all persons.

(g) Notice of determination and redemption

The Issuer will cause each determination of any Interest Amounts, Principal Payment (if any) and Principal Amount Outstanding in relation to the Notes to be notified immediately after the calculation to the Issuer, the Servicer, the Representative of the Noteholders, the Paying Agents, the Computation Agent, the Swap Counterparty, Monte Titoli and (for so long as any Notes are listed on any stock exchange) each stock exchange on which the Notes are then listed and will immediately cause details of each determination of any Interest Amounts, Principal Payment (if any) and Principal Amount Outstanding in relation to the Notes to be published in accordance with Condition 17 (*Notices*) by not later than one Business Day prior to such Interest Payment Date if required by the rules of the Luxembourg Stock Exchange.

(h) Notice irrevocable

Any such notice as is referred to in Condition 7(g) (*Notice of determination and redemption*) shall be irrevocable and the Issuer shall, in the case of a notice under Condition 7(g) (*Notice of determination and redemption*), be bound to redeem the relevant Notes to which such notice refers (in whole or in part, as applicable) in accordance with this Condition 7.

(i) Determinations by the Representative of the Noteholders

If the Issuer does not at any time for any reason determine or cause to be determined a Principal Payment or the Principal Amount Outstanding in accordance with the preceding

provisions of this Condition 7, such Principal Payment and/or, as applicable, Principal Amount Outstanding shall be determined by the Representative of the Noteholders in accordance with this Condition (but without the Representative of the Noteholders incurring any liability to any person as a result) and each such determination shall be deemed to have been made by the Issuer.

(j) *No purchase by the Issuer*

The Issuer will not purchase any of the Notes.

(k) *Cancellation*

All Notes redeemed in full will forthwith be cancelled upon the Maturity Date.

8. **Payments**

(a) *Payments through Monte Titoli, Euroclear and Clearstream, Luxembourg*

Payments of principal and interest in respect of the Notes deposited with Monte Titoli will be credited, according to the instructions of Monte Titoli, by or on behalf of the Issuer to the accounts with Monte Titoli of the banks and authorised brokers whose accounts are credited with those Notes, and thereafter credited by such banks and authorised brokers from such aforementioned accounts to the accounts of the beneficial owners of those Notes. Payments made by or on behalf of the Issuer according to the instructions of Monte Titoli to the accounts with Monte Titoli of the banks and authorised brokers whose accounts are credited with those Notes will relieve the Issuer *pro tanto* from the corresponding payment obligations under the Notes.

Alternatively, the Italian Paying Agent may arrange for payments of principal and interest in respect of the Notes to be made to the Noteholders through Euroclear and Clearstream, Luxembourg to be credited to the accounts with Euroclear and Clearstream, Luxembourg of the beneficial owners of the Notes, in accordance with the rules and procedures of Euroclear or, as the case may be, Clearstream, Luxembourg. Payments made by or on behalf of the Issuer to the accounts with Euroclear and Clearstream, Luxembourg of the beneficial owners of the Notes, in accordance with the rules and procedures of Euroclear or, as the case may be, Clearstream, Luxembourg will relieve the Issuer *pro tanto* from the corresponding payment obligations under the Notes.

(b) *Payments subject to tax laws*

Payments of principal and interest in respect of the Notes are subject in all cases to any fiscal or other laws and regulations applicable in the place of payment, but without prejudice to the provisions of Condition 9 (*Taxation in the Republic of Italy*).

(c) *Payments on Business Days*

If the due date for any payment of principal and/or interest in respect of any Note is not a day on which banks are open for general business (including dealings in foreign currencies) in the place in which the relevant Monte Titoli Account Holder is located (in each case, the "**Local Business Day**"), the holder of the relevant Note will not be entitled to payment of the relevant amount until the immediately succeeding Local Business Day and will not be entitled to any further interest or other payment in consequences of any such delay.

(d) *Notification to be final*

All notifications, opinions, determinations, certificates, calculations, quotations and decisions given, expressed, made or obtained for the purposes of Condition 6 (*Interest*) or Condition 7 (*Redemption, purchase and cancellation*), whether by the Paying Agents, the Agent Bank, the Computation Agent or the Representative of the Noteholders, shall (in the absence of wilful misconduct, bad faith or manifest error) be binding on the Issuer, the Agents, all Noteholders and all Other Issuer Creditors and (in the absence of wilful misconduct, bad faith or manifest error) no liability to the Representative of the Noteholders, the Noteholders or the Other Issuer Creditors shall attach to the Paying Agents, the Agent Bank, the Computation Agent or the Representative of the Noteholders in connection with the exercise or non-exercise by any of them of their powers, duties and discretions under Condition 6 (*Interest*) or Condition 7 (*Redemption, purchase and cancellation*).

9. Taxation in the Republic of Italy

All payments in respect of the Notes will be made without withholding or deduction for or on account of any present or future taxes, duties or charges of whatsoever nature other than a Decree 239 Withholding or any other withholding or deduction required to be made by applicable law. The Issuer shall not be obliged to pay any additional amount to any Noteholder on account of such withholding or deduction.

10. Events of Default

(a) *Events of Default*

Subject to the other provisions of this Condition 10, each of the following events shall be treated as an "**Event of Default**":

(i) *Non-payment:*

- (A) the Issuer fails to repay principal in respect of the Notes (starting from the Decree 239 Interest Payment Date) in an amount equal to the applicable Scheduled Repayment Amount and/or fails to pay any Interest Amount in respect of the Notes, in each case within one Business Day of the relevant Interest Payment Date; or
- (B) the Region fails to make any payments due under the Delegations of Payment within five Business Day of the relevant Region Payment Date; or

(ii) *Breach of other obligations:* the Issuer fails to perform or observe any of its other obligations under or in respect of the Notes, the Intercreditor Agreement or any other Transaction Document to which it is a party and such default is, in the sole opinion of the Representative of the Noteholders, (A) incapable of remedy or (B) capable of remedy, but remains unremedied for 30 (thirty) days or such longer period as the Representative of the Noteholders may agree (in its sole discretion) after the Representative of the Noteholders has given written notice of such default to the Issuer, certifying that such default is, in the opinion of the Representative of the Noteholders, materially prejudicial to the interests of the Noteholders and requiring the same to be remedied; or

(iii) *Failure to take action*: any action, condition or thing at any time required to be taken, fulfilled or done in order:

(A) to enable the Issuer lawfully to enter into, exercise its rights and perform and comply with its obligations under and in respect of the Notes and the Transaction Documents to which the Issuer is a party; or

(B) to ensure that those obligations are legal, valid, binding and enforceable,

is not taken, fulfilled or done at any time and the Representative of the Noteholders has given written notice of such default to the Issuer, certifying that such default is, in the opinion of the Representative of the Noteholders, materially prejudicial to the interests of the Noteholders and requiring the same to be remedied; or

(iv) *Insolvency Event*: an Insolvency Event occurs in relation to the Issuer or the Issuer becomes Insolvent; or

(v) *Unlawfulness*: it is or will become unlawful for the Issuer to perform or comply with any of its obligations under or in respect of the Notes or the Transaction Documents to which the Issuer is a party; or

(vi) *Others*:

(A) the Delegations of Payment are revoked, invalidated or rescinded; or

(B) any laws, decrees and resolutions enacted by the Region, which are relevant to the Securitisation, are revoked or amended or new laws, decrees and resolutions are enacted so that, in each case, in the sole opinion of the Representative of the Noteholders (which may be based on such legal or other advice as the Representative of the Noteholders shall deem appropriate and which opinion shall not be called into question as a result of relying on such advice or otherwise) negatively impact the performance of the Securitisation in any material respect.

(b) *Delivery of an Issuer Acceleration Notice*

(i) If an Event of Default occurs, then (subject to Condition 10(c) (*Consequences of delivery of an Issuer Acceleration Notice*)), the Representative of the Noteholders may, at its sole discretion, and shall,

(A) if so directed in writing by the holders of at least 51 per cent. of the Principal Amount Outstanding of the Notes; or

(B) if so directed by an Extraordinary Resolution of the holders of the Notes, or

give written notice (an "**Issuer Acceleration Notice**") to the Issuer and to the Servicer declaring the Notes to be due and payable, provided that:

(A) in the case of the occurrence of any of the events mentioned in Condition 10(a)(ii) (*Breach of other obligations*) and Condition 10(a)(iii) (*Failure to take action*), the

service of an Issuer Acceleration Notice has been approved either in writing by the holders of at least 51 per cent. of the Notes or by an Extraordinary Resolution of the Noteholders; and

- (B) in each case, the Representative of the Noteholders shall have been indemnified and/or secured to its satisfaction against all fees, costs, expenses and liabilities (provided that supporting documents are delivered) to which it may thereby become liable or which it may incur by so doing.

(c) *Consequences of delivery of an Issuer Acceleration Notice*

Upon the service of an Issuer Acceleration Notice as described in this Condition 10, (i) the Notes shall become immediately due and repayable at their Principal Amount Outstanding, without further action, notice or formality; (ii) the Note Security shall become immediately enforceable; and (iii) the Representative of the Noteholders may, subject to Condition 11(b) (*Restrictions on disposal of Issuer's assets*), dispose of the Claims in the name and on behalf of the Issuer. The Noteholders hereby irrevocably appoint, as from the date hereof and with effect on and from the date on which the Notes shall become due and payable following the service of an Issuer Acceleration Notice, the Representative of the Noteholders as their exclusive agent (*mandatario esclusivo*) to receive on their behalf from the Issuer any and all monies payable by the Issuer to the Noteholders and the Other Issuer Creditors from and including the date on which the Notes shall become due and payable, such monies to be applied in accordance with the Post-Enforcement Priority of Payments.

11. Enforcement

(a) *Proceedings*

The Representative of the Noteholders may, at its discretion and without further notice, institute such proceedings as it thinks fit at any time after the delivery of an Issuer Acceleration Notice to enforce repayment of the Notes and payment of accrued interest thereon or at any time to enforce any other obligation of the Issuer under the Notes or any Transaction Document, but, in either case, it shall not be bound to do so unless it shall have been so directed by an Extraordinary Resolution of the Noteholders and only if it shall have been indemnified and/or secured to its satisfaction against all fees, costs, expenses and liabilities (provided that supporting documents are delivered) to which it may thereby become liable or which it may incur by so doing.

(b) *Restrictions on disposal of Issuer's assets*

If an Issuer Acceleration Notice has been delivered by the Representative of the Noteholders otherwise than by reason of non-payment of any amount due in respect of the Notes, the Representative of the Noteholders will not be entitled to dispose of the assets of the Issuer or any part thereof unless either:

- (i) a sufficient amount would be realised to allow payment in full of all amounts owing to the holders of the Notes after payment of all other claims ranking in priority to the Notes in accordance with the Post-Enforcement Priority of Payments; or
- (ii) the Representative of the Noteholders is of the opinion, which shall be binding on the Noteholders and the other Issuer Secured Creditors, reached after considering at any time and from time to time the advice of a merchant or investment bank or other financial adviser selected by the Representative of the Noteholders (and if the

Representative of the Noteholders is unable to obtain such advice having made reasonable efforts to do so, this Condition 11(b)(ii) shall not apply), that the cash flow prospectively receivable by the Issuer will not (or that there is a significant risk that it will not) be sufficient, having regard to any other actual, contingent or prospective liabilities of the Issuer, to discharge in full in due course all amounts due in respect of the Notes after payment of all other claims ranking in priority to the Notes in accordance with the Post-Enforcement Priority of Payments; and

the Representative of the Noteholders shall not be bound to make the determination contained in Condition 11(b)(ii) unless the Representative of the Noteholders shall have been indemnified and/or secured to its satisfaction against all fees, costs, expenses and liabilities (provided that supporting documents are or will be delivered) to which it may thereby become liable or which it may incur by so doing.

12. Representative of the Noteholders

(a) Legal representative

The Representative of the Noteholders is Deutsche Trustee Company Limited at its principal office at Winchester House, 1 Winchester Street, London EC2N 2DB, United Kingdom, and is the legal representative (*rappresentante legale*) of the Noteholders in accordance with these Conditions, the Rules of the Organisation of Noteholders and the other Transaction Documents.

(b) Powers of the Representative of the Noteholders

The duties and powers of the Representative of the Noteholders are set forth in the Rules of the Organisation of Noteholders.

(c) Meetings of Noteholders

The Rules of the Organisation of Noteholders contain provisions for convening Meetings of Noteholders as well as the subject matter of the Meetings and the relevant quorums.

(d) Individual action

The Rules of the Organisation of Noteholders contain provisions limiting the powers of the Noteholders, *inter alia*, to bring individual actions or take other individual remedies to enforce their rights under the Notes. In particular, such actions will be subject to the Meeting of the Noteholders approving by way of Extraordinary Resolution such individual action or other remedy. No individual action or remedy can be taken or sought by a Noteholder to enforce his or her rights under the Notes before the Meeting of the Noteholders has approved such action or remedy in accordance with the provisions of the Rules of the Organisation of Noteholders.

(e) Resolutions binding

The resolutions passed at any Meeting of the Noteholders under the Rules of the Organisation of Noteholders will be binding on all Noteholders whether or not they are absent or dissenting and whether or not voting at the Meeting.

(f) Written Resolutions

A Written Resolution will take effect as if it were an Extraordinary Resolution passed at a Meeting of the Noteholders.

13. Modification and waiver

(a) Modification

The Representative of the Noteholders may, without the consent of the Noteholders or any Other Issuer Creditors and subject to the Representative of the Noteholders giving prior written notice thereof to the Rating Agencies, concur with the Issuer and any other relevant parties in making:

- (i) any amendment or modification to these Conditions (other than in respect of a Basic Terms Modification as defined in the Rules of the Organisation of Noteholders) or any of the Transaction Documents which, in the sole opinion of the Representative of the Noteholders, it may be proper to make and will not be materially prejudicial to the interests of the holders of the Notes; or
- (ii) any amendment or modification to these Conditions or to any of the Transaction Documents if, in the opinion of the Representative of the Noteholders, such amendment or modification is expedient to make; is of a formal, minor or technical nature; is made to correct a manifest error or an error which is, in the opinion of the Representative of the Noteholders, proven; or is necessary or desirable for the purposes of clarification.

(b) Waiver

In addition, the Representative of the Noteholders may, without the consent of the Noteholders or any Other Issuer Creditor and subject to the Representative of the Noteholders giving prior written notice thereof to the Rating Agencies, authorise or waive any proposed breach or breach of the Notes (including an Event of Default) or of the Intercreditor Agreement or of any other Transaction Document if, in the opinion of the Representative of the Noteholders, the interests of the holders of the Notes will not be materially prejudiced by such authorisation or waiver.

(c) Restriction on power of waiver

The Representative of the Noteholders shall not exercise any powers conferred upon it by Condition 13(b) (*Waiver*) in contravention of any express direction by an Extraordinary Resolution (as defined in the Rules of the Organisation of Noteholders) or of a request in writing made by the holders of not less than 25 per cent. in aggregate Principal Amount Outstanding of the Notes (but so that no such direction or request shall affect any authorisation, waiver or determination previously given or made) or so as to authorise or waive any proposed breach or breach relating to a Basic Terms Modification.

(d) Notification

Unless the Representative of the Noteholders agrees otherwise, any such authorisation, waiver, modification or determination shall be notified to the Noteholders, in accordance with Condition 17 (*Notices*), as soon as practicable after it has been made.

14. Representative of the Noteholders and Agents

(a) Organisation of Noteholders

The Organisation of Noteholders is created by the issue and subscription of the Notes and will remain in force and effect until full repayment and cancellation of the Notes.

(b) Appointment of Representative of the Noteholders

Pursuant to the Rules of the Organisation of Noteholders, for as long as any Note is outstanding, there will at all times be a Representative of the Noteholders. The appointment of the Representative of the Noteholders, as legal representative of the Organisation of Noteholders, is made by the Noteholders subject to and in accordance with the Rules of the Organisation of Noteholders. However, the initial Representative of the Noteholders has been appointed at the time of issue of the Notes by the Lead Manager pursuant to the Intercreditor Agreement. Each Noteholder is deemed to accept such appointment.

(c) Paying Agents, Agent Bank, Computation Agent and Transaction Bank sole agent of Issuer

In acting under the Agency and Accounts Agreement and in connection with the Notes, the Italian Paying Agent, the Principal Paying Agent, the Listing and Luxembourg Paying Agent, the Computation Agent, the Transaction Bank and the Agent Bank act as agents solely of the Issuer and the Representative of the Noteholders and do not assume any obligations towards or relationship of agency or trust for or with any of the Noteholders.

(d) Initial Agents

The initial Paying Agents, the initial Computation Agent, the initial Transaction Bank and the initial Agent Bank and their Specified Offices are listed in Condition 17 (*Notices*) below. The Issuer reserves the right (with the prior written approval of the Representative of the Noteholders) at any time to vary or terminate the appointment of the Paying Agents, the Computation Agent, the Transaction Bank and the Agent Bank and to appoint a successor Italian paying agent, principal paying agent, listing and Luxembourg paying agent, computation agent, transaction bank or agent bank and additional or successor paying agents at any time, in accordance with the terms of the Agency and Accounts Agreement and these Conditions.

(e) Maintenance of Agents

The Issuer undertakes that it will ensure that it maintains:

- (i) at least one Paying Agent having its Specified Office in a European city which, so long as the Notes are listed on the Regulated Market of the Luxembourg Stock Exchange, shall be Luxembourg, a paying agent having its Specified Office in Milan, a computation agent, a transaction bank and an agent bank; and
- (ii) a Paying Agent in a Member State of the European Union that is not obliged to withhold or deduct tax pursuant to European Council Directive 2003/48/EC or any other Directive implementing the conclusions of the ECOFIN Council meeting of 26-27 November 2000 or any law implementing or complying with, or introduced in order to conform to, such Directive.

Notice of any termination or appointment change in any of the Paying Agents, the Agent Bank, the Computation Agent, the Transaction Bank and of any changes in the Specified Offices shall promptly be given to the Noteholders by the Issuer in accordance with Condition 17 (*Notices*).

15. Prescription

Claims against the Issuer for payments in respect of the Notes will be barred and become void unless made within 10 (ten) years (in the case of principal) or five years (in the case of interest) from the Relevant Date in respect thereof.

16. Limited recourse and non-petition

(a) Limited recourse

Notwithstanding any other provision of these Conditions, the obligation of the Issuer to make any payment, at any given time, under the Notes shall be equal to the lesser of (i) the nominal amount of such payment which, but for the operation of this Condition 16 and the applicable Priority of Payments, would be due and payable at such time; and (ii) the actual amount received or recovered, at such time, by or on behalf of the Issuer or the Representative of the Noteholders, in respect of the Claims and the other Transaction Documents, and which the Issuer or the Representative of the Noteholders is entitled, at such time, to apply in accordance with the applicable Priority of Payments and the terms of the Intercreditor Agreement.

(b) Non-petition

Without prejudice to the right of the Representative of the Noteholders to enforce the Note Security or to exercise any of its other rights, no Noteholder shall be entitled to institute against the Issuer, or join any other person in instituting against the Issuer, any reorganisation, liquidation, bankruptcy, insolvency or similar proceedings until one year and one day has elapsed since the earlier of (A) the Cancellation Date and (B) the day on which the Notes have been paid in full.

17. Notices

(a) Valid notices

All notices to Noteholders shall be valid if given through the systems of Monte Titoli and, so long as the Notes are listed on the Regulated Market of the Luxembourg Stock Exchange and the rules of that exchange so require, in one daily newspaper published in Luxembourg. It is expected that publication will normally be made in the *d'Wort* or the *Tageblatt*.

(b) Date of publication

Any notice shall be deemed to have been given on the date of such publication or, if published more than once or on different dates, on the date of the first publication in all required newspapers.

(c) Other methods

The Representative of the Noteholders shall be at liberty to sanction some other method of giving notice to the Noteholders if, in its opinion, such other method is reasonable having

regard to the market practice then prevailing and provided that notice of such other method is given to the Noteholders in such manner as the Representative of the Noteholders shall require.

(d) Initial Specified Offices

The Specified Offices of the Transaction Bank, the Italian Paying Agent, the Agent Bank, the Computation Agent, the Principal Paying Agent, the Luxembourg and Listing Paying Agent and the Representative of the Noteholders, are as follows:

- (i) Computation Agent, Agent Bank and Principal Paying Agent: Deutsche Bank AG, London Branch, at its offices at Winchester House, 1 Great Winchester Street, London EC2N 2DB, United Kingdom;
- (ii) Representative of the Noteholders: Deutsche Trustee Company Limited, at its principal office at Winchester House, 1 Great Winchester Street, London EC2N 2DB, United Kingdom;
- (iii) Italian Paying Agent and Transaction Bank: Deutsche Bank S.p.A., at its offices at Piazza del Calendario, 3, I-20122 Milan, Italy; and
- (iv) Listing and Luxembourg Paying Agent: Deutsche Bank Luxembourg S.A., at its office at 2 Boulevard Konrad Adenauer, L-1115 Luxembourg, Luxembourg.

18. Governing law and jurisdiction

(a) Governing law

The Notes, these Conditions, the Rules of the Organisation of Noteholders and the Italian Law Transaction Documents are governed by, and shall be construed in accordance with, Italian law. The English Law Transaction Documents are governed by, and shall be construed in accordance with, English law.

(b) Jurisdiction

- (i) The Courts of Milan are to have exclusive jurisdiction to settle any disputes that may arise out of or in connection with the Notes, these Conditions, the Rules of the Organisation of Noteholders and the Italian Law Transaction Documents and, accordingly, any legal action or proceedings arising out of or in connection with any Notes, these Conditions, the Rules of the Organisation of Noteholders or any Italian Law Transaction Document may be brought in such courts. The Issuer has in each of the Italian Law Transaction Documents irrevocably submitted to the jurisdiction of such courts.
- (ii) The Courts of England and Wales are to have jurisdiction to settle any disputes that may arise out of or in connection with the English Law Transaction Documents and, accordingly, any legal action or proceedings arising out of or in connection with any English Law Transaction Document may be brought in such courts. The Issuer has in each of the English Law Transaction Documents irrevocably submitted to the jurisdiction of such courts.

(c) *Process agent*

The Issuer has in the English Deed of Charge and Assignment, agreed, *inter alia*, at all times to maintain an agent for service of process in England. The Issuer appoints KPMG LLP at its offices at Acquiscourt 31, Fishpool Street, St. Albans AL3 4RF, United Kingdom as such agent. Any writ, judgment or other notice of legal process issued out of the English Courts in respect of any English Law Transaction Document shall be sufficiently served on the Issuer if delivered to such agent at its address for the time being. The Issuer undertakes not to revoke the authority of the above agent and if, for any reason, such agent no longer serves as process agent of the Issuer to receive service of process, the Issuer shall promptly appoint another such agent and advise the Representative of the Noteholders of the details of such new agent.

SCHEDULE – RULES OF THE ORGANISATION OF NOTEHOLDERS

TITLE I

GENERAL PROVISIONS

Article 1

General

The Organisation of Noteholders is created by the issue and subscription of the Notes, and shall remain in force and in effect until full repayment and cancellation of the Notes.

The contents of these rules are deemed to form part of each Note issued by the Issuer.

Article 2

Definitions

In these rules, the following terms shall have the following meanings:

"Basic Terms Modification" means:

- (a) a modification of the date of maturity of the Notes;
- (b) a modification which would have the effect of postponing any date for payment of interest or principal on the Notes;
- (c) a modification which would have the effect of reducing or cancelling the amount of principal payable in respect of the Notes or the rate of interest applicable in respect of the Notes;
- (d) a modification which would have the effect of altering the majority required to pass a specific resolution or the quorum required at any Meeting;
- (e) a modification which would have the effect of altering the currency of payment of the Notes or the order of priority of payments due in respect of the Notes;
- (f) a modification which would have the effect of altering the authorisation or consent by the Noteholders, as pledgees, to applications of funds as provided for in the Transaction Documents;
- (g) the appointment and removal of the Representative of the Noteholders; and
- (h) an amendment of this definition;

"Blocked Notes" means the Notes which have been blocked in an account with the Monte Titoli Account Holder for the purposes of obtaining a Voting Certificate or a Blocked Voting Instruction and will not be released until the conclusion of the Meeting;

"Blocked Voting Instruction" means, in relation to any Meeting, a document:

- (a) certifying that the Blocked Notes have been blocked in an account with a clearing system and will not be released until the conclusion of the Meeting;
- (b) certifying that the holder of each Blocked Note or a duly authorised person on its behalf has instructed the Italian Paying Agent that the votes attributable to such Blocked Note are to be cast in a particular way on each resolution to be put to the Meeting and that, during the period of 48 Hours before the time fixed for the Meeting, such instructions may not be amended or revoked;
- (c) listing the total number of the Blocked Notes, distinguishing for each resolution between those in respect of which instructions have been given to vote for, or against, the resolution; and
- (d) authorising a named individual or individuals to vote in respect of the Blocked Notes in accordance with such instructions;

"Chairman" means, in relation to any Meeting, the individual who takes the chair in accordance with Article 9 (*Chairman of the Meeting*);

"Extraordinary Resolution" means a resolution of a Meeting duly convened and held in accordance with the provisions contained in these rules on any of the subjects covered by Article 21 (*Powers exercisable by Extraordinary Resolution*);

"Issuer's Rights" means the Issuer's right, title and interest in and to the Portfolio, any rights that the Issuer has acquired under the Transaction Documents and any other rights that the Issuer has acquired against the Seller, any Other Issuer Creditors (including any applicable guarantors or successors) or third parties for the benefit of the Noteholders in connection with the securitisation of the Portfolio;

"Meeting" means a joint meeting of all Noteholders (whether originally convened or resumed following an adjournment);

"Monte Titoli Account Holder" means any authorised financial intermediary institution entitled to hold accounts on behalf of its customers with Monte Titoli and includes any depository bank appointed by Clearstream, Luxembourg and Euroclear;

"Proxy" means, in relation to any Meeting, a person appointed to vote under a Blocked Voting Instruction;

"Relevant Fraction" means:

- (a) for all business other than voting on an Extraordinary Resolution, one-tenth of the Principal Amount Outstanding of the Notes;
- (b) for voting on any Extraordinary Resolution other than one relating to a Basic Terms Modification, two-thirds of the Principal Amount Outstanding of the Notes; and
- (c) for voting on any Extraordinary Resolution relating to a Basic Terms Modification, three-quarters of the Principal Amount Outstanding of the Notes;

provided, however, that, in the case of a Meeting which has resumed after adjournment for want of a quorum, it means:

- (d) for all business other than voting on an Extraordinary Resolution relating to a Basic Terms Modification, the fraction of the Principal Amount Outstanding of the Notes represented at such Meeting or the fraction of the Principal Amount Outstanding of the Notes; and

- (e) for voting on any Extraordinary Resolution relating to a Basic Terms Modification, one-third of the Principal Amount Outstanding of the Notes;

"**Voter**" means, in relation to any Meeting, the holder of a Blocked Note;

"**Voting Certificate**" means, in relation to any Meeting, a certificate issued by the Monte Titoli Account Holder and dated, stating:

- (a) that the Blocked Notes have been blocked in an account with a clearing system and will not be released until the conclusion of the Meeting; and
- (b) that the bearer of such certificate is entitled to attend and vote at the Meeting in respect of the Blocked Notes;

"**24 Hours**" means a period of 24 hours including all or part of a day upon which banks are open for business in the place where the Meeting is to be held and in the place where the Italian Paying Agent has its Specified Office (disregarding for this purpose the day upon which such Meeting is to be held) and such period shall be extended by one or, to the extent necessary, more periods of 24 hours until there is included as aforesaid all or part of a day upon which banks are open for business as aforesaid; and

"**48 Hours**" means two consecutive periods of 24 Hours.

Capitalised terms not defined herein shall have the meaning attributed to them in the terms and conditions of the Notes.

Article 3

Organisation purpose

Each holder of the Notes is a member of the Organisation of Noteholders.

The purpose of the Organisation of Noteholders is to co-ordinate the exercise of the rights of the Noteholders and the taking of any action for the protection of their interests.

TITLE II

THE MEETING OF NOTEHOLDERS

Article 4

General

Subject to the proviso of Article 21 (*Powers exercisable by Extraordinary Resolution*), any resolution passed at a Meeting, duly convened and held in accordance with these rules, shall be binding upon all the Noteholders, whether or not absent or dissenting and whether or not voting and, in each case, all the Noteholders shall be bound by such resolution irrespective of its effect upon such Noteholders and such Noteholders shall be bound to give effect to any such resolution accordingly and the passing of any such resolution shall be conclusive evidence that the circumstances justify the passing thereof.

Notice of the result of every vote on a resolution duly passed by the Noteholders shall be published by and at the expense of the Issuer, in accordance with the Conditions and given to the Italian Paying Agent (with a copy to the Issuer and the Representative of the Noteholders) within 14 days of the conclusion of the Meeting.

Article 5

Issue of Voting Certificates and Blocked Voting Instructions

Noteholders may obtain a Voting Certificate from the Monte Titoli Account Holder or require the Italian Paying Agent to issue a Blocked Voting Instruction by arranging for their Notes to be blocked in an account with a clearing system not later than 48 Hours before the time fixed for the Meeting of the Noteholders, providing to the Italian Paying Agent, where appropriate, evidence that the Notes are so blocked. The Noteholders may obtain such evidence by requesting their Monte Titoli Account Holders to release a certificate in accordance with article 34 of CONSOB regulation No. 11768 of 23 December 1998 (as subsequently amended and integrated). A Voting Certificate or Blocked Voting Instruction shall be valid until the release of the Blocked Notes to which it relates. So long as a Voting Certificate or Blocked Voting Instruction is valid, the bearer thereof (in the case of a Voting Certificate) or any Proxy named therein (in the case of a Blocked Voting Instruction) shall be deemed to be the holder of the Blocked Notes to which it relates for all purposes in connection with the Meeting. A Voting Certificate and a Blocked Voting Instruction cannot be outstanding simultaneously in respect of the same Note.

Article 6

Validity of Blocked Voting Instructions

A Blocked Voting Instruction shall be valid only if it is deposited at the Specified Office of the Italian Paying Agent, or at some other place approved by the Italian Paying Agent, at least 24 Hours before the time fixed for the Meeting and if not deposited before such deadline, the Blocked Voting Instruction shall not be valid unless the Chairman decides otherwise before the Meeting proceeds to business. If the Italian Paying Agent so requires, a notarised copy of each Blocked Voting Instruction and satisfactory proof of the identity of each Proxy named therein shall be produced at the Meeting, but the Italian Paying Agent shall not be obliged to investigate the validity of any Blocked Voting Instruction or the authority of any Proxy.

Article 7

Convening of Meeting

The Issuer or the Representative of the Noteholders may convene a Meeting at any time, and the Issuer shall be obliged to do so upon the request in writing of Noteholders holding not less than one-tenth of the Principal Amount Outstanding of the Notes. If the Issuer fails to convene a Meeting when obliged to do so, the Meeting may be convened by the Representative of the Noteholders.

Whenever the Issuer is about to convene any such Meeting, it shall immediately give notice in writing to the Representative of the Noteholders of the date thereof and of the nature of the business to be transacted thereat. Every such Meeting shall be held at such time and place as the Representative of the Noteholders may designate or approve.

Article 8

Notice

At least 21 days' notice (exclusive of the day on which the notice is given and of the day on which the Meeting is to be held) specifying the date, time and place of the Meeting shall be given to the Noteholders and the Italian Paying Agent (with a copy to the Issuer and to the Representative of the Noteholders). Any notice to Noteholders shall be given in accordance with Condition 17 (*Notices*). The notice shall set out the full text of any resolutions to be proposed and shall state that the

Notes must be blocked in an account with a clearing system for the purpose of obtaining Voting Certificates or appointing Proxies not later than 48 Hours before the time fixed for the Meeting.

Article 9

Chairman of the Meeting

Any individual (who may, but need not, be a Noteholder) nominated in writing by the Representative of the Noteholders may take the chair at any Meeting but: (i) if no such nomination is made; or (ii) if the individual nominated is not present within 15 minutes after the time fixed for the Meeting; those present shall elect one of themselves to take the chair, failing which the Issuer may appoint a Chairman. The Chairman of an adjourned Meeting need not be the same person as the Chairman of the original Meeting.

The Chairman co-ordinates matters to be transacted at the Meeting and monitors the fairness of the Meeting's proceedings.

Article 10

Quorum

The quorum at any Meeting shall be at least one Voter representing or holding not less than the Relevant Fraction relative to the Notes.

Article 11

Adjournment for want of quorum

If within 15 minutes after the time fixed for any Meeting the quorum is not present, then:

- (a) in the case of a Meeting requested by Noteholders, it shall be dissolved; and
- (b) in the case of any other Meeting, it shall be adjourned for such period (which shall be not less than 14 days and not more than 42 days) and to such place as the Chairman determines; provided, however, that:
- (c) the Meeting shall be dissolved if the Issuer so decides; and
- (d) no Meeting may be adjourned by resolution of a Meeting that represents less than the Relevant Fraction applicable in the case of Meetings which have been resumed after adjournment for want of quorum.

Article 12

Adjourned Meeting

The Chairman may, with the consent of (and shall if directed by) any Meeting, adjourn such Meeting from time to time and from place to place, but no business shall be transacted at any adjourned Meeting except business which might lawfully have been transacted at the Meeting from which the adjournment took place.

Article 13

Notice following adjournment

Article 8 (*Notice*) shall apply to any Meeting adjourned for want of quorum save that:

- (a) at least 10 days' notice (exclusive of the day on which the notice is given and of the day on which the Meeting is to be resumed) shall be given; and
- (b) the notice shall specifically set out the quorum requirements which will apply when the Meeting resumes.
- (c) It shall not be necessary to give notice of the convening of a Meeting which has been adjourned for any other reason.

Article 14

Participation

The following may attend and speak at a Meeting:

- (a) Voters;
- (b) the Issuer or its representative and the Italian Paying Agent;
- (c) the financial advisers to the Issuer;
- (d) the legal counsel to each of the Issuer, the Representative of the Noteholders and the Italian Paying Agent;
- (e) the Representative of the Noteholders; and
- (f) such other person as may be resolved by the Meeting and as may be approved by the Representative of the Noteholders.

Article 15

Passing of resolution

A resolution is validly passed when the majority of votes cast by the Voters attending the relevant Meeting have been cast in favour of it.

Article 16

Show of hands

Every question submitted to a Meeting shall be decided in the first instance by a show of hands. Unless a poll is validly demanded before or at the time that the result of the show of hands is declared, the Chairman's declaration that on a show of hands a resolution has been passed, passed by a particular majority, rejected or rejected by a particular majority shall be conclusive, without proof of the number of votes cast for, or against, the resolution.

Article 17

Poll

A demand for a poll shall be valid if it is made by the Chairman, the Issuer, the Representative of the Noteholders or one or more Voters holding a Voting Certificate or being a Proxy. The poll may be taken immediately or after such adjournment as the Chairman directs, but any poll demanded on the election of the Chairman or on any question of adjournment shall be taken at the Meeting without adjournment. A valid demand for a poll shall not prevent the continuation of the Meeting for any other business.

Article 18

Votes

Every Voter shall have:

- (a) on a show of hands, one vote; and
- (b) on a poll, one vote in respect of each €1,000 in principal amount of Note(s) represented by the Voting Certificate produced by such Voter or in respect of which he is a Proxy.

In the case of equality of votes, the Chairman shall both on a show of hands and on a poll have a casting vote in addition to the votes (if any) to which he may be entitled as a Noteholder or as a holder of a Voting Certificate or a Proxy.

Unless the terms of any Blocked Voting Instruction state otherwise, a Voter shall not be obliged to exercise all the votes to which he is entitled or to cast all the votes which he exercises in the same manner.

Article 19

Vote by Proxies

Any vote by a Proxy in accordance with the relevant Blocked Voting Instruction shall be valid even if such Blocked Voting Instruction or any instruction pursuant to which it was given has been amended or revoked, provided that the Italian Paying Agent has not been notified in writing of such amendment or revocation by the time being 24 Hours before the time fixed for the Meeting. Unless revoked, any appointment of a Proxy under a Blocked Voting Instruction in relation to a Meeting shall remain in force in relation to any Meeting resumed following an adjournment except for any appointment of a Proxy in relation to a Meeting which has been adjourned for want of a quorum. Any person appointed to vote at such a Meeting must be re-appointed under a Blocked Voting Instruction to vote at the Meeting when it is resumed.

Article 20

Exclusive powers of the Meeting

The Meeting shall have exclusive powers on the following matters:

- (a) to approve any Basic Terms Modification;
- (b) to approve any proposal by the Issuer for any alteration, abrogation, variation or compromise of the rights of the Representative of the Noteholders or the Noteholders against the Issuer or against any of its property or against any other persons whether such rights shall arise under these rules, the Notes, or arrangements in respect of the Conditions, any of the Transaction Documents or otherwise;
- (c) to approve the substitution of any person for the Issuer (or any previous substitute) as principal obligor under the Notes;
- (d) to direct the Representative of the Noteholders to serve an Issuer Acceleration Notice under Condition 10(b) (*Delivery of an Issuer Acceleration Notice*);
- (e) to waive any breach or authorise any proposed breach by the Issuer of its obligations under or in respect of the Notes or any Transaction Document or any act or omission which might otherwise constitute an Event of Default;

- (f) to direct the Representative of the Noteholders to concur in and execute and do all such documents, acts and things as may be necessary to carry out and give effect to any resolution of the Noteholders;
- (g) to exercise, enforce or dispose of any right and power on payment and application of funds deriving from any claims on which a pledge or other security interest is created in favour of the Noteholders, otherwise than in accordance with the Transaction Documents;
- (h) to appoint the Representative of the Noteholders, with the exception of the first Representative of the Noteholders; and
- (i) to remove the Representative of the Noteholders.

Article 21

Powers exercisable by Extraordinary Resolution

Without limitation to the exclusive powers of the Meeting listed in Article 20 (*Exclusive powers of the Meeting*), each Meeting shall have the following powers exercisable only by way of an Extraordinary Resolution:

- (a) approval of any Basic Terms Modification;
- (b) (without prejudice to the discretionary powers vested in the Representative of the Noteholders under these rules, the Conditions, the Transaction Documents, or otherwise) approval of any proposal by the Issuer for any alteration, abrogation, variation or compromise of, or arrangement in respect of, the rights of the Representative of the Noteholders or the Noteholders against the Issuer or against any of its property or against any other person whether such rights shall arise under these rules, the Notes, the Conditions, any of the Transaction Documents or otherwise;
- (c) approval of any scheme or proposal for the exchange or substitution of any of the Notes for, or the conversion of the Notes into, or the cancellation of the Notes in consideration of, shares, stock, notes, bonds, debentures, debenture stock and/or other obligations and/or securities of the Issuer or of any other body corporate formed or to be formed, or for or into or in consideration of cash, or partly for or into or in consideration of such shares, stock, notes, bonds, debentures, debenture stock and/or other obligations and/or securities as aforesaid and partly for or into or in consideration of cash;
- (d) (without prejudice to the discretionary powers vested in the Representative of the Noteholders under these rules, the Conditions, the Transaction Documents, or otherwise), approval of any alteration of the provisions contained in these rules, the Notes, the Conditions, the Intercreditor Agreement or any other Transaction Document which shall be proposed by the Issuer and/or the Representative of the Noteholders or any other party thereto;
- (e) discharge or exoneration of the Representative of the Noteholders from any liability in respect of any act or omission for which the Representative of the Noteholders may have become responsible under or in relation to these rules, the Notes, the Conditions or any other Transaction Document;
- (f) giving any direction or granting any authority or sanction which, under the provisions of these rules, the Conditions or the Notes, is required to be given by Extraordinary Resolution; and
- (g) authorisation and sanctioning of actions of the Representative of the Noteholders under these rules, the Notes, the Conditions, the terms of the Intercreditor Agreement or any other Transaction Documents and in particular power to sanction the release of the Issuer by the Representative of the Noteholders.

Article 22

Challenge of resolution

Any Noteholder can challenge a resolution which is not passed in conformity with the provisions of these rules.

Article 23

Minutes

Minutes shall be made of all resolutions and proceedings at each Meeting. The Chairman shall sign the minutes, which shall be conclusive evidence of the resolutions and proceedings recorded therein. Unless and until the contrary is proved, every such Meeting in respect of the proceedings of which minutes have been made and signed shall be deemed to have been duly convened and held and all resolutions passed or proceedings transacted at it to have been duly passed or transacted.

Article 24

Written Resolution

A Written Resolution shall take effect as if it were an Extraordinary Resolution.

Article 25

Individual actions and remedies

The right of each Noteholder to bring individual actions or seek other individual remedies to enforce his or her rights under the Notes will be subject to the Meeting passing an Extraordinary Resolution authorising such individual action or other remedy. In this respect, the following provisions shall apply:

- (a) the Noteholder intending to enforce his or her rights under the Notes will notify the Representative of the Noteholders in writing of his or her intention;
- (b) the Representative of the Noteholders will, within 30 (thirty) days of receiving such notification, convene a Meeting of the Noteholders in accordance with these rules at the expense of such Noteholder;
- (c) if the Meeting does not pass a resolution authorising the individual enforcement or remedy, the Noteholder will be prevented from seeking such enforcement or remedy (provided that the same matter can be submitted again to a further Meeting after a reasonable period of time has elapsed); and
- (d) if the Meeting does pass an Extraordinary Resolution authorising the individual enforcement or remedy, the Noteholder will be permitted to seek such individual enforcement or remedy in accordance with the terms of the Extraordinary Resolution.

No individual action or remedy can be sought by a Noteholder to enforce his or her rights under the Notes unless a Meeting of Noteholders has been held to resolve on such action or remedy and in accordance with the provisions of this Article 25.

TITLE III

THE REPRESENTATIVE OF THE NOTEHOLDERS

Article 26

Appointment, removal and remuneration

Each appointment of a Representative of the Noteholders must be approved by an Extraordinary Resolution of the holders of the Notes in accordance with the provisions of this Article 26, save in respect of the appointment of the first Representative of the Noteholders which will be Deutsche Trustee Company Limited.

Save for Deutsche Trustee Company Limited as first Representative of the Noteholders, the Representative of the Noteholders shall be:

- (a) a bank incorporated in any jurisdiction of the European Union or a bank incorporated in any other jurisdiction, in either case provided it is licensed to conduct banking business in Italy; or
- (b) a financial institution registered under article 107 of the Banking Act; or
- (c) any other entity which may be permitted to act in such capacity by any specific provisions of Italian law applicable to the securitisation of monetary rights and/or by any regulations, instructions, guidelines and/or specific approvals issued by the competent Italian supervising authorities.

It is further understood and agreed that directors, auditors, employees (if any) of the Issuer and those who fall in any of the conditions set out in article 2399 of the Italian civil code cannot be appointed as the Representative of the Noteholders.

The Representative of the Noteholders shall be appointed for an unlimited term and can be removed by way of an Extraordinary Resolution of the Noteholders at any time.

In the event of a termination of the appointment of the Representative of the Noteholders for any reason whatsoever, such Representative of the Noteholders shall remain in office until acceptance of the appointment by the Issuer of a substitute Representative of the Noteholders designated among the entities indicated in (a), (b) or (c) above, and, provided that a Meeting of the Noteholders has not appointed such a substitute within 60 days of such termination, such Representative of the Noteholders may appoint such a substitute. The powers and authority of the Representative of the Noteholders whose appointment has been terminated shall be limited to those necessary for the performance of the essential functions which are required to be complied with in connection with the Notes.

Each of the Noteholders, by reason of holding the relevant Note(s), will recognise the power of the Representative of the Noteholders, hereby granted, to appoint its own successor and recognise the Representative of the Noteholders so appointed as its representative.

The Issuer shall pay to the Representative of the Noteholders a fee for its services as Representative of the Noteholders as from the date hereof. Such remuneration shall be payable in accordance with the Intercreditor Agreement and the Priority of Payments up to (and including) the date when the Notes have been repaid in full and cancelled in accordance with the Conditions.

Article 27

Duties and powers

The Representative of the Noteholders is the legal representative of the Organisation of Noteholders subject to and in accordance with Article 15, the Conditions, these rules, the Intercreditor Agreement and the other Transaction Documents to which it is a party (together, the "**Relevant Provisions**").

Subject to the Relevant Provisions, the Representative of the Noteholders is responsible for implementing the directions of a Meeting and for representing the interests of the Noteholders as one class *vis-à-vis* the Issuer. The Representative of the Noteholders has the right to attend Meetings. The Representative of the Noteholders may convene a Meeting in order to obtain the authorisation or directions of the Meeting in respect of any action proposed to be taken by the Representative of the Noteholders.

All actions taken by the Representative of the Noteholders in the execution and exercise of its powers and authorities and of the discretions vested in it shall be taken by duly authorised officer(s) for the time being of the Representative of the Noteholders. The Representative of the Noteholders may also, whenever it considers it expedient, whether by power of attorney or otherwise, delegate to any person(s) all or any of its duties, powers, authorities or discretions vested in it as aforesaid. Any such delegation may be made upon such terms and conditions, and subject to such regulations (including power to sub-delegate), as the Representative of the Noteholders may think fit in the interests of the Noteholders. The Representative of the Noteholders shall not be bound to supervise the proceedings of any such delegate or sub-delegate and shall not in any way or to any extent be responsible for any loss incurred by any misconduct or default on the part of such delegate or sub-delegate. The Representative of the Noteholders shall, as soon as reasonably practicable, give notice to the Issuer of the appointment of any delegate and of any renewal, extension or termination of such appointment, and shall make it a condition of any such delegation that any delegate shall also, as soon as reasonably practicable, give notice to the Issuer of any sub-delegate.

The Representative of the Noteholders shall be authorised to represent the Organisation of Noteholders in judicial proceedings, including proceedings involving the Issuer, composition with creditors (*concordato preventivo*), forced liquidation (*fallimento*) or compulsory administrative liquidation (*liquidazione coatta amministrativa*).

The Representative of the Noteholders shall have regard to the interests of all the Issuer Creditors as regards the exercise and performance of all powers, authorities, duties and discretions of the Representative of the Noteholders under these rules, the Intercreditor Agreement or under the Mandate Agreement (except where expressly provided otherwise), but, notwithstanding the foregoing, the Representative of the Noteholders shall have regard to the interests only: (i) of the Noteholders, and (ii) subject to item (i), of whichever Issuer Creditor ranks higher in the Priority of Payments hereof for the payment of the amounts therein specified if, in its opinion, there is or may be a conflict between the Noteholders and any other Issuer Creditors. The foregoing provision shall not affect the payment order set forth in the applicable Priority of Payments.

Each Noteholder, by acquiring title to a Note is deemed to agree and acknowledge that:

- (i) the Representative of the Noteholders has entered into the Italian Deed of Pledge and the English Deed of Charge and Assignment for itself and as agent in the name of and on behalf of each Noteholder from time to time;
- (ii) by virtue of the transfer to it of the relevant Note, each Noteholder shall be deemed to have granted to the Representative of the Noteholders, as its agent, the right (a) to exercise in such manner as the Representative of the Noteholders in its sole opinion deems appropriate, on behalf of such Noteholder, all of that Noteholder's rights under the Securitisation Law in respect of the Portfolio and all amounts and/or assets of the Issuer arising from the Portfolio and the Transaction Documents not subject to the Note Security and (b) to enforce its rights as an Issuer Secured Creditor for and on its behalf under the Italian Deed of Pledge and the English Deed of Charge and Assignment and in relation to the Note Security;
- (iii) the Representative of the Noteholders, in its capacity as agent in the name of and on behalf of the Noteholders, shall be the only person entitled under these Conditions and under the Transaction Documents to institute proceedings against the Issuer and/or to enforce or to exercise any rights in connection with the Note Security or to take any steps against the Issuer or any of the other parties to the Transaction Documents for the purposes of enforcing the rights of the Noteholders and recovering any amounts owing under the Notes or under the Transaction Documents;

- (iv) the Representative of the Noteholders shall have exclusive rights under the Italian Deed of Pledge and the English Deed of Charge and Assignment to make demands, give notices, exercise or refrain from exercising any rights and to take or refrain from taking any action (including, without limitation, the release or substitution of security) in respect of the Note Security;
- (v) no Noteholder shall be entitled to proceed directly against the Issuer nor take any steps or pursue any action whatsoever for the purpose of recovering any debts due or owing to it by the Issuer or take, or join in taking, steps for the purpose of obtaining payment of any amount expressed to be payable by the Issuer or the performance of any of the Issuer's obligations under these Conditions and/or the Transaction Documents or petition for or procure the commencement of insolvency proceedings or the winding-up, insolvency, extraordinary administration or compulsory administrative liquidation of the Issuer or the appointment of any kind of insolvency official, administrator, liquidator, trustee, custodian, receiver or other similar official in respect of the Issuer for any, all, or substantially all the assets of the Issuer or in connection with any reorganisation or arrangement or composition in respect of the Issuer, pursuant to the Banking Act or otherwise, unless (in each case under (ii), (iii) and (iv) above) an Issuer Acceleration Notice shall have been served or an Insolvency Event shall have occurred and the Representative of the Noteholders, having become bound so to do, fails to do so within a reasonable period and such failure shall be continuing, (provided that any such failure shall not be conclusive *per se* of a default or breach of duty by the Representative of the Noteholders), provided that the Noteholder may then only proceed subject to the provisions of the Conditions and provided that this proviso shall not prejudice the right of any Noteholder to prove a claim in the insolvency of the Issuer where such insolvency follows the institution of an insolvency proceedings by a third party;
- (vi) no Noteholder shall at any time exercise any right of netting, set-off or counterclaim in respect of its rights against the Issuer such rights being expressly waived or exercise any right of claim of the Issuer by way of a subrogation action (*azione surrogatoria*) pursuant to article 2900 of the Italian civil code; and
- (vii) the provisions of this Article 27 shall survive and shall not be extinguished by the redemption (in whole or in part) and/or cancellation of the Notes and waives to the greatest extent permitted by law any rights directly to enforce its rights against the Issuer.

Article 28

Resignation of the Representative of the Noteholders

The Representative of the Noteholders may resign at any time upon giving not less than three calendar months' notice in writing to the Issuer without assigning any reason therefor and without being responsible for any costs incurred as a result of such resignation. The resignation of the Representative of the Noteholders shall not become effective until a Meeting of the Noteholders has appointed a new Representative of the Noteholders provided that, if a new Representative of the Noteholders has not been so appointed within 60 days of the date of such notice of resignation, the Representative of the Noteholders may appoint a new Representative of the Noteholders.

Article 29

Exoneration of the Representative of the Noteholders

The Representative of the Noteholders shall not assume any other obligations in addition to those expressly provided herein and in the other Transaction Documents to which it is a party.

Without limiting the generality of the foregoing, the Representative of the Noteholders:

- (a) shall not be under obligation to take any steps to ascertain whether an Event of Default or any other event, condition or act, the occurrence of which would cause a right or remedy to become exercisable by the Representative of the Noteholders or any Noteholder hereunder or under any of the other Transaction Documents, has happened and, until it shall have actual knowledge or express notice to the contrary, the Representative of the Noteholders shall be entitled to assume that no Event of Default or such other event, condition or act has occurred;
- (b) shall not be under any obligation to monitor or supervise the observance or performance by the Issuer or any other party to the Transaction Documents of the provisions of, and its obligations under, these rules, the Notes, the Conditions or any other Transaction Document, and, until it shall have actual knowledge or express notice to the contrary, it shall be entitled to assume that the Issuer and each such other party is observing and performing all such provisions and obligations;
- (c) shall not be under any obligation to give notice to any person of the execution of these rules, the Notes, the Conditions or any of the Transaction Documents or any transaction contemplated hereby or thereby;
- (d) shall not be responsible for, or for investigating, the legality, validity, effectiveness, adequacy, suitability or genuineness of these rules, the Notes, the Conditions, any Transaction Document, or any other document, or any security obligation or rights created or purported to be created hereby or thereby or pursuant hereto or thereto, and (without prejudice to the generality of the foregoing) it shall not have any responsibility for, or have any duty to make any investigation in respect of, or in any way be liable whatsoever for: (i) the nature, status, creditworthiness or solvency of the Issuer or any other party to the Transaction Documents; (ii) the existence, accuracy or sufficiency of any legal or other opinions, searches, reports, certificates, valuations or investigations delivered or obtained or required to be delivered or obtained at any time in connection herewith or with any Transaction Document; (iii) the suitability, adequacy or sufficiency of any collection or recovery procedures operated by the Servicer or compliance therewith; (iv) the failure by the Issuer to obtain or comply with any licence, consent or other authority in connection with the purchase or administration of the Claims; or (v) any accounts, books, records or files maintained by the Issuer, the Servicer, the Italian Paying Agent or any other person in respect of the Portfolio;
- (e) shall not be responsible for the receipt or application by the Issuer of the proceeds of the issue of the Notes or the distribution of any of such proceeds, to the persons entitled thereto;
- (f) shall have no responsibility for the maintenance of any credit rating of the Notes by the Rating Agencies or any other credit or rating agency or any other person;
- (g) shall not be responsible for, or for investigating, any matter which is the subject of any recitals, statements, warranties or representations of any party, other than the Representative of the Noteholders contained herein or in any Transaction Document;
- (h) shall not be bound or concerned to examine, or enquire into, or be liable for, any defect or failure in the right or title of the Issuer to the Claims or any part thereof, whether such defect or failure was known to the Representative of the Noteholders or might have been discovered upon examination or enquiry, or whether capable of remedy or not;
- (i) shall not be liable for any failure, omission or defect in registering or filing or procuring registration or filing of, or otherwise protecting or perfecting, these rules, the Notes or any Transaction Document;
- (j) shall not be under any obligation to insure the Claims or any part thereof;
- (k) shall not have regard to the consequences of any modification of these rules, the Notes, the Conditions or any of the Transaction Documents for individual Noteholders or any relevant persons resulting from their being for any purpose domiciled or resident in, or otherwise connected with, or subject to, the jurisdiction of any particular territory; and

- (l) shall not (unless and to the extent ordered so to do by a court of competent jurisdiction) be under any obligation to disclose to any Noteholder, any Other Issuer Creditors or any other person any confidential, financial, price sensitive or other information made available to the Representative of the Noteholders by the Issuer or any other person in connection with these rules, the Notes or any other Transaction Document, and none of the Noteholders, Other Issuer Creditors nor any other person shall be entitled to take any action to obtain from the Representative of the Noteholders any such information.

The Representative of the Noteholders, notwithstanding anything to the contrary contained in these rules:

- (a) may, without the consent of the Noteholders or any Other Issuer Creditors and subject to the Representative of the Noteholders giving prior written notice thereof to the Rating Agencies, concur with the Issuer and any other relevant parties in making any amendment or modification to these rules, the Conditions (other than a Basic Terms Modification) or to any of the Transaction Documents which, in the opinion of the Representative of the Noteholders, it is expedient to make or is to correct a manifest error or an error which is, in the opinion of the Representative of the Noteholders, proven, or is of a formal, minor or technical nature or is necessary or desirable for the purposes of clarification. Any such amendment or modification shall be binding on the Noteholders and, unless the Representative of the Noteholders otherwise agrees, the Issuer shall cause such amendment or modification to be notified to the Noteholders as soon as practicable thereafter;
- (b) may, without the consent of the Noteholders or any Other Issuer Creditors and subject to the Representative of the Noteholders giving prior written notice thereof to the Rating Agencies, concur with the Issuer and any other relevant parties in making any amendment or modification (other than in respect of a Basic Terms Modification) to these rules, the Conditions or to any of the Transaction Documents, which, in the opinion of the Representative of the Noteholders it may be proper to make, provided that the Representative of the Noteholders is of the opinion that such amendment or modification will not be materially prejudicial to the interests of the Noteholders;
- (c) may, without the consent of the Noteholders or any Other Issuer Creditors and subject to the Representative of the Noteholders giving prior written notice thereof to the Rating Agencies, authorise or waive any proposed breach or breach of the Notes (including an Event of Default) or of the Intercreditor Agreement or any other Transaction Document if, in the opinion of the Representative of the Noteholders, the interests of the Noteholders will not be materially prejudiced by such authorisation or waiver; provided that the Representative of the Noteholders shall not exercise any of such powers in contravention of any express direction by an Extraordinary Resolution or of a request in writing made by the holders of not less than 25 per cent. in aggregate Principal Amount Outstanding of the Notes (but so that no such direction or request shall affect any authorisation, waiver or determination previously given or made) or so as to authorise or waive any proposed breach or breach relating to a Basic Terms Modification;
- (d) may act on the advice, certificate, opinion or information (whether or not addressed to the Representative of the Noteholders) obtained from any lawyer, accountant, banker, broker, credit or rating agency or other expert whether obtained by the Issuer, the Representative of the Noteholders or otherwise and shall not, in the absence of gross negligence (*colpa grave*) or wilful misconduct (*dolo*) on the part of the Representative of the Noteholders, be responsible for any loss incurred by so acting. Any such advice, certificate, opinion or information may be sent or obtained by letter, telex, telegram, facsimile transmission or cable and, in the absence of gross negligence (*colpa grave*) or wilful misconduct (*dolo*) on the part of the Representative of the Noteholders, the Representative of the Noteholders shall not be liable for acting on any advice, certificate, opinion or information contained in, or purported to be conveyed by, any such letter, telex, telegram, facsimile transmission or cable, notwithstanding any error contained therein or the non-authenticity of the same;
- (e) may call for, and shall be at liberty to accept as sufficient evidence of any fact or matter or as to the expediency of any dealing, transaction, step or thing, a certificate duly signed by or on behalf of the sole director or the chairman of the

board of directors of the Issuer, as the case may be, and the Representative of the Noteholders shall not be bound, in any such case, to call for further evidence or be responsible for any loss that may be occasioned as a result of acting on such certificate;

- (f) save as expressly otherwise provided herein, shall have absolute and unfettered discretion as to the exercise, or non-exercise, of any right, power and discretion vested in the Representative of the Noteholders by these rules, the Notes, any Transaction Document or by operation of law and the Representative of the Noteholders shall not be responsible for any loss, costs, damages, expenses or other liabilities that may result from the exercise, or non-exercise thereof except insofar as the same are incurred as a result of its gross negligence (*colpa grave*) or wilful misconduct (*dolo*);
- (g) shall be at liberty to leave in custody these rules, the Transaction Documents and any other documents relating thereto or to the Notes in any part of the world with any bank, financial institution or company whose business includes undertaking the safe custody of documents, or with any lawyer or firm of lawyers considered by the Representative of the Noteholders to be of good reputation and the Representative of the Noteholders shall not be responsible for or required to insure against, any loss incurred in connection with any such custody and may pay all sums required to be paid on account of, or in respect of, any such custody;
- (h) in connection with matters in respect of which the Representative of the Noteholders is entitled to exercise its discretion hereunder, the Representative of the Noteholders is entitled to convene a Meeting of the Noteholders in order to obtain instructions as to how the Representative of the Noteholders should exercise such discretion provided that nothing herein shall be construed so as to oblige the Representative of the Noteholders to convene such a Meeting. The Representative of the Noteholders shall not be obliged to take any action in respect of these rules, the Notes, the Conditions or any Transaction Document unless it is indemnified and/or provided with security to its satisfaction against all actions, proceedings, claims and demands which may be brought against it and against all costs, charges, damages, expenses and liabilities (provided that supporting documents are delivered) which it may incur by taking such action;
- (i) in connection with matters in respect of which the Noteholders are entitled to direct the Representative of the Noteholders, the Representative of the Noteholders shall not be liable for acting upon any resolution purported to have been passed at any Meeting of Noteholders in respect of which minutes have been drawn up and signed notwithstanding that subsequent to so acting, it transpires that the Meeting was not duly convened or constituted, such resolution was not duly passed or that the resolution was otherwise not valid or binding upon the relevant Noteholders;
- (j) may call for, and shall be at liberty to accept and place full reliance on as sufficient evidence of the facts stated therein, a certificate or letter of confirmation certified as true and accurate and signed on behalf of any common depository as the Representative of the Noteholders considers appropriate, or any form of record made by any such depository, to the effect that at any particular time or throughout any particular period any particular person is, was, or will be, shown in its records as entitled to a particular principal amount of Notes;
- (k) may certify whether or not an Event of Default is, in its opinion, materially prejudicial to the interests of the Noteholders and any such certificate shall be conclusive and binding upon the Issuer, the Noteholders, the Other Issuer Creditors and any other relevant person;
- (l) may determine whether or not a default in the performance by the Issuer of any obligation under the provisions of these rules, the Notes, the Conditions or any other Transaction Document is capable of remedy and, if the Representative of the Noteholders certifies that any such default is, in its opinion, not capable of remedy, such certificate shall be conclusive and binding upon the Issuer, the Noteholders, the Other Issuer Creditors and any relevant person;
- (m) may assume, without enquiry, that no Notes are for the time being held by, or for the benefit of, the Issuer;

- (n) may call for, and to rely upon, a certificate or any letter of confirmation or explanation reasonably believed by it to be genuine, of any party to the Intercreditor Agreement, any Other Issuer Creditor or the Rating Agencies in respect of any matter and circumstance for which a certificate is expressly provided for hereunder or under any Transaction Document or in respect of the credit ratings of the Notes and it shall not be bound, in any such case, to call for further evidence or be responsible for any loss, liability, costs, damages, expenses or inconvenience that may be incurred by its failing to do so; and
- (o) may assume, for the purposes of exercising any power, authority, duty or discretion under or in relation hereto or to the Notes, the Conditions or any Transaction Document, that such exercise will not be materially prejudicial to the interests of the Noteholders having regard, along with any other relevant factors, to whether the Rating Agencies have confirmed that the then current credit ratings of the Notes would not be adversely affected by such exercise, or have otherwise given their consent.

Any consent or approval given by the Representative of the Noteholders under these rules, the Notes, the other Conditions or any Transaction Document may be given on such terms and subject to such conditions (if any) as the Representative of the Noteholders thinks fit and, notwithstanding anything to the contrary contained herein, in the Conditions or in any Transaction Document, such consent or approval may be given retrospectively.

No provision of these rules, the Notes, the Conditions or any Transaction Document shall require the Representative of the Noteholders to do anything which may be illegal or contrary to applicable law or regulations, or expend or risk its own funds, or otherwise incur any financial liability in the performance of any of its duties, or in the exercise of any of its powers or discretions, and the Representative of the Noteholders may refrain from taking any action if it has reasonable grounds to believe that it will not be reimbursed for any funds, or that it will not be indemnified against any loss or liability which it may incur as a result of such action.

Article 30

Note Security

The Representative of the Noteholders shall be entitled to exercise all the rights granted by the Issuer in favour of the Representative of the Noteholders on behalf of the Noteholders and the other Issuer Secured Creditors under the Note Security.

The Representative of the Noteholders, acting on behalf of the Issuer Secured Creditors, may:

- (a) prior to enforcement of the Note Security, appoint and entrust the Issuer to collect, in the Issuer Secured Creditors' interest and on their behalf, any amounts deriving from the Note Security and may instruct, jointly with the Issuer, the obligors whose obligations form part of the Note Security to make any payments to be made thereunder to an Account of the Issuer;
- (b) acknowledge that the Accounts to which payments have been made in respect of the Note Security shall be deposit accounts for the purpose of article 2803 of the Italian civil code and agree that such Accounts shall be operated in compliance with the provisions of the Agency and Accounts Agreement and the Intercreditor Agreement;
- (c) agree that all funds credited to the Accounts from time to time shall be applied prior to enforcement of the Note Security, in accordance with the Conditions and the Intercreditor Agreement; and
- (d) agree that cash deriving from time to time from the Note Security and the amounts standing to the credit of the Accounts and, save as provided below, the Collateral Account, if any, shall be applied prior to enforcement of the Note Security, in and towards satisfaction not only of amounts due to the Issuer Secured Creditors, but also of such amounts

due and payable to the other Issuer Creditors (i) that rank *pari passu* with, or higher than, the Issuer Secured Creditors, according to the applicable Priority of Payments, or (ii) that are not included in the applicable Priority of Payments and, to the extent that all amounts due and payable to the Issuer Secured Creditors have been paid in full, also towards satisfaction of amounts due to the other Issuer Creditors that rank below the Issuer Secured Creditors. The Representative of the Noteholders shall not be entitled to collect, withdraw or apply, or issue instructions for the collection, withdrawal or application of, cash deriving from time to time from the Note Security, under the Note Security, except in accordance with the foregoing, the Conditions and the Intercreditor Agreement;

- (e) agree that, notwithstanding the Note Security (i) prior to the occurrence of an Early Termination Date (as defined in the Swap Agreement) for the Swap Transaction, the amounts (if any) standing to the credit of the Collateral Account pursuant to the Swap Agreement may be withdrawn from the Collateral Account and paid, prior and following to enforcement of the Note Security, exclusively in or towards satisfaction of amounts that are due and payable to the Swap Counterparty pursuant to the Swap Agreement, irrespective of the order of priority set forth in the applicable Priority of Payments; (ii) following the date on which the Swap Transaction is terminated (A) if a Swap Trigger has not occurred, the amounts standing to the credit of the Collateral Account (if any) which exceeds the termination amount (if any) that would have otherwise been payable by the Swap Counterparty to the Issuer had the collateral not been provided; and (B) if a Swap Trigger has occurred the amounts standing to the credit of the Collateral Account (if any) which exceeds the greater of (x) the termination amount (if any) that would have otherwise been payable by the Swap Counterparty to the Issuer had the collateral not been provided, and (y) the Swap Outstanding Nominal Amount may be withdrawn from the Collateral Account and paid, prior and following to enforcement of the Note Security, exclusively in or towards satisfaction of amounts that are due and payable to the Swap Counterparty pursuant to the Swap Agreement, irrespective of the order of priority set forth in the applicable Priority of Payments. The Issuer Secured Creditors irrevocably waive any right which they may have hereunder in respect of such amounts which is not in accordance with the foregoing.

Article 31

Indemnity

It is hereby acknowledged that the Issuer has covenanted and undertaken under the Intercreditor Agreement to reimburse, pay or discharge (on a full indemnity basis) all costs, liabilities, losses, charges, expenses (provided, in each case, that supporting documents are delivered), damages, actions, proceedings, claims and demands (including, without limitation, legal fees and any applicable value added tax or similar tax) properly incurred by or made against the Representative of the Noteholders or by any person to whom the Representative of the Noteholders has delegated any power, authority or discretion or any appointee thereof, in relation to the preparation and execution of, the exercise or the purported exercise of, its powers, authority and discretion and performance of its duties under and in any other manner in relation to these rules, the Notes, the Conditions, the Intercreditor Agreement or any other Transaction Document, including but not limited to legal and travelling expenses and any stamp, issue, registration, documentary and other taxes or duties paid by the Representative of the Noteholders in connection with any action and/or legal proceedings brought or contemplated by the Representative of the Noteholders pursuant to these rules, the Notes, the Conditions or any Transaction Document, against the Issuer or any other person for enforcing any obligations under these rules, the Notes or the Transaction Documents, except insofar as the same are incurred as a result of gross negligence (*colpa grave*) or wilful misconduct (*dolo*) on the part of the Representative of the Noteholders.

TITLE IV

THE ORGANISATION OF NOTEHOLDERS UPON SERVICE OF AN ISSUER ACCELERATION NOTICE

Article 32

Powers

It is hereby acknowledged that, upon service of an Issuer Acceleration Notice and/or failure by the Issuer to exercise its rights, the Representative of the Noteholders shall, pursuant to the Mandate Agreement, be entitled, in its capacity as legal representative of the Organisation of Noteholders, also in the interest and for the benefits of the Other Issuer Creditors, pursuant to articles 1411 and 1723 of the Italian civil code, to exercise certain rights in relation to the Portfolio. Therefore, the Representative of the Noteholders, in its capacity as legal representative of the Organisation of Noteholders, will be authorised, pursuant to the terms of the Mandate Agreement, to exercise, in the name and on behalf of the Issuer and as *mandatario in rem propriam* of the Issuer, all and any of the Issuer's Rights, including the right to give directions and instructions to the relevant parties to the Transaction Documents.

In particular and without limiting the generality of the foregoing, following the service of an Issuer Acceleration Notice, the Representative of the Noteholders will be entitled, until the Notes have been repaid in full or cancelled in accordance with the Conditions:

- (a) to request the Transaction Bank to transfer all monies and securities standing to the credit of the Collection Account, Payments Account, Expenses Reserve Account and Equity Capital Account to, respectively, a replacement Collection Account, a replacement Payments Account, a replacement Expenses Reserve Account and a replacement Equity Capital Account opened for such purpose by the Representative of the Noteholders with a replacement Transaction Bank;
- (b) to request the Collateral Account Bank to transfer all monies and securities standing to the credit of the Collateral Account (if any) to a replacement Collateral Account (if any) opened for such purpose by the Representative of the Noteholders with a replacement Collateral Account Bank;
- (c) to require performance by any Issuer Creditor of its obligations under the relevant Transaction Document to which such Issuer Creditor is a party, to bring any legal actions and exercise any remedies in the name and on behalf of the Issuer that are available to the Issuer under the relevant Transaction Document against such Issuer Creditor in case of failure to perform and generally to take such action in the name and on behalf of the Issuer as the Representative of the Noteholders may deem necessary to protect the interests of the Issuer, the Noteholders and the Other Issuer Creditors in respect of the Portfolio, the Claims and the Issuer's Rights;
- (d) to instruct the Servicer in respect of the recovery of the Issuer's Rights;
- (e) to take possession, as an agent of the Issuer and to the extent permitted by applicable laws, of all Collections (by way of a power of attorney granted under the Intercreditor Agreement in respect of the relevant Accounts) and of the Claims and to sell or otherwise dispose of the Claims or any of them in such manner and upon such terms and at such price and such time or times as the Representative of the Noteholders shall, in its absolute discretion, deem appropriate and to apply the proceeds in accordance with the Post-Enforcement Priority of Payments; provided, however, that, if the amount of the monies at any time available to the Issuer or the Representative of the Noteholders for the payments above shall be less than 10 per cent. of the Principal Amount Outstanding of all the Notes, the Representative of the Noteholders may at its discretion invest such monies (or cause such monies to be invested) in some or one of the investments authorised below. The Representative of the Noteholders at its discretion may vary such investments (or cause such investments to be varied) and may accumulate such investments and the resulting income until the earlier of: (i) the day on which the accumulations, together with any other funds for the time being under the control of the Representative of the Noteholders and available for such purpose, amount to at least 10 per cent. of the Principal Amount Outstanding of all the Notes; and (ii) the Business Day immediately following the service of an Issuer Acceleration Notice that would have been an Interest Payment Date. Such accumulations and funds shall be applied to make the payments listed in the Post-Enforcement Priority of Payments. Any monies which under the Intercreditor Agreement or the Conditions may be invested by the Representative of the Noteholders may be invested in the name or under the control of the Representative of the Noteholders in any investments or other assets in any part of the world

whether or not they produce income or by placing the same on deposit in the name or under the control of the Representative of the Noteholders at such bank or other financial institution and in such currency as the Representative of the Noteholders may think fit. The Representative of the Noteholders may at any time vary any such investments for or into other investments or convert any monies so deposited into any other currency and shall not be responsible for any loss resulting from any such investments or deposits, whether due to depreciation in value, fluctuations in exchange rates or otherwise, except insofar as such loss is incurred as a result of its gross negligence (*colpa grave*) or wilful misconduct (*dolo*); and

- (f) to distribute the monies from time to time standing to the credit of the Accounts and such other accounts as may be opened by the Representative of the Noteholders pursuant to paragraph (a) and/or (b) above to the Noteholders and the Other Issuer Creditors in accordance with the Priority of Payments. For the purposes of this Article 32, all the Noteholders and the Other Issuer Creditors irrevocably appoint, as from the date hereof and with effect on the date on which the Notes will become due and payable following the service of an Issuer Acceleration Notice, the Representative of the Noteholders as their exclusive agent (*mandatario esclusivo*) to receive on their behalf from the Issuer any and all monies payable by the Issuer to the Noteholders and the Other Issuer Creditors from and including the date on which the Notes will become due and payable, such monies to be applied in accordance with the applicable Priority of Payments.

TITLE V

GOVERNING LAW AND JURISDICTION

Article 33

Governing law and jurisdiction

These rules are governed by, and will be construed in accordance with, the laws of Italy.

All disputes arising out of or in connection with these rules, including those concerning their validity, interpretation, performance and termination, shall be exclusively settled by the Courts of Milan.

USE OF PROCEEDS

Monies available to the Issuer on the Issue Date consisting of:

- (i) the net proceeds from the issue of the Notes, being €140,950,000;
- (ii) the amount to be drawn down by the Issuer under the Subordinated Loan Agreement, in an amount equal to €536,658.57,

will be applied by the Issuer on the Issue Date:

- (a) to pay DB €140,950,000, representing the Purchase Price payable by the Issuer to DB as a consideration of the purchase of the Claims pursuant to the terms of the Transfer Agreement;
- (b) to credit €400,000 to the Expenses Reserve Account;
- (c) to credit €136,658.57 to the Payments Account.

The amount payable by DB to the Issuer on the Issue Date as consideration for the subscription of the Notes under the Subscription Agreement, being equal to €140,950,000, will be set-off against the Purchase Price payable by the Issuer to DB on the Issue Date as consideration for the purchase of the Claims pursuant to the Transfer Agreement and the Transfer Deeds.

THE ISSUER

Introduction

Adriatica Finance S.r.l. (the "**Issuer**") is a limited liability company with sole quotaholder (*società a responsabilità limitata con socio unico*) incorporated in the Republic of Italy on 27 April 2006 under article 3 of Italian law No. 130 of 30 April 1999 (*disposizioni sulla cartolarizzazione dei crediti*), as amended from time to time (the "**Securitisation Law**"), with the name of "Sky Finance S.r.l.". By way of an extraordinary quotaholders' resolution held on 22 November 2006, the corporate name of the Issuer was changed from "Sky Finance S.r.l." to "Adriatica Finance S.r.l.". The Issuer is registered with the companies register of Rome under No. 08986031006, with the register (*elenco generale*) held by *Ufficio Italiano dei Cambi*, pursuant to article 106 of Italian legislative decree No. 385 of 1 September 1993 (the "**Banking Act**") under No. 38156 and with the special register (*elenco speciale*) held by the Bank of Italy pursuant to article 107 of the Banking Act, and its tax identification number (*codice fiscale*) is 08986031006.

Since the date of its incorporation, the Issuer has not engaged in any business other than the activities connected to the Securitisation, the purchase of the Claims, the entering into of the Transaction Documents and the activities ancillary thereto and has not declared or paid any dividends or incurred any indebtedness, other than the Issuer's costs and expenses of incorporation or otherwise pursuant to the Transaction Documents. The registered office of the Issuer is at Via Eleonora Duse, 53, I-00197 Rome, Italy and its telephone number is +39 06 8091531. The duration of the Issuer is established until 31 December 2050. The Issuer has no employees.

The authorised equity capital of the Issuer is €10,000. The issued and paid-up equity capital of the Issuer is €10,000. The sole quotaholder of the Issuer is Stichting Bancaburg.

Abuse of control

Under the terms of the Shareholders' Agreement, Stichting Bancaburg has undertaken to the Representative of the Noteholders to exercise any of its rights as sole quotaholder of the Issuer in the interest of the Noteholders and, *inter alia*, not to: (i) transfer its quota, in whole or in part, to any third parties until the date when the Notes will be redeemed in full; (ii) act in a way which at any time may negatively affect the then current credit rating of the Notes or prejudicial to the Transaction; and (iii) create any security interest over its quota.

Corporate administration of the Issuer

KPMG Fides Servizi Amministrativi S.p.A., a joint stock company (*società per azioni*) incorporated under the laws of the Republic of Italy, registered with the companies register of Milan under No. 00731410155, VAT No. 00731410155, acting through its Rome office at Via Eleonora Duse, 53, I-00197 Rome, Italy, telephone number +39 06 8091531, will act as corporate services provider to the Issuer (in such capacity, the "**Corporate Services Provider**"). Pursuant to the terms of a corporate services agreement dated the Signing Date (the "**Corporate Services Agreement**"), the Corporate Services Provider has agreed to provide certain administrative and secretarial services to the Issuer and the Representative of Noteholders. In return for the foregoing the Corporate Services Provider will receive a consideration payable by the Issuer in accordance with the applicable Priority of Payments. The Corporate Services Agreement may be terminated by either the Issuer or the Corporate Services Provider upon one-year-and-one day written notice.

Accounting treatment of the Portfolio

Pursuant to the Bank of Italy's regulations, the accounting information relating to the securitisation of the Claims will be contained in the explanatory notes to the Issuer's accounts (*Nota Integrativa*). The explanatory notes, together with the balance sheet and the profit and loss statements, form part of the financial statements of Italian limited liability companies (*società a responsabilità limitata*).

Accounts of the Issuer

The fiscal year of the Issuer begins on 1 January of each calendar year and ends on 31 December of the same calendar year. The Issuer's financial statements set out below relate to the period started on 27 April 2006 (being the date of incorporation of the Issuer) and ended on 31 December 2006 (being the last date of the first fiscal year). The said Issuer's financial statements have been approved on 14 February 2007. The Issuer has prepared an English translation of such Issuer's financial statements solely for the convenience of international readers. The Issuer accepts responsibility for the correct transaction of the information set out therein.

Translation from the Italian original which remains the definitive version

ADRIATICA FINANCE SRL SINGLE SHAREHOLDER COMPANY

Registered office: Via Eleonora Duse, 53 Roma (Italia)

Tax identification- and Rome Companies' Register number 08986031006

Share capital Euro 10.000,00 - paid in full

Registered at no 38156 in the General List of Finance Companies pursuant to art 106 of Law Decree 385/93

FINANCIAL STATEMENTS AS OF 28 FEBRUARY 2007

Translation from the Italian original which remains the definitive version

ADRIATICA FINANCE SRL

FINANCIAL STATEMENTS AS OF 28 FEBRUARY 2007

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Translation from the Italian original which remains the definitive version

OFFICERS

Gordon Edwin	
Charles Burrows	Sole Director

ADRIATICA FINANCE S.R.L. (formerly Sky Finance S.r.l.)

FINANCIAL STATEMENTS AS OF 28 FEBRUARY 2007

MANAGEMENT REPORT

The company was incorporated on 27 April 2006 pursuant to Law no 130 of 30 April 1999, ruling in Italy securitisation transactions.

The company is registered at no 38156 of the General List of Finance Companies referred to in art 106/1 of Law Decree 385 dated 1 September 1993 and following amendments (Consolidated Text of Banking Laws), and it is being registered in the Special List of Finance Companies referred to in art 107 of the Consolidated Text of Banking laws.

Business of the company

Pursuant to its by-laws and to the provisions of the aforesaid law, the company has at its sole purpose to enter into one or more securitisation of accounts receivable pursuant to Law no 130 dated 30 April 1999, by acquiring against a sales price accounts receivable, both existing and future ones, financed by issuing securities according to article 1 paragraph 1 letter b of Law 130/1999 in such a manner that the company assumes no risk on the receivables involved. In conformity with the provisions of the aforesaid law, the accounts receivable bought in each securitisation transaction constitute assets separate to all intents and purposes from those of the company and from those relating to other securitisation transactions performed by the company, on which no actions may be taken by creditors other than the holders of the notes issued for financing the acquisition of such accounts receivable. Within the limits allowed for by law no 130 of 30 April 1999, the company may perform ancillary transactions to be stipulated for facilitating the securitisation transactions it has entered into, or anyway auxiliary for achieving the company's purpose, comprising re-investment transactions in other financial activities (including accounts receivable with characteristics similar to those object of the securitisation transaction) of the funds deriving from the management of accounts receivable which were not

immediately used for the satisfaction of the rights relating to the notes pursuant to law 130/1/b dated 30 April 1999.

In particular, the company represents the Vehicle for a securitisation transactions, currently under finalisation, regarding an initial portfolio of accounts receivable, singled out in a block, transferred by Deutsche Bank AG, agency of London, relating (a) to agreements stipulated during the months of August, September, October and November 2006 among: (i) local health agencies of the Abruzzi region; (ii) the Abruzzi Region; and (iii) some pharmaceutical companies, private clinics, private institutes rendering specialised assistance services and sundry suppliers which rendered sanitary services / furnished sanitary goods to local health agencies of the Abruzzi region, or parties on behalf of the latter, and relative payment delegations stipulated on 4 December 2006 – pursuant to Resolution no 786 issued on 14 July 2006 by the Abruzzi Region - among Deutsche Bank AG, London Branch, the Abruzzi Region and the local health agencies of the Abruzzi Region, with reference to credits certified pursuant to the afore mentioned Resolution and relating to the period from 1 January 2005 to 31 December 2005; and (b) to contracts regarding the provision of sanitary services/sale of sanitary goods stipulated among pharmaceutical companies, private clinics, private institutes rendering specialised assistance services and sundry suppliers and local health agencies of the Abruzzi Region; the rights and commitments of which are based on one of the deeds listed under point (a), with reference to credits certified pursuant to the afore mentioned Resolution and relating to the period from 1 January 2005 to 31 December 2005.

The total transferral price agreed upon is equal to Euro 140.951.527 (principal), which will be paid by Adriatica Finance to the Transferor at the issue date of the notes, value date the same date, by transferring the amount to the bank account of the Transferor, or to a different bank account indicated in writing by the Transferor, at least 5 (five) work days prior to the Issue Date.

Due to the following re-negotiation of the credits sold during which a payment deferral was granted, the local health agencies committed themselves to pay (through Payment Delegations issued at the charge of the Abruzzi Region) to Adriatica Finance Srl the total amount of Euro

227.108.147, distributed over 30 six-monthly instalments amounting to Euro 7.570.272 each, the first one of which payable on 4 June 2007.

At the balance sheet date the securities were not issued yet.

The cash flows that the accounts receivable will generate together with the collateral guarantees relating to the transaction can exclusively be employed for the redemption of the notes issued, the payment of interest agreed upon and the payment of costs of the costs of the transaction.

Treasury shares

The company owns no shares of its own stock or of the stock of its parent companies, either directly or through fiduciary companies.

Subsidiaries and/or associated companies

The company owns no subsidiaries or associated companies.

Research and development activity

The company conducted no research and development activities.

Events after the end of the period

No events worth of mentioned occurred after the closing of these financial statements, in addition to that already fully described in this report relating to the finalising of the securitisation transaction.

Other information

Following the prevailing interpretation of provision no 14890 issued by the Bank of Italy on 29 March 2000, confirmed by the Revenue Agency's Circular 8/E dated 6 February 2003, regarding the tax treatment of segregated asset portfolios held by credit-securitisation companies, whereby earnings from the management of securitised assets during the course of the securitisation transaction in question are not available to the company, hence the *spread*, if any, does not constitute taxable income. This assumption is in line with the instructions issued by the Bank of Italy on 29 March 2000. Any earnings remaining after all the creditors of the separate portfolio have been satisfied will be taxable because they will be legally available to the company and will therefore constitute taxable income.

Translation from the Italian original which remains the definitive version

Roma, 26 March 2007

The Sole Director

Gordon Edwin Charles Burrows

FINANCIAL STATEMENTS AND NOTES

FORM AND CONTENTS OF THE FINANCIAL STATEMENTS AS OF 28 FEBRUARY 2007

The financial statements for the period ended at 28 February 2007 were prepared in conformity with applicable legislation and comprise:

- **Balance Sheet;**
- **Profit and Loss Account;**
- **Statement of Changes in Shareholders' Equity;**
- **Statement of Cash Flows;**
- **Notes.**

The Notes comprise:

- | | |
|-----------------|---|
| Foreword | - General information |
| Part A | - Accounting principles |
| Part B | - Information on the Balance Sheet |
| Part C | - Information on the Profit and Loss Account |
| Part D | - Other information |

BALANCE SHEET

(amounts in Euro)

ASSETS		28 February 2007
60	Accounts receivable	10.000
140	Other assets	0
Total assets		10.000
Liabilities		28 February 2007
120	Share capital	10.000
180	Income (loss) of the year	0
Total liabilities		10.000

Translation from the Italian original which remains the definitive version

PROFIT AND LOSS ACCOUNT

(amounts in Euro)

Costs - Revenues	28 February 2007
<i>Operating result</i>	0
Income (loss) of current management, before taxes	0
Income (loss) of the year	0

Translation from the Italian original which remains the definitive version

STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY - PERIOD 28 FEBRUARY 2007 (amounts in Euro)

Description	at Beginning balances 01/01/2007	Allocation of prior year's result		in Changes reserves	Transactio ns on sharehold ers' equity Issue of new shares	Income (loss) of the period	Shareholders equity at 28/02/2007
		Reserves	Income distribute d				
Share capital:	10.000						10.000
Issue premium							
Reserves							
a) Income reserves							
b) Other reserves							
Valuation reserves:							
Capital instruments							-
Income (loss) of the period						0	0
Total	10.000	-	-	-	-	0	10.000

STATEMENT OF CASH FLOWS FOR THE PERIOD ENDED AT 28 FEBRUARY 2007	
Indirect method	28 February 2007
OPERATING ACTIVITY	
1. MANAGEMENT	-
- Interest income and similar revenues	
- Interest expense and similar charges	
- Dividends or similar revenues	
- Commission income	
- Commission expense	
- Cost of personnel	
- Other costs	
- Other revenues	
- Income taxes	
2. CASH GENERATED BY REDUCTION OF FINANCIAL ASSETS	-
- Financial assets held for negotiation	
- Financial assets at <i>fair value</i>	
- Financial assets available for sale	
- Accounts receivable	
- Other assets	
3. CASH ABSORBED BY INCREASE OF FINANCIAL ASSETS	7.500
- Financial assets held for negotiation	
- Financial assets at <i>fair value</i>	
- Financial assets available for sale	
- Accounts receivable	7.500
- Other assets	
4. CASH GENERATED BY FINANCIAL LIABILITIES	-
- Accounts payable	
- Outstanding securities	
- Financial liabilities re negotiation	
- Financial liabilities at <i>fair value</i>	
- Other liabilities	
5. CASH ABSORBED BY REDEMPTION/RE-PURCHASE OF FINANCIAL LIABILITIES	-
- Accounts payable	
- Outstanding securities	
- Financial liabilities re negotiation	
- Financial liabilities at <i>fair value</i>	
- Other liabilities	
NET CASH GENERATED/ABSORBED BY OPERATING ACTIVITIES (A)	7.500
INVESTMENT ACTIVITIES	
1. CASH GENERATED BY DECREASE OF	-
- Investments	
- Financial assets held up to expiry	
- Tangible assets	
- Intangible assets	
- Other assets	
2. CASH ABSORBED BY INCREASE OF	-
- Investments	
- Financial assets held up to expiry	
- Tangible assets	
- Intangible assets	
- Other assets	
NET CASH GENERATED/ABSORBED BY INVESTMENT ACTIVITIES (B)	-
FINANCING ACTIVITIES	
- Issue/purchase of treasury shares	
- Issue/purchase of capital instruments	
- Distribution of dividends and for other purposes	
NET CASH GENERATED/ABSORBED BY FINANCING ACTIVITIES (C)	-
NET CASH GENERATED/ABSORBED DURING THE PERIOD (D=A+B+C)	7.500
Balance sheet items	(Amounts in euro)
	28 February 2007
Cash and cash equivalents, beginning of period	2.500
Net cash generated/absorbed during the period	7.500
Cash and cash equivalents, end of period	10.000

NOTES TO THE FINANCIAL STATEMENTS

These notes to the financial statements comprise:

Foreword - General information

Business of the company

Part A - Basis of accounting

A.1 General part

Section 1 - Declaration of conformity with international accounting principles

Section 2 - General accounting principles

- Securitisation transaction

Section 3 - Events after the closing date of the financial statements

A.2 Part relating to the most significant items of the financial statements

Part B - Information on the Balance Sheet

Assets:

Cash and cash values

Other assets

Liabilities:

Share capital

Result of the period

Guarantees, commitments and off-balance-sheet transactions

Guarantees given in favour of third parties

Commitments

Off-balance-sheet transactions

Assets and liabilities denominated in foreign currencies

Part C - Information on the Profit and Loss Account

Part D - Other information

Director's fees

Employees

ADRIATICA FINANCE S.R.L.

NOTES TO THE FINANCIAL STATEMENTS AS OF 28 FEBRUARY 2007

FOREWORD – GENERAL INFORMATION

The company's financial statement as of 28 February 2007 were drawn up in conformity with International Financial Reporting Standards (IFRS) and the relevant implementing measures issued by the Bank of Italy on 14 February 2006 (Instructions regarding the preparation of financial statements of finance companies registered in the Special List, electronic money companies, companies managing savings and stock brokerage companies).

Business of the company

The company, set up pursuant to Law 130/99, has at its sole purpose to enter into one or more securitisation of accounts receivable pursuant to Law no 130 dated 30 April 1999, by acquiring against a sales price accounts receivable, both existing and future ones, in such a manner that the company assumes no risk on the receivables involved.

In particular, the company represents the Vehicle for a securitisation transactions (currently under finalisation) regarding an initial portfolio of accounts receivable *pro soluto*, singled out in a block, with explicit exclusion of guarantee of solvency of the Debtors, transferred by Deutsche Bank AG, London (UK) agency, a bank under German laws with registered office in Taunusanlage 12, Frankfurt, Germany, which acts for the purpose of the aforesaid transaction through its agency no BR000005 with registered office in Winchester House, 1 Great Winchester Street, EC2N 2DB London, UK.

As finance company dealing with the general public, the company is registered at 38156 in the General List of Finance Companies referred to in art 106 of the Consolidated Text of Banking Laws and it is being registered in the Special List referred to in article 107 of the aforementioned law.

PART A – BASIS OF ACCOUNTING

A.1 General part

Section 1 - Declaration of conformity with international accounting principles

In conformity with the provisions of Law Decree 38/05 the company, as finance company currently waiting to be registered in the Special List referred to in article 107 of Law Decree

385/1993, has drawn up its financial statements at 31 December 2006 in conformity with IAS/IFRS, therefore applying all international accounting principles and relative interpretations (SIC/IFRIC) according to the procedure established in article 6 of the EC Ruling no 1606/2002.

Section 2 – General accounting principles

The financial statements were drawn up in conformity with the international accounting principles issued by the International Accounting Standards Board (IASB) and the relative interpretations issued by IFRIC, validated by the European Union and the relevant implementing measures issued by the Bank of Italy on 14 February 2006, regarding the preparation of financial statements of finance companies according to the new provisions.

The financial statements were prepared with the intention to give a fair and truthful view of the company's financial position and the result of operations and cash flows in the fiscal year, on the going-concern basis (IAS 1 par. 23), the accrual basis (IAS 1 par. 25 and 26) and according to the principles of consistency in presentation and classification of the financial statement items (IAS 1 par. 27). No compensations were made between assets and liabilities or revenues and costs, unless requested or allowed for by an accounting principle or interpretation (IAS 1 par. 32).

The financial statements comprise the Balance Sheet, the Profit and Loss Account and the Notes thereto, all drawn up in the formats specified by the Bank of Italy in the aforementioned provision of 14 February 2006, on the financial statements of finance companies.

The financial statements are drawn up in euros; the amounts are stated in euro units, unless otherwise specified.

These financial statements are accompanied by the Management Report.

The accounting information and the qualitative and quantitative data regarding the securitisation transaction are reported in an Annex to these notes.

The financial statements are subject to voluntary auditing by the audit firm PKF S.p.A., to which the audit engagement was conferred for fiscal years 2006 – 2007 – 2008 and 2009.

Securitisation transaction

The securitisation transaction is accounted for as prescribed in Law 130/99, which specifies that the “credits involved in each transaction shall constitute an asset portfolio separate to all intents and purposes from the company’s own assets and from asset portfolios related to other transactions”.

In the aforesaid measure of 14 February 2006, the Bank of Italy with reference to securitisation transactions provided expressly that:

- a) the accounting data related to each securitisation transaction must be reported separately in specific annexes to the notes to the financial statements;
- b) the annexes must contain all the qualitative and quantitative data necessary to give a clear and complete picture of each transaction.

In particular, the Bank of Italy requires that:

- a) a special section must contain at least the following information on the company’s securitisation transactions, in summary form and separately for each transaction:
 - I. amount of credits purchased (nominal value and sale value);
 - II. amount of securities issued, listed by category and degree of subordination;
- b) a special annex must contain the data listed in the afore mentioned measure relating to each securitisation transaction. The company will include in such annexes all data considered useful for a complete picture of each transaction, but without providing excessive information that would reduce the document’s clarity and immediate comprehension.

In particular, in preparing the financial statements of Adriatica Finance S.r.l., the data on the securitisation transaction of accounts receivable arising from (i) contracts regarding the sale, provision of sanitary services and supply of sanitary goods (the Contracts) stipulated between pharmaceutical companies, private clinics, private institutes rendering specialised assistance services and sundry suppliers (together, the Original Suppliers) and the local health agencies of the Abruzzi region (the Debtors or the “AASSLL”); (ii) the Settling Agreements (as defined

hereinafter) ; and (iii) the Payment Delegations (as defined hereinafter) – are reported solely in the Notes to the Financial Statements (Annexes).

Section 3 – Events after the end of the year

On 2 February 2007 the shareholders' meeting approved the securitisation transaction of sanitary credits to be set up pursuant to Law 130/99, conferring to the Sole Director the powers necessary to conclude and negotiate the contracts as well as the issue of the securities.

A.2 – PART RELATING TO THE MOST SIGNIFICANT ITEMS OF THE FINANCIAL STATEMENTS

The following section describes the accounting principles adopted in preparing the financial statements as of 28 February 2007 with reference to the items only that are recorded in the balance sheet and in the profit and loss account. For each item the following information was indicated: registration criteria, classification criteria, valuation criteria, removal criteria and recognition criteria of profit and loss items.

ACCOUNTS RECEIVABLE

Registration criteria

Accounts receivable are recorded at the date of allocation, ie at the date the company became part of the contractual provisions and therefore became entitled to receive financial flows.

Accounts receivable are stated at fair value corresponding to the amount allocated or price paid.

Classification criteria

This item totals the cash balance on the company's bank accounts and the receivables stated under the item "Other accounts receivable" comprising accounts receivable from tax authorities and operating costs re-charged to the securitisation transactions.

Valuation criteria

After their beginning entry the accounts receivable from banks are stated at their face value.

As far as the other accounts receivable are concerned, at each closing date the existence of proofs of impairment is verified.

Removal criteria

The accounts receivable are cancelled when the asset is sold, transferring substantially all

relative risks and benefits, when the contractual rights cease or when the credit is considered definitively uncollectible.

COSTS AND REVENUES

Costs are posted in the profit and loss account when a decrease of future economic benefits generating a decrease in assets or an increase in liabilities occurs, the value of which can be reliably determined. The costs are recorded in the profit and loss account according to the criteria of direct association between costs sustained and revenues achieved (correlation of costs and revenues). All costs relating to the securitisation transaction will be re-charged directly to the securitisation transaction on the basis of the contractual provisions.

Revenues are stated in the profit and loss account when an increase of future economic benefits generating an increase in assets or a decrease in liabilities occurs, the value of which can be reliably determined. This means that the registration of revenues occurs simultaneously with an increase in assets or a decrease in liabilities. The most significant revenue item in the company's financial statements relates to the re-charge of costs regarding the securitisation transaction mentioned before.

PART B – INFORMATION ON THE BALANCE SHEET

ASSETS

Section 1 – Cash and cash equivalents – Item 10

Equal to Euro 10.000, this item records the part of the paid-in share capital transferred to the tied bank account held with Credito Bergamasco, Agency Roma Parioli.

12.1 Makeup of the item 120 Share capital

Share capital at 28 February 2007 amounts to Euro 10.000, split up in quotas with nominal value of one euro or multiples of one euro. It is fully hold by the foundation “Stichting Bancaburg” with registered office in Amsterdam (Holland), 1079 LH Amsteldijk 166.

180 Result of the period – Euro 0

The result of the fiscal period is equal to zero as during the year the economic conditions requesting the entry of costs and revenues did not occur.

GUARANTEES, COMMITMENTS AND OFF-BALANCE-SHEET TRANSACTIONS

Guarantees given in favour of third parties

At 28 February 2007 the Company had given no guarantees in favour of third parties.

Commitments

At 28 February 2007 the company had no commitments.

Off-balance-sheet transactions

At 28 February 2007 the company had no off-balance-sheet transactions.

Assets and liabilities denominated in foreign currencies

No assets or liabilities denominated in foreign currencies are recorded in the balance sheet at 28 February 2007.

PART C – INFORMATION ON THE PROFIT AND LOSS ACCOUNT

During the fiscal year the economic conditions requesting the entry of costs and revenues did not occur.

PART D – OTHER INFORMATION

Director's fees

At 28 February 2007 the securitisation transaction was not finalised yet, therefore the Sole Director renounced his fees.

Employees

The company had no employees during the period.

Auditors of the Issuer

The auditors of the Issuer are PKF Italia S.p.A. with offices at Viale Vittorio Veneto, 10, I-20124 Milan, Italy, an auditing firm enrolled with the special register held by CONSOB (*albo speciale delle società di revisione tenuto dalla CONSOB*) and a member of the *Associazione delle Società di Revisione Contabile (ASSIREVT)*.

Principal activities

The principal corporate objectives of the Issuer, as set out in article 2 of its by-laws (*statuto*), include the acquisition of monetary claims for the purposes of securitisation transactions and the issuance of asset-backed securities pursuant to article 3 of the Securitisation Law.

So long as any of the Notes remain outstanding, the Issuer shall not, without the consent of the Representative of the Noteholders and as provided in the Conditions and the Transaction Documents, incur any other indebtedness for borrowed monies, engage in any activities except pursuant to the Transaction Documents, pay any dividends, repay or otherwise return any equity capital, have any subsidiaries, employees or premises, consolidate or merge with any other person, convey or transfer its property or assets to any person, or increase its equity capital.

The Issuer will covenant to observe, *inter alia*, those restrictions which are detailed in Condition 5 (*Covenants*).

The sole director of the Issuer is:

Name	Address	Principal Activities
Gordon Edwin Charles Burrows	Via E. Duse 53 – Rome – Italy	Freelance consultant

The Issuer has no statutory auditors.

Capitalisation and indebtedness statement

The capitalisation and indebtedness of the Issuer as at the date of this Prospectus, adjusted for the issue of the Notes on the Issue Date, are as follows:

	€
<i>Issued equity capital</i>	
€10,000 fully paid up	10,000
	10,000
<i>Borrowings</i>	
Notes	
€140,950,000 Asset-Backed Floating Rate Rate Notes due 2021	140,950,000
Subordinated Loan	536,658
Total Notes and Subordinated Loan	141,486,658

Save for the foregoing, at the Issue Date, the Issuer will not have borrowings or indebtedness in the nature of borrowings (including loan capital issued or created but unissued), term loans, liabilities under acceptances or acceptance credits, mortgages, charges or guarantees, or other contingent liabilities. The authorised equity capital of the Issuer is €10,000.

Auditors' report

The following is the text of a report received by the sole director of the Issuer from PKF Italia S.p.A., the external auditors to the Issuer.

"To the Quotaholder of
Adriatica Finance S.r.l. – Società unipersonale

1. We have audited the financial statements of Adriatica Finance S.r.l. – Società unipersonale as of and for the period ended December 31, 2006. These financial statements are the responsibility of Adriatica Finance S.r.l. – Società unipersonale management. Our responsibility is to express an opinion on these financial statements based on our audit.

2. We conducted our audit in accordance with Auditing Standards recommended by CONSOB, the Italian Commission for listed companies and the Stock Exchange. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

The Company was formed on 27 April 2006 and, consequently, the period ended 31 December 2006 represents its first accounting period.

3. In our opinion, the financial statements mentioned above present fairly the financial position of Adriatica Finance S.r.l. – Società unipersonale as of December 31, 2006 and the results of its operations for the period then ended in accordance with the Italian regulations governing financial statements.

Milan, 12 February 2007

PKF Italia S.p.A.
Signed on the original by
Eliseo Piana
(Partner)"

PKF Italia S.p.A. has given and has not withdrawn its consent to the inclusion of the auditors' report in this Prospectus.

THE SELLER AND SWAP COUNTERPARTY

DEUTSCHE BANK AKTIENGESELLSCHAFT

Deutsche Bank Aktiengesellschaft is the Seller and the Swap Counterparty.

Deutsche Bank Aktiengesellschaft ("**Deutsche Bank**") originated from the reunification of Norddeutsche Bank Aktiengesellschaft, Hamburg, Rheinisch-Westfälische Bank Aktiengesellschaft, Duesseldorf and Süddeutsche Bank Aktiengesellschaft, Munich; pursuant to the Law on the Regional Scope of Credit Institutions, these had been disincorporated in 1952 from Deutsche Bank which was founded in 1870. The merger and the name were entered in the Commercial Register of the District Court Frankfurt am Main on 2 May 1957. Deutsche Bank is a banking institution and a stock corporation incorporated under the laws of Germany under registration number HRB 30 000. The Bank has its registered office in Frankfurt am Main, Germany. It maintains its head office at Taunusanlage 12, 60325 Frankfurt am Main and branch offices in Germany and abroad including in London, New York, Sydney, Tokyo and an Asia-Pacific Head Office in Singapore which serve as hubs for its operations in the respective regions.

The Bank is the parent company of a group consisting of banks, capital market companies, fund management companies, a real estate finance company, instalment financing companies, research and consultancy companies and other domestic and foreign companies (the "**Deutsche Bank Group**").

Deutsche Bank AG, London Branch is the London branch of Deutsche Bank AG. On 12 January 1973, Deutsche Bank AG filed in the United Kingdom the documents required pursuant to section 407 of the Companies Act 1948 to establish a place of business within Great Britain. On 14 January 1993, Deutsche Bank registered under Schedule 21A to the Companies Act 1985 as having established a branch (Registration No. BR000005) in England and Wales. Deutsche Bank AG, London Branch is an authorized person for the purposes of section 19 of the Financial Services and Markets Act 2000. In the United Kingdom, it conducts wholesale banking business and through its Private Wealth Management division, it provides holistic wealth management advice and integrated financial solutions for wealthy individuals, their families and selected institutions.

THE TRANSACTION BANK

Deutsche Bank S.p.A. is the Transaction Bank.

Deutsche Bank S.p.A. is a bank incorporated under the laws of Italy, whose registered office is at Piazza del Calendario n. 3, Milan, and registered with the companies register of Milan under number 01340740156 and with the register held by the Bank of Italy pursuant to article 13 of the Banking Act under number 3104. The share capital of Deutsche Bank S.p.A. amounts to €310,659,856.26, 94 per cent. of which was owned by Deutsche Bank AG as at 28 April 2006.

SELECTED ASPECTS OF ITALIAN LAW

The Securitisation Law

The Securitisation Law was enacted on 30 April 1999 and was conceived to simplify the securitisation process and to facilitate the increased use of securitisation as a financing technique in the Republic of Italy. It applies to securitisation transactions involving the "true" sale (by way of non-gratuitous assignment) of receivables, where the sale is to a company created in accordance with article 3 of the Securitisation Law and all amounts paid by the assigned debtors are to be used by the relevant company exclusively to meet its obligations under notes issued to fund the purchase of such receivables and all costs and expenses associated with the securitisation transaction.

Ring-fencing of the assets

Under the terms of article 3 of the Securitisation Law, the assets relating to each securitisation transaction will, by operation of law, be segregated for all purposes from all other assets of the company which purchases the receivables. Prior to and on a winding-up of such a company such assets will be available only to holders of notes issued to finance the acquisition of the relevant receivables and to certain creditors claiming payment of debts incurred by the company in connection with the securitisation of the relevant assets. In addition, the assets relating to a particular transaction will not be available to the holders of notes issued to finance any other securitisation transaction or to general creditors of the issuer company.

The assignment

The assignment of the receivables under the Securitisation Law is governed by article 58, paragraphs 2, 3 and 4 of the Banking Act. The prevailing interpretation of this provision, which view has been strengthened by article 4 of the Securitisation Law, is that the assignment can be opposed against assigned debtors and third party creditors by way of publication in the Official Gazette of the Republic of Italy (*Gazzetta Ufficiale della Repubblica Italiana*) and registration (*iscrizione*) in the competent companies' register of a notice of the assignment of the securitised portfolio, so avoiding the need for notification to be served on each assigned debtor.

Pursuant to articles 69 and 70 of Decree No. 2440, agreements relating to assignment of claims against a public administration (such as the Region and the Health Authorities) must be: (i) in the form of a public deed (*atto pubblico*) or of a private authenticated deed (*scrittura privata autenticata*); (ii) made by a separate deed of transfer for each assigned debtor which is a public administration; (iii) notified to the relevant public administration; and (iv) in the event such claims arise under contracts for the provision of services or goods still under performance, accepted by the relevant public administration.

As of the later of: (i) the date of publication of the notice of the assignment in the Official Gazette of the Republic of Italy (*Gazzetta Ufficiale della Repubblica Italiana*); (ii) the date of registration (*iscrizione*) of such notice in the competent companies' register; (iii) the date of notification of the assignment under each relevant transfer deed to each Health Authority and the Region pursuant to article 69 of Decree No. 2440; and (iv) the acceptance by the relevant Health Authority and the Region upon completion of each relevant assignment, the assignment becomes enforceable against:

- (a) the assigned debtors and any creditors of the Seller who have not, prior to the date of publication of the notice, commenced enforcement proceedings in respect of the relevant receivables;
- (b) the liquidator or any other bankruptcy officials of the assigned debtors (so that any payments made by an assigned debtor to the purchasing company may not be subject to any claw-back action according to article 67 of the Bankruptcy Law); and
- (c) other permitted assignees of the Seller who have not perfected their assignment prior to the date of publication. The benefit of any privilege, guarantee or security interest guaranteeing or securing repayment of the assigned receivables will automatically be transferred to, and perfected with the same priority in favour of, the issuer, without the need for any formality or annotation.

As of the later of: (i) the date of publication of the notice of the assignment in the Official Gazette of the Republic of Italy (*Gazzetta Ufficiale della Repubblica Italiana*); (ii) the date of registration (*iscrizione*) of such notice in the competent companies' register; (iii) the date of notification of the assignment under each relevant transfer deed to each Health Authority pursuant to article 69 of Decree No. 2440; and (iv) the acceptance by the relevant Health Authority upon completion of each relevant assignment, no legal action may be brought against the receivables assigned or the sums derived therefrom other than for the purposes of enforcing the rights of the holders of the notes issued for the purpose of financing the acquisition of the relevant receivables and to meet the costs of the transaction.

Notice of the assignment of the Claims by the Seller pursuant to the Transfer Agreement was published in the Official Gazette of the Republic of Italy (*Gazzetta Ufficiale della Repubblica Italiana*) No. 3 *Parte II* on 9 January 2007 and registered (*iscritto*) in the companies' register of Rome on 3 January 2007.

Assignments executed under the Securitisation Law are subject to revocation on bankruptcy under article 67 of the Bankruptcy Law but only in the event that the assignment transaction is entered into within three months of the adjudication of bankruptcy of the relevant party or, in cases where paragraph 1 of article 67 applies, within six months of the adjudication of bankruptcy.

Attachment of debtor's credits

Attachment proceedings may be commenced also on due and payable debts of a borrower (such as bank accounts, salary etc.) or on a borrower's moveable property which is located on a third party's premises.

Insolvency proceedings

Insolvency proceedings (*procedure concorsuali*) conducted under Italian law may take the form of, *inter alia*, a forced liquidation (*fallimento*), a composition with creditors (*concordato preventivo*) or an out-of court debts' restructuring procedure (*accordi di ristrutturazione dei debiti* pursuant to article 182-bis of the Bankruptcy Law). Insolvency proceedings are only applicable to commercial and not small businesses run either by companies or by individuals (*imprenditori commerciali non piccoli*). An individual who is not a sole entrepreneur is not subject to insolvency. The procedure followed will depend on factors relating to the financial status of the debtor, the court and the creditors involved. In each case, a lender must petition the court for approval of its claim against the debtor.

A debtor can be declared bankrupt (*fallito*) (either by its own initiative or upon the initiative of any of its creditors or any public prosecutors) if it is not able to timely and duly fulfill its obligations and the overall amount of its obligations is not less than €25,000 (article 15 of the Bankruptcy Law). The debtor loses control over all its assets and the management of its business which is taken over by a court-appointed receiver (*curatore fallimentare*), save in the case of the court's authorisation to carry on the business or a portion of it temporarily (*esercizio provvisorio dell'impresa del fallito* pursuant to article 104 of the Bankruptcy Law).

Once judgment has been made by the court on the basis of the evidence of the creditors and the opinion of the *curatore fallimentare*, and the creditors' claims have been approved, the sale of the borrower's property is conducted in a manner similar to foreclosure proceedings or forced sale of goods, as the case may be.

Importantly, an insolvent creditor or a creditor facing temporarily an economic and/or financial crisis may avoid being declared bankrupt by proposing to its creditors a creditors' agreement. Such a proposal must be contained in a plan which may provide for: (i) the restructuring of debts and the satisfaction of creditors in any manner, even through extraordinary transactions including the granting to creditors and their controlled company of shares, or bonds (also convertible into shares), or other financial instruments and securities; (ii) the assignment of the activities of the companies involved in the proposal of *concordato preventivo* to another company (*assuntore*); (iii) the classification of creditors into classes; and (iv) different treatments for creditors belonging to different classes. See "*Concordato preventivo* (Composition with creditors)", below.

Due to the complexity of the insolvency proceedings, the time involved and the possibility of challenges and appeals by the debtor, there can be no assurance that any such insolvency proceedings would result in the payment in full of outstanding amounts under the Claims or that such proceedings would be concluded before the stated maturity of the Notes.

After judicial insolvency proceedings are commenced, no legal action can be taken against the debtor outside the relevant insolvency proceedings and no foreclosure proceedings or forced sale proceedings may be initiated. Moreover, all actions taken and proceedings already initiated by creditors are automatically interrupted.

***Concordato preventivo* (Composition with creditors)**

Pursuant to the modifications to the Bankruptcy Law introduced by Law Decree No. 35 of 14 March 2005 and converted into Law No. 80 of 14 May 2005, the composition with creditors (*concordato preventivo*) procedure can only be initiated by a debtor entrepreneur filing a petition to the territorial competent court. The composition with creditors (*concordato preventivo*) is approved by a majority vote of the creditors entitled to vote. Where there are different classes of creditors, the composition with creditors (*concordato preventivo*) is approved by a majority vote of the creditors within the same class that are entitled to vote. Provided that this quorum is met, the relevant court may approve the composition with creditors (*concordato preventivo*) even when one or more classes have not given their consent, if it deems that the composition with creditors (*concordato preventivo*) would not be less advantageous to dissenting creditors than other practicable solutions (cram-down mechanism). The proceeding of the composition with creditors (*concordato preventivo*) will end with a decree which is to be issued by the competent court. If the court or the creditors reject the offer, the entrepreneur may be declared bankrupt by the court should the entrepreneur be insolvent.

Accounting treatment of the Claims

Pursuant to the Bank of Italy Regulations, the accounting information relating to the securitisation of the Claims will be contained in the Issuer's *Nota Integrativa* which, together with the balance sheet and the profit and loss statements, form part of the financial statements of Italian limited liability companies (*società a responsabilità limitata*).

THE AGENCY AND ACCOUNTS AGREEMENT

The description of the Agency and Accounts Agreement set out below is a summary of certain features of such Transaction Document and is qualified in its entirety by reference to the detailed provisions of such Agency and Accounts Agreement. Prospective Noteholders may inspect a copy of the Agency and Accounts Agreement upon request at the registered office of the Representative of the Noteholders and at the Specified Office of the Listing and Luxembourg Paying Agent.

Pursuant to the Agency and Accounts Agreement, the Issuer has appointed:

- (a) the Principal Paying Agent, for the purpose of, *inter alia*, providing directions as to the payment of interest and the repayment of principal in respect of the Notes and safekeeping the Noteholders' register;
- (b) the Italian Paying Agent, for the purpose of, *inter alia*, making payments of interest and the repayment of the principal on the Notes;
- (c) the Listing and Luxembourg Paying Agent, as listing and Luxembourg paying agent in respect of the Notes;
- (d) the Agent Bank, for the purpose of, *inter alia*, determining the rate of interest payable in respect of the Notes;
- (e) the Computation Agent, for the purpose of, *inter alia*, determining certain of the Issuer's liabilities and the funds available to pay the same (subject to the receipt of certain information and in reliance thereon) and instructing the Transaction Bank to make certain payments into and out of the Transaction Accounts; and
- (f) the Transaction Bank, for the purpose of establishing and maintaining the Transaction Accounts and managing certain payment and investment services.

Duties of the Agent Bank

On each Interest Determination Date, the Agent Bank will, in accordance with Condition 6 (*Interest*), determine EURIBOR and the Rate of Interest applicable to the Notes during the following Interest Period, as well as the Interest Amount and the Interest Payment Date in respect of such following Interest Period, all subject to and in accordance with the Conditions, and will notify such amounts, *inter alia*, to the Issuer, the Representative of the Noteholders, the Servicer, the Swap Counterparty, Monte Titoli, the Paying Agents, the Computation Agent and the Luxembourg Stock Exchange.

Duties of the Computation Agent

The duties of the Computation Agent include making certain calculations in respect of the Securitisation. The Computation Agent will make such calculations based on:

- (a) the Statement of the Transaction Accounts prepared by the Transaction Bank on each Reporting Date;

- (b) the Servicer's Reports prepared by the Servicer on each Reporting Date;
- (c) the determinations received from the Agent Bank (if any) concerning the Rate of Interest, Interest Amount and Interest Payment Date;
- (d) calculations made by the Swap Counterparty under the Swap Agreement; and
- (e) the instructions and determinations of the Issuer, Monte Titoli and the Corporate Services Provider,

and the Computation Agent shall not be liable for any omission or error in so doing, save as caused by its own gross negligence (*colpa grave*) or wilful misconduct (*dolo*).

The Computation Agent will calculate, *inter alia*, on each Calculation Date:

- (i) the Issuer Available Funds;
- (ii) (starting from the Collection Date preceding the Decree 239 Interest Payment Date) the applicable Scheduled Repayment Amount and the Principal Payments (if any) due on the Notes on the next following Interest Payment Date;
- (iii) (starting from the Collection Date preceding the Decree 239 Interest Payment Date) the Principal Amount Outstanding of the Notes on the immediately following Interest Payment Date;
- (iv) the interest payable (if any) in respect of the Notes on the next following Interest Payment Date;
- (v) the Interest Amount Arrears, if any, that will arise in respect of the Notes on the immediately following Interest Payment Date;
- (vi) the Scheduled Repayment Amount Arrears, if any, that will arise in respect of the Notes on the immediately following Interest Payment Date;
- (vii) the amount to be debited to the Expenses Reserve Account (if any); and
- (viii) the payments (if any) to be made to each of the parties to the Intercreditor Agreement under the relevant Transaction Document,

and will determine how the Issuer Available Funds for distribution pursuant to the Conditions will be applied, on the immediately following Interest Payment Date pursuant to the applicable Priority of Payments, and will deliver to, *inter alios*, the Issuer, the Servicer, the Transaction Bank, the Rating Agencies, the Swap Counterparty and the Paying Agents a report (the "**Payments Report**") setting forth such determinations and amounts.

In addition, the Computation Agent will prepare and deliver (by no later than five calendar days following each Interest Payment Date or, if such day is not a Business Day, on the immediately preceding Business Day) to, *inter alios*, the Issuer, the Representative of the Noteholders, the Servicer, the Lead Manager, the Rating Agencies and the Luxembourg Stock Exchange a report substantially in the form set out in the Agency and Accounts Agreement (the "**Investor Report**") containing details of, *inter alia*, the Claims, the amounts received by the Issuer from any source during the preceding Collection Period, any payments received by the Issuer from the Swap Counterparty on the fifth Business Day before the immediately preceding Interest Payment Date, amounts paid by the Issuer during such Collection Period and amounts paid by the Issuer on the

immediately preceding Interest Payment Date. The first Investor Report will be available by no later than 2 July 2007.

Duties of the Paying Agents

Upon receipt from the Computation Agent of the Payments Report in respect of a Calculation Date, the Transaction Bank will pay or cause to be paid or transferred on behalf of the Issuer the amounts set forth in the Agency and Accounts Agreement at the time set forth therein. The Principal Paying Agent will provide the Issuer and the Corporate Services Provider with the data necessary to maintain and update the Noteholders' register (*registro degli obbligazionisti*) if so requested by the Corporate Services Provider in accordance with Italian law, the Transaction Documents or any other laws and regulations applicable to the Issuer.

The Listing and Luxembourg Paying Agent will act as intermediary between the Noteholders and the Issuer for certain purposes and make available for inspection during normal business hours at its Specified Office such documents as may from time to time be required by the Luxembourg Stock Exchange and, upon reasonable request, will allow copies of such documents to be taken.

The Principal Paying Agent will keep a record of all Notes and their redemption, purchase, cancellation and repayment and will make such records available for inspection during normal business hours by the Issuer, the Representative of the Noteholders, the Servicer and the Computation Agent.

The Issuer and the Transaction Bank will at all times maintain and operate the Transaction Accounts with the Transaction Bank, as separate accounts in the name of the Issuer and on behalf of the Issuer Secured Creditors. On each Reporting Date, the Transaction Bank will deliver to the Issuer, the Representative of the Noteholders, the Servicer and the Computation Agent a copy of a statement of account setting out the balance of the Transaction Accounts as at the end of the preceding Collection Period and showing all payments made to and from each of such Transaction Accounts in the preceding Collection Period.

General Provisions

The Italian Paying Agent, the Principal Paying Agent, the Agent Bank, the Listing and Luxembourg Paying Agent, the Transaction Bank and the Computation Agent (hereinafter collectively referred to as the "**Agents**") will act as agents solely of the Issuer and will not assume any obligation towards, or relationship of agency or trust for or with, any of the Noteholders. Each of the Issuer and the Representative of the Noteholders has agreed that it will not consent to any amendment to the Conditions that materially affects the obligations of any of the Agents without such Agent's prior written consent (such consent not to be unreasonably withheld).

Each of the Agents will be protected and, except in case of gross negligence (*colpa grave*) or wilful misconduct (*dolo*), will incur no liability for or in respect of action taken, omitted or suffered in reliance upon any instruction, request or order from the Issuer, any Noteholder, the Representative of the Noteholders, any other Agent or pursuant to the Conditions, or any notice, resolution, direction, consent, certificate, affidavit, statement, facsimile, telex or other paper or document which it reasonably believes to be genuine and to have been delivered, signed or sent by the proper party or parties or upon written instructions from the Issuer or the Representative of the Noteholders.

In return for the services so provided under the Agency and Accounts Agreement, the Agents will be paid by the Issuer a fee agreed on or about the Signing Date between the Issuer and the relevant Agent, subject to and in accordance with the applicable Priority of Payments.

The appointment of any Agent may be terminated by the Issuer, always with the prior written approval of the Representative of the Noteholders, at any time upon 30 (thirty) days' written notice to that Agent or upon the occurrence of certain events of default or insolvency or similar events occurring in relation to such Agent, without notice.

The Agency and Accounts Agreement is governed by Italian law.

THE TRANSFER AGREEMENT AND THE TRANSFER DEEDS

The description of the Transfer Agreement and the Transfer Deeds set out below is a summary of certain features of such Transaction Documents and is qualified in its entirety by reference to the detailed provisions of such Transfer Agreement and Transfer Deeds. Prospective Noteholders may inspect a copy of the Transfer Agreement and the Transfer Deeds upon request at the registered office of the Representative of the Noteholders and at the Specified Office of the Listing and Luxembourg Paying Agent.

On 21 December 2006 (the "**Initial Execution Date**"), the Issuer, on the one hand, and DB, on the other hand, entered into a transfer agreement (the "**Transfer Agreement**") as subsequently amended on 28 March 2007 (the "**Signing Date**"), pursuant to which DB has undertaken to assign and transfer without recourse (*pro soluto*) to the Issuer, and the Issuer has undertaken to purchase without recourse (*pro soluto*) from DB, in accordance with the Securitisation Law, all of the rights, title and interests in and to the Claims.

On 21 December 2006 the Issuer, on the one hand, and DB, on the other hand, entered into seven notarial transfer deeds (the "**Transfer Deeds**"), pursuant to which DB has transferred and assigned without recourse (*pro soluto*) to the Issuer, and the Issuer has purchased without recourse (*pro soluto*) from DB, in accordance with article 69 and 70 of Decree No. 2440, all of the rights, title and interests in and to the Claims.

Under the Transfer Agreement and the Transfer Deeds, DB transferred title to the Claims to the Issuer on the Initial Execution Date. The transfer of the Claims has been notified by the Issuer to the Health Authorities and the Region pursuant to article 69 of Decree No. 2440.

Pursuant to the Transfer Agreement, the Claims comprise all and only the monetary claims which, as at the Valuation Date, derive under (i) delegations of payment (the "**Delegations of Payment**") issued by various *aziende unità sanitarie locali* (collectively, the "**Health Authorities**") to the Region of Abruzzo (the "**Region**") pursuant to article 1268 *et seq.* of the Italian civil code; (ii) settlement agreements (the "**Settlement Agreements**") entered into between the Health Authorities, the Region and certain private suppliers of medical products and healthcare services (the "**Original Suppliers**") or their assignees (the Original Suppliers or their assignees being the "**Original Creditors**"); and (iii) the sale and supply of medical pharmaceutical products and healthcare services rendered by the Original Suppliers to the Health Authorities of the Region (the "**Contracts**").

Purchase Price of the Portfolio

As consideration for the acquisition of the Claims pursuant to the Transfer Agreement, the Issuer shall pay to the Seller a price equal to €140,950,000 (the "**Purchase Price**").

The Purchase Price of the Claims will be paid on the Issue Date out of the subscription price of the Notes and as described in more detail in the section "*Use of Proceeds*".

The Transfer Agreement provides that if, at any time after the Initial Execution Date, it transpires that any of the Claims does not meet the criteria and was therefore erroneously transferred to the Issuer, then such claim (the "**Excluded Claim**") will be deemed not to have been assigned and transferred to the Issuer pursuant to the Transfer Agreement, and the Purchase Price shall be adjusted as follows:

- (A) within 10 Business Days from the date on which the Seller or the Issuer become aware of the existence of Excluded Claims, the party which became aware of such occurrence shall communicate to the other party and, in absence of any objections from the latter within five Business Days from the delivery of such communication, paragraph (B) here below will apply. On the other hand, if there are any objections, the Parties will meet to solve the problem, it being understood that the Parties may start, within 30 (thirty) days from raising objections, the procedure described in the Transfer Agreement;
- (B) following a written communication to the Issuer or to the Seller (as the case may be) or following the decision of the Third Arbitrator described in paragraph (A) above (the "**Reference Date**"), the Seller shall promptly pay to the Issuer a sum equal to:
 - (i) for each Excluded Claim, an amount equal to the relevant Individual Purchase Price; plus
 - (ii) all interest accrued but not yet paid to the Issuer by the relevant assigned debtor in relation to the Excluded Claim up to the Reference Date; less
 - (iii) the aggregate of all amounts collected by the Issuer (also through the Seller) in relation to the Excluded Claim, following the date on which such claim has been transferred up to the Reference Date.

The Transfer Agreement further provides that if, at any time after the Initial Execution Date, it transpires that a claim which, at the Valuation Date, met the Criteria was not included in the Portfolio, then such claim (the "**Additional Claim**") shall be deemed to have been assigned and transferred to the Issuer by the Seller on the Initial Execution Date. In respect of such claim, the Issuer shall pay to the Seller, in accordance with the Priority of Payments, an amount equal to:

- (i) the purchase price of the Additional Claims, calculated adopting the same methods used to calculate the Individual Purchase Price of the Claims; less
- (ii) any amount collected from the Initial Execution Date by the Seller under the relevant Additional Claims up to the date of the instructions to credit the amount referred to in paragraph (i) above in respect of the Additional Claims.

Effectiveness of the transfer

The transfer of the Claims, in accordance with the Securitisation Law, is governed by article 58, paragraphs 2, 3 and 4 of the Banking Act. The prevailing interpretation of this provision, which view has been strengthened by article 4 of the Securitisation Law, is that the assignment can be opposed against the assigned debtors and third-party creditors by way of publication in the Official Gazette of the Republic of Italy (*Gazzetta Ufficiale della Repubblica Italiana*). In addition, article 9.17 of legislative decree No. 6/2003, as subsequently amended from time to time (carrying out amendments and supplements to, *inter alia*, the Banking Act), amended article 58, paragraph 2, of the Banking Act. Pursuant to the above-mentioned amendment, in order to have the assignment perfected against the Seller, the assigned debtors and third-party creditors, the publication of a notice of the assignment in the Official Gazette of the Republic of Italy (*Gazzetta Ufficiale della Repubblica Italiana*) must be accompanied by the registration of such notice with the competent companies' register. Notice of the transfer of the Claims pursuant to the Transfer Agreement and the Transfer Deeds has been (i) published in the Official Gazette of the Republic of Italy (*Gazzetta Ufficiale della Repubblica*

Italiana) No. 3 on 9 January 2007 and (ii) registered with the Companies Registrar of Rome on 3 January 2007. Furthermore, the Transfer Deeds have been notified to the Region and the Health Authorities in accordance with articles 69 and 70 of Decree No. 2440.

Settlement expenses

The Transfer Agreement further provides for an out-of-court settlement procedure in the case of a dispute arising between the Issuer and the Seller concerning the qualification of certain claims as Additional Claims and Excluded Claims. In such a situation, the costs and fees of the deciding panel, appointed pursuant to the Transfer Agreement, shall be borne by the succumbent. Should the Issuer succumb, the Seller shall advance to the latter the fees and costs of the deciding panel (the "**Settlement Expenses Amount**"). The Issuer shall reimburse the Settlement Expenses Amount on the next subsequent Interest Payment Date in accordance with the Priority of Payments.

Additional Provisions

The Transfer Agreement contains certain representations and warranties made by the Seller in respect of the Claims. The principal representations and warranties given by the Seller to the Issuer in connection with the transfer of the Claims in relation to the Portfolio are contained in the Warranty and Indemnity Agreement (see "*The Warranty and Indemnity Agreement*").

The Transfer Agreement provides that the representations and warranties made by the Seller in respect of the Claims are deemed to be given and repeated on the Initial Execution Date and on the Issue Date.

The Transfer Agreement also contains a number of undertakings by the Seller in respect of its activities relating to the Claims.

The Transfer Agreement is governed by Italian law.

THE SERVICING AGREEMENT

The description of the Servicing Agreement set out below is a summary of certain features of such Transaction Document and is qualified in its entirety by reference to the detailed provisions of such Servicing Agreement. Prospective Noteholders may inspect a copy of the Servicing Agreement upon request at the registered office of the Representative of the Noteholders and at the Specified Office of the Listing and Luxembourg Paying Agent.

On the Initial Execution Date, the Issuer, Zenith Service S.p.A. (in such capacity, the "**Servicer**") and the Seller entered into a servicing agreement, as amended on the Signing Date, (the "**Servicing Agreement**"), pursuant to which the Servicer has agreed to administer and service the Portfolio on behalf of the Issuer and, following the giving of an Issuer Acceleration Notice, the Representative of the Noteholders.

Duties of the Servicer

The Servicer is responsible for the management of the Portfolio and for cash and payment services (*soggetto incaricato della riscossione dei crediti ceduti e dei servizi di cassa e pagamento*) pursuant to the Securitisation Law. Within the limits of article 2, paragraph 6 of the Securitisation Law, the Servicer of the Portfolio is also responsible for ensuring that such activities comply with the provisions and regulations of Italian law.

The Servicer has undertaken, *inter alia*, under the Servicing Agreement:

- (a) to manage, administrate, collect and cash the Claims and to transfer the proceeds to the Issuer by crediting the Collection Account accordingly;
- (b) to ensure that the Certified Amount and the Deferral Interest to be paid by the Region and/or the Health Authorities pursuant to the terms of the Delegations of Payment and the Settlement Agreements are regularly credited to the Collection Account on each Region Payment Date, and to calculate the Deferral Interest;
- (c) to comply strictly with the Servicing Agreement and the collection policy attached to the Servicing Agreement (the "**Collection Policies**");
- (d) to carry out the administration and management of the Claims and to manage any possible legal proceedings (*procedura giudiziale*) against the Region and/or the Health Authorities (the "**Proceedings**") in accordance with the best professional standards (*massima diligenza professionale*);
- (e) to initiate any Proceedings in respect of such Claims, if necessary;
- (f) to comply with any requirements of laws and regulations applicable in the Republic of Italy in carrying out activities under the Servicing Agreement;
- (g) to maintain effective accounting and auditing procedures so as to ensure compliance with the provisions of the Servicing Agreement;

- (h) save where otherwise provided for in the Collection Policies or other than in certain limited circumstances specified in the Servicing Agreement, not to consent to any waiver or cancellation of or other change prejudicial to the Issuer's interests in or to such Claims unless it is ordered to do so by an order of a competent judicial or other authority or authorised to do so by the Issuer and the Representative of the Noteholders; and
- (i) maintain and implement administrative and operating procedures (including, without limitation, copying recordings in case of destruction thereof), keep and maintain all books, records and all the necessary or advisable documents (i) in order to collect all the Claims and all the other amounts which are to be paid for any reason whatsoever in connection with the Claims (including, without limitation, records which make it possible to identify the nature of any payment and the precise allocation of payment and collected amounts to capital and interest), and (ii) in order to check the amount of all the Collections and recoveries received.

Pursuant to the Servicing Agreement, as far as it results in an advantage for the Noteholders and provided the conditions set forth in the Servicing Agreement are met, the Servicer may sell to third parties, on behalf and in the name of the Issuer, any Claims which have remained unpaid.

The Issuer, the Arranger and the Representative of the Noteholders have the right to inspect and copy the documentation and records relating to the Claims in order to verify the activities undertaken by the Servicer pursuant to the Servicing Agreement, provided that the Servicer has been informed three Business Day, or one Business Day in case of serious default of the Servicer under its obligations, in advance of any such inspection.

Pursuant to the terms of the Servicing Agreement, the Servicer will indemnify the Issuer from and against any and all damages and losses incurred or suffered by the Issuer as a consequence of a default by the Servicer of any obligation of the Servicer under the Servicing Agreement. The Servicer has acknowledged and accepted that, pursuant to the terms of the Servicing Agreement, it will not have any recourse against the Issuer for any damages, claims, liabilities or costs incurred by it as a result of the performance of its activities under the Servicing Agreement except as may result from the Issuer's wilful misconduct (*dolo*) or gross negligence (*colpa grave*).

Reporting requirements

The Servicer has undertaken to prepare and submit to the Issuer, the Computation Agent, the Rating Agencies, the Representative of the Noteholders and the Arranger, on each Reporting Date, the Servicer's Report in the form set out in the Servicing Agreement and which will contain information on the Portfolio and any relevant Collections in respect of the preceding Collection Period.

Moreover, the Servicer has undertaken to furnish to the Issuer, the Corporate Services Provider, the Representative of the Noteholders and the Computation Agent such further information as the Issuer and/or the Corporate Services Provider and/or the Computation Agent and/or the Representative of the Noteholders may reasonably request with respect to the relevant Claims and/or the related Proceedings.

Remuneration of the Servicer

In return for the services provided by the Servicer in relation to the ongoing management of the Portfolio, the Issuer will pay to Zenith Service S.p.A. a servicing fee as follows:

- (a) an acceptance fee of €4,000 payable on the Issue Date;
- (b) an annual fee of €15,000 for the collection of the Claims payable semi-annually in arrears on each Interest Payment Date and in accordance with the applicable Priority of Payments and the provisions of the Intercreditor Agreement; and
- (c) an annual fee of €1,000 for the recovery of the Claims payable semi-annually in arrears on each Interest Payment Date and in accordance with the applicable Priority of Payments and the provisions of the Intercreditor Agreement,

plus VAT where applicable (the "**Servicing Fee**").

Subordination and limited recourse

The Servicer has agreed that the obligations of the Issuer under the Servicing Agreement are subordinated and limited recourse obligations and will be payable only in accordance with the applicable Priority of Payments and the provisions of the Intercreditor Agreement.

Termination and resignation of the Servicer and withdrawal of the Issuer

The Servicer will carry out such duties in relation to the Claims until the occurrence of the first of the following events:

- (a) the date from which the appointment of a substitute Servicer takes effect, pursuant to the terms of the Servicing Agreement; and
- (b) the day after the first anniversary following the later of (i) the total reimbursement of the Notes and (ii) the Cancellation Date.

The Issuer is entitled to rescind (*risolvere*) the Servicing Agreement pursuant to article 1456, second paragraph, of the Italian civil code, upon the occurrence of the following events:

- (a) failure on the part of the Servicer, to perform or to comply with, for a period of seven Business Days as from the day of receipt of the first written request for performance, any obligation of the Servicer pursuant to the Servicing Agreement; and
- (b) a representation given by the Servicer pursuant to the terms of the Servicing Agreement is verified to be false or inaccurate and this could have a substantial negative effect on the Issuer and/or the Transaction.

The Issuer may terminate the appointment of the Servicer (*revocare il mandato*), pursuant to article 1725 of the Italian civil code, or withdraw from the Servicing Agreement (*recesso unilaterale*), pursuant to article 1373 of the Italian civil code, upon the occurrence of any of the following events:

- (a) an order is made by any competent judicial authority providing for the winding-up of the Servicer, or for the appointment of a liquidator or receiver, or the Servicer is admitted to any of the proceedings referred to in Title IV of the Banking Act, or a resolution is passed by the Servicer with the intention of applying for such proceedings to be initiated;

- (b) failure on the part of the Servicer to deliver and pay any amount due under the Servicing Agreement within seven Business Days from the date on which such amount became due and payable;
- (c) failure on the part of the Servicer to perform or comply with, for a period of 12 (twelve) Business Days as from the day of receipt of the first written request for performance, any obligation of the Servicer pursuant to the Servicing Agreement, the Transfer Agreement, the Warranty and Indemnity Agreement or any other Transaction Document to which the Servicer is a party and such failure prejudices the fiduciary relationship with the Servicer;
- (d) a representation given by the Servicer pursuant to the terms of the Servicing Agreement is verified to be inaccurate and this could have a material adverse effect on the Issuer and/or the Transaction; and
- (e) the Servicer changes significantly the offices and/or the services involved in the activity of management of the Claims and/or of the Proceedings, if such offices or services may, severally or jointly, prevent the Servicer from performing the obligations undertaken by it pursuant to this Agreement.

The Issuer is obliged to notify the Servicer of its intention to terminate or to rescind the Servicing Agreement with prior written notice to the Representative of the Noteholders, the Rating Agencies and the Arranger.

Moreover, the Servicer is entitled to resign from the Servicing Agreement at any time after a 12-month period has elapsed from the Initial Execution Date by giving at least 12 months' prior written notice to that effect to the Issuer, the Representative of the Noteholders, the Rating Agencies and the Arranger. Following the resignation of the Servicer, the Issuer shall promptly commence procedures necessary to appoint a substitute Servicer.

The termination and the resignation of the Servicer shall become effective after five days have elapsed from the date specified in the notice of the termination or of the resignation, or from the date, if successive, of the appointment of the substitute Servicer.

The Issuer may appoint a substitute Servicer, only with the prior written approval of the Representative of the Noteholders, and with prior notice to and prior confirmation by Rating Agencies that such appointment will not worsen the credit rating of the Notes. The substitute Servicer shall:

- (a) be a bank operating for at least three years and having one or more branches in the territory of the Republic of Italy; or
- (b) be a financial intermediary registered pursuant to article 107 of the Banking Act operating and having offices in the Republic of Italy, which:
 - (i) has software that is compatible with that used by the previous Servicer; and
 - (ii) is a reliable and creditworthy financial institution.

The substitute Servicer must execute a servicing agreement with the Issuer substantially in the form of the Servicing Agreement and must accept all the provisions and obligations set out in the Intercreditor Agreement.

The Servicer, upon termination of its appointment, will continue to cooperate with the substitute Servicer for a period of 12 months in order to allow the substitute Servicer duly to perform its obligations under the new servicing agreement.

The Servicing Agreement is governed by Italian law.

THE WARRANTY AND INDEMNITY AGREEMENT

The description of the Warranty and Indemnity Agreement set out below is a summary of certain features of such Transaction Document and is qualified in its entirety by reference to the detailed provisions of such Warranty and Indemnity Agreement. Prospective Noteholders may inspect a copy of the Warranty and Indemnity Agreement upon request at the Specified Office of the Representative of the Noteholders and at the Specified Office of the Listing and Luxembourg Paying Agent.

Pursuant to the warranty and indemnity agreement dated the Initial Execution Date between the Issuer and the Seller as amended on the Signing Date (the "**Warranty and Indemnity Agreement**"), the Seller has made certain representations and warranties and agreed to give certain indemnities in favour of the Issuer in relation to the Portfolio and the Claims.

In the representations and warranties below and in addition to terms defined elsewhere in this Prospectus, the following terms have the following meanings:

"Certification Deeds" means the deeds issued by the Health Authorities under the Certification Process in order to validate the Claims to be covered by the Settlement Agreements.

"Certification Process" means the process of certification under which the Health Authorities validated the Claims, to be covered by the Settlement Agreements and the Delegations of Payment.

"Debtors" means the Health Authorities.

"Delegations of Payment" means the irrevocable and unconditional delegations of payment (*delegazioni di pagamento*) issued by the Debtors pursuant to article 1268 *et seq.* of the Italian civil code and accepted by the Region, whereby the latter has irrevocably and unconditionally undertaken to pay the sums due by the Debtors to Deutsche Bank AG, London Branch or to any assignee of the latter in relation to the Claims.

"Original Transfer Agreements" means the original transfer agreements pursuant to which the Seller has purchased and acquired title to the Claims.

"Original Creditors" means certain private suppliers of medical products and healthcare services of the Region or their assignees which have entered into Original Transfer Agreements.

"Region" means the Region of Abruzzo.

The Warranty and Indemnity Agreement contains representations and warranties by the Seller in respect, *inter alia*, of the following categories:

- (a) the Claims;
- (b) the Original Transfer Agreements;
- (c) the Delegations of Payment;
- (d) the Settlement Agreements; and

- (e) the Securitisation Law, article 58 of the Banking Act and Decree No. 2440.

Specifically, the Seller has represented and warranted, *inter alia*, as follows:

(1) Claims, Original Transfer Agreements, Delegations of Payment and Settlement Agreements

- (a) Each Claim is fully and unconditionally owned by, and available to, the Seller and is not subject to any lien (*pignoramento*) or seizure (*sequestro*), or other charge in favour of third parties, and is freely transferable to the Issuer. The Seller holds sole and unencumbered legal title to each of the Claims and has not assigned (whether absolutely or by way of security), nor participated, transferred or sold any Claim, or has otherwise created or allowed the creation or constitution of any charge, pledge, lien or any other right, security interest or guarantee (*diritto reale o personale*) in favour of third parties on one or more Claims. No contract, deed or document includes clauses or provisions that (i) prevent the Seller from transferring, assigning or otherwise disposing of the Claims or part of them or (ii) would be in conflict, and could prejudice, or otherwise limit, the terms and conditions of the Transaction Documents.
- (b) Each Individual Purchase Price, as set forth in the Transfer Agreement, has been correctly calculated by the Seller.
- (c) The list of the Claims attached as schedule 1 to the Transfer Agreement (i) is an accurate list of all the Claims, (ii) complies with the Criteria at the Valuation Date, (iii) contains an accurate description of each Claim and of each Individual Purchase Price and (iv) the data contained therein is true and correct. In particular, the list of the Claims attached as schedule 1 to the Transfer Agreement sets out accurately:
 - (i) name of the Original Creditor;
 - (ii) address of the Original Creditor;
 - (iii) VAT registration number of the Original Creditor;
 - (iv) signing date of the Settlement Agreement; and
 - (v) signing date of the Original Transfer Agreement.
- (d) No contract, deed or document nor any policy or internal directive of the Seller contains provisions which prevent the Seller from assigning, transferring or otherwise selling the Claims, or which in any way restrict such assignment, transfer or sale. The transfer of the Claims to the Issuer under the Transfer Agreement shall not prejudice or vitiate the obligations of any of the assigned Debtors regarding the payment of the Claims nor shall it prejudice in any way the relevant rights.
- (e) Each Claim exists and is denominated in Euro.
- (f) All the Claims, the contracts and the related deeds and documents are governed by Italian law.

(g) No servicing or syndicate agreements have been entered into by the Seller, nor has the Seller granted a mandate to any financial intermediary or to any other similar entity in relation to the Claims, that would be binding on the Issuer or that can impair or affect in any manner whatsoever the exercise of any of its rights relating to the Claims, the Contracts and any of the related deeds and documents.

(h) At the Initial Execution Date, each Claim has been validly purchased by the Seller and complies with the following Criteria:

all the Claims have been transferred by DB to Adriatica Finance S.r.l. resulting from the accounting books of DB as at 4 December 2006, arising from:

(i) Settlement Agreements entered into in August, September, October or November 2006 among: (i) the Health Authorities of the Region; (ii) the Region; and (iii) certain pharmaceutical companies, clinics, private institutes of healthcare services and certain suppliers of medical products and healthcare services in favour of the Health Authorities of the Region or their assignees, and of the relevant Delegations of Payment entered into on 4 December 2006 – pursuant to the Resolution 786 dated 14 July 2006 – between DB, the Region and the Health Authorities of the Region, in relation to the Claims certified in compliance with Resolution 786 and referring to the period comprised between 1 January 2005 and 31 December 2005; and

(ii) the sale and supply agreements of medical products or healthcare services rendered by certain pharmaceutical companies, clinics, private institutes of healthcare services and certain suppliers of medical products and healthcare services in favour of the Health Authorities of the Region or their assignees whose rights and claims have been settled under one or more of the settlement agreements under (i) above and referring to the period comprised between 1 January 2005 and 31 December 2005.

(i) Any dispute or claim in relation to the validity, existence or amount of the Claims has been resolved by the Certification Deeds and the Settlement Agreements and therefore, to the best of Seller's knowledge, there are currently no disputes or claims pending in relation to their validity, existence or amount.

(j) Each Claim which is the subject of the Settlement Agreement has been purchased by the Seller in accordance with separate Original Transfer Agreements executed in accordance with the provisions of article 1260 *et seq.* of the Italian civil code and articles 69 and 70 of Legislative Decree No. 2440.

(k) Each Original Transfer Agreement has been signed, stipulated and executed according to the laws, provisions and regulations in force, including without limitation, all the laws, provisions and regulations relating to usury and personal data protection.

(l) Each Original Transfer Agreement is valid and binding, has effect in relation to the relevant Original Creditor and is enforceable vis-à-vis third parties, including the insolvency receiver of the relevant Original Creditor.

- (m) Each Original Transfer Agreement has been duly and validly executed by the parties. Each Original Transfer Agreement and any related agreement, deed or document is valid and binding and creates valid and binding obligations vis-à-vis any party, according to the provisions contained therein.
- (n) Under the Original Transfer Agreements, the Seller has acquired all the rights and actions relating to the Claims and has performed all the obligations in compliance with the applicable laws, provisions and regulations.
- (o) Each authorisation, approval, consent, licence, registration, permission and consent required by the laws in force, as well as any other action, agreement, deed or document, which is required or desirable to ensure the validity, legality or enforceability of any Original Transfer Agreement or any other related agreement, deed or document has been regularly and unconditionally obtained, made, taken or executed within the date of execution of each Original Transfer Agreement, or when required by law.
- (p) As to the Seller's knowledge, which declares that all the necessary and appropriate procedures have been carried out, each Original Transfer Agreement and any other related agreement, deed or document has not been executed with fraud, violence, wilful misconduct or undue diligence by or on behalf of the Seller, nor by any of its directors, managers, officers and/or employees, to the extent that any relevant counterparty will not have title to commence any action successfully against the Seller for fraud, violence or wilful misrepresentation or to repudiate any of its obligations under or in respect of the relevant Original Transfer Agreement, or other agreement, deed or document relating thereto.
- (q) No Original Transfer Agreement contains provisions that prevent the Seller from assigning or transferring the Claims or from restricting the possibility of such assignment, transfer or sale.
- (r) As to the Seller's knowledge, each Certification Deed and any further agreement, deed or document relating thereto is valid and enforceable and it creates valid, binding and enforceable obligations on each assigned Debtor in relation to the amounts therein contained.
- (s) As to the Seller's knowledge, each Certification Deed has been issued by the assigned Debtors and any agreement, deed or document relating thereto has been signed, stipulated and executed according to all the laws, provisions and regulations in force.
- (t) Each Certification Deed contains the list of the certified Claims in respect of which the relevant assigned Debtor has verified the existence and specified the correctness of the relevant amount.
- (u) As to the Seller's knowledge, each Settlement Agreement is valid, enforceable and binding on the relevant assigned Debtor.
- (v) The Seller has promptly observed all the requirements and formalities requested by articles 69 and 70 of Legislative Decree No. 2440 for the purposes of the transfer of the Claims both in relation to the Original Transfer Agreements, the Transfer

Agreement and the Transfer Deeds, as well as all the other requirements and formalities required or desirable to ensure the validity and effectiveness of the transfer of the Claims pursuant to the terms of the above agreements, and in particular the Seller has obtained the completion of the notification process of the Transfer Deeds to the Region and the Health Authorities by way of Court Bailiff (*Ufficiale Giudiziario*) under the applicable provisions of the Italian civil procedure code.

- (w) As to the Seller's knowledge, each Settlement Agreement has been signed, executed and performed in accordance with all the laws and regulations in force, including, without limitation, all the laws, provisions and regulations relating to usury and personal data protection.
- (x) According to the Settlement Agreements, the assigned Debtors have authorised the Original Creditors, the further assignees and/or the Seller to transfer to third parties the Claims arising from such Settlement Agreements.
- (y) The Seller has the full right to dispose of all rights and claims relating to the Claims which are the object of the Settlement Agreements according to article 1966 of the Italian civil code.
- (z) Each Delegation of Payment issued by the relevant Debtor has been irrevocably accepted by the Region and constitutes an irrevocable and unconditional obligation of the Region to pay any amounts due in relation to the Claims.
- (aa) Each Delegation of Payment has been issued by the relevant Debtor pursuant to article 1268 of the Italian civil code and constitutes a *delegazione cumulativa*.
- (bb) Each Delegation of Payment issued by the relevant Debtor constitutes a *delegazione astratta* on which the Region is not entitled to raise any defences or objections against the relevant Debtor, the Seller or the Issuer which would prejudice, affect or reduce the rights of the Seller or the Issuer under the relevant Delegation of Payment.
- (cc) Under each Delegation of Payment the relevant Debtor has not been released from its obligations towards the Seller and therefore in the case of non-payment, in full or in part, from the Region, the Seller is entitled to act against the relevant Debtor for the recovery of the relevant Claim (i) in accordance with the terms of the Settlement Agreements and the Delegation of Payment or (ii) following termination for any reason of the Settlement Agreement in accordance with the relevant contract relating to the sale and/or supply of medical products and healthcare services.
- (dd) Each Delegation of Payment is legal, valid, binding and enforceable vis-à-vis the Region and the relevant Debtors.
- (ee) Each Delegation of Payment has been issued in accordance with the laws applicable. At the time of the issue all formalities requested by law in force to make them effective towards the relevant treasurer of the Region from time to time have been duly complied with.
- (ff) Each Delegation of Payment is completely and validly entered into, delivered, and executed by the parties thereto.

- (gg) Under each Delegation of Payment the Region has validly granted to the Seller its prior consent to the transfer and assignment of the Claims deriving from such Delegation of Payment to any third parties.
- (hh) The amounts owed by the Region to the Seller under each Delegation of Payment have been correctly calculated by the Seller and coincide with the amounts owed by each relevant Debtor under the relevant Settlement Agreement.
- (ii) As at the date of the purchase of the claims from the Original Creditors, the Seller has obtained from each Original Creditor (A) a certificate (*certificato di vigenza*) issued by the competent Registrar of Companies stating that such Original Creditor has not been subject to any insolvency procedures in the preceeding five years; (B) a solvency certificate signed by a legal representative of such Original Creditor; and (C) a certificate issued by the competent Italian Court (*sezione fallimentare*) stating that such Original Creditor is not subject to any insolvency proceedings and has not been subject to such insolvency proceedings in the preceeding five years.(ll) As at the date of the purchase of the claims from the Original Creditors, the Seller has verified, to its best knowledge, that the relevant Original Creditor had granted to its legal representatives the powers of signing the Original Transfer Agreement.
- (mm) The Seller acquired the legal title to each Claim by paying the relevant Original Creditor a sum of not less than 80% (eighty per cent) of the value of such Claim.

(2) Securitisation Law and article 58 of the Banking Act

- (a) The Claims have been transferred to the Issuer in accordance with the Securitisation Law.
- (b) The Claims have specific objective common elements so as to constitute homogenous monetary rights as a pool (*diritti pecuniari omogenei individuabili in blocco*) pursuant to the Securitisation Law and the ministerial decree dated 4 April 2001.
- (c) The Seller has selected the Claims on the basis of, and in accordance with, the Criteria. There are (i) no Claims in respect of which the Seller holds legal title which meet the Criteria and should accordingly have been included in the Claims listed in schedule 1 to the Transfer Agreement and have not been included therein and (ii) no Claims listed in schedule 1 to the Transfer Agreement and in the relevant Transfer Deeds which do not meet the Criteria.
- (d) All the Claims were identified on the basis of, and are in complete accordance with, the Criteria and are listed in schedule 1 to the Transfer Agreement and in the relevant Transfer Deeds.

(3) Other Representations

- (a) The Seller is a bank duly incorporated and validly existing as an *Aktiengesellschaft* under the laws of Germany and has full corporate power and authority to enter into the Warranty and Indemnity Agreement, the Transfer Agreement, the Transfer Deeds and all other Transaction Documents to which it is a party and to perform its obligations thereto.

- (b) The Seller has taken all corporate, shareholding and other actions required, and has obtained all necessary consents and licences required, if any, to: (i) authorise its entering into, delivery of, and performance of its obligations under the Warranty and Indemnity Agreement, the Transfer Agreement, the Transfer Deeds and all other Transaction Documents to which it is a party in compliance with the applicable terms thereto, including, without limitation, the sale, assignment and transfer of the Claims; and (ii) ensure that all the obligations undertaken by it in the Warranty and Indemnity Agreement, the Transfer Agreement, the Transfer Deeds and all other Transactions Documents to which it is a party are legal, valid and binding on it.
- (c) The execution and performance by the Seller of the Warranty and Indemnity Agreement, the Transfer Agreement, the Transfer Deeds and all other Transaction Documents to which it is a party do not contravene or constitute a default under: (i) its deed of incorporation (*atto costitutivo*) and by-laws (*statuto*); (ii) any law, rule or regulation applicable to it; (iii) any contract, deed, agreement, document or other instrument binding on it; or (iv) any order, writ, judgment, award, injunction or decree binding on or affecting it or its assets.
- (d) The Warranty and Indemnity Agreement, the Transfer Agreement, the Transfer Deeds and all other Transaction Documents to which the Seller is a party constitute (or will, upon execution, and, where applicable, delivery, constitute) legal, valid and binding obligations of the Seller and are fully and immediately enforceable against it in accordance with their terms and conditions.
- (e) The payment obligations of the Seller under the Warranty and Indemnity Agreement, the Transfer Agreement, the Transfer Deeds and all other Transaction Documents to which it is a party constitute claims against it which rank at least *pari passu* with the claims of all the other unsecured unsubordinated creditors of the Seller under the laws of the Republic of Italy, save for those claims which are preferred solely under any applicable laws, and save as provided for by the Transaction Documents.
- (f) As to the Seller's best knowledge, there are no litigation, arbitration or administrative proceedings, complaints or actions in progress, pending or threatened against it before any courts or competent authority which may adversely affect the Seller's ability to transfer absolutely, irrevocably and without possibility of claw-back (*azione revocatoria*) or declaration of voidance or invalidity (*nullità o annullabilità*) the Claims under the Transfer Agreement and the Transfer Deeds or which could affect the Seller's ability to perform its obligations under the Warranty and Indemnity Agreement, the Transfer Agreement or the other Transaction Documents.
- (g) The Seller is solvent and there is no fact or matter which might render it insolvent, unable to perform its obligations, or render it subject to any insolvency proceedings, nor has the Seller taken any corporate action for its winding up, nor has any other action been taken against or in respect of it which might adversely affect its ability to effect the sale and transfer of the Claims or to perform its obligations under the Warranty and Indemnity Agreement, nor will it be rendered insolvent as a consequence of entering into the Warranty and Indemnity Agreement, the Transfer Agreement, the Transfer Deeds and/or any other Transaction Document to which it is a party.

- (h) In the administration and management of the Claims, the Seller has fully complied with all applicable law and rules on data protection and privacy protection, including, but not limited to, all of the provisions of Law No. 196 of 30 June 2003 (*Codice in Materia di Protezione dei Dati Personali*), as subsequently amended and supplemented, and all implementing decrees and regulations related thereto.
- (i) The Seller has not appointed any financial intermediary or similar person in connection with the subject of the Warranty and Indemnity Agreement, the Transfer Agreement, the Transfer Deeds or the other Transaction Documents to which it is a party (except in accordance with any such agreements or documents).

The Warranty and Indemnity Agreement comprises a put option agreement (the "**Put Option**"), pursuant to which the Issuer may, in the following circumstances, require DB to repurchase certain Claims.

Under the Put Option, in the event of a misrepresentation or breach of any of the representations and warranties made by DB under the Warranty and Indemnity Agreement which materially and adversely affects the value of the Claims or the interest of the Issuer in such Claims, and such misrepresentation or breach is not cured, whether by payment of damages or by indemnification or otherwise by DB within a period of 45 (forty-five) days from receipt of a written notice from the Issuer to that effect (the "**Cure Period**"), the Issuer has the option, pursuant to article 1331 of the Italian civil code, to assign and transfer to DB all of the Claims affected by any such misrepresentation or breach (the "**Affected Claims**"). The Issuer will be entitled to exercise the put option by giving to DB, at any time during the period commencing on the Business Day immediately following the last day of the Cure Period and ending on the day which is 180 days after such Business Day, written notice to that effect (the "**Put Option Notice**").

DB will be required to pay to the Issuer, within 15 Business Days from the date of receipt by DB of the Put Option Notice, an amount calculated as the purchase price of the Excluded Claims under the Transfer Agreement.

Times for the making of the representations and warranties

All the representations and warranties referred to above have been made on the Initial Execution Date and, save where otherwise expressly excluded, repeated on the Issue Date, in each case with reference to the facts and circumstances then existing as if made at each such time.

Pursuant to the Warranty and Indemnity Agreement, the Seller has agreed to indemnify and hold harmless the Issuer, its officers, agents or employees or any of its permitted assignees from and against any and all damages, losses, claims, liabilities, costs and expenses awarded against or incurred by the Issuer or any of the other foregoing persons, arising from, *inter alia*, any default by the Seller in the performance of any of its obligations under the Warranty and Indemnity Agreement or any of the other Transaction Documents, any representations and/or warranties made by the Seller thereunder, being false, incomplete or incorrect.

The Warranty and Indemnity Agreement is governed by Italian law.

THE OTHER TRANSACTION DOCUMENTS

The description of the Transaction Documents set out below is a summary of certain features of such Transaction Documents and is qualified in its entirety by reference to the detailed provisions of such Transaction Documents. Prospective Noteholders may inspect a copy of such Transaction Documents upon request at the Specified Office of the Representative of the Noteholders and at the Specified Office of the Listing and Luxembourg Paying Agent.

The Intercreditor Agreement

Pursuant to an intercreditor agreement dated the Signing Date between the Issuer, the Lead Manager, the Representative of the Noteholders (on its own behalf and on behalf of the Noteholders), the Principal Paying Agent, the Italian Paying Agent, the Listing and Luxembourg Paying Agent, the Financing Party, the Agent Bank, the Subordinated Loan Provider, the Computation Agent, the Seller, the Corporate Services Provider, the Stichting Corporate Services Provider, the Swap Counterparty, the Transaction Bank, the Auditors and the Servicer (the "**Intercreditor Agreement**"), provision has been made as to the application of the proceeds of collections in respect of the Claims and as to the circumstances in which the Representative of the Noteholders will be entitled to exercise certain rights in relation to the Claims. The Intercreditor Agreement also sets out the order of priority for payments to be made by the Issuer in connection with the Securitisation.

Pursuant to the Intercreditor Agreement, following the service of an Issuer Acceleration Notice, the Representative of the Noteholders will be entitled (as an agent of the Issuer and to the extent permitted by applicable laws), until the Notes have been repaid in full or cancelled in accordance with the Conditions, to take possession of all Collections and of the Claims and to sell or otherwise dispose of the Claims or any of them in such manner and upon such terms and at such price and such time or times as the Representative of the Noteholders shall, in its absolute discretion, deem appropriate and to apply the proceeds in accordance with the Post-Enforcement Priority of Payments.

The Intercreditor Agreement is governed by Italian law.

The English Deed of Charge and Assignment

Pursuant to an English law deed of charge to be executed on the Issue Date (the "**English Deed of Charge and Assignment**"), the Issuer will grant in favour of the Representative of the Noteholders for itself and as trustee for the benefit of the Noteholders and the other Issuer Secured Creditors, *inter alia*, (i) an English law assignment by way of first fixed security of all the Issuer's rights under the Swap Agreement, the Stichting Corporate Services Agreement and all other contracts, agreements, deeds and documents, present and future, governed by English law to which the Issuer may become a party in relation to the Notes, the Claims and the Portfolio; (ii) an English law charge by way of a first fixed charge over any amounts standing to the credit of each bank or other account located in England in which the Issuer may at any time acquire any right, title, interest or benefit under the Transaction Documents or acquires in relation to the Claims, the Notes and the Portfolio; and (iii) a floating charge over all of the Issuer's assets which are subject to the assignments or charges described under (i) and (ii) above to the extent such assignments or charges do not effectively create a fixed charge.

The Italian Deed of Pledge

Pursuant to a deed of pledge (the "**Italian Deed of Pledge**") to be executed on or around the Issue Date between the Issuer and the Representative of the Noteholders (acting on its own behalf and on

behalf of the other Issuer Secured Creditors), the Issuer will grant to the Issuer Secured Creditors a pledge over all the monetary claims and rights and all the amounts (including payment for claims, indemnities, damages, penalties, credits and guarantees) to which the Issuer is entitled pursuant to the Italian Law Transaction Documents (excluding the Italian Deed of Pledge and the Mandate Agreement) other than the Claims and the contractual rights connected thereto. The Issuer Secured Creditors have appointed the Representative of the Noteholders as their agent with respect to the rights and obligations arising from the Italian Deed of Pledge.

The Italian Deed of Pledge is governed by Italian law.

The Mandate Agreement

Pursuant to the terms of a mandate agreement dated the Signing Date between the Issuer and the Representative of the Noteholders (the "**Mandate Agreement**"), the Representative of the Noteholders is empowered to take such action in the name of the Issuer, following the delivery of an Issuer Acceleration Notice, as the Representative of the Noteholders may deem necessary to protect the interests of the Noteholders and the Other Issuer Creditors.

The Mandate Agreement is governed by Italian law.

The Letter of Undertaking

Pursuant to a letter of undertaking dated the Signing Date (the "**Letter of Undertaking**") between the Issuer, the Representative of the Noteholders and DB (in such capacity, the "**Financing Party**"), the Financing Party has undertaken to provide the Issuer with all necessary monies (in any form of financing deemed appropriate by the Representative of the Noteholders, for example by way of a subordinated loan, the repayment of which is to be made in compliance with item (xvi) (a) of the Pre-Enforcement Priority of Payments or, as the case may be, item (xiv) (a) of the Post-Enforcement Priority of Payments) in order for the Issuer to pay any losses, costs, expenses or liabilities in respect of:

- (a) any tax expenses or tax liability which the Issuer is at any time obliged to pay other than: (i) any withholding tax at any time applicable in respect of the Notes; (ii) any withholding tax applicable in respect of interest accruing on the Transaction Accounts; (iii) any tax applicable in respect of the Transaction Documents, except if differently stated in any Transaction Document; and (iv) any court tax applicable to the Issuer, other than those provided for by the Servicing Agreement;
- (b) any other costs, charges or liabilities arising in connection with regulatory or supervisory requirements (including as a result of any change of law or regulation or interpretation or administration thereof since the Issue Date) but excluding any amounts payable by the Issuer under the Transaction Documents (including, for the avoidance of doubt, any amount due and payable under the Notes); and
- (c) any other costs, charges or liabilities which may affect the Issuer (other than losses, costs, expenses or liabilities in respect of the normal day to day operating costs of the Issuer) and which are not directly related to the securitisation of the Claims,

but, in each case, with the exception of any losses, costs, expenses or liabilities borne by the Issuer as a consequence of events or situations caused by the fraudulent or negligent conduct of the Issuer or of

any other third party (other than the Seller) who provides any services in relation to any of the Transaction Documents.

In addition, the Financing Party has undertaken to ensure that the Issuer is not wound up by reason of the Issuer's equity capital falling below the minimum equity capital required from time to time by Italian law, as a result of any losses, costs, expenses or liabilities arising in respect of paragraph (a), (b) or (c) above in respect of which the Financing Party is obliged to provide the Issuer with a financing as indicated above.

The Letter of Undertaking is governed by Italian law.

The Corporate Services Agreement

Under a corporate services agreement dated the Signing Date between the Issuer, the Corporate Services Provider and the Representative of the Noteholders (the "**Corporate Services Agreement**"), the Corporate Services Provider has agreed to provide certain corporate administration and management services to the Issuer. The services will include the safekeeping of the documents pertaining to the meetings of the Issuer's quotaholder(s), directors and auditors and of the Noteholders, maintaining the quotaholders' register, preparing tax and accounting records, preparing the Issuer's annual financial statements and liaising with the Representative of the Noteholders and the Auditors. The Corporate Services Agreement may be terminated by either the Issuer or the Corporate Services Provider upon one-year-and-one day written notice.

The Corporate Services Agreement is governed by Italian law.

The Stichting Corporate Services Agreement

Pursuant to a corporate services agreement dated the Signing Date between the Issuer, the Representative of the Noteholders, the Stichting and the Stichting Corporate Services Provider (the "**Stichting Corporate Services Agreement**"), the Stichting Corporate Services Provider has agreed to provide certain management, administrative and secretarial services to the Stichting. These services will include, *inter alia*, the safekeeping of the documentation pertaining to the meetings of the Stichting directors, preparing tax and accounting records, preparing the Stichting's annual financial statements and using best efforts to cause the Stichting to preserve all necessary licences, authorisations, approvals and registrations. The Stichting Corporate Services Provider may be replaced by the Stichting subject to certain conditions and to the prior written consent of the Representative of the Noteholders.

The Stichting Corporate Services Agreement is governed by English law.

The Auditing Agreement

Pursuant to the terms of the auditing agreement dated the Signing Date between the Issuer, the Representative of the Noteholders and the Auditors (the "**Auditing Agreement**"), PKF Italia S.p.A. with offices at Viale Vittorio Veneto, 10, I-20124, Milan, Italy, has been appointed by the Issuer to audit the Issuer's accounts.

The Auditing Agreement is governed by Italian law.

The Subordinated Loan Agreement

Pursuant to the terms of a subordinated loan agreement dated the Signing Date (the "**Subordinated Loan Agreement**"), between the Issuer, the Representative of the Noteholders and Deutsche Bank AG, London branch (in such capacity, the "**Subordinated Loan Provider**"), the Subordinated Loan Provider has agreed to grant to the Issuer a subordinated loan in an amount equal to €536,658.57 (the "**Subordinated Loan**").

The Subordinated Loan will be repaid in accordance with the applicable Priority of Payments. The Subordinated Loan will be drawn down by the Issuer on the Issue Date and (i) €400,000.00 credited to the Expenses Reserve Account and (ii) €136,658.57 credited to the Payments Account.

The Subordinated Loan Agreement is governed by Italian law.

Other Transaction Documents

For a description of the Subscription Agreement, see "*Subscription and Sale*" below. For a description of the Transfer Agreement and of the Transfer Deeds, see "*The Transfer Agreement and the Transfer Deeds*", above. For a description of the Servicing Agreement, see "*The Servicing Agreement*", above. For a description of the Warranty and Indemnity Agreement, see "*The Warranty and Indemnity Agreement*", above.

The Monte Titoli Mandate Agreement is the agreement whereby the Issuer adheres to the Monte Titoli system for the clearance and settlement of the Notes through Monte Titoli.

THE EXPECTED MATURITY AND AVERAGE LIFE OF THE NOTES

The expected final maturity of the Notes (assuming no prepayment or default) is 27 December 2021 and the weighted average life of the Notes is 8.80 years.

The expected amortisation profile (assuming no prepayment or default under the Delegations of Payment or the Settlement Agreements) is the following:

IPD (subject to adjustment according to the Business Day convention set out in Condition 6)	Principal Amount Outstanding (immediately following IPD)	Expected Principal Repayment (as percentage of Notes principal at Issue Date)
June 2007	100.00%	0.00%
December 2007	100.00%	0.00%
June 2008	100.00%	0.00%
December 2008	91.71%	8.29%
June 2009	89.46%	2.25%
December 2009	87.13%	2.33%
June 2010	84.72%	2.41%
December 2010	82.23%	2.49%
June 2011	79.66%	2.57%
December 2011	77.00%	2.66%
June 2012	74.25%	2.75%
December 2012	71.41%	2.84%
June 2013	68.47%	2.94%
December 2013	65.43%	3.04%
June 2014	62.28%	3.15%
December 2014	59.03%	3.25%
June 2015	55.67%	3.36%
December 2015	52.19%	3.48%
June 2016	48.59%	3.60%
December 2016	44.87%	3.72%
June 2017	41.03%	3.84%
December 2017	37.06%	3.97%
June 2018	32.95%	4.11%
December 2018	28.70%	4.25%
June 2019	24.31%	4.39%
December 2019	19.77%	4.54%
June 2020	15.07%	4.70%
December 2020	10.21%	4.86%
June 2021	5.19%	5.02%
December 2021	0.00%	5.19%

TAXATION

*The statements herein regarding taxation are based on the laws in force in Italy as of the date of this Prospectus and are subject to any changes in law occurring after such date. The following summary does not purport to be a comprehensive description of all the tax considerations which may be relevant to a decision to subscribe for, purchase, own or dispose of the Notes and does not purport to deal with the tax consequences applicable to all categories of investors, some of which (such as dealers in securities or commodities) may be subject to special rules. Legislative Decree No. 344 of 12 December 2003 ("**Decree No. 344**") published in the Official Gazette of the Republic of Italy of 16 December 2003, No. 291 (Ordinary Supplement No. 190), effective as of 1 January 2004 introduced a comprehensive reform of corporate taxation and of certain financial income. Subsequently, the Italian Government issued Legislative Decree No. 247 of 19 November 2005 (known as "Correttivo IRES") providing for some amendments to the Decree No. 344 on certain provisions related to the taxation of corporations and of certain financial income. Please note that, as at the date of this Prospectus, it is under discussion before the Italian Parliament a delegation law empowering the Italian Government to enact, within a six-month period from the date in which the delegation law is passed, one or more legislative decrees providing for the introduction of a single rate on capital gains and financial incomes equal to 20% that should replace all the existing different rates. Prospective purchasers of the Notes are advised to consult their own tax advisers concerning the overall tax consequences of their ownership of the Notes.*

Tax treatment of the Notes

Italian legislative decree No. 239 of 1 April 1996, as subsequently amended ("**Decree No. 239**"), provides for the applicable regime with respect to the tax treatment of interest, premium and other income (including the difference between the redemption amount and the issue price) from notes falling within the category of bonds (*obbligazioni*) or debentures similar to bonds (*titoli similari alle obbligazioni*) issued, *inter alia*, by Italian companies incorporated pursuant to law No. 130 of 30 April 1999, provided that the notes are issued for an original maturity of not less than 18 months.

Italian resident Noteholders

Where an Italian resident Noteholder is (i) an individual (unless he has entrusted the management of his financial assets to an authorised intermediary and has opened for the Asset Management Regime – *regime del risparmio gestito* – see "*Capital gains tax*" below); (ii) a non-commercial partnership; (iii) a non-commercial private or public institution, or (iv) an investor exempt from Italian corporate income taxation, interest, premium and other income relating to the Notes, accrued during the relevant holding period, are subject to a substitute tax, referred to as *imposta sostitutiva*, levied at the rate of 12.5 per cent.

Where an Italian resident Noteholder is a company or similar commercial entity and the Notes are deposited with an authorised intermediary, interest, premium and other income from the Notes will not be subject to *imposta sostitutiva*, but must be included in the relevant Noteholder's income tax return and are therefore subject to general Italian corporate taxation (and, in certain circumstances, depending on the "status" of the Noteholder, also to IRAP – the regional tax on productive activities).

Under the current regime provided by law decree No. 351 of 25 September 2001 converted into law with amendments, by law No. 410 of 23 November 2001, as clarified by the Italian Revenue Agency through circular No. 47/E of 8 August 2003, payments of interests, premiums or other proceeds in

respect of the Notes made to Italian resident real estate investment funds established pursuant to article 37 of legislative decree No. 58 of 25 January 1994 are subject neither to substitute tax nor to any other income tax in the hands of the real estate investment fund. Pursuant to article 41-*bis*, paragraph 9, of law decree 30 September 2003, No. 269 ("**Decree No. 269**"), a 12.5 per cent. withholding tax on proceeds deriving from the participation in real estate investments fund is applicable to participants qualified as Italian resident taxpayers or non-Italian resident taxpayers that are resident in a country which does not allow for a satisfactory exchange of information with the Republic of Italy. Such withholding tax could be applied as a provisional or a final tax, depending on the status of the taxpayer.

Where an Italian resident Noteholder is an open-ended or a closed-ended investment fund ("**Fund**") or a SICAV and the Notes are deposited with an authorised intermediary, interest, premium and other income relating to the Notes and accrued during the holding period will not be subject to *imposta sostitutiva*, but to 12.5 per cent. annual substitute tax (each the "**Collective Investment Fund Tax**"). The 12.5 per cent. substitute tax is calculated on the net result accrued at the end of the tax period pursuant to article 12 of Decree No. 269.

Where an Italian resident Noteholder is a pension fund (subject to the regime provided for by articles 14, 14-*ter* and 14-*quater*, paragraph 1 of Italian legislative decree No. 124 of 21 April 1993) and the Notes are deposited with an authorised intermediary, interest, premium and other income relating to the Notes and accrued during the holding period will not be subject to *imposta sostitutiva*, but must be included in the result of the relevant portfolio accrued at the end of the tax period, to be subject to an 11 per cent. substitute tax.

Pursuant to Decree No. 239, *imposta sostitutiva* is applied by banks, SIMs, fiduciary companies, SGRs, stockbrokers and other entities identified by a decree of the Ministry of Finance (each an "**Intermediary**").

An Intermediary must (i) be resident in Italy or be a permanent establishment in Italy of a non-Italian resident financial intermediary; and (ii) intervene, in any way, in the collection of interest or in the transfer of the Notes. For the purpose of the application of the *imposta sostitutiva*, a transfer of Notes includes any assignment or other act, either with or without consideration, which results in a change in the ownership of the relevant Notes or in a change of the Intermediary with which the Notes are deposited.

Where the Notes are not deposited with an Intermediary, the *imposta sostitutiva* is applied and withheld by any entity paying interest to a Noteholder.

Non-Italian resident Noteholders

Where the Noteholder is a non-Italian resident, an exemption from the *imposta sostitutiva* applies provided that the non-Italian resident beneficial owner is either (i) resident, for tax purposes, in a country which allows for a satisfactory exchange of information with Italy; or (ii) an international body or entity set up in accordance with international agreements which have entered into force in Italy; or (iii) a Central Bank or an entity which manages, *inter alia*, the official reserves of a foreign state; or (iv) an institutional investor which is resident in a country which allows for a satisfactory exchange of information with Italy, even if it does not possess the status of a taxpayer in its own country of residence.

The *imposta sostitutiva* will be applicable at the rate of 12.5 per cent. (or at the reduced rate provided for by the applicable double tax treaty, if any) to interest, premium and other income paid to Noteholders which are resident, for tax purposes, in countries which do not allow for a satisfactory exchange of information with Italy.

In order to ensure gross payment, non-Italian resident Noteholders must be the beneficial owners of the payments of interest, premium or other income and (i) deposit, directly or indirectly, the Notes with a resident bank or SIM or a permanent establishment in Italy of a non-Italian resident bank or SIM or with a non-Italian resident entity or company participating in a centralised securities management system which is in contact, via computer, with the Ministry of Economy and Finance; and (ii) file with the relevant depository, prior to or concurrently with the deposit of the Notes, a statement of the relevant Noteholder, which remains valid until withdrawn or revoked and in which the Noteholder declares itself to be eligible to benefit from the applicable exemption from *imposta sostitutiva*. Such statement, which is requested neither for the international bodies nor entities set up in accordance with international agreements which have entered into force in Italy or in the case of foreign Central Banks nor entities which manage, *inter alia*, the official reserves of a foreign state, must comply with the requirements laid down by ministerial decree of 12 December 2001.

Early redemption

Without prejudice to the above provisions, in the event that the Notes are redeemed prior to 18 months from the Issue Date, the Issuer will be required to pay a tax equal to 20 per cent. in respect of the interest and other amounts accrued from the date of the issue up to the time of the early redemption. Such payment will be made by the Issuer and will not affect the amounts to be received by the Noteholder by way of interest or other amounts, if any, under the Notes.

Capital gains tax

Any gain obtained from the sale or redemption of the Notes would be treated as part of taxable income (and, in certain circumstances, depending on the "status" of the Noteholder, also as part of the net value of production for IRAP purposes) if realised by an Italian company or a similar commercial entity (including the Italian permanent establishment of foreign entities to which the Notes are connected) or Italian resident individuals engaged in an entrepreneurial activity to which the Notes are connected.

Where an Italian resident Noteholder is an individual not holding the Notes in connection with an entrepreneurial activity and certain other persons, any capital gain realised by such Noteholder from the sale or redemption of the Notes would be subject to an *imposta sostitutiva*, levied at the current rate of 12.5 per cent. Noteholders may set off losses with gains.

In respect of the application of the *imposta sostitutiva*, taxpayers may opt for one of the three regimes described below.

Under the tax declaration regime (*regime della dichiarazione*), which is the default regime for Italian resident individuals not engaged in entrepreneurial activity to which the Notes are connected, the *imposta sostitutiva* on capital gains will be chargeable, on a cumulative basis, on all capital gains, net of any incurred capital loss, realised by the Italian resident individual during any given tax year. Italian resident individuals holding Notes not in connection with an entrepreneurial activity must indicate the overall capital gains realised in any tax year, net of any relevant incurred capital loss, in the annual tax return and pay *imposta sostitutiva* on such gains together with any balance of income

tax due for such year. Capital losses in excess of capital gains may be carried forward against capital gains realised in any of the four succeeding tax years.

As an alternative to the tax declaration regime, Italian resident individual Noteholders holding the Notes not in connection with an entrepreneurial activity may elect to pay the *imposta sostitutiva* separately on capital gains realised on each sale or redemption of the Notes (the *risparmio amministrato* regime). Such separate taxation of capital gains is allowed subject to (i) the Notes being deposited with Italian banks, SIMs or certain authorised financial intermediaries; and (ii) an express election for the *risparmio amministrato* regime being made punctually in writing by the relevant Noteholder. The depository is responsible for accounting for *imposta sostitutiva* in respect of capital gains realised on each sale or redemption of the Notes (as well as in respect of capital gains realised upon the revocation of its mandate), net of any incurred capital loss, and is required to pay the relevant amount to the Italian tax authorities on behalf of the taxpayer, deducting a corresponding amount from the proceeds to be credited to the Noteholder or using funds provided by the Noteholder for this purpose. Under the *risparmio amministrato* regime, where a sale or redemption of the Notes results in a capital loss, such loss may be deducted from capital gains subsequently realised, within the same securities management, in the same tax year or in the following tax years up to the fourth. Under the *risparmio amministrato* regime, the Noteholder is not required to declare the capital gains in its annual tax return.

Any capital gains realised by Italian resident individuals holding the Notes not in connection with an entrepreneurial activity who have entrusted the management of their financial assets, including the Notes, to an authorised intermediary and who have opted for the so-called "*risparmio gestito*" regime will be included in the computation of the annual increase in value of the managed assets accrued, even if not realised, at year end, subject to a 12.5 per cent. substitute tax, to be paid by the managing authorised intermediary. Under the *risparmio gestito* regime, any depreciation of the managed assets accrued at year end may be carried forward against the increase in value of the managed assets accrued in any of the four succeeding tax years. Under the *risparmio gestito* regime, the Noteholder is not required to declare the capital gains realised in its annual tax return.

Any capital gains realised by a Noteholder which is an Italian open-ended or a closed-ended investment fund or a SICAV will be included in the result of the relevant portfolio accrued at the end of the tax period, to be subject to Collective Investment Fund Tax.

Any capital gains realised by a Noteholder which is an Italian pension fund (subject to the regime provided for by articles 14, 14-ter and 14-quater, paragraph 1, of Italian legislative decree No. 124 of 21 April 1993) will be included in the result of the relevant portfolio accrued at the end of the tax period, to be subject to the 11 per cent. substitute tax.

Capital gains realised by non-Italian resident Noteholders from the sale or redemption of Notes traded on regulated markets are not subject to the *imposta sostitutiva*.

Capital gains realised by non-Italian resident Noteholders from the sale or redemption of the Notes not traded on regulated markets are not subject to the *imposta sostitutiva*, provided that the effective beneficiary: (i) is resident in a country which allows for a satisfactory exchange of information with Italy; or (ii) is an international entity or body set up in accordance with international agreements which have entered into force in Italy; or (iii) is a Central Bank or an entity which manages, *inter alia*, the official reserves of a foreign state; or (iv) is an institutional investor which is resident in a country

which allows for a satisfactory exchange of information with Italy, even if it does not possess the status of a taxpayer in its own country of residence.

If none of the conditions above are met, capital gains realised by non-Italian resident Noteholders from the sale or redemption of the Notes not traded on regulated markets are subject to the *imposta sostitutiva* at the current rate of 12.5 per cent.

In any event, non-Italian resident individuals or entities without a permanent establishment in Italy to which the Notes are connected, that may benefit from a double taxation treaty with the Republic of Italy on the condition that capital gains realised upon the sale or redemption of notes are to be taxed only in the country of tax residence of the recipient, will not be subject to *imposta sostitutiva* in the Republic of Italy on any capital gains realised upon the sale or redemption of the Notes.

Italian Inheritance and gift tax

Pursuant to Law Decree No. 262 of 3 October 2006 ("**Decree No. 262**"), converted into Law No. 286 of 24 November 2006, the transfers of any valuable asset (including shares, bonds or other securities) as a result of death or donation are taxed as followed:

- (i) transfers in favour of spouses and direct descendants or direct ancestors are subject to an inheritance and gift tax applied at a rate of 4 per cent. on the value of the inheritance or the gift exceeding €1,000,000;
- (ii) transfers in favour of relatives to the fourth degree or relatives-in-law to the third degree are subject to an inheritance and gift tax at a rate of 6 per cent. on the entire value of the inheritance or the gift. Transfers in favour of brothers/sisters are subject to 6 per cent. inheritance and gift tax on the value of the inheritance or the gift exceeding €100,000; and
- (iii) any other transfer is subject to an inheritance and gift tax applied at a rate of 8 per cent. on the entire value of the inheritance or the gift.

Transfer tax

Pursuant to Italian legislative decree No. 435 of 21 November 1997, which partly amended the regime set forth by royal decree No. 3278 of 30 December 1923, the transfer of the Notes may be subject to the Italian transfer tax, which is currently payable at a rate between a maximum of €0.0083 and a minimum of €0.00465 per €51.65 (or fraction thereof) of the price at which the Notes are transferred. Where the transfer tax is applied at a rate of €0.00465 per €51.65 (or fraction thereof) of the price at which Notes are transferred, the transfer tax cannot exceed €929.62.

However, the transfer tax does not apply, *inter alia*, to: (i) contracts entered into on regulated markets relating to the transfer of securities, including contracts between the intermediary and its principal or between qualified intermediaries; (ii) off-market transactions regarding securities listed on regulated markets, provided that the contracts are entered into (a) between banks, SIMs or other financial intermediaries regulated by Italian legislative decree No. 415 of 23 July 1996, as superseded by Italian legislative decree No. 58 of 24 February 1998, or stockbrokers; (b) between the subjects mentioned in (a) above, on the one hand, and non-Italian residents, on the other hand; and (c) between the subjects mentioned in (a) above, even if non-resident in Italy, on the one hand, and undertakings for collective investment in transferable securities, on the other hand; (iii) contracts related to sales of securities occurring in the context of a public offering (*offerta pubblica di vendita*) aimed at the listing on

regulated markets, or involving financial instruments already listed on regulated markets; or (iv) contracts regarding securities not listed on a regulated market entered into between the authorised intermediaries referred to in (ii)(a) above, on the one hand, and non-Italian residents on the other hand.

EU Savings Directive

Under EC Council Directive 2003/48/EC on the taxation of savings income ("**EU Savings Directive**"), Member States are required, from 1 July 2005, to provide to the tax authorities of another Member State details of payments of interest (or similar income) paid by a person within its jurisdiction to an individual resident in that other Member State in order to allow the latter State to subject to tax such interest. However, for a transitional period, Belgium, Luxembourg and Austria are instead required (unless during that period they elect otherwise) to operate a withholding system in relation to such payments (the ending of such transitional period being dependent upon the conclusion of certain other agreements relating to information exchange with certain other countries). A number of non-EU countries and territories including Switzerland have agreed to adopt similar measures (a withholding system in the case of Switzerland) with effect from the same date.

Implementation in Italy of the EU Savings Directive

Italy has implemented the EU Savings Directive through Legislative Decree No. 84 of 18 April 2005 ("**Decree No. 84**"). Under Decree No. 84, subject to a number of important conditions being met, in the case of interest paid starting from 1 July 2005 to individuals which qualify as beneficial owners of the interest payment and are resident for tax purposes in another Member State, Italian qualified paying agents shall not apply the withholding tax and shall report to the Italian Tax Authorities details of the relevant payments and personal information on the individual beneficial owner. Such information is transmitted by the Italian Tax Authorities to the competent foreign tax authorities of the State of residence of the beneficial owner.

Grand Duchy of Luxembourg

Non-Residents

Under the existing laws of Luxembourg, and except as provided for by the Luxembourg law of 20 June 2005 implementing the EU Savings Directive (as defined above), there is no withholding tax on the payment of interest on, or reimbursement of principal of, the Notes made to non-residents of Luxembourg.

Under the Luxembourg law of 20 June 2005 implementing the EU Savings Directive, and as a result of ratification by Luxembourg of certain related Accords with the relevant dependent and associated territories, payments of interest or similar income made or ascribed by a paying agent established in Luxembourg to or for the immediate benefit of an individual or certain residual entities as defined by the law, who, as a result of an identification procedure implemented by the paying agent, are identified as residents or are deemed to be residents of a EU Member State other than Luxembourg, those certain dependent or associated territories or those other non-EU Member States referred to under "EU Savings Directive" above, will be subject to a withholding tax unless the relevant beneficiary has adequately instructed the relevant paying agent to provide details of the relevant payments of interest or similar income to the fiscal authorities of his/her country of residence or deemed residence or has provided a tax certificate from his/her fiscal authority in the format required by law to the relevant paying agent. Where withholding tax is applied, it will be levied at a rate of 15

per cent. during the first three-year period starting 1 July 2005, at a rate of 20 per cent. for the subsequent three-year period and at a rate of 35 per cent. thereafter.

When used in the preceding paragraph "interest" and "paying agent" have the meaning given thereto in the Luxembourg law of 20 June 2005 (or the relevant Accords). "Interest" will include accrued or capitalised interest at the sale, repayment or redemption of the Notes. "Paying agent" is defined broadly for this purpose and in the context of the Notes means any economic operator established in Luxembourg who pays interest on the Notes to or ascribes the payment of such interest to or for the immediate benefit of the beneficial owner, whether the operator is, or acts on behalf of, the Issuer or is instructed by the beneficial owner to collect such payment of interest.

Payments of interest or similar income under the Notes to the Clearing Systems and payments by or on behalf of Clearstream Banking, *société anonyme*, Luxembourg to financial intermediaries will not give rise to a withholding tax under Luxembourg tax.

Residents

Under the existing laws of Luxembourg, there is no withholding tax on the payment of interest on, or reimbursement of principal of, the Notes made to residents of Luxembourg. The Luxembourg government has, however, announced its intention to introduce a final withholding tax of 10 per cent. on interest payments made to individuals resident in Luxembourg.

SUBSCRIPTION AND SALE

Deutsche Bank AG, London Branch (the "**Lead Manager**") has, pursuant to a subscription agreement dated the Signing Date between the Issuer, the Lead Manager, the Representative of the Noteholders and DB (the "**Subscription Agreement**"), agreed to subscribe and pay for, or procure subscribers for, the Notes at the issue price of 100 per cent. of the aggregate principal amount of Notes.

On the Issue Date, the Issuer has agreed to indemnify the Lead Manager against certain liabilities incurred in connection with the issue, offering and sale of the Notes.

The Subscription Agreement is subject to a number of conditions and may be terminated in certain circumstances prior to payment to the Issuer.

United States of America

The Notes have not been and will not be registered under the Securities Act and may not be offered or sold, pledged or otherwise transferred, directly or indirectly, within the United States or to, or for the account or benefit of, U.S. persons, except in certain transactions exempt from the registration requirements of the Securities Act, and in such a manner as to avoid the need to register the Issuer under the United States Investment Company Act of 1940, as amended.

Notes in bearer form are subject to U.S. tax law requirements and may not be offered, sold or delivered within the United States or its possessions or to a United States person, except in certain transactions permitted by U.S. tax regulations. Terms used in this paragraph have the meanings given to them by the U.S. Internal Revenue Code and regulations thereunder.

The Lead Manager has represented and agreed that, except as permitted by the Subscription Agreement to which it is a party, it will not offer, sell or deliver Notes: (i) as part of their distribution at any time; or (ii) otherwise until 40 days after the later of the date of commencement of the offering of the Notes and the Issue Date (the "**distribution compliance period**"), within the United States or to, or for the account or benefit of, U.S. persons. The Lead Manager has also agreed that it will send to each dealer to which it sells any Notes during the distribution compliance period a confirmation or other notice setting forth the restrictions on offers and sales of Notes within the United States or to, or for the account or benefit of, U.S. persons. Terms used in this paragraph have the meanings given to them by Regulation S under the Securities Act.

In addition, until the expiration of 40 days after the commencement of the offering, an offer or sale of the Notes within the United States by any dealer distributor or other person (whether or not participating in this offering) may violate the requirements of the Securities Act if such offer or sale is made otherwise than in accordance with an available exemption from registration under the Securities Act. Terms used in this paragraph have the meaning given to them by Regulation S under the Securities Act.

Republic of Italy

The offering of the Notes has not been registered pursuant to Italian securities legislation and, accordingly, no Notes may be offered, sold or delivered, nor may copies of the Prospectus or of any other document relating to the Notes be distributed in the Republic of Italy, except:

- (i) to professional investors (*operatori qualificati*) (the "**Professional Investors**"), as defined in Article 31, second paragraph, of CONSOB (the Italian Securities Exchange Commission) Regulation No. 11522 of 1 July 1998, as amended ("**Regulation No. 11522**"); or
- (ii) in circumstances which are exempted from the rules on solicitation of investments pursuant to Article 100 of Legislative Decree No. 58 of 24 February 1998, as amended (the "**Financial Services Act**") and Article 33, first paragraph, of CONSOB Regulation No. 11971 of 14 May 1999, as amended ("**Regulation No. 11971**").

Any offer, sale or delivery of the Notes or distribution of copies of the Prospectus or any other document relating to the Notes in the Republic of Italy under (i) or (ii) above must be:

- (a) made by an investment firm, bank or financial intermediary permitted to conduct such activities in the Republic of Italy in accordance with the Financial Services Act, Regulation No. 11522 and Legislative Decree No. 385 of 1 September 1993, as amended (the "**Banking Act**"); and
- (b) in compliance with Article 129 of the Banking Act and the implementing guidelines of the Bank of Italy, as amended from time to time, pursuant to which the Bank of Italy may request information on the issue or the offer of securities in the Republic of Italy; and
- (c) in compliance with any other applicable laws and regulations or requirement imposed by CONSOB.

United Kingdom

The Lead Manager has, pursuant to the Subscription Agreement to which it is a party, represented and agreed with the Issuer that:

- (a) it has complied and will comply with all applicable provisions of the Financial Services and Markets Act 2000 (the "**FSMA**") with respect to anything done by it in relation to the Notes in, from or otherwise involving the United Kingdom; and
- (b) it has only communicated or caused to be communicated and will only communicate or cause to be communicated any invitation or inducement to engage in investment activity (within the meaning of Section 21 of the FSMA) received by it in connection with the issue or sale of the Notes in circumstances in which Section 21(1) of the FSMA does not apply to the Issuer.

General

No action has been taken by the Issuer and the Lead Manager has agreed that it would, or has intended to, permit a public offer of the Notes in any country or jurisdiction where any such action for that purpose is required. Accordingly, the Lead Manager has undertaken that it will not, directly or indirectly, offer or sell any Notes or distribute or publish any Prospectus, form of application, advertisement or other document or information in any country or jurisdiction except under circumstances that will, to the best of its knowledge and belief, result in compliance with any applicable laws and regulations and all offers and sales of Notes by it will be made on the same terms.

GENERAL INFORMATION

Authorisation

The issue of the Notes was authorised by a quotaholders' resolution of the Issuer on 2 February 2007. The Issuer has obtained all necessary consents, approvals and authorisations in connection with the issue and performance of the Notes.

Funds available to the Issuer

The principal source of funds available to the Issuer for the payment of interest and the repayment of principal on the Notes will be collections made in respect of the Portfolio and the Claims thereunder.

Listing and admission to trading

Application has been made to the *Commission de Surveillance du Secteur Financier*, as competent authority under Directive 2003/71/EC (the "**Prospectus Directive**"), for the Prospectus to be approved. Application has been made to the Luxembourg Stock Exchange for the Notes to be admitted to the Official List of the Luxembourg Stock Exchange and to be traded on the Regulated Market of the Luxembourg Stock Exchange "*Bourse de Luxembourg*" which is regulated by Directive 2004/39/EC on Markets in Financial Instruments.

Clearing systems

The Notes have been accepted for clearance through Monte Titoli by Euroclear and Clearstream, Luxembourg. The ISIN and Common Code for the Notes are as follows:

Common Code	ISIN
028598033	IT0004179906

No significant change

There has been no significant change in the financial position or trading position of the Issuer since 31 December 2006 (being the end of the last financial year of the Issuer), and there has been no material adverse change in the financial position or prospects of the Issuer since 31 December 2006.

Litigation

The Issuer is not involved in any governmental, legal or arbitration proceedings (including any proceedings which are pending or threatened of which the Issuer is aware) which may have or have had in the 12 months preceding the date of this document a significant effect on the financial position of the Issuer.

Accounts

The Issuer will produce, and will make available at its registered office, proper accounts (*ordinata contabilità interna*) and audited (to the extent required) financial statements in respect of each

financial year (commencing on 1 January and ending on 31 December). The first Issuer's financial statements relate to the period started on 27 April 2006 (being the date of incorporation of the Issuer) and ended on 31 December 2006 (being the last date of the first fiscal year).

PKF Italia S.p.A., the address of which is at Viale Vittorio Veneto, 10, 20124 Milan, are the auditors of the Issuer. They are members of ASSIREVI – Associazione Italiana Revisori Contabili and are registered in the special register (*albo speciale*) for auditing companies (*società di revisione*) provided for by article 161 of legislative decree No. 58 of 1998.

Mr. Eliseo Piana has prepared an auditors' report on the Issuer (included in the section above entitled "*The Issuer*"). Mr. Eliseo Piana has given and not withdrawn his written consent to the issue of this Prospectus and the inclusion herein of his report and has authorised the contents of that part of this Prospectus.

Borrowings

Save as disclosed in this document, as at the date of this document, the Issuer has no outstanding loan capital, borrowings, indebtedness or contingent liabilities, nor has the Issuer created any mortgages or charges or given any guarantees.

Documents

As long as the Notes are listed on the Regulated Market of the Luxembourg Stock Exchange, copies of the following documents will, when published, be available (and in respect of paragraphs (a), (b), (c), (d)(xxii) and (d)(xxiii) below, for collection and free of charge) during usual office hours on any weekday at the registered office of the Issuer and the Specified Offices of the Representative of the Noteholders and the Paying Agents (as set forth in Condition 17 (*Notices*)):

- (a) the by-laws (*statuto*) and the deed of incorporation (*atto costitutivo*) of the Issuer;
- (b) the annual audited (to the extent required) financial statements of the Issuer. The first Issuer's financial statements relate to the period started on 27 April 2006 (being the date of incorporation of the Issuer) and ended on 31 December 2006 (being the last date of the first fiscal year). No interim financial reports will be produced by the Issuer;
- (c) the Servicer's Reports setting forth the performance of the Claims and the Collections made in respect of the Claims prepared by the Servicer;
- (d) copies of the following documents:
 - (i) the Subscription Agreement;
 - (ii) the Agency and Accounts Agreement;
 - (iii) the Mandate Agreement;
 - (iv) the Monte Titoli Mandate Agreement;
 - (v) the Intercreditor Agreement;

- (vi) the Italian Deed of Pledge;
- (vii) the English Deed of Charge and Assignment;
- (viii) the Corporate Services Agreement;
- (ix) the Stichting Corporate Services Agreement;
- (x) the Subordinated Loan Agreement;
- (xi) the Letter of Undertaking;
- (xii) the Transfer Agreement;
- (xiii) the Transfer Deeds;
- (xiv) the Servicing Agreement;
- (xv) the Warranty and Indemnity Agreement;
- (xvi) the Swap Agreement;
- (xvii) the Auditing Agreement;
- (xviii) the Shareholders' Agreement;
- (xix) the amendment to the Transfer Agreement;
- (xx) the amendment to the Servicing Agreement;
- (xxi) the amendment to the Warranty and Indemnity Agreement;
- (xxii) the Investor Reports; and
- (xxiii) this Prospectus.

The Prospectus will be available to the public during usual business hours at the registered offices of the Listing and Luxembourg Paying Agent and will be published on the Luxembourg Stock Exchange website (www.bourse.lu).

Notes freely transferable

According to Chapter XII, article 4, point B/1 of the "Rules and Regulations of the Luxembourg Stock Exchange", the Notes shall be freely transferable and therefore no transaction made on the Luxembourg Stock Exchange shall be cancelled.

Post-issuance transaction information

The Issuer will not provide the investors with any post-issuance transaction information with respect to the performance of the Claims, apart from the Investor Report.

Annual fees

The estimated annual fees and expenses payable by the Issuer in connection with the transaction described herein amount to approximately €79,520.00, excluding all fees payable to the Servicer, plus any VAT if applicable. The total expenses relating to the application for admission of the Notes to trading on the Regulated Market of the Luxembourg Stock Exchange are expected to be approximately €2,400.00.

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